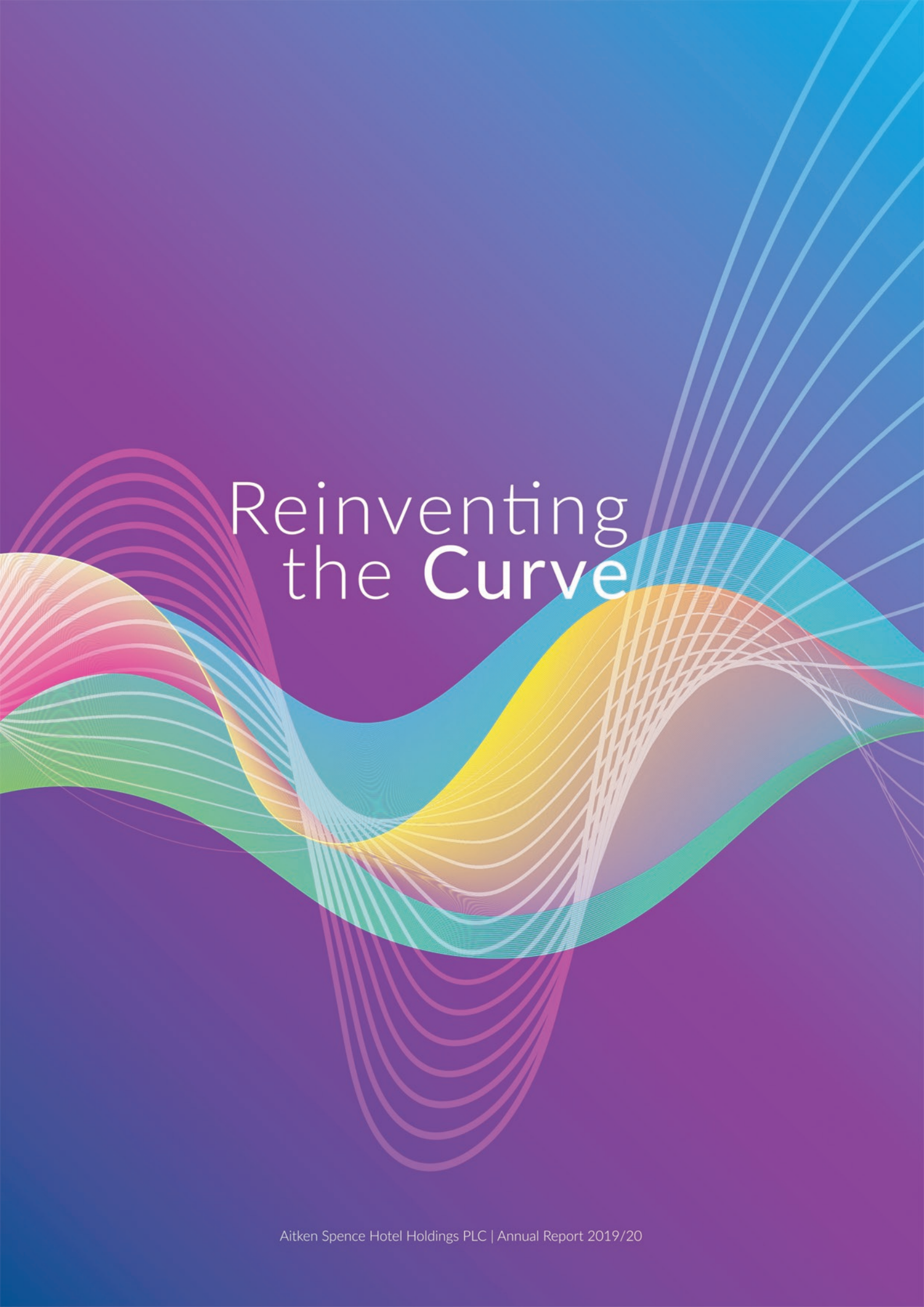
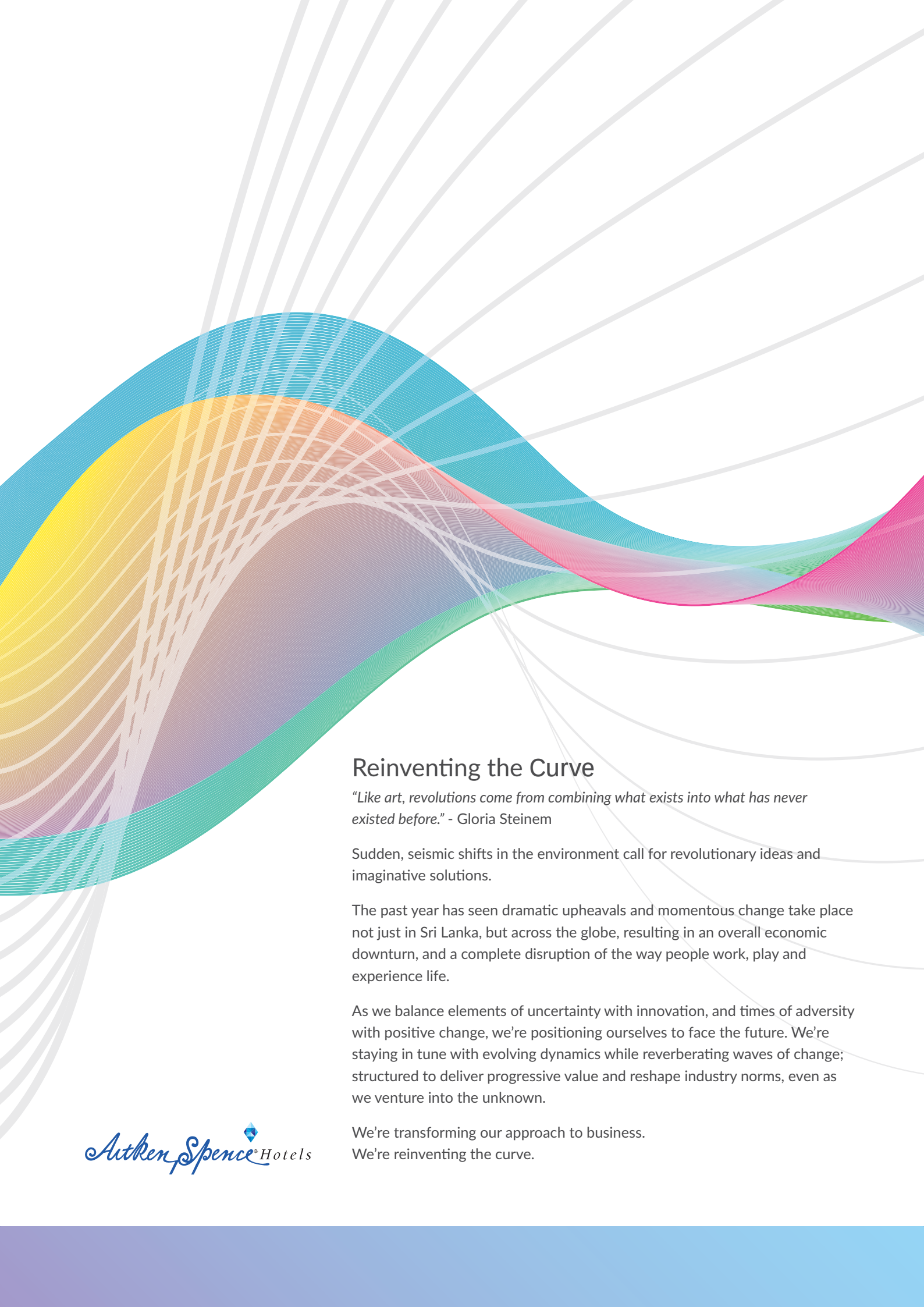




Reinventing the **Curve**



Reinventing the Curve

"Like art, revolutions come from combining what exists into what has never existed before." - Gloria Steinem

Sudden, seismic shifts in the environment call for revolutionary ideas and imaginative solutions.

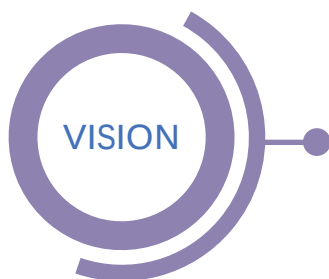
The past year has seen dramatic upheavals and momentous change take place not just in Sri Lanka, but across the globe, resulting in an overall economic downturn, and a complete disruption of the way people work, play and experience life.

As we balance elements of uncertainty with innovation, and times of adversity with positive change, we're positioning ourselves to face the future. We're staying in tune with evolving dynamics while reverberating waves of change; structured to deliver progressive value and reshape industry norms, even as we venture into the unknown.

We're transforming our approach to business.
We're reinventing the curve.

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To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.



Across the Region

Sri Lanka



Heritage Kandalama
Heritage Ahungalla
Heritage Tea Factory
Heritage Ayurveda
Heritage Negombo



Turyaa Kalutara



Amethyst Resort Passikudah
Earl's Regency
Earl's Regent
Bandarawela Hotel

Maldives



Adaaran Prestige Vadoo
Adaaran Prestige Water Villas
Adaaran Prestige Ocean Villas
Adaaran Select Meedhupparu
Adaaran Select Hudhuran Fushi
Adaaran Club Rannalhi



Heritage Aarah

Oman



Al Falaj Hotel
Desert Nights Camp
Al Wadi Hotel
Sur Plaza Hotel

India



Turyaa Chennai

About the Group

Realigning our **Course**

*We're adapting to changing conditions by
embarking on a new direction of continued
momentum and progress.*

ABOUT THIS REPORT

102-46 102-48 102-49 102-50 102-51 102-52

As global operating conditions and business models undergo unprecedented changes, companies are being called upon to meet demands of greater transparency, whilst making information more relevant to material issues. Against this backdrop, we are committed to ensuring that our corporate reporting reflects a realistic and balanced overview of our current conditions. In doing so, we present the Group's ninth Integrated Annual Report for the financial year ending 31st March 2020. The information we share in this Report is consistent with our strategy, material issues, risk profile, governance mechanisms and triple bottom line performance, covering the period from 1st April 2019 to 31st March 2020.

Reporting Scope and Boundary

The Report covers the operations of Aitken Spence Hotel Holdings PLC ("Aitken Spence Hotels" or the "Company"), its subsidiaries and interests in equity accounted investees (collectively referred to as the "Group"). We adopt an annual reporting cycle and this Report builds on the Group's previous report for the financial year ending 31st March 2019. The boundary for financial and non-financial reporting is graphically presented alongside. The financial statements and financial information discussed in the narrative report present a consolidated view of the Group, while the non-financial information is limited to the 17 properties owned by Aitken Spence Hotels in Sri Lanka, Maldives, India and Oman and excludes the managed properties. The only change in the reporting boundary represents the inclusion of Heritage Aarah, the Group's newest property in the Maldives, in all financial and non-financial information presented. There were no significant changes to the Group's size, structure or supply chain during the year under review.



Verifying Our Information

A combined assurance model is adopted across the Group to ensure the credibility and integrity of our reporting. In addition to consistent monitoring on the adequacy and effectiveness of the financial reporting by the Audit Committee and Internal Audit function, external assurance on the Financial Statements has been provided by Messrs. KPMG and is available on page 126 of this Report. Meanwhile, an executive decision was made to defer the external assurance of non-financial information to the next financial year, as the prevalent operating conditions and work-from-home requirements imposed to curtail the spread of the COVID-19 pandemic has made it challenging to ensure the rigour and resources required for such an exercise. There are no changes in reporting or restatements from previous reports.

Materiality

The Group's material topics are defined as the issues which could most significantly impact the Group's ability to create value over the short, medium, and long-term and form the anchor of this Annual Report. We follow a structured process to determine these material topics (described on pages 36 to 37) which are reassessed on an annual basis giving due consideration to the operating context, stakeholder concerns and the Group's strategic objectives.



www.aitkenspencehotels.com/about-us/investor-relations.html

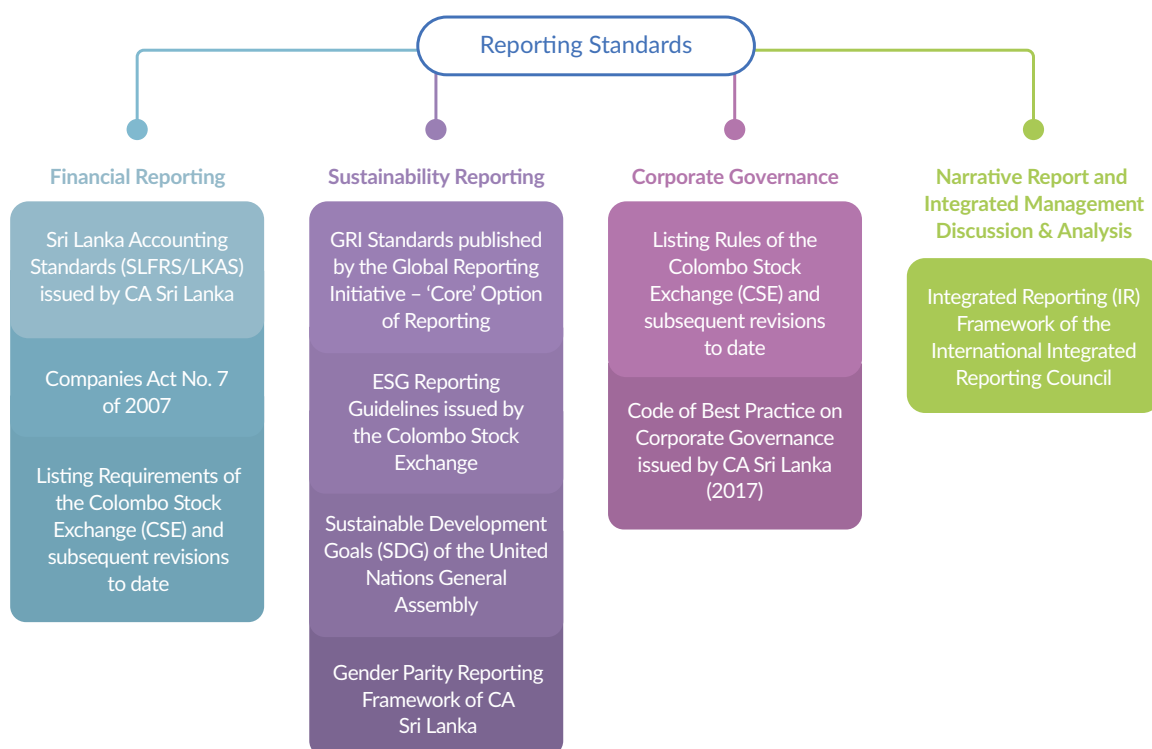


Our Annual Report is also available online. Please visit our website at www.aitkenspencehotels.com to access the report

ABOUT THIS REPORT

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Reporting Standards and Principles



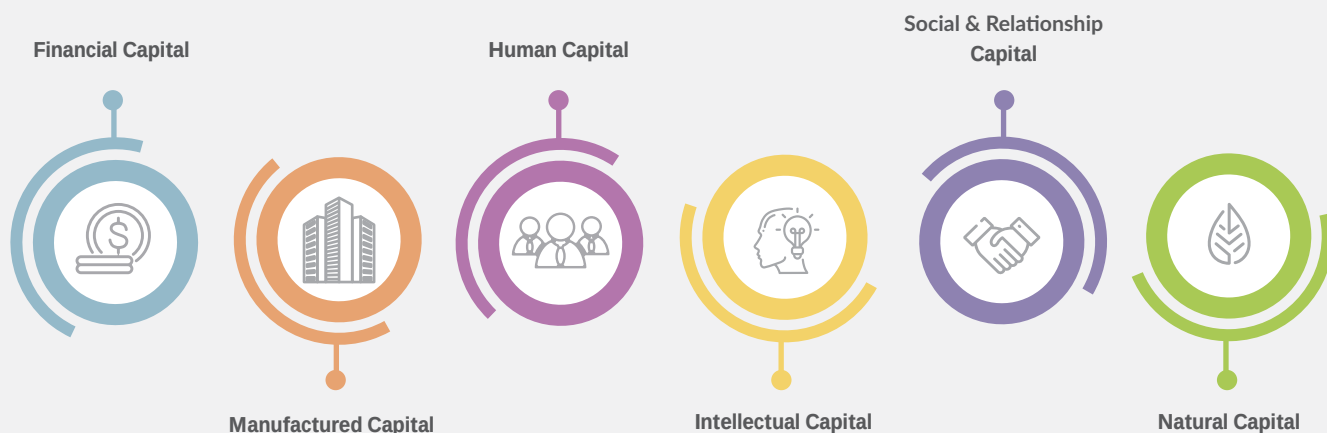
Feedback

We are committed to consistently enhancing the readability and meaningfulness of our Annual Report. We welcome your ideas and suggestions on our Report and invite you to direct your feedback through the Investor Feedback Form on pages 263 to 264. Our contact details are as follows;

Email: info@aitkenspence.lk
 Group Business Development Unit - Aitken Spence PLC

Navigation Icons

We rely on a combination of resources and relationships when driving our strategy to deliver value. These are referred to as the six capitals and is used across this Report indicated by the following navigation icons.



GROUP PERFORMANCE HIGHLIGHTS

201-1

Performance for the Year ended 31st March		2020	2019	Change
Gross Revenue	Rs. '000	19,019,241	19,570,589	-3%
Earnings Before Interest, Tax, Depreciation & Amortisation	Rs. '000	4,410,546	4,608,683	-4%
Group Profit/(Loss) Before Tax	Rs. '000	(433,023)	1,904,325	-123%
Group Profit/(Loss) After Tax	Rs. '000	(895,724)	1,197,164	-175%
Group Profit/(Loss) Attributable to Equity Holders of the Parent Company	Rs. '000	(624,953)	810,581	-177%
Earnings/(Loss) per Share (EPS)	Rs.	(1.90)	2.37	-180%
Ordinary Dividend Final (Proposed)	Rs. '000	-	336,290	-100%
Dividend Per Share	Rs.	-	1.00	-100%
Cost of Finance - On Financial Liabilities	Rs. '000	1,276,238	934,502	37%
- On Lease Liabilities	Rs. '000	585,115	-	100%
Interest Cover	Times	0.94	3.18	-70%
Return on Equity	%	(3.08)	3.90	-173%

Position as at the Year ended 31st March

Total Assets	Rs. '000	74,350,034	64,902,384	15%
Long Term Interest Bearing Liabilities**	Rs. '000	33,665,094	23,570,292	43%
Total Equity**	Rs. '000	28,985,430	30,430,435	-5%
Number of shares in issue	Number	336,290,010	336,290,010	0%
Net Assets Per Share	Rs.	60.66	62.96	-4%
Gearing - Debt/ (Debt + Equity)	%	53.73	43.65	23%
Debt/Total Assets	%	45.28	36.32	25%
Current Ratio*		0.77:1	0.97:1	-21%
Quick Asset Ratio		0.58:1	0.90:1	-36%

Market / Shareholder Information as at year ended 31st March

Market Price Per Share (Closing Price)	Rs.	15.10	23.70	-36%
Market Capitalisation	Rs. '000	5,077,979	7,970,073	-36%
Price Earnings Ratio	Times	(7.94)	10.02	-179%
Dividend Payout	%	-	42.26	-100%
Dividend Yield	%	-	4.22	-100%

Value Added for the year

To Government	Rs. '000	893,555	1,223,165	-27%
To Employees	Rs. '000	3,800,748	3,482,599	9%
To Providers of Capital	Rs. '000	1,590,582	1,321,085	20%
To Shareholders	Rs. '000	-	336,290	-100%
Retained for Reinvestment and Future Growth	Rs. '000	2,221,926	2,348,014	-5%
Total Value Added	Rs. '000	8,506,811	8,711,153	-2%

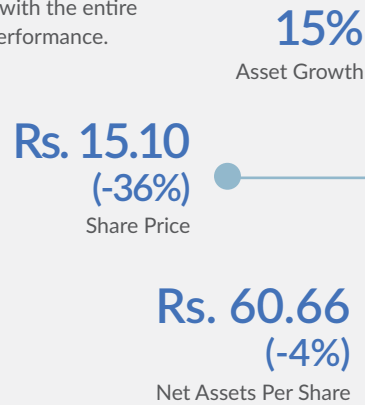
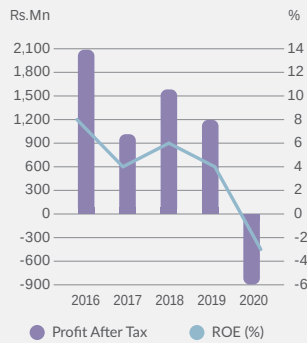
* Current Assets in Current Ratio include Assets classified as held for sale.

** Preference Share value is excluded from Total Equity and included in Long Term Interest Bearing Liabilities. Comparative figures are restated to reflect this change.

OPERATIONAL HIGHLIGHTS

102-7

Unprecedented domestic and global challenges in 2019/20 had a significant impact on growth and profitability, with the entire industry experiencing a sharp downturn in performance.

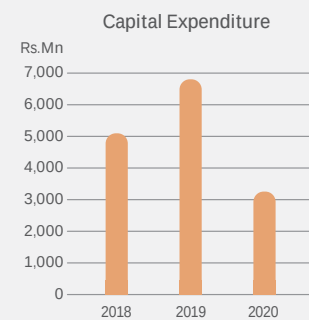


Financial Capital

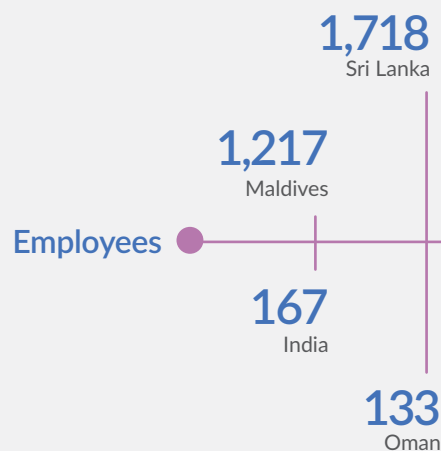
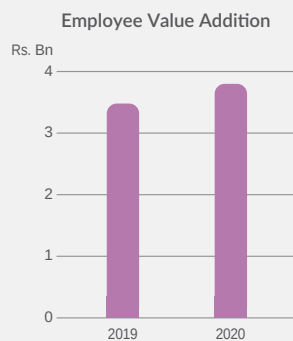
Manufactured Capital



Key investments during the year included costs associated with the opening of Heritance Aarah and refurbishment of Adaaran Select Meedhupparu - Maldives and Al Falaj Hotel - Oman.



Relaunch of Aitken Spence Institute of Hotel Management as 'TUI Academy Sri Lanka'



Human Capital

Intellectual Capital

**305**

Awards & Recognitions

6 Corporate Awards | 229 Culinary Excellence | 17 Property and Brand |
12 Sustainable Tourism | 36 Online Platform Recognitions
5 Other Awards & Recognitions

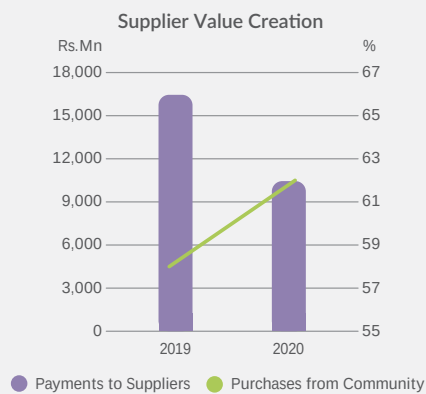
34

Certifications

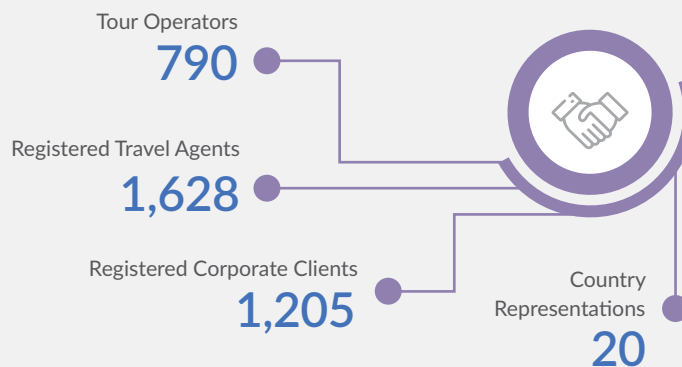
Travelife Gold
ISO 14001: 2015 EMS | ISO 22000: 2005 FSMS/HACCP
ISO 50001: 2011 EnMS | LEED Organic Produce | Green Fins

5
yearsAverage Length of
Service of an Employee

Investment in CSR

Rs. 18.6 Mn

Business Partners



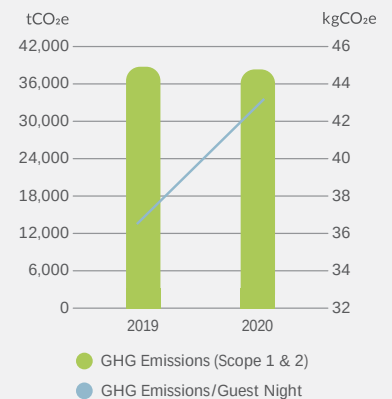
Social & Relationship Capital

Natural Capital

**+ 4%**Energy
Consumption**- 20%**Water
Consumption

Heritage Aarah - First
LEED Gold
Certified Property
in the Maldives

Carbon Footprint





We remain on high alert for developments globally and maintain positivity about the future, as multiple stakeholders have much at stake.

Dear Shareholder,

Aitken Spence Hotel Holdings PLC recorded a loss of Rs. 896 Mn in a year that had two major setbacks, starting with the Easter Sunday terror attacks that crippled our nation coupled with the COVID-19 pandemic that shutdown country borders and airports across nations. It is indeed an unprecedented time; and despite a proliferation of views on the future unlike ever before, the future remains challenging as countries work their way through the worst crisis since the Great Depression in the 1930s. Moreover, the repercussions from the current crisis have significantly impacted the tourism industry and the whole world. What is certain is our determination to rise above the odds – leveraging our strengths such as linkages to our parent company, strong relationships with tour operators and partners, and a reputation for excellence in hospitality –

dynamics that will position us in good stead when we re-commence operations in what I hope in the not too distant future. In the meantime, we will realign, reinvent, and relaunch our strategy to survive and emerge as a stronger player in this innovative sector.

Contribution to Economic Growth

Let us consider the global economic impact of tourism to understand the issues at stake. Tourism was the third largest export in 2018, accounting for US\$ 1.7 Tn, growing faster than global GDP for seven consecutive years and reducing trade deficits in many countries around the world according to the UN World Tourism Organisation (UNWTO). In 2019, it accounted for 30% of world services exports, and up to 45% of world services exports in developing countries; taking into consideration, the international tourist receipts and passenger transportation.

Tourism has fostered understanding across borders and an appreciation of natural and cultural diversity and heritages of countries by travellers. It has provided development opportunities for countries and for people, including a high proportion from vulnerable groups due to its labour intensity, accounting for 10% of jobs worldwide. UNWTO affirms that the social and economic footprint of the tourism sector dwarfs that of other economic sectors. From an investor perspective, it is also a capital-intensive sector requiring a long-term vision and commitment. Consequently, this sector is the worst affected by the COVID-19 pandemic for all stakeholders.

For Sri Lankan tourism, it comes as the second setback in a single financial year. The sector was in the fragile recovery phase with arrivals resurging to pre-terror attack, albeit in a highly discounted market which put significant pressure on cashflows. The recovery of numbers in 6-8 months reflect the aggressive promotion and the united efforts of the tourism and travel industry to regain lost ground and to protect the large number of stakeholders reliant on this sector for livelihood. As a result of these collective efforts, Sri Lanka found its way back into the lists of top travel destinations by the end of 2019. Despite this setback, foreign exchange earnings from tourism amounted to US\$ 3.7 Bn in 2019, ranking third in foreign exchange earnings.

Many of the employees in the sector hail from developing areas of the country, as the hotels actively recruited and trained youth from these areas, integrating them into the formal workforce. Through this integration, many have built globally mobile careers, earning valuable foreign exchange as migrant workers, and contributing to the country's worker remittances. Additionally, the indirect employment from the sector is similarly significant.

Support for the Sector

I wish to express my sincere appreciation to the Government of Sri Lanka and our bankers for the relief provided in the aftermath of the terror attacks and COVID-19 impacts. Through their combined efforts we availed ourselves of Rs. 401 Mn in working capital loans and received a moratorium on Rs. 848 Mn of capital repayment of loans during the reporting year, which are in effect until March/April 2020. Since the close of the financial year,

we are working with our bankers to secure further moratoria on capital and interest.

Sufficiency of these relief measures are yet to be determined due to the level of uncertainty that prevails, as the world has been in lockdown for several weeks at the time of writing and signs of gradual ease of restrictions observed across the globe. Measures implemented to control the contagion need to be substantially eased across countries and commercial flights need to recommence to connect markets for the tourism sector to have cash inflows.

A brief glance at the Value Added Statement will reveal that value created during the year has gone to support the wider stakeholder segments with no return to investors unlike in the past. In this regard, it is imperative to support tourism during the COVID-19 pandemic as well as at the recovery phase, to enable it to contribute positively to the country's and global growth, yet again.

Performance

As a people-to-people business, our hotels and resorts have, over the years, prided itself for the recognition received by our guests as a key factor in our success story. In 2019 as well, our properties (both owned and managed) across destinations – Sri Lanka, Maldives, Oman and India – received numerous awards of recognition through the varied review channels which present these acknowledgments for its top appraised by travellers. Among these are the TripAdvisor Travellers' Choice Awards, Booking.com Traveller Review Award and HolidayCheck Awards.

Heritage Aarah won several medals in the culinary sphere including at the World Culinary Olympics and has set a new benchmark for excellence in cuisine in Maldives in its first year of operations which is a commendable performance. I thank all teams who worked hard to ensure that our guests had extraordinary experiences at our locations, upholding high standards of hospitality and also ensuring their safety during both crises.

During the year under discussion, a top line growth of 9% in the South Asia and Middle East sector is disclosed due to the newest property in our portfolio, Heritage Aarah, being fully operational during the year. Performance of the Sri Lankan sector

was dampened by the two major crises straddling the year which was minimised to a large extent by the efforts to promote the destination. Accordingly, this sector recorded a loss of Rs. 720 Mn for the year in comparison to a profit of Rs. 148 Mn in the previous year. The Middle Eastern and South Asian sector which recorded a loss of Rs.176 Mn during the year compared to a profit of Rs.1,049 Mn in 2018/19, was attributed to increased depreciation and interest costs related to Heritage Aarah along with the partial closure of Adaaran Select Meedhupparu and Al Falaj Hotel for refurbishment work. The share of losses from equity accounted for investees located in Sri Lanka recording a loss of Rs. 322 Mn compared to a loss of Rs. 136 Mn, which accounted for 45% of the Sri Lanka sector loss after taxation. Group losses after tax amounted to Rs. 896 Mn reflecting the challenges in this financial year.

Our balance sheet grew by 15% to Rs. 74 Bn, having included Rs. 11 Bn as right of use assets in the balance sheet. This comprise lease of properties where we do not own the land as required by the Sri Lanka Financial Reporting Standards. Our debt equity ratio stands at 53.73% as there were no repayments of debt during the year. Equity declined marginally due to losses. It is a relatively strong balance sheet that has significant room for further leverage in case of need during this period of uncertainty.

Our digital journey continues with enhancements to engage potential tourists and to seamlessly incorporate technology into the design of properties.

The Road Ahead

As at 28 April 2020, 100% of destinations had some sort of restrictions in place. However, several countries are now exploring ways to open borders with safeguards. It is an untenable situation that needs supportive policies and responsible action by every stakeholder from governments to tourists. Effective implementation of action in this regard will play a key role in the renaissance of tourism as a more vibrant and resilient growth sector of the economy.

We are in close contact with key business partners to commence operations at the earliest possible opportunity. Our plans remain flexible and are open to adaptability

CHAIRMAN'S REVIEW

given the present situation. Affordability and safety of travel will be key to driving demand. Our city hotels in India and Oman remained open with limited operations complying with the restrictions set forth for COVID-19. In Sri Lanka, domestic traction is expected to pick up gradually before international travel. We are working through a realignment strategy to gradually reopen the properties based on the opening of source markets and international travel.

However, as more cases are being reported from Middle East returnees to Sri Lanka, we are mindful of a possible second wave of the virus and the prevailing uncertainties that could further destabilise business. We are continuing to monitor the situation and as it reaches stability, we will have better visibility of the future and be able to communicate with our stakeholders.

Our priorities are clear. Ensure safety of our people, nurture our relationships, maintain cashflow, safeguard our assets and recommence at the earliest opportunity with sufficient safeguards. This will be our compass and our mantra until we see through the haze. The Board will continue to review the status as it unfolds and make decisions in the best interests of Aitken Spence Hotel Holdings, balancing the interests of key stakeholders.

Acknowledgments

I wish to convey my appreciation of the leadership provided by the Group Deputy Chairman and the Chief Executive of ASHH and the Board of Directors in steering the company through multiple challenges.

I thank the senior management and all our employees for their team work and for ensuring the safety and comfort of our guests during the difficult times and delivering positive experiences which have earned high praise. I also take this opportunity to convey my appreciation of the support provided by our business partners and key stakeholders alike in recovering from the April terror attacks and look to their support in recovering from the pandemic as well. I thank our shareholders for their confidence in the Board and request their continued support in unparalleled circumstances.



Deshamanya D.H.S. Jayawardena
Chairman

29th May 2020



Decades of leading the hospitality industry with a differentiated offering that championed sustainability puts us in a strong position to lead the revival of the sector in the country.

Dear Shareholders,

Two black swan events marking the beginning and end of the reporting year with its characteristic severe impacts made the financial year under discussion, riddled with unparalleled challenges.

The Easter Sunday terror attacks in April 2019 marked a startling setback at the beginning of the year – disconnecting years of build up with a single stroke of tragic shock. Whilst the result of this was colossal, in working with tour operators and key travel partners in reassuring potential travellers of the safety of the destination, Sri Lanka made a stronger recovery than first anticipated. The impact of COVID-19, to which we close the year, has been more severe, on a scale never imagined, with the entire supply chain halting operations with almost all countries implementing varying degrees of travel restrictions to prevent

contagion. The complexity of tourism supply chains require a coordinated response by varied stakeholders ranging from governments, to airlines, tour operators, destination management companies, hotels and most importantly, tourists to resume operations. The immense socioeconomic impact of this sector gives comfort of urgent attention to its revival by policymakers; although there is significant ambiguity in the timing, shape, and form.

Aitken Spence Hotel Holdings is using this time to realign and reinvent our offering. The wonder, thrill and romance of tourism has brought joy and a sense of wellbeing to over a billion tourists each year, filling cyberspace with evidence to induce others. We are committed to redesigning the offering retaining or enhancing the joy whilst making it safer and more sustainable.

MANAGING DIRECTOR'S REVIEW

Decades of leading the hospitality industry with a differentiated offering that championed sustainability puts us in a strong position to lead the revival of the sector in the country.

Overseas Portfolio Review

We commenced the year on a positive note with the soft opening of Heritance Aarah in the Maldives as the newest property in our expanding overseas portfolio. It is the first LEED certified property in the Maldives and is the first time the premier Heritance brand was taken overseas. Its achievements in the first year are commendable as they set a new benchmark for culinary excellence in the Maldives, winning Gold Medals at the Maldivian, South Asian and World Culinary Olympics.

The overseas sector continued its commitment to excellence in service, as overall guest reviews for the South Asian and Middle Eastern sector improved during the year. Our hotels continue to receive various awards and accolades this year too as mentioned in this report. The awards were a reflection of the consistency of our hospitality across all properties as we carefully nurtured the Aitken Spence Hotels culture across our 12 properties in the overseas portfolio.

Sri Lankan Portfolio Review

The Easter Sunday terror attacks in April 2019 had a devastating impact on the Sri Lankan portfolio as bookings were cancelled overnight with key source markets issuing travel advisories. Once the dust settled, we worked with tour operators and the country's tourism sector to reassure them of the safety of travel in the country and woo tourists back to our unique locations. Our strong recovery of arrivals in the Sri Lankan sector is testimony to the effectiveness of our efforts.

Overall performance of the Sri Lankan portfolio was commendable in an extremely challenging year. Overall guest reviews improved during the year for the Sri Lankan sector as well, reflecting our continuing efforts to enhance guest value proposition. All Sri Lankan Heritance branded hotels and Hotel Riu won Traveller Review Awards by Booking.com and Travellers' Choice Awards by Trip Advisor in 2019/20 which are the highest award given by these influential travel aggregators. Our managed hotels such

as Earl's Regency Hotel, Earl's Regent Hotel in Kandy and Amethyst Resort in Passikudah too were awarded certificates of Excellence by TripAdvisor. It highlights our efforts to ensure that standards of service are upheld consistently while delivering unique experiences at some of the most stunning locations in the country. Importantly, the sector boosted year-to-date occupancy to a high of approximately 50% by March 2020, reflecting the successful efforts to rebuild the tourism sector in the country after the terror attacks.

We focused on diversification of source markets with increased focus on India, China and the CIS region. In the Sri Lankan sector, we worked with banks and other loyalty programmes to offer innovative packages catering to the local market. We also enhanced our engagement with online travel agencies and doubled our presence on social media which also served to promote the destinations.

Financial Performance

Despite the achievements discussed above, Aitken Spence Hotel Holdings recorded a loss after tax of Rs. 896 Mn for the financial year compared to a profit of Rs. 1,197 Mn in the previous year. The Group was in expansion mode at the beginning of the year and a steady Sri Lankan sector was expected to stabilise additional costs in the overseas sector stemming from expansion of the portfolio with Heritance Aarah. Terror attacks in April set our plans back; however, efforts to rebuild this sector resulted in a strong recovery by Winter. The onset of COVID-19 and the subsequent temporary closure of properties for guests was a significant blow to projected recovery of the Group. A review of each sector will serve to highlight the challenges respectively.

The Sri Lankan sector recorded a revenue decline of 27% during the year for reasons stated above. A strong recovery was observed during second half as revenue increased by 184% compared to the first half in 2019/20. The loss before tax for the year of Rs. 346 Mn is a significant improvement from the losses before tax up to the second half which stood at Rs. 712 Mn. Minimised losses in the second half of the year reflects the hard work done to regain lost ground at the beginning of the year. Share of losses from equity investees weighed on the sector as it accounted for 45% of the sector's losses after tax.

The overseas sector recorded a revenue growth of 9% as Heritance Aarah became operational and part of Adaaran Select Meedhupparu was closed for refurbishment during the year. Performance in Maldives reflects intensifying competition due to supply increasing at a faster pace than demand; while Oman and India reflect the sluggish demand from source markets due to moderation in growth. As expected, the depreciation and interest costs relating to Heritance Aarah contributed to the losses in this capital-intensive industry. Consequently, losses before tax amounted to Rs.87 Mn during the year for this sector.

Financial Stability

Total assets increased due to inclusion of Rs.11 Bn as Right of Use assets comprising leases of properties and capital expenditure of Rs. 236 Mn on the refurbishment of Meedhupparu island resort. Our balance sheet remains strong with total assets of Rs. 74 Bn and debt of Rs. 34 Bn reflecting our capacity to increase our borrowing in case of need. The moratoria on capital and interest will ease the strain on the cashflows relating to payroll and maintenance of properties. We are making every effort to maintain our people on payroll without layoffs. Additionally, we have frozen capital expenditure and curtailed discretionary expenses which will also serve to preserve cash until a healthy cashflow is achieved.

A People Business

This year tested the mettle and the ingenuity of our team as they moved from resolving one crisis to face another of greater magnitude. Each time, they rose to the occasion to ensure the safety of guests in our premises and their safe transfer to the airports, going the extra mile.

Many have led their teams to success, winning awards in diverse fields and adding lustre to the brands and properties they represent. Some have also been recognised as luminaries in their respective fields, winning personal accolades. I take this opportunity to congratulate them and trust that their achievements inspire them to reach even higher. We are extremely proud that we have created an environment that provides opportunities for career and personal growth, producing champions at local, regional and global levels.

This year, we launched an initiative to increase the female representation in our workforce to 20%, in line with our commitment to the Women's Empowerment Principles. Our teams encouraged more women to join in as trainees, addressing the cultural barriers by inviting their families to review the premises and facilities to reassure of the safety within our premises in accordance with our cultural norms. We have had success, although the current freeze on head count means that full implementation of this is likely to be delayed until we recommence recruitment.

Aitken Spence Hotels has been creating careers in hospitality for decades, taking in youth from rural areas and training them to have globally mobile careers, sometimes within our own Group. The Aitken Spence School of Hotel Management was renamed TUI Academy Sri Lanka reflecting the partnership with TUI in this venture, which enhances its recognition significantly; adding value to its graduates. It is a testament to our training that staff from our Group are in high demand not just in Sri Lanka but overseas as well. Their achievements serve as testimony to the coverage of our curricular and rigour of practical training.

Sustainability

Sustainability is integrated into our business model through a process of stakeholder engagement, UNWTO's Global Code of Ethics, certifications that provide assurance of international best practice and benchmarking to specific targets of the UN Sustainability Development Goals. Heritance Aarah became the first LEED certified property in the Maldives reflecting environmental and energy conscious design. Our carbon footprint declined during the year due to the effectiveness of energy efficiency systems implemented over the years. We have also set firm goals and targets to ensure that we make progress in the right direction, which you can read in this Report. Sustainability is a key differentiator for us and consequently, significant resources are allocated to drive our agenda.

Preserving the environment has been at the heart of our offering to tourists who can wake up to see the herds of water buffalo that grazed prior to building of Heritance Kandalama, even at present. We also continue our contribution towards the

planet with tree planting campaigns and rejuvenation of coral reefs among others. Extra care is taken to ensure that tourism does not harm the surroundings we have built on. All guests leave our premises having experienced the pristine beauty of our surroundings as we understand the interdependencies and take great care to preserve the equilibrium.

Opportunities and Challenges

There is little doubt that tourism in a post COVID-19 era will be very different in certain aspects. It is encouraging to note that countries have commenced opening borders albeit in a limited manner. EU issued guidelines for member states to commence travel within its member states. Three Baltic states created a 'travel bubble' opening borders to each other from 15 May. Maldives has also announced plans to reopen its borders to regional tourism traffic from India, China, Sri Lanka and other Asian countries by 3Q 2020, to be followed by Europe. We believe that this trend will gather momentum as more countries see a flattening of the curve and move to reopen borders sooner rather than later with adequate safety measures.

Aitken Spence Hotels will realign, reinvent, and relaunch its operations to deliver positive customer experiences and drive operational excellence in the post-pandemic era. We believe that safety, sustainability, and affordability will be critical success factors in the widely forecast renaissance of tourism and have developed our plans accordingly. Attention to safety of guests during the multiple crises, successful integration of sustainability, positive guest reviews and robust technology platforms are expected to support our recovery.

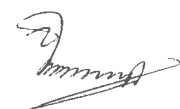
The Group plans to drive growth of our portfolios through expansion of managed properties both overseas and in Sri Lanka. Expanding our geographic footprint is a priority, leveraging the successful deployment of our time-tested business model overseas, supported by strong relationships with key tour operators, local destination management companies and inbound tour operators built over five decades.

Our top priority in Sri Lanka is to restore confidence and normalcy to enhance the safety of our guests. Unprecedented

uncertainty for global recovery and weakened outlook of source markets and the international airline industry preclude reliable estimates of the medium to long term outlook. We continue to monitor developments both locally and globally to seize opportunities or mitigate challenges that are likely to arise as we move forward. Our work with industry bodies is key to support recovery at a national level, driving change in the right direction. We are working through a cohesive strategy to gradually reopen properties based on the opening of source markets and international travel.

Appreciations

I take this opportunity to thank the Chairman for his wisdom and clear sight amidst uncertainty, and the Board for their valuable guidance throughout a challenging year. I reiterate my thanks to the Board of Directors for their unstinted efforts to move past sizeable challenges, reinventing our offerings to drive lasting competitive advantage as you shape our future. I commend the dedication and hard work of the Aitken Spence Hotel Holdings PLC senior management and all staff. I am indebted to our business partners who worked together with us to woo tourists back to Sri Lanka in the aftermath of the terror attacks and look to working with them to reinventing our offering in a post COVID world. I conclude by thanking the shareholders for being part of our journey and their confidence in us.



Dr. M. P. Dissanayake
Managing Director

29th May 2020

BOARD OF DIRECTORS



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



Ms. D.S.T. Jayawardena
Executive Director



Mr. C.M.S. Jayawickrama
Executive Director



Mr. J.M.S. Brito
Non-Executive Director



Mr. G.P.J. Goonewardene
Independent Non-Executive Director



Mr. R.N. Asirwatham
Independent Non-Executive Director



Mr. N.J. De Silva Deva Aditya
Non-Executive Director



Mr. C.H. Gomez
Independent Non-Executive Director

Deshamanya D.H.S. Jayawardena

Chairman

Appointed in May 2003

Deshamanya D.H.S. Jayawardena was appointed to the Board of Aitken Spence PLC, on 1st April 2000 and has been the Chairman of the Company since 25th April 2003.

A visionary with a good business acumen, he has led many enterprises in very diverse fields to achieve great success. He is the Founder Director and current Chairman/ Managing Director of the Stassen Group of Companies, the Chairman of Lanka Milk Foods (CWE) PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Melstacorp PLC, Ambewela Livestock Company Ltd, Lanka Bell Ltd and the Chairman of the Distilleries Company of Sri Lanka PLC. He is also a Director of several other listed and privately held Companies in Sri Lanka and is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka.

Mr. Jayawardena has been sought after to lead large public sector institutions and is a former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines.

He is presently the Honorary Consul for Denmark and on 9th February 2010, was knighted by Her Majesty the Queen of Denmark with the prestigious honour of 'Knight Cross of Dannebrog'.

In 2005 Mr. Jayawardena was awarded the prestigious title, 'Deshamanya' in recognition of his services to the Motherland.

Dr. M.P. Dissanayake

Managing Director

Appointed in March 2019

Dr. Parakrama Dissanayake is the Managing Director of Aitken Spence Hotel Holdings PLC, with effect from 15th March 2019.

Prior to this appointment he was Secretary to the Ministry of Ports, Shipping and Southern Development.

He was appointed as the first non-British International President of the Institute of Chartered Shipbrokers UK founded in 1911 and Royal Charter conferred in 1920.

Dr. Dissanayake has also held positions in the past that include, Chairman – Sri Lanka Ports Authority (two stints), Chairman – Chartered Institute of Logistics and Transport (Sri Lanka), Board Director of Urban Development Authority and Board Director of Ceylon Shipping Corporation.

During the period June 2004 to May 2017, he served as a Director of Aitken Spence PLC and the Chairman and CEO of its Maritime and Freight Logistics Sector.

Dr. Dissanayake is an Alumni of the University of Sri Jayawardenapura, NORAD, JICA, Business Alumni of the University of Oxford (UK) and a Fellow of Harvard Business School (EEP).

He is also Chairman of Elpitiya Plantations PLC, Hon. Consul General of Fiji Islands and serves as a Professor in Maritime Studies (visiting) at Shanghai Maritime University and Dalian Maritime University.

Ms. D.S.T. Jayawardena

Executive Director

Appointed in July 2014

Ms. Stasshani Jayawardena joined the Aitken Spence Group in January 2010 as a Management Trainee. After gaining experience in several of its key Strategic Business Units and Group Companies, she was appointed to the Board of Aitken Spence PLC., in December 2013 and to the Board of Aitken Spence Hotel Holdings PLC., in July 2014. She was appointed as Chairperson of Aitken Spence Hotel Managements (Private) Limited in January 2016 and as Director of Aitken Spence Aviation (Pvt) Ltd. in July 2017. Ms. Jayawardena is overall responsible for the Tourism Sector of the Group that includes Hotels, Destination Management and Overseas Travel.

She's also a Director of Stassen Group and Lanka Milk Foods (CWE) PLC, Chairperson of Splendor Media (Private) Limited (Subsidiary of Melsta Corp)

Ms. Jayawardena is also a member of the Executive Board of The Hotel Association of Sri Lanka (THASL) and was appointed to represent THASL at the Ceylon Chamber of Commerce committee meetings 2019/20 (Hotel Sector).

A graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003. She was the Sri Lankan Ambassador for EY NextGen Club for 2017 to 2019.

At present Ms. Jayawardena leads a team of international professionals in strengthening the service foundations and formulating a strategic road map for the Tourism Sector of the Group. In 2017, Ms. Jayawardena was recognized with the Hotel & Hospitality Sector Gold Award at the Top 50 Professional & Career Women Awards in Sri Lanka.

Mr. C.M.S. Jayawickrama

Executive Director

Appointed in April 2005

Mr. Susith Jayawickrama is the Joint Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd, which manages all hotels of the Group.

He serves on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC. He is a Fellow member of the Chartered Institute of Management Accountants UK and has substantial experience in senior management positions in the Group's hotel division, counting three decades of exposure in the tourism industry in Sri Lanka and overseas.

Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka (THASL).

Mr. J.M.S. Brito

Non-Executive Director

Appointed in July 2001

Mr. Brito joined the Board of Aitken Spence PLC. in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes experience working with several international organisations. He was then appointed as the Managing Director of Aitken Spence PLC, in December 2001 and Deputy Chairman in April 2003 which position he held until his retirement on 15th March 2019. After retirement, Mr. Brito continues to be a Non-Executive Director of Aitken Spence Hotel Holdings PLC.

BOARD OF DIRECTORS

Mr. Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka. He is a former Chairman of DFCC Bank, Employers' Federation of Ceylon, SriLankan Airlines, and has also served on the Board of Sri Lanka Insurance Corporation. He holds an LLB degree from University of London, an MBA degree from London City Business School and is a Fellow of the Institute of Chartered Accountants of both Sri Lanka and England and Wales.

Mr. G.P.J. Goonewardene

Independent Non-Executive Director
Appointed in March 2018

Mr. Gemunu Goonewardene is an Independent Non-Executive Director of the Board of Aitken Spence Hotel Holding PLC. He is also the Chairman of the Tourist Hotels Classification Committee, having sat on the committee since 1998, and, was a key member of the team which drafted the new Tourist Hotel Classification Criteria/ Guideline Standards for hotels in Sri Lanka. Additionally he now serves as the Chairman of Win-Stone Group.

Formerly during his career with Aitken Spence he was Vice President, responsible for Resource Planning & Development, Food & Beverage Services and Facilities, as well as a Director of Aitken Spence Resources (Pvt) Ltd responsible for overseas Recruitment. He has been an integral part and a key member of the Aitken Spence Group contributing significantly in Sri Lanka and Maldives to its iconic properties from their inception, forward planning, and operation to continued development.

Mr. Goonewardene is a Graduate of the Ceylon Hotel School, and a Post Graduate from the Culinary Institute of America. He is a Fellow of the Ceylon Hotel School Graduates Association (CHSGA) and the Joint-Convener of the International Tourism Volunteers Association (ITVA). With extensive exposure, having worked in U.S.A., Europe and Australia and counting more than 45 years of valuable experience, Mr. Goonewardene has been an exemplary leader and mentor at Aitken Spence and to the industry as a whole.

The mastermind behind 'Heritage Cuisine' where local ingredients and traditional techniques fuse together with international gastronomical influences,

Mr. Goonewardene continues to pursue his passionate interest in propagating the hitherto unknown values of Sri Lanka's indigenous foods that have evolved over the past 2,500 years.

Mr. R.N. Asirwatham

Independent Non-Executive Director
Appointed in September 2009

Mr. Asirwatham was appointed to the Board of Aitken Spence PLC., in September 2009. At present, he is the Chairman of the Audit Committee and the Related Party Transactions Review Committee, a member of the Remuneration Committee and the Nomination Committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is presently the Chairman of the Financial Systems Stability Committee of the Central Bank of Sri Lanka

Mr. Asirwatham is a Fellow member of the Institute of Chartered Accountants of Sri Lanka and the Chairman of the Audit Committee. He is a member of the Board of Management of the Post Graduate Institute of Management. He also serves on the Boards of Dilmah Tea Services PLC., Royal Ceramics PLC., Mercantile Merchant Bank, Dankotuwa Porcelain PLC., Colombo City Holdings PLC., Browns Beach Hotels PLC., and several other companies.

Mr. N.J. De Silva Deva Aditya

Non-Executive Director
Appointed in July 2010

Mr. N.J. De Silva Deva Aditya (Nirj Deva) DL FRSA, MP and MEP joined the Board of Directors in 2006/07. He was the first Post War Asian born Conservative Member of the British House of Commons and served in Government as the Parliamentary Private Secretary to the Scottish Office after which he was elected as the first Asian born British Member of the European Parliament, representing over 8 million people in Berkshire, Hampshire, Buckinghamshire, Oxfordshire, Surrey, Sussex and Kent for 20 years.

He was Vice President of the International Development Committee for 15 years, overseeing the Euro 25 Bn European Aid Budget. He was the Chairman of the EU Korean Peninsula Delegation working towards a lasting Peace with North Korea, Chairman of the EU China, EU Bangladesh, EU Indonesia, EU Myanmar and EU India Friendship Groups in The EU Parliament and was nominated by his political group ECR to be the President of the European Parliament and was the Chairman of the EU Delegation to the UN General Assembly.

For his tsunami relief work he was made a Chevalier of the Catholic Church and Vishwa Keerthi Sri Lanka Abhimani by the Buddhist Clergy of Sri Lanka.

Mr. C.H. Gomez

Independent Non-Executive Director
Appointed in July 2010

Mr. Charles Gomez is a former Banker with over 30 years experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC., Lloyds TSB Bank PLC., and SG Hambros. He brings to the Company a wealth of experience in regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC., and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments worldwide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC., in 2002 and to the Board of Aitken Spence Hotel Holdings PLC., in 2010. His role in the companies is that of an Independent Non-Executive Director. He also serves in the Audit Committee, Related Party Transactions Review Committee and the Remuneration Committee.

Mr. Gomez is a member of the Executive Committee of the Gibraltar Amateur Rowing Association.

CORPORATE MANAGEMENT TEAM



Ms. Stasshani Jayawardena
Chairperson



Mr. Susith Jayawickrama
Jt. Managing Director



Mr. Jeevaka Weerakone
Chief Operating Officer/Vice
President for Aitken Spence Hotels
in Sri Lanka



Mr. Srinith De Silva
Vice President/Chief Executive
Officer - Aitken Spence Hotels
Oman Sector



Mr. Badhiya Gunatilake
Vice President /Chief Operating
Officer - Aitken Spence Hotels
Maldives Sector



Mr. Rohitha Rajaratne
Vice President - Engineering



Mr. Darell De Cruz
Vice President - Sales and
Marketing



Mr. Bjorn van der Horst
Vice President - Food and
Beverage



Mr. Dammika Ekanayake
Asst. Vice President - Finance of
Aitken Spence Hotels



Ms. Irandi Wijegunawardane
Asst. Vice President -
Accommodation Sri Lanka and
Overseas Sector



Ms. Dinali Alexander
Asst. Vice President - Supply Chain



Mr. Dimuthu Kumarasinghe
Ambassador Heritage
Cuisine/Chefs & Culinary Arts
Development Officer

CORPORATE MANAGEMENT TEAM

Ms. Stasshani Jayawardena

(Profile on page 17)

Mr. Susith Jayawickrama

(Profile on page 17)

Mr. Jeevaka Weerakone

Mr. Jeevaka Weerakone, is the Chief Operating Officer/Vice President for Aitken Spence Hotels in Sri Lanka.

Counting over 28 years of expertise in the hospitality industry in Sri Lanka and overseas, he has extensive knowledge on the industry, property operations and human resources. Prior to taking over his current role, he held the positions of Director Operations for Aitken Spence Hotels - Sri Lankan sector, Vice President - Operations for the northern sector, Assistant Vice President - Human Resources, Learning and Development for the entire hotel sector, Executive General Manager for Heritance Kandalama and General Manager for Earl's Regency.

He holds an MBA and is a graduate of the Sri Lanka Institute of Tourism & Hotel Management (SLITHM); and a Fellow of the Ceylon Hotel School Graduates Association (FCHSGA). He is also a qualified Consultant for ISO 9000 quality system.

Mr. Weerakone has served as an Executive Committee Member of the Regional Economic Development Agency (REDA) under the Central Provincial Council and was a committee member of the CHSGA in 2010.

Mr. Srinith De Silva

Mr. Srinith De Silva is the Chief Executive Officer/Vice President of Aitken Spence Hotels' Oman Sector.

He is a Graduate of the Victoria University, Melbourne and counts many years of experience in international hotel chains, such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts.

He has over 24 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.

Mr. Badhiya Gunatilake

Mr. Badhiya Gunatilake is the Chief Operating Officer of the Adaaran Resorts and Heritance Aarah, the Maldives Sector of Aitken Spence Hotels. He is also the Vice President and serves as a Director to Unique Resorts Private Ltd.

He is a Graduate of the Ceylon Hotel School. A professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, Oman and Maldives.

Mr. Rohitha Rajaratne

Mr. Rohitha Rajaratne is the Head of Engineering for Aitken Spence Hotel Managements with responsibilities in local and overseas properties of the Group. He has over two decades of experience in the engineering sector, both Sri Lanka and abroad. Mr. Rajaratne is a Chartered Mechanical Engineer by profession and has served in Sri Lanka Navy for over a decade with extensive overseas training and work experience in Australia and New Zealand.

He holds a Postgraduate Marine Engineering qualification from Germany and an MBA from the University of Colombo, along with a MSc. in Sustainable Engineering from University of KTH Sweden. He is a fellow Member of the Institute of Engineers Sri Lanka.

Mr. Darell De Cruz

Mr. Darell De Cruz has had a career spanning over three decades with Aitken Spence, joining Aitken Spence Travels initially in 1989, thereafter transferred to set up Ace Travels & Conventions in 1993. He continued his career at ASTL till 2018 and re-joined the company in 2019 as the Vice President - Head of Sales & Marketing for Aitken Spence Hotel Managements. With over 31 years of experience in the tourism sector, he possesses a wide knowledge of the travel and hotel industry.

Mr. De Cruz is a fellow member of the Australian Institute of Management - Australia and holds an MBA from the Open University of Sri Lanka, MA in International Relations from the University of Colombo, Sri Lanka and a bachelor's degree in Management from the Open University of Sri Lanka.

Mr. Bjorn Van Der Horst

Mr. Bjorn Van Der Horst is the Vice President - Food and Beverages for both the local and overseas sectors. A multiple Michelin-starred Chef, he holds a wealth of experience opening and building successful independent and branded hotel and, food and beverage businesses in New York, London and the Maldives. With a career spanning over 30 years, Mr. Van Der Horst is a Director and Co-Founder of Bone Tea LTD a small but burgeoning quick service restaurant and retail brand in the UK, an advisor to the French Foreign Exchange Commission for the APAC region and an Honorary Member of the Chefs Guild of Sri Lanka.

Mr. Dammika Ekanayake

Mr. Dammika Ekanayake is the Asst. Vice President Finance of Aitken Spence Hotels.

He counts over two decades of experience in the fields of auditing, finance, operations and general management, locally as well as internationally. The latter accounts for senior management positions in multinationals including Shell, BP and Castrol in Dubai, Malaysia and India.

He obtained his MBA from University of Colombo. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Institute of Certified Management Accountants of Sri Lanka; as well as an Associate Member of the Chartered Institute of Management Accountants UK. He is a gold medalist from the Sri Lanka Institute of Marketing of which he is an Associate Member.

Prior to his appointment at Aitken Spence Hotels, Mr. Ekanayake was the Director Business Administration for CMA-CGM SSC Lanka, owned by the world's third largest containerised French shipping company CMA-CGM.

Ms. Irandi Wijegunawardane

Mrs. Irandi Wijegunawardane is the Assistant Vice President of Accommodation sector for Sri Lanka and Overseas. She has obtained a National Diploma in Training and Human Resources Development (NDTHRD) from IPM and holds a Commonwealth MBA from the Department of Management Studies of the OUSL in partnership with the Commonwealth of Learning (COL) in Vancouver, Canada. She is a

qualified assessor for National Vocational Qualification under Tertiary and Vocational Educational Commission (TVEC), and is also a Certified Hospitality Educator (CHE) from American Hotel and Lodging Association (AHLA)

Prior to joining the Group, she worked in many prestigious hotels in Sri Lanka and overseas, was also a Senior Faculty member of SLITHM - Colombo and was the Principal of SLITHM - Kandy. Ms. Wijegunawardane has been actively involved in numerous curriculum development projects to uplift the service standards of the industry. She has been invited to be a member of HR Advisory Committee for the private sector led tourism sector skills Council to elevate the skill standards of the tourism and hospitality industry in Sri Lanka.

Ms. Dinali Alexander

Ms. Dinali Alexander is the Head of Supply chain for operations in Sri Lanka, Maldives, India and Oman, corporate merchandising and exports operations.

Ms. Alexander counts over 15 years of management experience covering procurement, administration, human resources and sustainability, across multiple industries.

Mr. Dimuthu Kumarasinghe

Mr. Dimuthu Kumarasinghe has been with the Company for 20 years and is the Ambassador Heritage Cuisine/Chefs & Culinary Arts Development Officer for Aitken Spence Hotels in Sri Lanka, India, Maldives and Oman.

He is a world record holder at the Culinary World Olympic Championship in 2004 and Culinary World cup in 2006. He secured 29 Gold, 5 Silver and 12 Bronze medals for Sri Lanka through International Culinary Competitions. Mr. Kumarasinghe holds the title President of the Chef's Guild of Sri Lanka since 2012 to 2020 and has lead more than 77 participants to secure 68 Gold medals along with many silver and bronze medals at Culinary Olympic and World Cup.

Mr. Kumarasinghe is a jury member for the World Culinary Competitions and a recipient of the Presidential Award in 2007, 2017 and 2018 for outstanding culinary contribution.

He holds honorary distinctions including, Honorary Life Member and Head Coach of the Golden Horseshoe Culinary Team Canada, Vatel Club Luxembourg, South Indian Culinary Association, Saudi Arabian Chef Association, Turkey Chef Association, Emirates Culinary Guild and Ukraine Culinary Union.

ABOUT THE GROUP

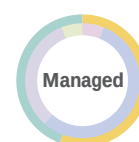
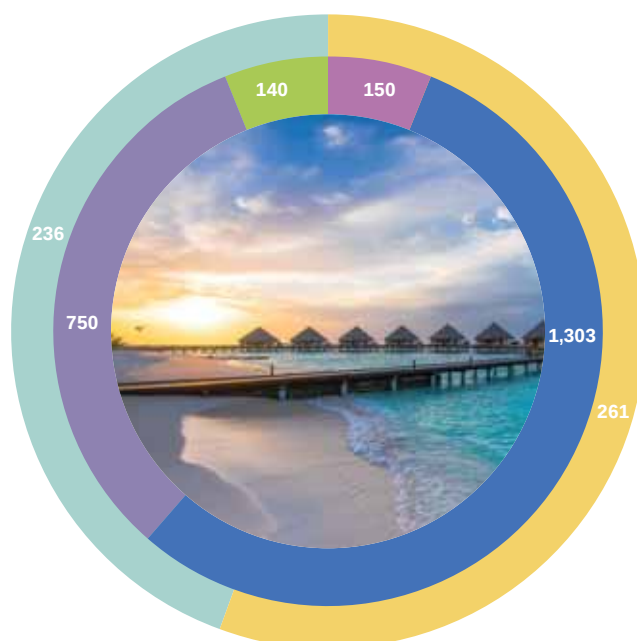
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Property Portfolio

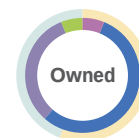
Aitken Spence Hotel Holdings PLC is Sri Lanka's leading hotel operator in terms of room inventory, with a collection of 11 distinct properties offering a unique mix of Sri Lankan hospitality, culture and architecture combined with world-class service standards. The Group is also the largest international resort chain in the Maldives, owning and operating 750 rooms across 7 properties. In addition to Sri Lanka and Maldives, the Group operates 4 properties in Oman and 1 in India as well. The Group has also sought to leverage on its domain-specific knowledge and organisational capabilities by venturing into hotel management; and of the 23 properties that it currently operates 6 properties are managed in Sri Lanka and Oman.

	Owned		Managed	
	Properties	Rooms	Properties	Rooms
Sri Lanka	8	1,303	3	261
Maldives	7	750	-	-
Oman	1	150	3	236
India	1	140	-	-
Total	17	2,343	6	497

Our Brands



● Sri Lanka	261
● Oman	236



● Sri Lanka	1,303
● Maldives	750
● India	140
● Oman	150

Assets	Revenue	Tax Contribution	Direct Employees	Suppliers and Business Partners	Guest Nights
Rs. 74 Bn	Rs. 19 Bn	Rs. 894 Mn	3,235	4,423	+850,000

AWARDS AND RECOGNITION

Aitken Spence Hotels aspires to be a leader in operational excellence, customer service and sustainability. The awards and recognition it has received over the years is testament to its commitment to drive towards this aspiration. Key awards and accolades obtained during the period under review are given below;

Corporate Reporting



- Hotel Companies Sector Gold Award Winner: Annual Report Awards 2019 conducted by CA Sri Lanka
- Leisure & Connected Services Category Gold Winner: ACCA Sustainability Reporting Awards 2019
- Hotels and Travels Sector Best Integrated Report and Certificate of Merit for Overall Excellence in Integrated Reporting: CMA Excellence in Integrated Reporting Awards 2019
- Service Sector (Excluding Financial Services & Communication & IT Sector) Joint 1st Runner Up: SAFA Best Presented Annual Report Awards 2018 by the South Asian Federation of Accountants



Overall Awards

- Hospitality & Tourism Sector Gold Award Winner: National Business Excellence Awards 2019
- Adaaran Resorts: Ranked among Top GOLD 100 companies in Maldives by Corporate Maldives
- South Asian Travel Awards (SATA) 2019: Winning 14 awards with six South Asian Awards and eight Country Awards
- Turyaa Chennai: 'Best City Hotel' at India Travel Awards 2019
- Al Falaj Hotel: Middle East Most Promising Brand Award 2019 at Middle East Leadership Awards

Culinary Excellence

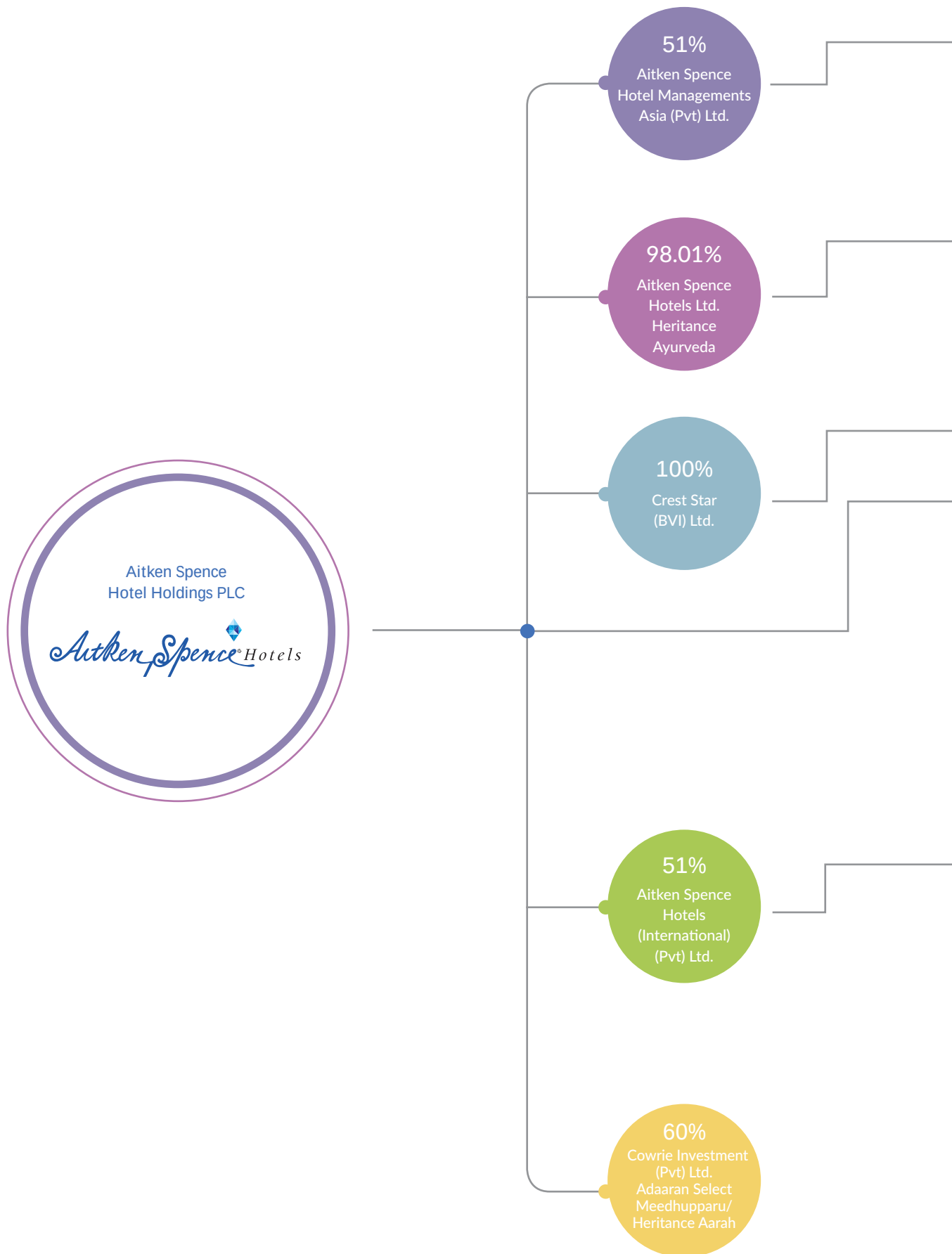
- IKA Culinary Olympics 2020: Heritance Aarah honoured with 4 Gold, 7 Silver & 2 Bronze Medals
- FHAM 2019 - The International Culinary Challenge: Heritance Aarah - Most Outstanding Culinary Resort in the Maldives and Adaaran Resorts along with Heritance Aarah wins 83 Awards (21 Gold, 23 Silver, 22 Bronze & 17 Merit Certificates)
- Culinary Art Food Expo 2019: Overall Winner of 130 Medals (42 Gold, 37 Silver, 51 Bronze) with Heritance Aarah emerging Champions and Heritance Kandalama being Most Outstanding Cultural Triangle Team

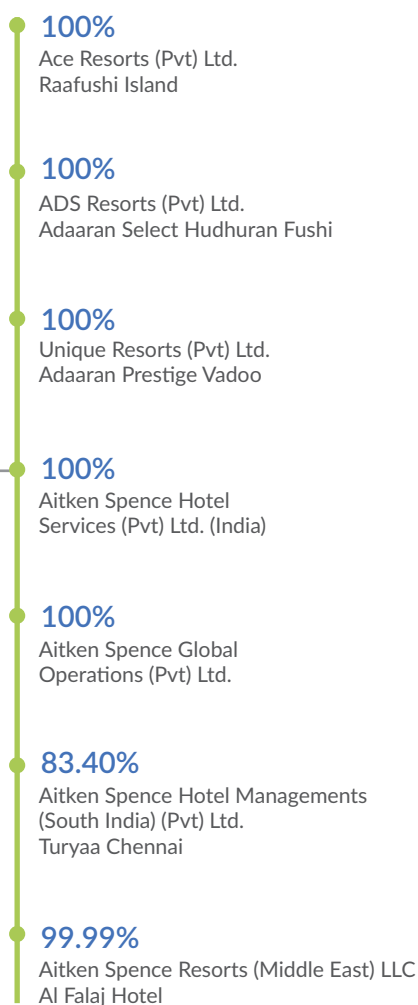
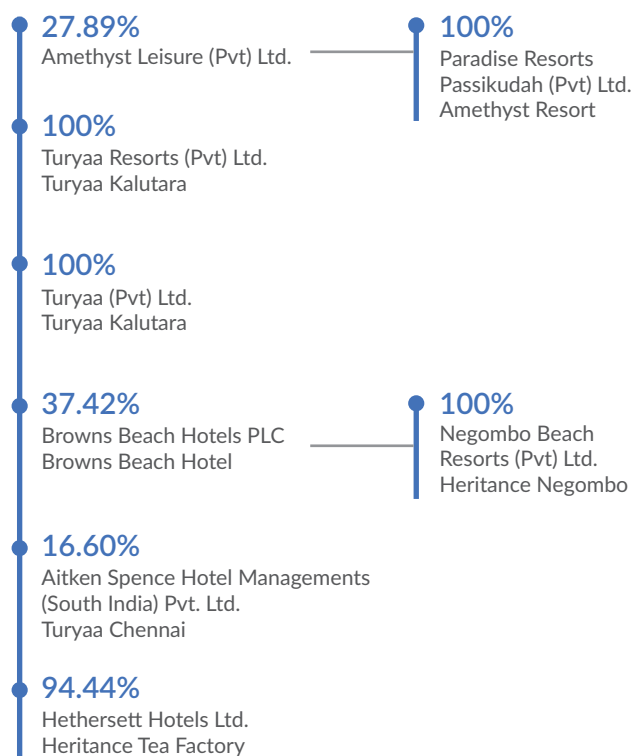
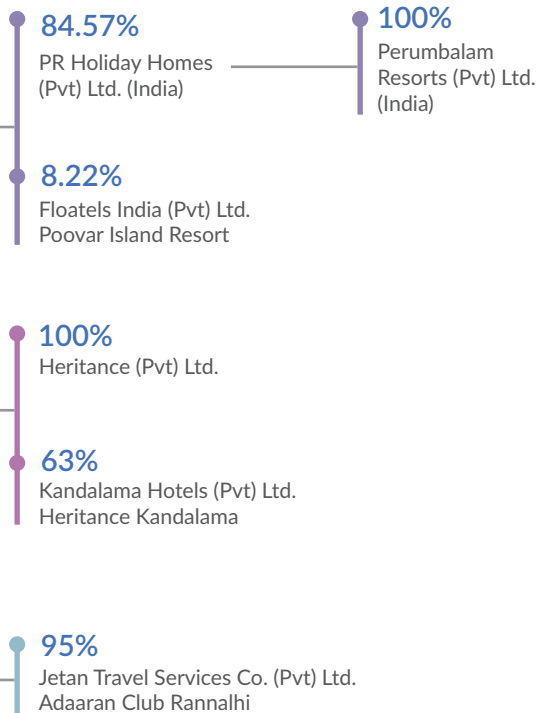
Sustainable Tourism

- National Sustainability Tourism Certification (NSTC): Heritance Kandalama, Heritance Tea Factory, Heritance Ahungalla & Heritance Ayurveda awarded Platinum, Gold and Bronze Awards respectively
- Adaaran Select Meedhupparu: TUI Environmental Champion Award 2020
- Heritance Aarah: Gold Award and the title as '1st Green Rated Building in the Maldives' at Green Building Awards 2019
- Heritance Tea Factory: Gold Award in Service Organisations - Hotel Category at National Cleaner Production Awards 2019
- Heritance Tea Factory: Certificate of Commendation for the Excellence Contribution towards Environmental Conservation - Hotels Category at Presidential Environmental Awards 2019

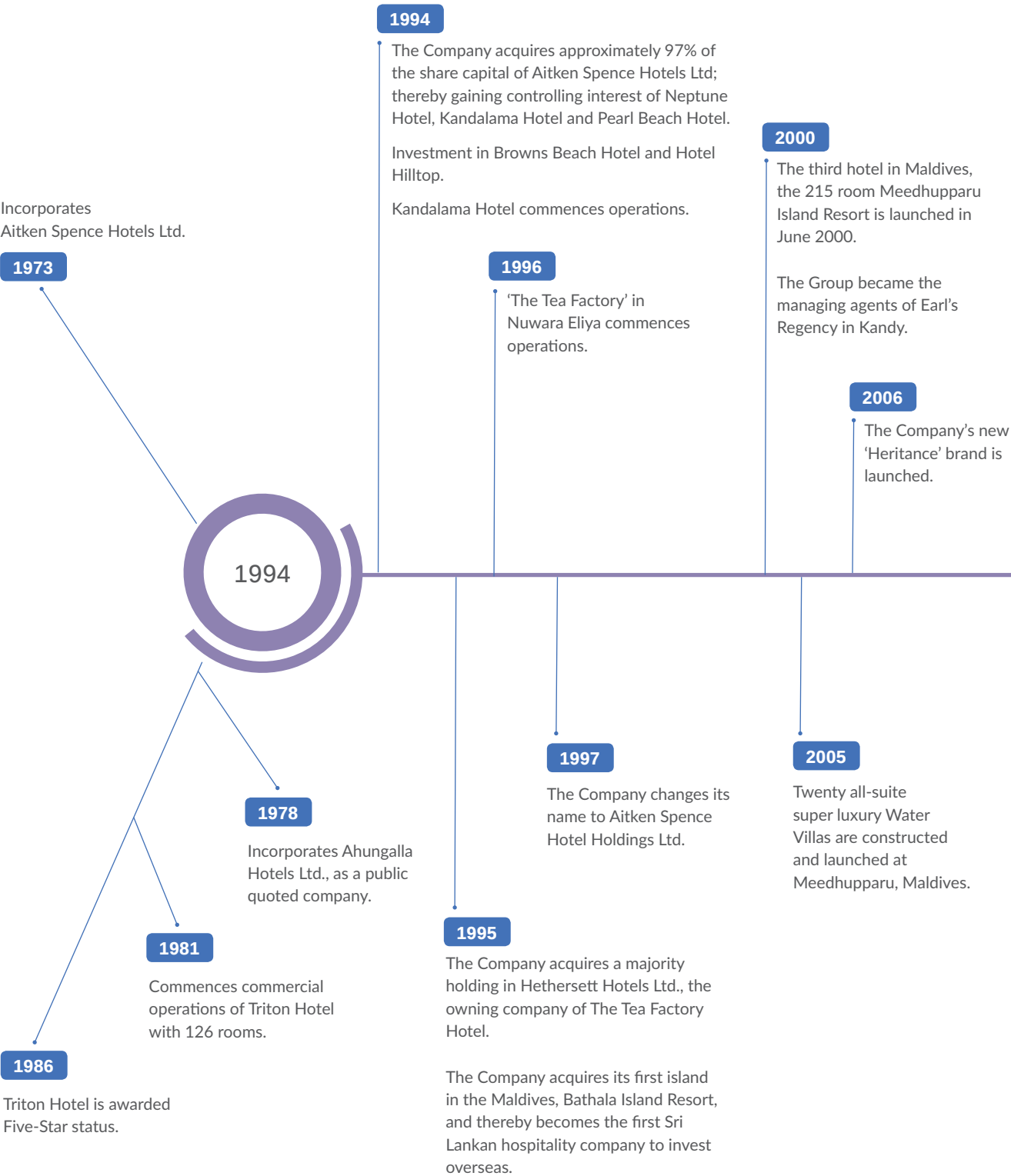
GROUP STRUCTURE

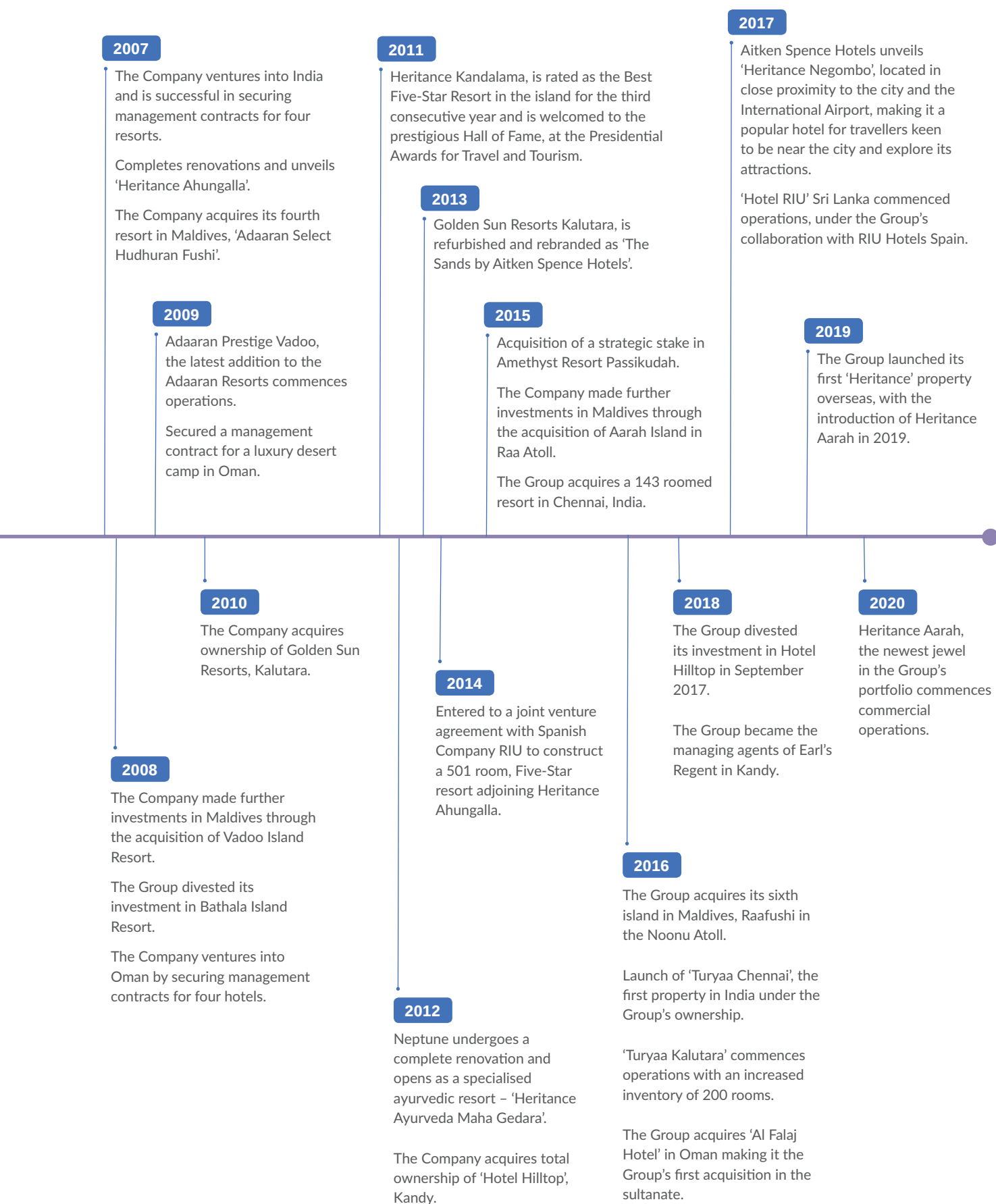
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MILESTONES







Management Discussion & Analysis

Revolutionising the **Future**

*We're transforming the face of hospitality to
circumvent obstacles and journey beyond
surrounding constraints.*

OPERATING ENVIRONMENT

201-2

The COVID-19 pandemic has brought the global economy to a standstill, and the impact on businesses, societies and livelihoods is anticipated to be unprecedented and unforeseen. The International Monetary Fund has highlighted the growing risk of a global recession in 2020, leading to severe economic stress across many countries and massive job losses.

Global Economic Environment

Global economic growth slowed to an estimated 2.9%¹ in 2019 (2018: 3.6%) reflecting trade tensions, implications of natural disasters and climate change, geopolitical stress as well as country-specific issues in certain emerging markets. The uncertainty of Brexit and weaker industrial activity in the European region impacted growth in Advanced Economies which recorded an expansion of just 1.7% in 2019. Activity in emerging markets and developing economies also moderated to 3.7% (2018: 4.5%) reflecting a structural slowdown in China and decline in domestic demand in India.

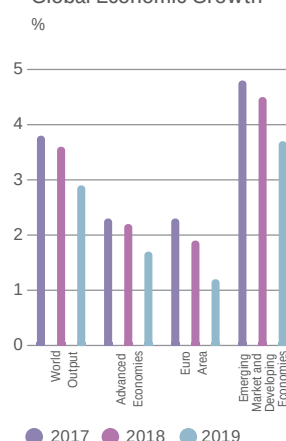
The global economic implications of COVID-19 are unprecedented; and given the fluidity of the current scenario it is difficult to assess the exact impact of the economic fallout at this juncture. The IMF points towards the inevitability of a global recession in 2020, with output expected to contract by 3% driven by the triple impacts of demand, supply and financial shocks. As most economies implement stringent social distancing measures including complete lockdowns, consumer demand will fall drastically while disruptions to global supply chains will directly impact industrial and manufacturing activities. Emerging economies are also likely to face significant fiscal pressures as they struggle to fund much-needed stimulus packages with nearly 70 countries having already requested assistance from the IMF - the largest number of requests ever received by the Fund at one time.

Sri Lankan Economy

2019 also presented numerous domestic challenges, mainly due to heightened security concerns following the April terror attacks, which led to a sharp downturn in investor and consumer sentiments. Economic growth moderated to 2.3% in 2019, while expansion of the Agriculture and Services sector also decelerated to 0.6% and 2.3% respectively. The Industries sector growth increased to 2.7% (from 1.2% the previous year) reflecting moderate improvements in mining, quarrying and construction.

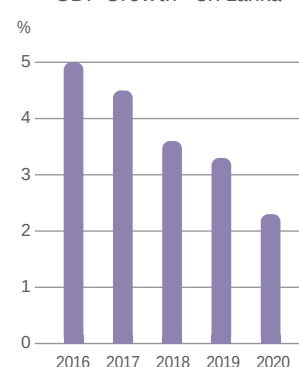
The short-to-medium term impact of COVID-19 on economies such as Sri Lanka is expected to be significant, given its reliance on tourism and exports for foreign currency generation, dependence on micro and SMEs as well as the relatively weak fiscal position. Job losses are likely particularly in sectors such as tourism, exports and garments which are highly vulnerable to global conditions. The Government has rightly placed precedence on public health objectives, implementing proactive measures to curtail further spread of the pandemic. Meanwhile, the Government has also announced several relief/stimulus measures including downward revision of policy rates, debt moratoriums for selected sectors, relief on personal loans and reductions on the prices of essential goods among others.

Global Economic Growth

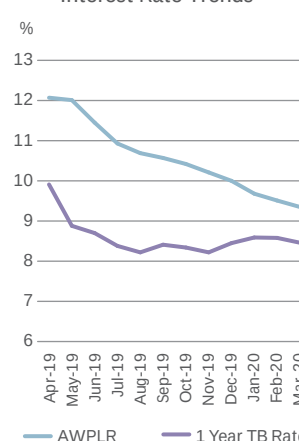


Source: International Monetary Fund

GDP Growth - Sri Lanka



Interest Rate Trends



Source: Central Bank of Sri Lanka

Potential Impacts of COVID-19 on the Sri Lankan Economy



Fall in
Tourist Arrivals



Fiscal
Challenges



Income Loss of
Daily Wage Earners



Impact on Export
Sector



Job
Losses

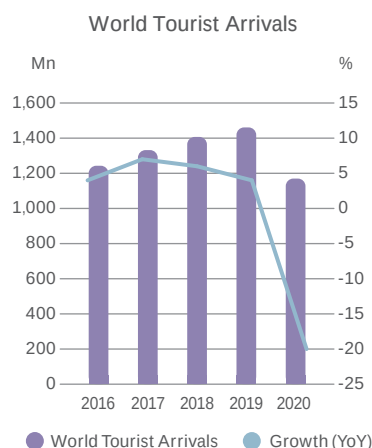
1. World Economic Outlook (April 2020): International Monetary Fund

OPERATING ENVIRONMENT

Global Tourism

The increase in global tourist arrivals slowed to 4%² in 2019 (2018: +6%) reflecting subdued growth in advanced economies, particularly Europe. The downturn in the global economy coupled with uncertainty surrounding Brexit impacted the growth. The year under review also saw the collapse of global travel group - Thomas Cook along with several low-cost airlines in Europe. All regions demonstrated moderate increases in arrivals, including Middle East (+8%), Asia Pacific (+5%), Europe and Africa (both +4%).

While it is premature to evaluate the exact impact of COVID-19 on the global tourism industry, at the time of writing this Report; given latest quarantine measures, border closures and travel bans as well as patterns of previous crises, the United Nations World Travel Organisation (UNWTO) estimated that global tourist arrivals could decline by some 20%-30% in 2020, translating to a loss of nearly 1/3 of international tourism receipts in 2019. There are some early yet encouraging signs of recovery with certain countries easing restrictions and opening borders in a limited manner.



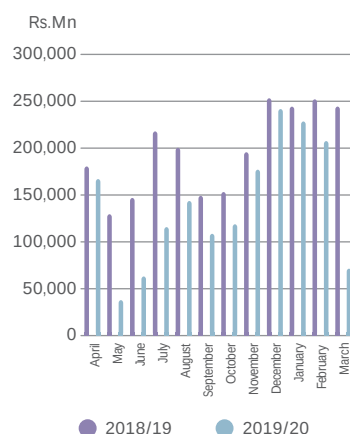
Source: UNWTO

The UNWTO estimates that global tourist arrivals could decline by around 20%-30% to approximately 1.1 Bn.

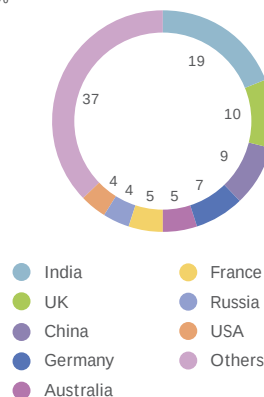
Sri Lanka Tourism

The year under review posed unprecedented challenges for the Sri Lankan tourism industry, which recorded YoY declines in tourist arrivals throughout the year. Arrivals declined sharply in the immediate aftermath of the April terror attacks, although a gradual recovery was witnessed towards the latter part of 2019. These gains, however, were completely offset following the rapid spread of the pandemic, which led to the closure of the Sri Lankan border to foreign arrivals in mid-March amidst global travel restrictions. Overall, tourist arrivals into Sri Lanka for the financial year ending 31st March 2020 recorded a sharp decline of 29%.

Monthly Tourist Arrivals - Sri Lanka



Arrivals by Source Markets - Sri Lanka



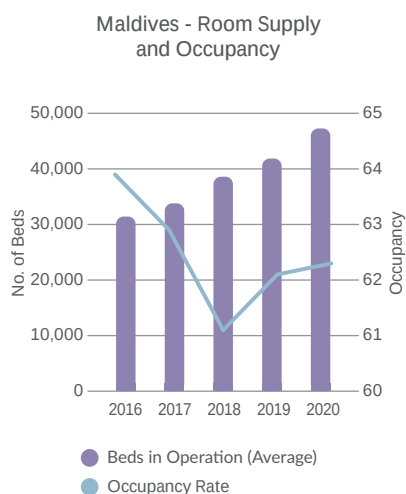
Source: Sri Lanka Tourism Development Authority

In the aftermath of the April terror attacks, most hotel operators also sought to attract domestic travellers through offering attractive discounts and promotions, which in turn had a considerable impact on ARRs. Consequently, although occupancy levels increased towards the latter part of the year, yields continued to be pressured; impacting overall profitability.

Given the global scale of the crisis and its significant economic impact on both developing and advanced economies, the recovery is expected to be long drawn. The domestic market is expected to recover first as Sri Lanka has so far been successful in preventing community spread and restrictions are gradually eased. Meanwhile as more countries see a flattening of the curve and move to reopen borders with adequate safety measures, there are early but encouraging signs of recovery in other source markets.

Maldives

Tourist arrivals to the Maldives increased by 14.7% to reach a record high of 1.7 million in 2019, driven by strong growth from the European region (+14.8%) which continues to be the largest source market for Maldives. China maintained its position as the largest individual source market with a share of 17%, although arrivals were relatively flat during the year. India recorded strong growth, increasing nearly 84% and contributing 10% to total arrivals. Competition remained intense between both resort operators and the informal sector given recent capacity expansions following the lease of uninhabited islands to resort developers in recent years. Accordingly, total bed capacity increased by 14% during the year, while over the last five years, beds in operation have increased by approximately 50%. Meanwhile, occupancy levels have averaged around 60%; from recorded 70% over a decade ago.



Source: Ministry of Tourism - Maldives

The impact of COVID-19 on economies such as Maldives, which are highly dependent on tourism is expected to be more pronounced, although premature to be ascertained at this point. The World Bank has already granted funding to help Maldives prevent, detect and respond to the pandemic and strengthen its public health preparedness.

Oman

Oman has sought to diversify its tourism offering beyond that of a luxury destination to boost the performance of other avenues including MICE, eco-tourism and adventure travel. In recent years, substantial investments have been directed towards strengthening infrastructure and capacity which has resulted in bed capacity more than doubling over the past decade or so. The country catered to around 3.5 million tourists in 2019, an increase of 9% compared to the previous year. Europe is the main source market followed by domestic travellers and GCC countries. Hotel occupancy rates averaged around 50%.

Following stringent measures to combat COVID-19, including lockdown and travel restrictions, occupancy levels have now dropped to a minimum. Significant job losses are expected over the short-to medium term.

India

India offers a portfolio of diverse attractions for tourists including adventure, sports, spiritual wellness and MICE, among others. There has been strong policy support to develop the country's tourism industry, including Government commitment to develop 17 iconic tourist sites, theme-based tourist circuits and launch of several promotional and branding campaigns such as 'Incredible India'. Tourist arrivals to India increased by 3.2% to 10.89 million in 2019.

India implemented a nation-wide lockdown in April, which in turn has enabled it to control the spread of the pandemic to a certain degree. The tourism industry however, has been brought to a complete standstill, with cancellations impacting all sub-sectors of the industry and hotels recording zero/minimal occupancies.

GLOBAL TRENDS IN TOURISM

Demographics and Travel Trends

- Generation Alpha (those born after 2010) is playing an increasingly influential role in family travel planning and decisions (Expedia Group)
- Increasing popularity of family holidays- Families are embracing the freedom that comes with freelance work and home schooling (CN Traveller)
- Preference towards exploring outdoors and being active (Expedia Group)

36%

growth in offbeat experiences

38%

more DIY trips

48%

more popularity for weekend trips

Source: TripHobo



Digitalisation and Technology

An unprecedented level of connectivity through online and mobile technology platforms have transformed how guests book travel and share their travel experiences. Meanwhile, leisure sector operators are compelled to be more transparent in their pricing structures given the vast availability of comparable information on the internet. Other tech-related developments disrupting the sector include,

- Artificial Intelligence and Machine Learning in marketing tourism
- Recognition technology
- Virtual reality in high-end entertainment applications
- Internet of Things giving rise to 'smart' hotel rooms

Experiential Travel

Today's tourists are pursuing authentic and adventurous experiences which allow greater engagement with the local culture. Local experiences such as regional festivals, local cuisines and home stays with a host family are gaining popularity. There is also a gravitation towards unplugged, tech-free experiences with a recent study revealing that UK internet users commonly pursue a digital 'detox' by putting away devices and engaging more actively in their own and others' lives.

>77%

US Millennials say experiences create irreplaceable memories

>55%

US Millennials report spending more on live events and experiences than they used to

Source: Eventbrite Consultancy

Eco Travel

There is growing concern among today's travellers for sustainable and ethical tourism options, with social and environmental considerations emerging as critical drivers of decision making. This could include simple changes such as reliance on green energy, availability of carbon credits as well as opportunities to volunteer and/or engaging in conservation work among others.

55%

More travellers are determined to make sustainable travel choices

73%

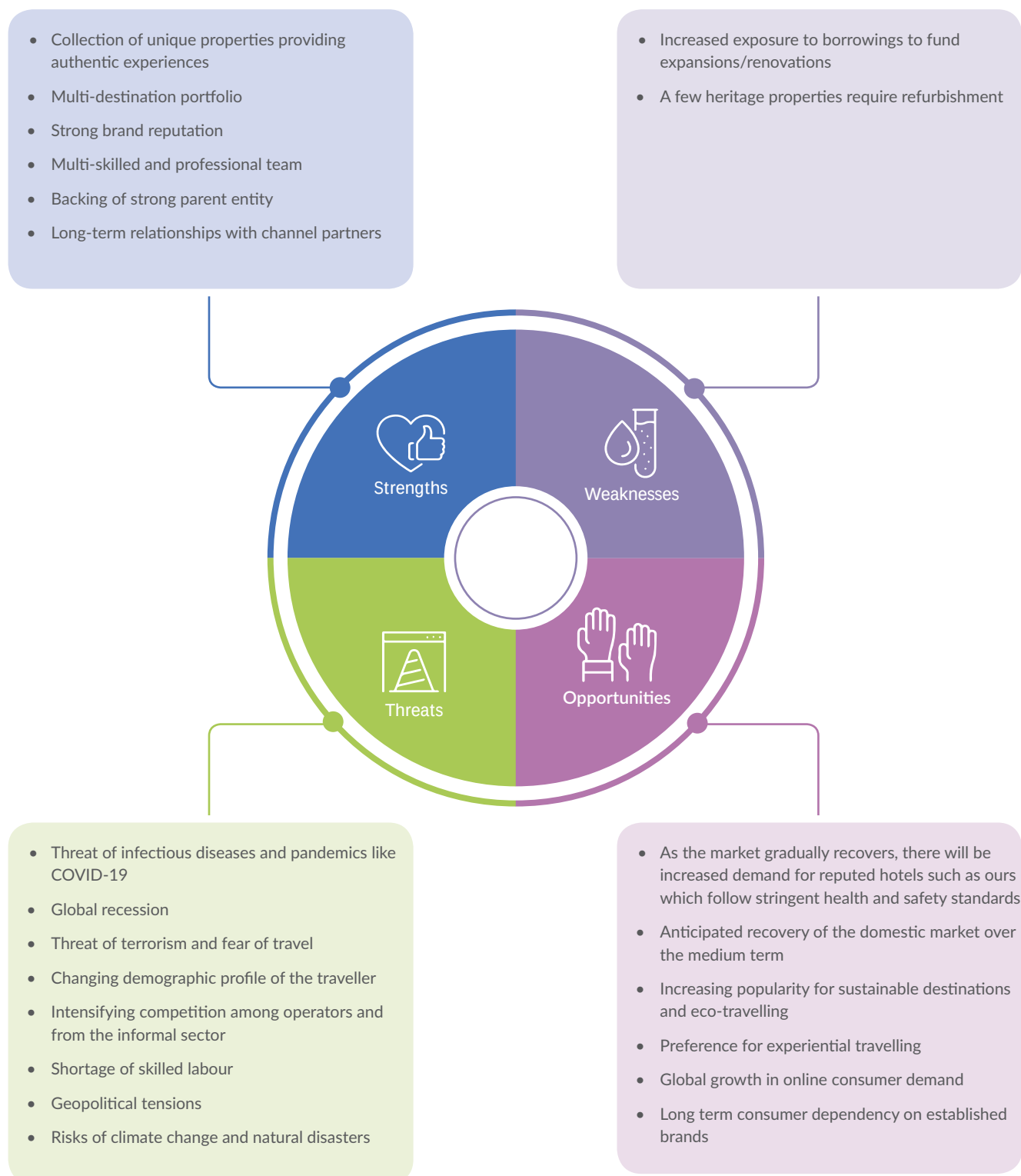
Of global travellers intend to stay in eco-friendly accommodation at least once

Source: Booking.com-Sustainable Travel Report 2019

Sustainability

The Tourism sector has been called upon to contribute towards sustainable development through efforts to promote economic prosperity, social inclusion as well as cultural and environmental preservation. This requires an integration of sustainability criteria to the vision and business strategy to ensure positive contribution to the society and environment.

OPPORTUNITIES AND CHALLENGES



VALUE CREATION MODEL

102-7



VISION

Aitken Spence PLC Vision: To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.

Sharpening Our Competitive Edge through

Brands and Architecture

(Page 47)

Culinary Expertise

(Page 48)



6 Managed Properties

A Unique Collection of Properties

17 Owned Properties



Activities

Hotel Operations

Front office
Housekeeping
Food and Beverage

Hotel Support Services

Maintenance
Finance
Administration and HR

Other Group Support Services

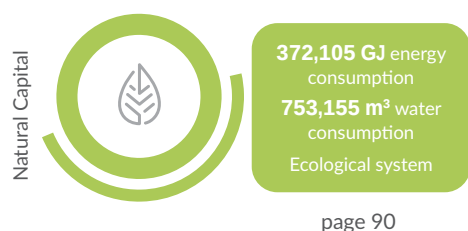
Central Reservations
Sales & Marketing, Branding and Corporate Communications
Corporate Housekeeping
Corporate Food and Beverages
Central Purchasing and Merchandising
Engineering & Projects
Corporate Finance
Corporate Learning and Development



Underpinned By A Strong Commitment To

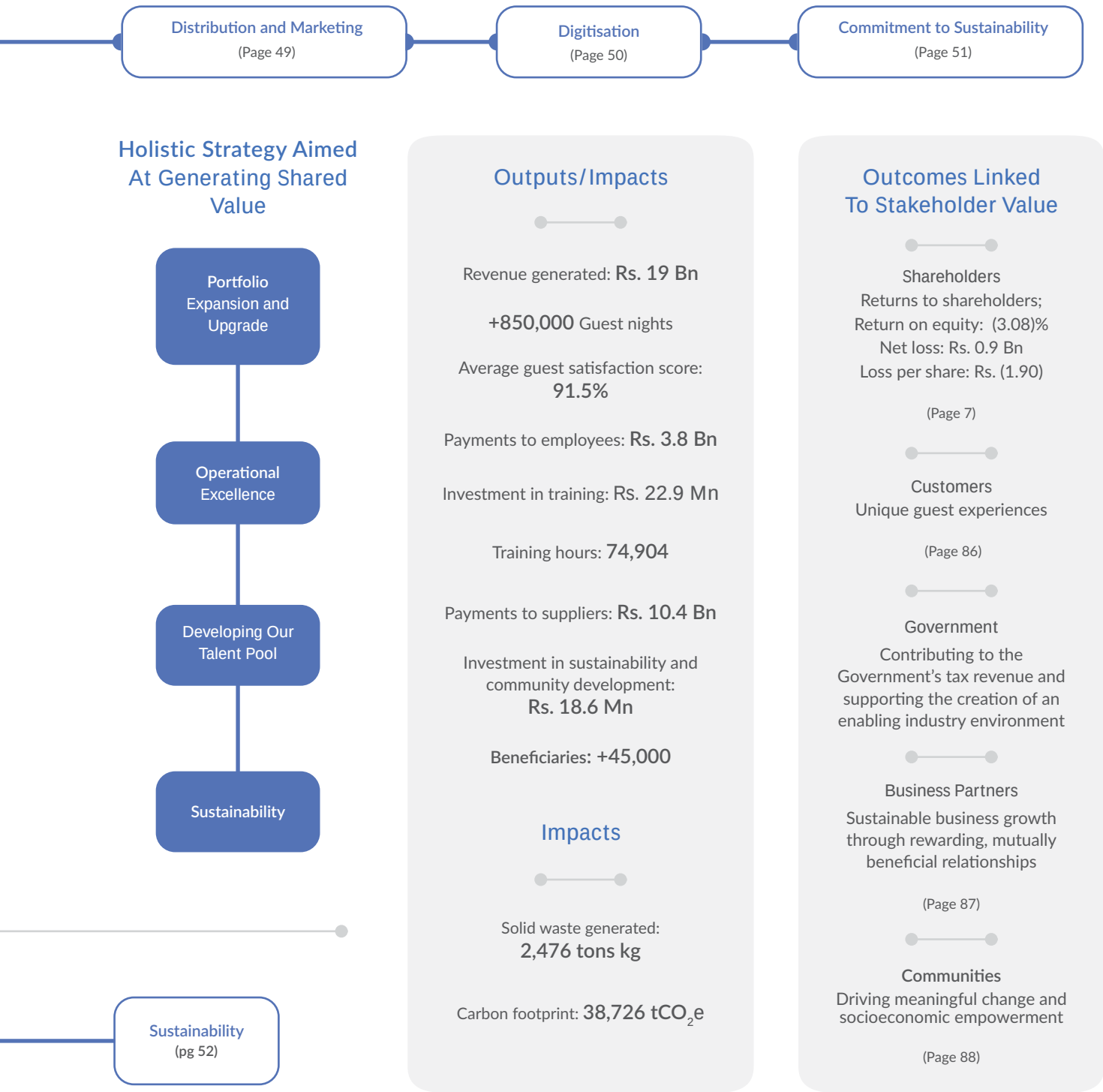
Robust Corporate Governance Practices
(pg 98)

Proactive Risk Management
(pg 38)



The Group relies on monetary and physical resources, relationships and other intangibles to generate shared value among its stakeholders. Value is generated by transforming these capital inputs through a holistic strategy focusing on the pillars of portfolio expansion/upgrade, operational excellence, talent development and sustainability. Delivery of the strategy is underpinned by strong corporate governance and risk management practices, coupled with a commitment towards positively impacting the communities and environments in which we operate. Long-term outcomes are linked to stakeholder value creation, including shareholders, customers, employees, business partners, the government and the communities we operate in.

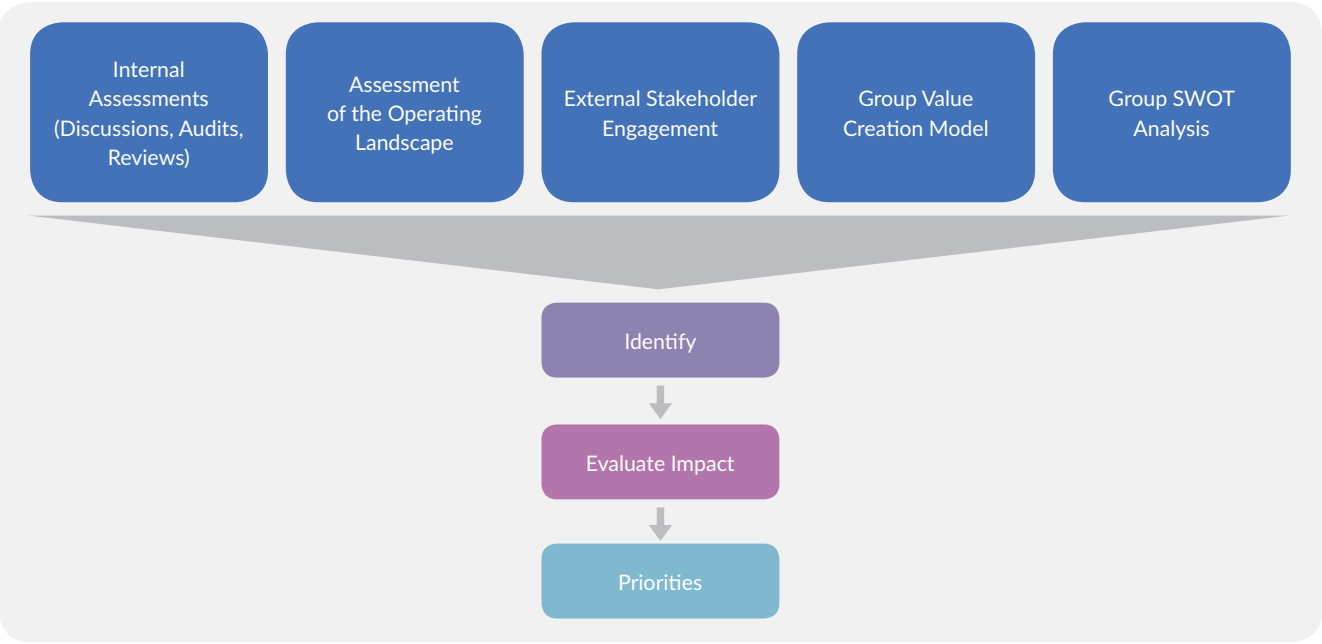
Given the prevalent industry conditions, the Group is currently exploring avenues in which its value creation model could be optimised to generate maximum stakeholder value. This involves refinement of strategy, optimal resource allocation and leveraging on our relationships.



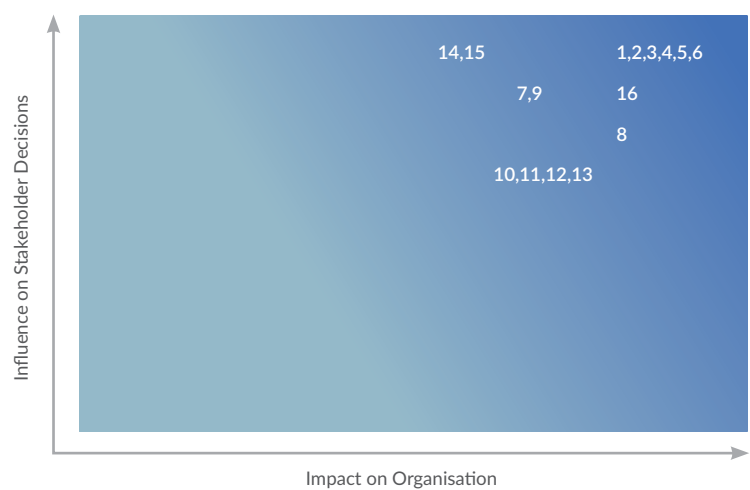
MATERIAL TOPICS

103-1 103-2 103-3

Our material assessment enables us to understand the expectations and legitimate concerns of our stakeholders, and thereby formulate strategy to address these needs and expectations. Material topics represent the issues that are most relevant to the Organisation and its stakeholders. We consider a topic to be material if it could potentially impact the Group's ability to create value over the short, medium and long-term. The topics listed in the table below are the result of detailed stakeholder engagement, and analysis of the operating environment and is enriched by the Group's core strategic priorities and sustainability agenda. The process we follow in determining material topics is illustrated graphically below:



The material issues shown below are listed in order of priority demonstrating relevance to our strategic objectives, the Sustainable Development Goals and corresponding GRI topics. (Please refer to GRI Index on pages 252 to 256 for detailed information on the material topics as required by GRI). There are no material restatements of information disclosed in the previous Annual Report and the only change in the reporting boundary represents the addition of Heritance Aarah, the Group's latest property in the Maldives. The Group's material topics for 2019/20 are mapped alongside based on the impact on the organisation and influence on stakeholder decisions.



	Material Topic	Strategic Priority	SDG	Relevant GRI Topic	GRI Indicators
(1)	Spread of infectious diseases and health and safety ↑ Increase in priority	● ●		Customer health and safety Occupational health and safety	416-1,416-2 403-1,403-2
(2)	Travel safety ↑ Increase in priority	●			
(3)	Customer satisfaction	●			
(4)	Financial performance	● ●		Economic performance	201-1, 201-2
(5)	Service and operational excellence ↑ Increase in priority	●			
(6)	Talent management	●	  	Market presence Employment Labour management relations Training and education Diversity and equal opportunity	201-3,202-1,202-2,203-2 401-1,401-2 402-1 404-1,404-2,404-3,410-1, 412-2 405-1,405-2,406-1,407-1
(7)	Property Portfolio	●			
(8)	Brand and reputation	●			203-1,204-1,417-1,417-2,417-3,418-1
(9)	Product responsibility and responsible business	●		Customer privacy Marketing and labelling	418-1 417-1,417-2,417-3
(10)	Carbon footprint (energy, emissions)	●	 	Energy Emissions	201-2, 302-1,302-3,302-4 305-1,305-2,305-5
(11)	Water and biodiversity	●	 	Water Biodiversity	303-1,303-2,303-3,306-5 304-1,304-2,304-3,304-4
(12)	Effluents and waste	●		Effluents and waste	306-2,306-3,306-5
(13)	Raw material consumption	●		Raw materials	204-1,301-1
(14)	Procurement practices	● ●		Procurement practices Social supplier assessment	204-1 414-1,414-2
(15)	Local communities	● ●		Economic performance Significant indirect economic impacts Local communities	201-1,201-2,201-3 203-2 413-1, 413-2
(16)	Good governance	● ●		Anti-corruption Non-discrimination Environmental compliance Child labour Forced labour Socio-economic compliance	205-1,205-2,205-3 206-1,407-1,406-1 307-1 408-1 409-1 419-1

● Portfolio Expansion and Upgrade ● Operational Excellence ● Developing Our Talent Pool ● Sustainability

RISK MANAGEMENT

102-11 102-15 102-30 102-31 205-1 205-2

Managing Risks and Opportunities

The financial year under review was extremely challenging with two major black swan risk events that increased threats related to travel with severe impacts on our operations. We commenced the year with the Easter Sunday terror attacks in Sri Lanka which resulted in a dramatic drop in occupancy rates in the Sri Lankan portfolio. Tireless efforts by the team together with key stakeholders facilitated a return to near normalising of numbers by December 2019 and a promising 1Q in 2020, aided by top slots in travel destinations for Sri Lanka and Maldives and strong linkages to tour operators.

The second black swan, COVID-19 was much more damaging as it resulted in the closure of all properties which has now been in place for over nine weeks with resultant loss of revenue. The impact throughout the supply chain is as severe as airlines discontinued regular commercial passenger flights due to border closures by nearly all countries and high levels of risk associated with airline travel. While we see countries easing lockdowns internally, opening of border to foreign tourists is likely to take longer, with selective opening to countries depending on their stage of recovery from the pandemic. Even domestic tourism has been impacted with social distancing protocols and travel restrictions.

It is necessary to remember that tourism outpaced global growth in 2019 recording 3.8% growth globally as international tourists increased by 54 Mn to 1.5 Bn. The economic impact of the tourism industry is significant, accounting for high levels of job creation and foreign exchange earnings in most economies which include Sri Lanka and Maldives. The United Nations World Tourism Organisation had forecast industry growth of 3-4% in January 2020 with Asia Pacific growth forecasted at 5-6%. Consequently, we believe that there will be significant interest by many governments to facilitate a resurgence in tourism once safety of travel has been restored and connectivity between markets established with resumption of commercial flights. The Sri Lankan Government directed banks to extend moratoria in May 2019 and has done so again. Many other countries have offered similar moratoria to enable the tourism industry to get back to generating vital economic benefits.

Aitken Spence Hotels is well positioned to be a frontrunner in the renaissance of the sector, leveraging its strengths as a subsidiary of the blue chip Aitken Spence PLC which is also the parent of Sri Lanka's leading Destination Management Company which is a partnership with TUI, the largest tour operator in the world. The Heritance and Adaaran brands also have significant brand visibility with positive reviews on social media which will support the brand and properties attract tourists to their unique properties again.

Significant uncertainty remains regarding the duration of border closures, connectivity to source markets and resurgence of demand. The IMF forecasts a global contraction of 3% in 2020 followed by GDP growth of 5.8% in 2021, assuming a recovery in the second half of 2020 although it also warns of significant potential for downside risks.

Approach to Risk Management

Management of a portfolio of 23 hotels across 4 countries necessitates a structured approach to risk management. Based on the Three Lines of Defence model our risk management framework facilitates clear segregation of responsibilities and objective oversight of this vital duty of the Board. It also supports high levels of risk awareness by each business owners and greater understanding of our operations by the Strategic Risk Unit through constructive dialogue.

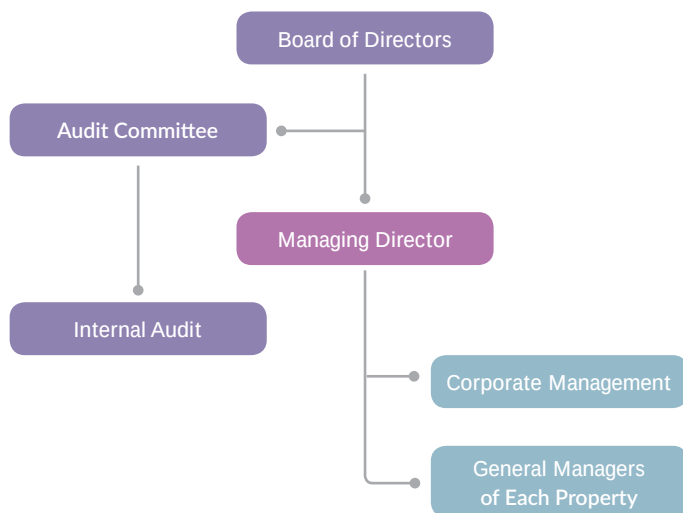


Risk Governance

The Board of Directors bear ultimate responsibility for managing risk and have set in place a comprehensive framework and processes for managing risk in discharge of this duty. They are assisted by the Audit Committee who have oversight responsibility for risk management and report on the same to the Board. Their risk review is supported by the Group Strategic Risk Unit who collate the risk registers after review and constructive challenge where necessary. Internal Audit provides assurance to the Audit Committee of the effective operation of the risk management framework and internal controls through conduct of risk-based audits of processes and entities within the ASHH Group covering all entities in an annual cycle. Internal Audit reports directly to the Audit Committee to ensure independence.

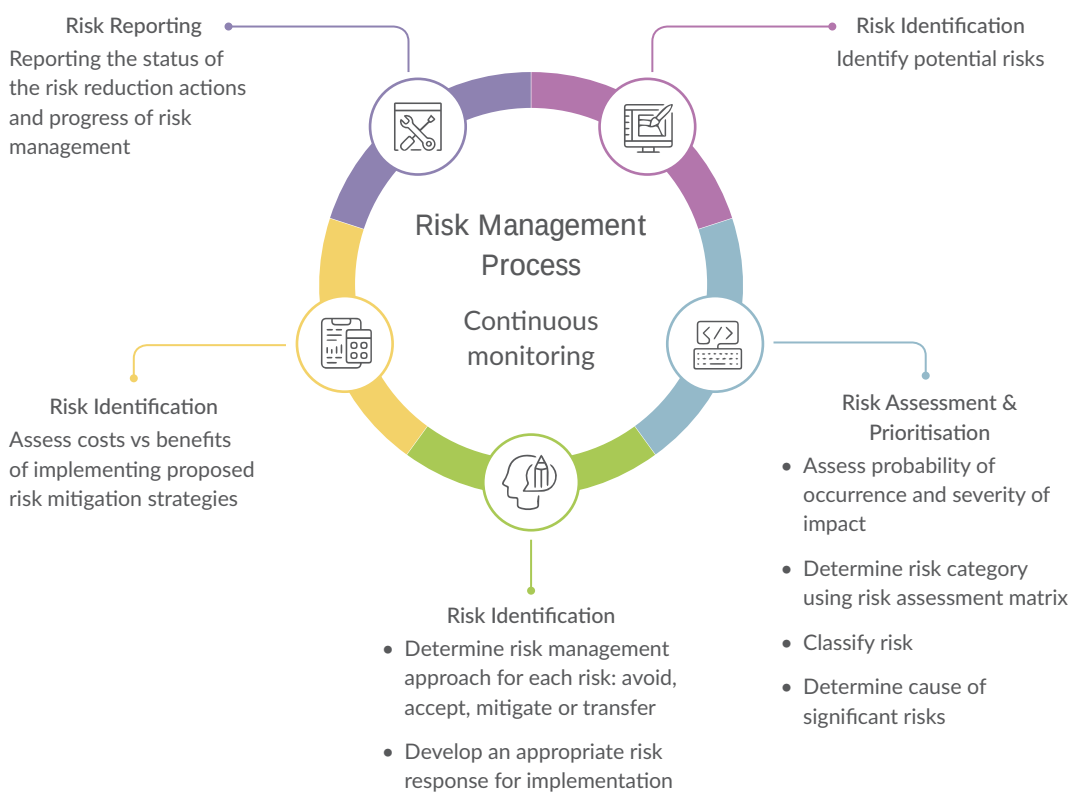
Corporate Management of ASHH regularly review risks to ensure that they are managed effectively and considered in formulation strategy and allocation of resources.

Primary responsibility for identifying, measuring, managing and reporting of risks lies with the resident General Managers of each property who liaise with Corporate Management in this regard on a regular basis.



Risk Management Process

Our risk management processes are summarised below.



RISK MANAGEMENT

Principal Risks

Our principal risks are those factors assessed to have a significant adverse impact on our ability to create value in the short, medium and long term. These are identified through the Risk Prioritisation and Assessment step of the risk management process, taking in to account the severity of impact and likelihood of occurrence of identified risks. The information presented is our assessment of risks and includes events after the balance sheet date up to the signoff of the report based on a reliable forecasts and insights into a wide range of variables.

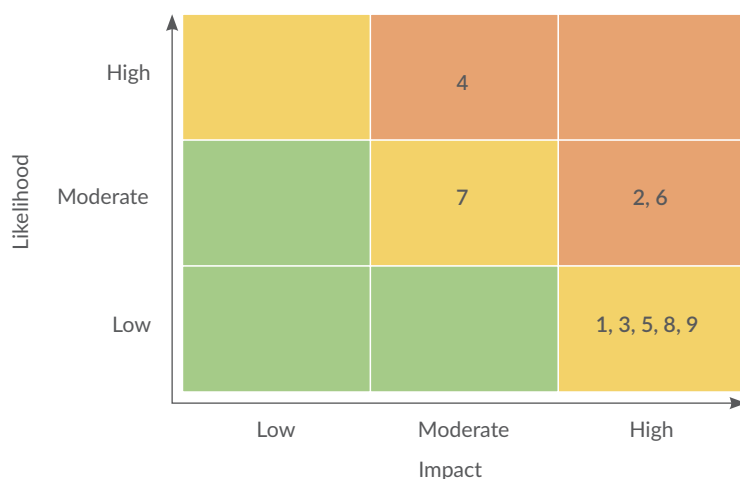
Risk & Risk Rating	Key Drivers	Mitigation Strategies	Further information
1. Safety of Travel			
Threats including pandemics and epidemics, political unrest, extreme weather events, terrorism and political unrest deter travel to high risk destinations during periods of elevated threat	- COVID-19 pandemic - Country border closures - Terrorist attacks in April 2019 in Sri Lanka	- Ensured safety and safe conveyance of guests to airport during lockdown - Guests screened for any symptoms before check-in with zero incidents reported.	Chairman's Message (Pages 10 to 12) Managing Director's Message (Pages 13 to 15) COVID-19 Impact (Pages 43, 233 to 234) Social & Relationship Capital (Pages 86 to 89)
Assessment			
Impact	High		
Likelihood	Low		
Direction			
2. Affordability & Connectivity			
Airline connectivity and affordability play a key role in choice of destination	- Closure of country borders resulting in cancellation of commercial flights - Uncertainty regarding affordability of air travel	Sri Lanka and Maldives were ranking as popular destinations will be a positive factor	Managing Director's Message (Pages 13 to 15) Operating Environment (Pages 29 to 31) COVID-19 Impact (Pages 43, 233 to 234)
Assessment			
Impact	High		
Likelihood	Moderate		
Direction			
3. Liquidity & Financial Stability			
Liquidity will be key to survival for all businesses given the unprecedented level of uncertainty that prevails at present and the disruption of the normal cashflow cycles	Lack of cash inflows to meet fixed overheads and other financial commitments and obligations	- Loan moratoria in place for interest and capital repayments until September 2020 easing cashflow constraints - Fixed overheads reduced to minimum levels with closure of properties although we have opted to give leave of absence to permanent staff with pay to retain skilled talent pools and facilitate their wellbeing - ASHH is able to access other sources of funds if required due to its track record with banks and as it is part of the Aitken Spence Group	Financial Capital (Pages 58 to 63) Human Capital (Pages 72 to 77) COVID-19 Impact (Pages 43, 233 to 234)
Assessment			
Impact	High		
Likelihood	Low		
Direction			
4. Intense competition			
Competition on waning of the pandemic is expected to be intense, at unprecedented levels	- Rapid growth of room inventory in Sri Lanka and Maldives outpacing growth of tourist arrivals - Entry of global players into Sri Lanka and Maldives	- Continued interest from tour operators despite lockdown - Consistently favourable reviews of our properties by guests strengthening brand equity - Group linkages to the world's largest tour operator TUI and Sri Lanka's leading destination management company	Operating Environment (Pages 29 to 31) Social & Relationship Capital (Pages 86 to 89)
Assessment			
Impact	Moderate		
Likelihood	High		
Direction			

Risk & Risk Rating	Key Drivers	Mitigation Strategies	Further information
5. Safety at our hotels			
Safety of our guests and staff at our hotels is our number one priority	Need to address tour operators and prospective guests concern of the safety measures implemented at our hotels prior to opening	- Positive feedback on safety measures implemented by hotel from guests who were present prior to lockdown - Implementation of recommended safety protocols to ensure safety of guests and employees until closure of properties - Awareness training for COVID-19 for guests and staff prior to closure and provision of hand sanitiser - Closure of properties to minimise risks and costs - Comprehensive Health & Safety Policy framework with implementation responsibility at multiple levels - A strong safety culture at all hotels - Implementation of additional security checks prior to entry to our properties in Sri Lanka - Regular debriefing of staff on safety information - Oversight of safety at properties by ASHH Head Office and Aitken Spence Group	Social & Relationship Capital (Pages 86 to 89) Human Capital (Pages 72 to 77) COVID-19 Impact (Pages 43, 233 to 234)
6. Skilled talent pools			
Uncertainty over ability retain skilled talent pools as there is no clear time frame for opening of properties at present	- Industrywide lay-offs due to cashflow constraints stemming from COVID-19 - We have opted to retain our permanent staff which puts considerable strain on cashflows	- Close monitoring of information to determine necessary action - Staff requested to work from home to minimise health risks and incidental costs - Deployment of staff to other companies within the Group where possible although this has some limitations - Obtained loan moratoria to support cashflows until September 2020 - We will be ready to open within a relatively short time period due to retention of skilled talent	Human Capital (Pages 72 to 77) COVID-19 Impact (Pages 43, 233 to 234)
7. Credit Risk			
Risk of loss arising from debtors' inability to meet their financial obligations on time	We provide credit to tour operators and corporate customers who are large customers	- We are receiving payments from our tour operators currently and there are no notices of bankruptcy amongst the debtors portfolio at present. - Comprehensive credit policies and procedures are in place to verify the credit-worthiness and determine the potential credit risk associated with a client. - Established advanced systems for effective monitoring and reporting of outstanding trade balances.	Note 46.3 to the Financial statements (Pages 216 to 219)

RISK MANAGEMENT

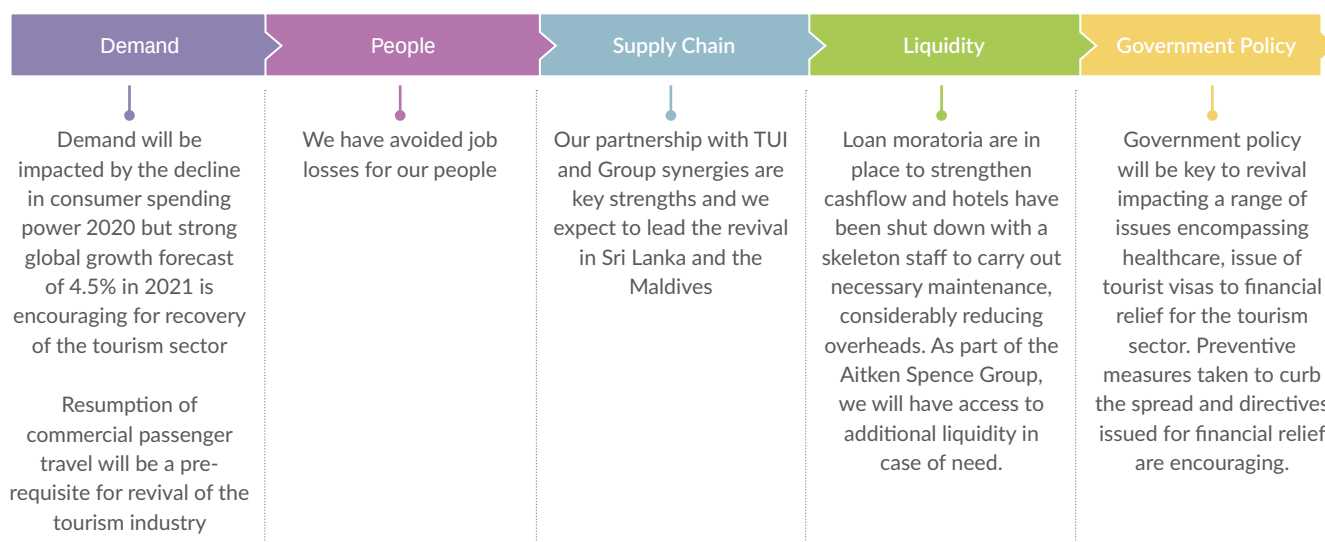
Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
8. Interest Rate Risk					
Exposure to movements in market interest rates related to borrowings			- Borrowings of Rs.27.6 Mn in LKR, USD and Euro exposes ASHH to movements of related interest rates as indicated alongside - Government of Sri Lanka has reduced interest rates to ease pressure on commercial activity	The Group's treasury division continues to negotiate with banks and financial institutions to secure the best possible rates for the Group's borrowings and investments.	Note 46.7 to the Financial Statements (Page 224) Financial Capital (Pages 58 to 63)
Indicators					
LKR AWPR Movement	Financial year	Reduced by 268 bps1			
GBP/USD LIBOR movement					
Euro LIBOR/ Euribor					
Assessment					
Impact		High			
Likelihood		Low			
Direction		↗			
9. Cyber Risk					
All significant processes are supported by one or many internet driven services			- Potential loss of information assets of the Group - Impact on customer privacy in the event of a potential loss event - Cyber risks have escalated during the pandemic	- Well-defined group-wide cyber security incident response process. - Conducting cultural change management programmes to create staff awareness on the importance of maintaining information security and handling of sensitive information. - Implementation of network protection technology to manage network perimeter defence, data loss, cyber-spoofing, distributed denial of service attack, mobile devices and monitor suspicious cyber activities together with regular testing and verification of controls	Intellectual Capital (Pages 78 to 82)
Assessment					
Impact		High			
Likelihood		Low			
Direction		➡			

Risk Heat Map



COVID-19 Impacts

The COVID-19 impacts on the tourism sector and its supply chain have been devastating as global connectivity became a source of contagion for the pandemic, leading to unprecedented and extreme measures such as border closures and quarantine for those crossing country borders. Supply chain impacts are also significant as border closures disrupted the connectivity resulting in the grounding of passenger flights which has led to layoffs and financial instability in the airlines sector. We believe that players in this capital intensive industry will work together with governments around the world to drive revival of the tourism and travel which accounted for 10.9% of global GDP and an estimated 1 out of 10 jobs in 2019, and was a key source of foreign currency for many countries. Impacts of COVID-19 on the Group are summarised below.



Opportunities

Despite the prevailing anxiety and uncertainty, there is always opportunity. It is a time to reimagine our offering and work with stakeholders such as tour operators to drive a renaissance of our business that will be more impactful and further elevate the guest experience.

Reimagine our offering



We are working with tour operators to create innovative tourist experiences during the time of this lockdown to revive the magic of experiencing new destinations

Sustainability & Responsible Tourism



ASHH has a strong sustainable tourism value proposition for guests with unique locations and sustainable practices which will appeal to the growing numbers of environment conscious guests

Embedding sustainability in to our processes and organisation culture provides opportunities to drive cost efficiencies across our businesses enhancing productivity and returns

Group synergies and linkages



As a part of the Aitken Spence Group, ASHH has strong links with the world's largest tour operators and Sri Lanka's leading destination management company, enabling us to be a front runner in the revival of the sector

OUR STRATEGY

The operating conditions which prevailed during the year compelled the Group to revisit its priorities while maintaining focus on the four long-term strategic objectives. Given the sharp decline in tourist arrivals and occupancies, the Group placed strategic emphasis on maintaining employee motivation, building a multi-skilled team and driving increased efficiencies and process improvements to achieve operational excellence. The progress we made is discussed throughout the Report, with a high-level overview provided in subsequent pages. Relevance to our business clusters and capitals are shown through navigation icons in the respective sections of the Report.



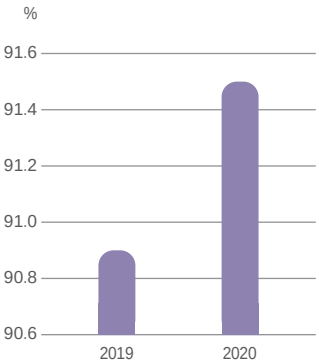
Portfolio Expansion And Upgrade		
Progress in 2019/20	Resources Allocated	Way Forward
- Renovation of 100 beach rooms of Adaaran Select Meedhupparu and the Kids Club project - Renovation/upgrade of Al Falaj Hotel - Oman - Consolidated operations of Turyaa Kalutara and refining the offering to a four-star all inclusive offer - Considerable investments in strengthening the security infrastructure mainly in our Sri Lankan properties post April terror attacks	Investment in Renovation of Adaaran Select Meedhupparu: USD 1.24 Mn Investment in Renovation of Al Falaj Hotel: Omani Rial 0.82 Mn	Short to medium-term: - Given the prevalent industry conditions, the Group will seek to curtail major investments in renovation/property upgrade in the short-to-medium term Long-term: - Upgrade/renovation of Heritance Kandalama and Heritance Tea Factory
Key Performance Indicators: Capital Expenditure Rooms Rs. Mn 3,000 12,000 2,500 10,000 2,000 8,000 1,500 6,000 1,000 4,000 500 2,000 0 0 2016 2017 2018 2019 2020 ● Operational Rooms ● Capital Expenditure Increase in Operational Rooms in the past five years: 25%		

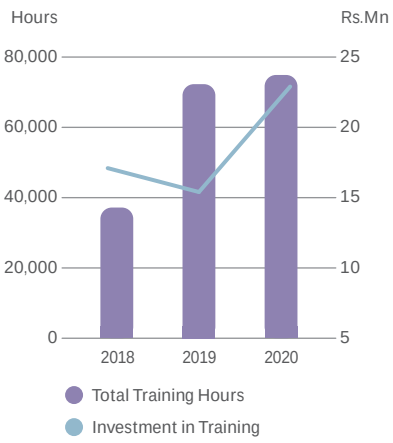


Relevant Section

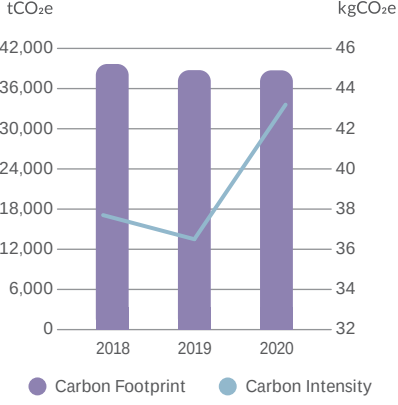
Architecture & Design (Page 47)

Manufactured Capital (Page 64)

Operational Excellence		
Progress in 2019/20	Resources Allocated	Way Forward
- Diversification of source markets with increased focus on India, China, CIS region and the local market - Increased emphasis on security, health and safety aspects - Proactive engagement with channel partners and expansion of B2B networks - Strengthened online presence through increased social media engagement, relaunch of the Heritage website and expansion of OTAs - Investments in 'Power BI' tool which provides dynamic and real-time information on performance monitoring and developing response strategies - Enhanced brand presence through advertising and promotional campaigns	Investment in Brand Development: Rs. 515 Mn Investment in IT Infrastructure: Rs. 326 Mn Key Performance Indicators: Average Customer Review Score (GRI™)  + 42% Followers on Social Media Platforms	Short to medium-term: - Ensure health and safety of all employees and guests through stringent screening mechanisms - Immediate priority is to manage liquidity conditions through collections and giving better flexibility to avoid cancellations in the short term - Emphasis on positive marketing communication Long-term: - Increase emphasis on brand strategy to capitalise on the demand from brand stakeholders
Relevant Section Distribution and Marketing (Page 49) Digital Marketing and Social Media Presence (Pages 49 to 50) Social & Relationship Capital (Page 83)		

Developing Our Talent Pool		
Progress in 2019/20	Resources Allocated	Way Forward
- Relaunch of Aitken Spence Institute of Hotel Management as TUI Academy Sri Lanka - Transformation training strategy focusing on employee multi-skilling and cross-property/regional exposure - Full retention of permanent employees despite industry conditions - Provided a guaranteed service charge to employees which was partly funded by the Group	Number of Employees: 3,235 Investment in Training: Rs. 22.9 Mn Total Payments to Employees: Rs. 3.8 Bn Key Performance Indicators: Training Record  Staff Cost as a % of Turnover: 20%	Short to medium-term: - Adopt all measures to ensure that employees are retained despite the prevalent conditions; this will involve effective deployment and utilisation of human capital among properties thereby also offering cross exposure to employees - Continuous staff motivational trainings and activities to uplift and maintain staff moral and resilience Long-term: - Enhance employee productivity by bringing in lean and total productivity management - Ongoing investments in employee upskilling
Relevant Section Human Capital (Page 72)		

OUR STRATEGY

SUSTAINABILITY														
Progress in 2019/20	Resources Allocated	Way Forward												
- Obtained patron membership of Biodiversity Sri Lanka with all properties now engaged in the platform - Enhanced the Sustainability Information System ensuring increasing accuracy, timeliness and reliability of information. - Ongoing investments in energy efficient platforms and equipment - Preserving biodiversity and natural habitats through tree planting programmes and reef rehabilitation initiatives among others. 100% elimination of single use plastic straws and stirrers - Switching from Heavy Furnace Oil (HFO) to low sulphur diesel in boiler operation - Increase focus on biomass gasification to reduce carbon footprint	Investment in Sustainability and Community Development: Rs. 18.6 Mn Key Performance Indicators: Carbon Footprint  <table border="1"> <thead> <tr> <th>Year</th> <th>Carbon Footprint (tCO₂e)</th> <th>Carbon Intensity (kgCO₂e)</th> </tr> </thead> <tbody> <tr> <td>2018</td> <td>38,000</td> <td>37.5</td> </tr> <tr> <td>2019</td> <td>37,000</td> <td>36.5</td> </tr> <tr> <td>2020</td> <td>38,000</td> <td>42.5</td> </tr> </tbody> </table> Spending on Local Suppliers: 62% Recruitment from Local Community: 42%	Year	Carbon Footprint (tCO ₂ e)	Carbon Intensity (kgCO ₂ e)	2018	38,000	37.5	2019	37,000	36.5	2020	38,000	42.5	Short to medium-term: - Effective management of energy costs Long-term: - Investments in upcycling and recycling with the ultimate aim of zero waste to landfill
Year	Carbon Footprint (tCO ₂ e)	Carbon Intensity (kgCO ₂ e)												
2018	38,000	37.5												
2019	37,000	36.5												
2020	38,000	42.5												



Relevant Section

Sustainability (Page 51)

Natural Capital (Page 90)

BRANDS AND ARCHITECTURE

Brand Portfolio

The Group's competitive edge has been sharpened by its portfolio of brands which have been carefully crafted to meet customer expectations with differentiated hospitality offerings. The three brands - Heritance Hotels and Resorts, Adaaran Resorts and Turyaa offer distinctly different experiences, with all operational aspects of the hotels designed to align with the attributes and personality of the brands. We continue to invest in reviewing our brand positioning and strengthening brand equity across key market segments.

Heritance

Combining the attributes of heritage and inheritance along with distinctive locations, the brand offer a unique mix of locality and authenticity, warmth and culture combined with world-class service standards



Adaaran

The quintessential Maldivian experience combined with abundant comfort and unparalleled hospitality.

Adaaran Club - Four star

Adaaran Select - Four star plus

Prestige - Five star boutique



Turyaa

Turyaa, is targeted towards the modern travellers such as the go-getters and trend-setters offering comfort, great food, good value and outstanding service

turyaa

Autken Spence Hotels



For Further Information Refer to

Intellectual Capital (Page 78)

Architecture and Design

Our properties are renowned for their iconic architecture and design which have played a key role in delivering unparalleled customer experiences. Each property has a unique character, complemented by distinct design elements which are in harmony with the natural surroundings; and heightened the overall customer offering. Several of our properties are widely considered to be architectural masterpieces by Geoffrey Bawa which have combined elements of sustainable design and contemporary luxury.



OUR STRATEGY

CULINARY EXPERTISE

We aspire to create innovative and evocative gastronomical experiences, leveraging on the industry-leading skills of our F&B team. The Group is a frequent recipient of domestic and international culinary awards and has, over the years, nurtured a strong reputation for excellence in cuisine. We are also keen on pursuing mindfulness through our dining options, and strive to engineer menus that offer fresh, balanced and exciting experiences tipping the hat to health and wellness.

Milestones in 2019/20

- The Group bagged the highest number of awards at the Culinary Art Food Expo 2019, sweeping a record of 130 medals in addition to the Overall Champions award by Heritance Aarah and Most Outstanding Cultural Triangle Team by Heritance Kandalama.
- Heritance Aarah received 4 gold, 7 silver and 2 bronze awards at the prestigious IKA Culinary Olympics 2020 held in Stuttgart, Germany.
- Heritance Aarah & Adaaran resorts shined at FHAM - The International Culinary Challenge 2019, receiving 21 gold, 23 silver, 22 bronze, 17 merit certificates while Heritance Aarah winning the title of Most Outstanding Culinary Resort in the Maldives.
- Chef Dimuthu Kumarasinghe, Olympics gold medallist, represented the Group at the World of Food Abu Dhabi 2019 - one of the most recognised food festivals in the world, covering everything from haute cuisine to street food.
- 'Let's Sea' Sunday Seafood Lunch at the Bluetan restaurant, Heritance Negombo was curated post-April terror attacks to support local suppliers and draw in local travellers to Negombo.



92

Restaurants



Rs. 8.4 Bn

F&B Revenue



1,264 member

F&B Team



229

Culinary Awards

DISTRIBUTION AND MARKETING

The Group's core marketing strategy is aimed at widening its visibility and presence in source markets through proactive engagement with channel partners, while enhancing its visibility in online and social media platforms. We engage with over 3,600 channel partners in all regions comprising tour operators, destination management companies, corporate clients and online travel agents (OTA).

The Many Relationships We Have Built



Sri Lanka

52

Tour Operator Contracts

1,411

Registered Local Travel Agents

145

Registered Corporate Clients

4

Country Representations

Maldives

573

Tour Operator Contracts

87

Registered Local Travel Agents

16

Country Representations

Oman

105

Tour Operator Contracts

100

Registered Local Travel Agents

725

Registered Corporate Clients

India

60

Tour Operator Contracts

30

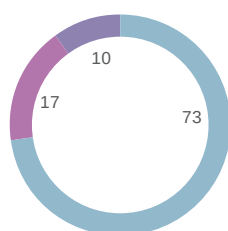
Registered Local Travel Agents

335

Registered Corporate Clients

Key priorities in 2019/20 included,

Channels to Market
%



● Offline ● Local
● Online

- Expansion of B2B networks
- Widening OTA partners with focus on specific source market related to OTAs
- Proactive engagement with DMCs including joint promotions and preferential rates
- Increased focus on the corporate website including search engine optimisations and promotional campaigns among others
- Increased collaboration with influencers especially targeting the Maldivian portfolio

Social Media Engagement

+42%

Total Number of Subscribers/
Followers

+236%

Traffic to Website through
Social Media Channels



+31%



+54%



+20%



+110%



For Further Information Refer to

Social and Relationship Capital (Page 83)

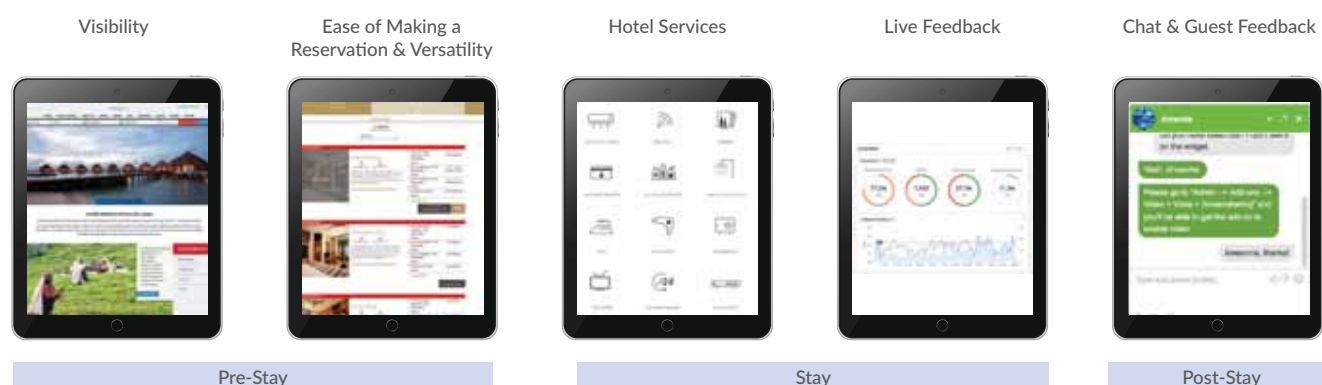
OUR STRATEGY

DIGITISATION

The Group continues to move forward as a leader in digitisation and connectivity, leveraging on our best-in-class systems and dynamic team to effectively manage our online platforms, drive targeted digital marketing and enhance resource efficiency. The unprecedented pace of change in technology and connectivity have afforded industry operators numerous opportunities in transforming the customer experience as well as analysing and working with information. With the dual impacts of the April terror attacks in the first part of the year and COVID-19 towards the latter part of the year, the strategy is to increase visibility and highlight the brand through which we are able to secure business, allowing a bounce back faster than expected.

E-Business Relaunched the websites for Heritance, Adaaran and Aitken Spence Hotels as well as Al Falaj and Turvaa Chennai  Target Expand visibility while increasing online conversions	Property Management System Upgraded the Property Management System and implemented a fully-fledged disaster recovery facility to ensure optimum availability  Target Increased efficiency and accuracy of guest information Ability to centralise and manage reservations with all properties for higher efficacy and accuracy
E-Marketing Tools Channel Manager: Real-time rate update across all platforms Review Management System: Proactive monitoring of guest reviews Price Parity Checker: To identify price disparities  Target Dynamic and competitive pricing Enhance brand loyalty	Enterprise Resource Planning Software Implementation of Oracle Applications Cloud (Oracle Fusion) facilitating improved data capturing and more effective decision making.  Target End-to-end autonomous processes and fully integrated systems allowing people to focus on value addition Robust performance management and KPI/dashboard driven management Paperless culture

We have also invested in integrating technology throughout the customer journey.



Customer Relationship Management (CRM) System Enabled the offering of personalised service based on the differentiated requirements of our customers	Heritance Rewards Loyalty Platform Enhance brand loyalty among customers and increase repeat customer base through exciting promotions and offers
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COMMITMENT TO SUSTAINABILITY

Tourism has been identified as a sector that could make a considerable impact towards addressing global economic, social and environmental sustainability issues while contributing towards the achievement of the UN's Sustainable Development Goals. The Aitken Spence Hotels Group is a Sri Lankan pioneer in sustainable tourism and adopts a holistic approach towards sustainability in line with the Integrated Sustainability Framework of the parent entity.

Business Ethics

Conduct all business in an ethical manner, promoting the adherence to the UNWTO Global Code of Ethics for Tourism and encourage and support our partners to conduct business ethically

Environmental Management

Use environmental management systems in all organisational operations and activities and commit to prevent pollution

Supply Chain And Community Development

Encourage supply chains to implement sustainable strategies and engage in community development activities

Human Resources

Harness a strong and competitive multi-skilled team of employees

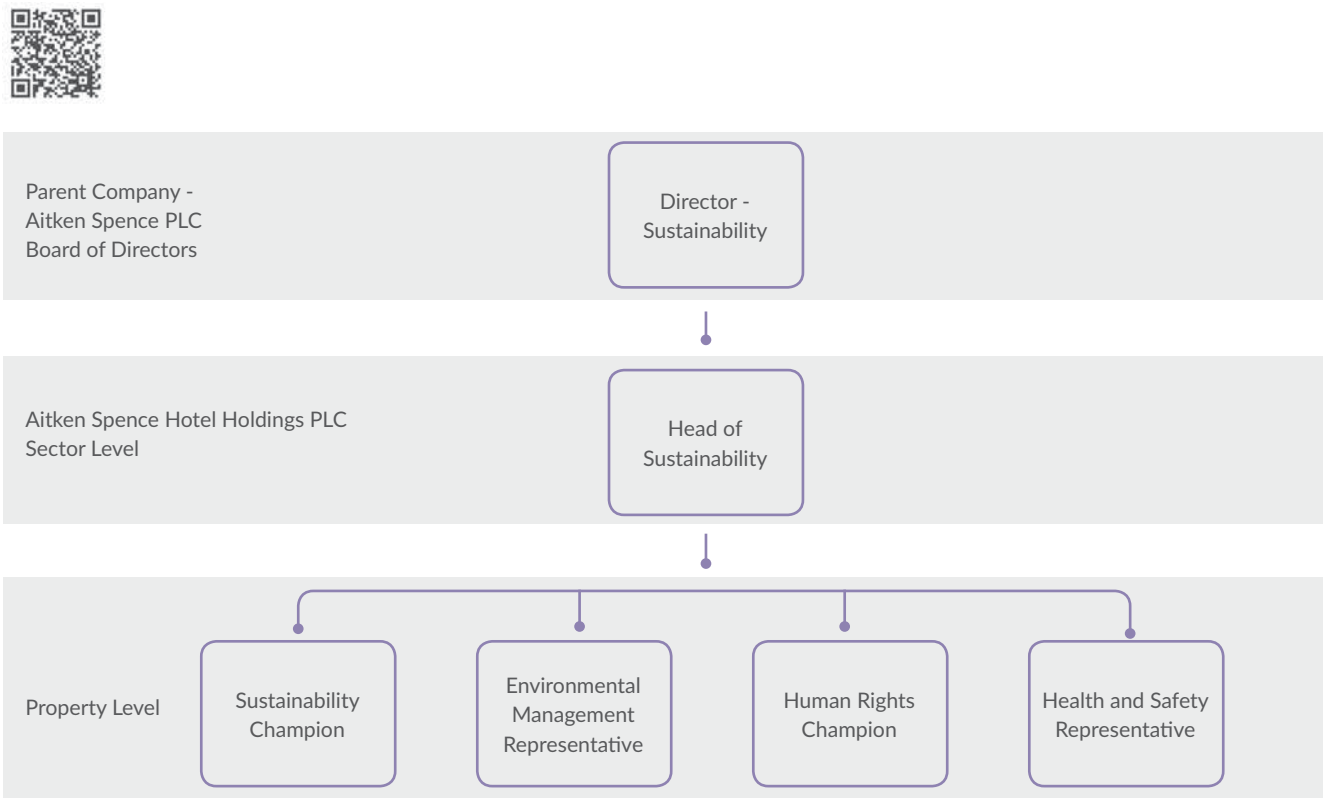
Underlying Policy Framework

Integrated Sustainability Policy	Energy Policy
Provides guidance on ensuring the long-term viability, profitability and integrity of the business through adopting a proactive approach to corporate sustainability.  Access full Integrated Sustainability Policy	Serves as the framework for continually improving energy efficiency and has been designed in line with ISO 50001:2011- Certified Energy Management Systems. • Provide information and resources required to effectively implement the energy management plan • Purchase of energy efficient products and services
Travelife Certification	UN Global Code of Ethics on Tourism
The certification contains 163 criteria classified into several categories as follows; • Business policies and strategies • Compliance to legislation and standard • Reporting and communication on progress • Environmental management including energy, water, waste • Harmful substances and biodiversity • Labour and human rights including employee welfare and child protection • Community integration • Supply chain and guests	Comprehensive set of principles designed to guide tourism sector players including governments, travel industry, communities and tourists. Key principles include (among others); • Mutual understanding and respect between people and societies • Tourism as a promoter of cultural heritage • Obligations of stakeholders in tourism development • Rights of workers and entrepreneurs

OUR STRATEGY

Governance Structure

Dedicated Sustainability Heads have been appointed at each business sector within Aitken Spence PLC who report to the Director-Sustainability, a member of the parent entity's Board of Directors through the Managing Director. At Aitken Spence Hotels, sustainability champions and committees have been appointed at each property to drive social and environmental projects aligned to the Group's overall sustainability agenda. These champions report to the Sector Head of Sustainability on a quarterly basis while sustainability performance has been included as a KPI in the performance management framework of all properties. Several Heritance properties also compile detailed sustainability reports in compliance with the reporting requirements of the National Green Reporting System and Travelife Gold certification. These reports can be accessed online via QR Code.



SUSTAINABLE TOURISM DASHBOARD

205-3 206-1 419-1



Economic Impact

Total Value Added	Employees
Rs. 8.5 Bn	3,235

Gender Equality



Female Representation

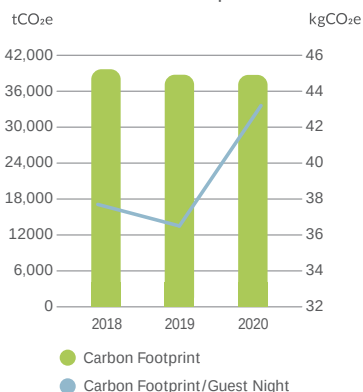
Overall **10%**



Management: 10%
Executives: 25%
Non-Executives: 7%

Emission

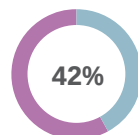
Carbon Footprint



For Further Information Refer to

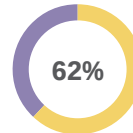
Social and Relationship Capital (Page 83)
Natural Capital (Page 90)

Local Community Contribution



Recruitment within 35 km

Purchases from Community



Employee Value Creation

Rs. 3.8 Bn

Payments to Employees

Rs. 22.9 Mn

Investment in Training

216 Promotions

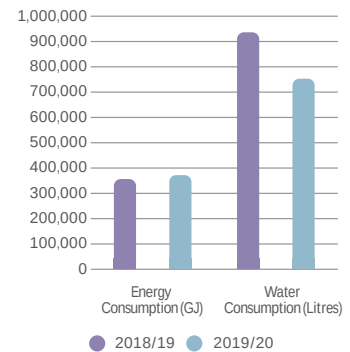
1,064 New Recruits

Rs. 811 Mn

Investment in Engagement



Resource Efficiency



Protected Areas



193 acres
of natural preservation

Native Flora: 128 Species

Birds: 183 Species

Natural Streams: 11

Reptiles and Amphibians: 19 Species

Mammals: 17 Species

Butterflies and Dragonflies: 64 Species

Biodiversity

+1,300
Trees Planted

Coral
Regeneration
in Maldives:
60 sqm² area

Reef
Protection



Compliance

All environmental and socioeconomic regulations are complied to in 2019/20

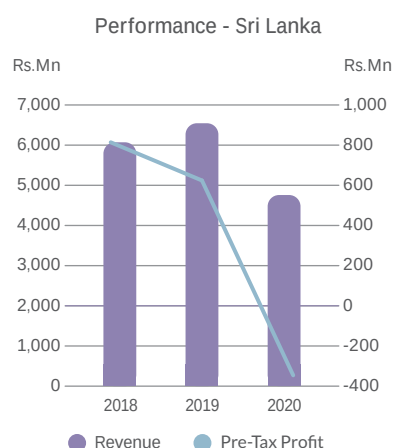
No confirmed incidents of corruption were reported by the Group and no legal actions for anti-competitive behaviour, anti-trust and monopoly practices were taken during the financial year



PERFORMANCE ANALYSIS

Sri Lanka





Strategy and Performance

The Group's Sri Lankan operations experienced a year of unprecedented challenges in 2019/20, impacted first by the terror attacks in April 2019 and subsequently by the outbreak of COVID-19 during the last quarter of the financial year. Revenue declined by 27% to Rs. 4.8 Bn during the year, as average occupancy levels fell to 48%, from 64% the previous year. In the aftermath of the April terror attacks, we increased focus on the domestic market, strengthened relationships with channel partners and sought growth in non-traditional markets which enabled the cluster to demonstrate a level of resilience, outperforming the industry in terms of occupancies and revenue growth. That said, relatively low yields had an adverse impact on profitability which was further pressured in the last few months of the financial year given the border closures and stringent social distancing measures implemented by the Government. Resultantly, the cluster generated a pre-tax loss of Rs. 346.3 Mn in 2019/20 compared to profits of Rs. 623.6 Mn recorded in the previous year.

Property	Rooms
Owened Properties	
Heritage Kandalama	152
Heritage Ahungalla	152
Heritage Tea Factory	54
Heritage Ayurveda	64
Heritage Negombo	143
Turyaa Kalutara	199
Hotel RIU Sri Lanka	501
Amethyst Resort Passikudah	38
Managed Properties	
Earl's Regency	134
Earl's Regent	94
Bandarawela Hotel	33

Given the prevalent conditions, the cluster sought to proactively manage costs while driving increased process efficiencies. The operations of Turyaa Kalutara were consolidated, with the aim of providing a four-star, all-inclusive offering. Meanwhile, despite the challenging conditions, we ensured job security of all our employees, even providing a guaranteed service charge post April terror attacks which was partly funded by the Group. Training efforts were directed towards employee motivation while nurturing a multi-skilled team with employees given the opportunity for cross-property and regional exposure.

Proactive steps were also taken to ensure the health and safety of our guests during the pandemic; these measures include development of an emergency plan, daily monitoring of guest temperature, increasing availability of hand sanitisers in all public places, providing all employees with face masks and hand gloves, employee awareness sessions and maintaining close engagement with local hospitals and public health authorities.

Way Forward

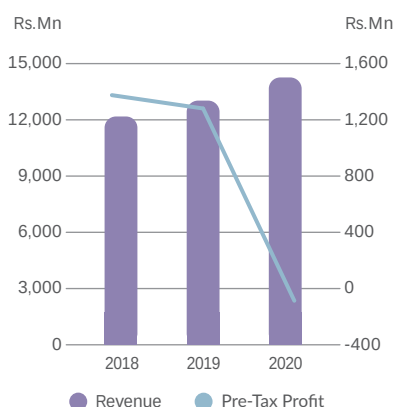
Given the fluidity of the current conditions, the cluster's immediate priority is to manage liquidity levels and curtail further losses through a series of consolidation measures; while prioritising essential expenditure and deferring on non-essential spending. As Sri Lanka has been able to contain the communal spread of the virus, the domestic market is expected to post recovery as restrictions are eased. Early yet encouraging signs of recovery are also being seen in other source markets, as countries gradually start easing restrictions and opening borders with adequate safety measures. Given the Group's strong brand name and unique properties, it is aptly positioned to benefit from such a recovery.

PERFORMANCE ANALYSIS

South Asia and Middle East



Performance - South Asia and Middle East



Strategy and Performance

The South Asian and Middle East cluster, led by Maldives recorded revenue expansion of 9% during the year, although profitability was pressured by the increase in borrowing costs and depreciation charge stemming from Heritance Aarah - the Group's newest property in the Maldives and costs associated with the renovation and upgrade of Adaaran Select Meedhupparu and Al Falaj Hotel - Oman. Occupancies averaged 63% during the year (2018/19 - 74%) due to the impact of the April terror attacks in Sri Lanka which affected twin destination businesses. The collapse of several large tour operators during the year also contributed negatively. Meanwhile, profitability margins also continued to be impacted by intense price competition in the Maldives, given the surge in room inventory in recent years and growing competition from the informal sector. Resultantly, the Sector's operating profit declined by 25% during the year, while pre-tax losses amounted to Rs. 86.7 Mn, compared to profits of Rs. 1.3 Bn last year.

Property	Rooms
Owned Properties	
Adaaran Club Rannalhi	122
Adaaran Select Hudhuran Fushi	157
Adaaran Select Meedhupparu	211
Adaaran Prestige Vadoo	50
Adaaran Prestige Water Villas	20
Adaaran Prestige Ocean Villas	40
Heritance Aarah	150
Al Falaj Hotel	150
Turyaa Chennai	140
Managed Properties	
Desert Nights Camp	53
Al Wadi Hotel	78
Sur Plaza Hotel	105

The performance of our other markets - Oman and India were also below expectations, reflecting the subdued global economic conditions and subsequently the impacts of COVID-19. Given the current situation, we will adopt a cautious approach in both these markets while our immediate priority is to manage liquidity and curtail losses.

Way Forward

The economic fallout from COVID-19 on countries such as the Maldives is expected to be more pronounced, given its reliance on the tourism sector. The Government expects tourist arrivals to Maldives would decline by around 35% in 2020³ inserting substantial stress on the country's economy. Our strategy in the Maldives will mirror our approach in Sri Lanka, where we will seek to consolidate operations, manage liquidity levels and curtail losses.

³ President Ibrahim Mohamed Solih: President of the Maldives at SAARC leaders' discussion on 15th March 2020

CAPITAL MANAGEMENT

Financial Capital



Effective utilisation of the Group's Financial Capital is key to driving the Group's strategic objectives and plays a vital role in ensuring sustainable returns to shareholders. Financial capital comprises the Group's equity, borrowings and funds generated through its operations.

Financial Capital

Rs. 20.6 Bn

Shareholders' Funds

Rs. 30.1 Bn

Total Borrowings

Rs. 3.3 Bn

Net Cash Generated from Operations

Key Performance Indicators				
		2019/20	2018/19	YoY Change %
Revenue	Rs. Mn	19,019	19,571	-3
Gross Profit	Rs. Mn	14,332	14,907	-4
EBITDA	Rs. Mn	4,411	4,609	-4
Net Finance Expenses	Rs. Mn	1,675	694	141
Pre-Tax Profit	Rs. Mn	(433)	1,904	-123
Profit After Tax	Rs. Mn	(896)	1,197	-175
Total Assets	Rs. Mn	74,350	64,902	15
Earnings Per Share	Rs	(1.90)	2.37	-180
Net Assets Per Share	Rs.	60.66	62.96	-4

CONNECTIVITY AND CAPITAL TRADE-OFFS



Debt-funded investments in property refurbishments/upgrades and capacity expansions have pressured the Group's short-term profitability due to the escalation of interest costs.



Retaining all employees and supporting them through these challenging times is likely to insert pressure on our financial resources; however, over the long-term it would strengthen our employee relationships driving increased loyalty and performance.



Investments in sustainability initiatives were limited during the year, given the pressure on performance in current industry scenario.

Highlights 2019/20

- Strategic focus on cost management and rationalisation
- Renovation and upgrade of Adaaran Select Meedhupparu - Maldives and Al Falaj Hotel - Oman

Challenges

- Sharp drop in occupancies post-April terror attacks
- Zero/minimal occupancies from end March 2020 due to the COVID-19 pandemic
- Managing liquidity stress in the present condition
- Sharp depreciation of Sri Lankan Rupee in March 2020

Way Forward

- Short-term liquidity pressure given the prevalent industry conditions and zero/minimal occupancies
- Immediate priority on managing liquidity, curtailing losses and obtaining debt reliefs

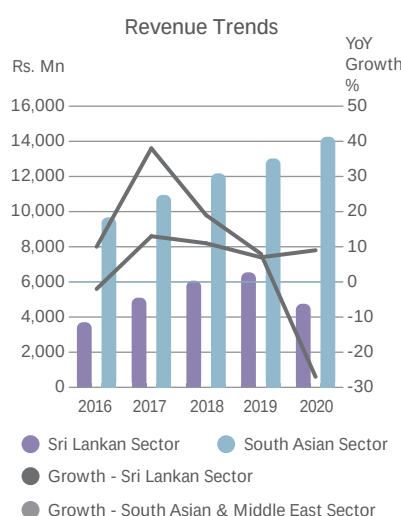
Financial Performance

Rs. Mn	2019/20	2018/19	% Change	Explanatory Notes
Revenue	19,019	19,571	-3	South Asian and Middle East Sector recorded a growth of 9% whereas the Sri Lankan sector revenue declined by 27% due to two black swan events
Other Operating Income	118	-61	294	Exchange loss mainly due to revaluation of foreign currency denominated debt of Rs. 87 Mn was reported in 2018/19. During the current year, Insurance claims received by overseas hotels is Rs. 102 Mn.
Staff Costs	(3,801)	(3,483)	9	Increase in staff cadre due to opening of Heritance Aarah and revision of staff salaries across all grades
Depreciation & Amortisation	(2,847)	(1,874)	52	Increased depreciation due to Heritance Aarah and amortisation of Right-of-Use assets as per SLFRS 16
Other Operating Expenses - Direct	(4,256)	(4,148)	3	Due to increase in operational activities mainly in overseas sector
Other Operating Expenses - Indirect	(6,238)	(6,755)	-8	Mainly due to cost reduction initiatives implemented in Sri Lankan sector post-Easter Sunday attacks
Finance Income	187	241	-22	Due to decrease in cash inflows
Finance Expense	(1,861)	(935)	99	Recognition of interest expense on lease liabilities under SLFRS 16 and loan interests on Heritance Aarah (recorded as project costs in the previous year)
Share of Profit/(Loss) of Equity Accounted Investees Net of Tax	(322)	(137)	135	Mainly from Group's share of losses at Browns Beach Hotels PLC
Taxation	(463)	(707)	-35	

Revenue

Consolidated revenue declined by 3% to Rs. 19 Bn during the year, primarily due to 27% decrease in the Sri Lankan Sector while South Asia and Middle East Sector recorded a growth of 9%. Performance of the Sri Lankan Sector reflected broad-based industry challenges, following the Easter Sunday terror attacks in April 2019 and the outbreak of COVID-19 in March 2020; resultantly, tourist arrivals into Sri Lanka declining by 29% in the 12 months to March 2020. Accordingly, the Sector's average occupancy declined to 48% from 64% the year before.

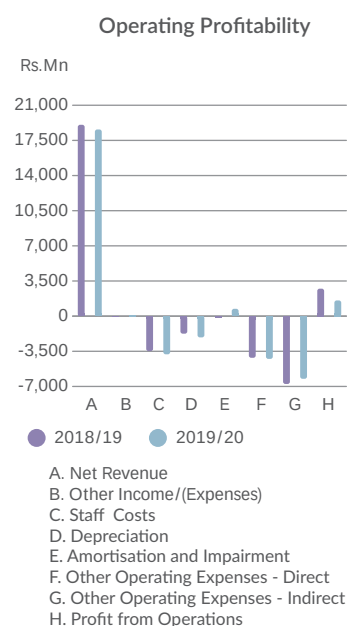
Revenue growth in the South Asian and Middle East Sector (led by the Maldivian resorts) reflects the first year of operations of Heritance Aarah. This aside, performance of the Sector was somewhat affected by the loss of twin destination business following the April terror attacks in Sri Lanka and the collapse of several of large tour operators during the year. As the Sri Lankan sector recorded a downturn, the South Asian and Middle East Sector's contribution to Group revenue increased to 75% (2018/19 - 67%) during the year. Looking ahead, both Sectors are expected to record a sharp decline in revenue, given travel restrictions, border closures and other social distancing measures adopted by most countries to curtail the spread of the virus.



Cost Management and Operating Profitability

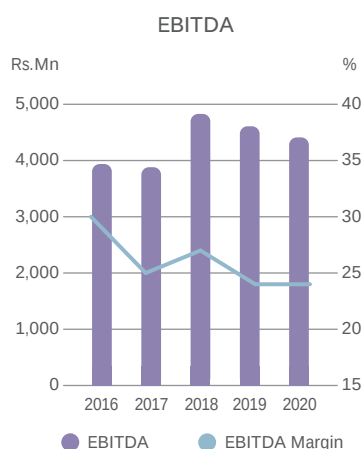
The increase in overhead costs was contained at 5% during the year, reflecting concerted, organisation-wide efforts to drive cost rationalisation and productivity improvements. Accordingly, other indirect expenses declined by 8% mainly due to a decrease in administration and establishment expenses. Staff costs increased by 9% while depreciation, amortisation and impairment costs increased during the year due to the addition of Heritance Aarah and inflated

amortization cost due to the recognition of Right-of-Use assets under SLFRS 16. Meanwhile, other income amounted to Rs. 117.8 Mn (compared to an expense of Rs. 60.8 Mn the previous year) due to the decline in foreign exchange losses recorded last year coupled with the receipt of insurance claims during the year.



CAPITAL MANAGEMENT

Financial Capital

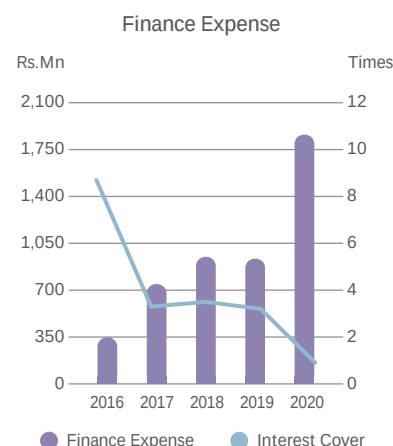


Overall, the Group's operating profit declined by 43% to Rs. 1.6 Bn with both the Sri Lankan Sector (-70%) and South Asian and Middle East Sector (-25%) recording reductions in earnings. Decrease in Operating profit compared to last year is Rs. 1.2 Bn of which depreciation and amortisation cost increase account for Rs. 0.9 Bn. Despite achieving a growth in its top line, the South Asian and Middle East Sector recorded a relatively sharp drop in profitability due to the operating costs and depreciation charge of Heritance Aarah, which is still in its gestation period and the partial closure of Adaaran Select Meedhupparu for renovations. That said, the decline in profitability at EBITDA level (Earnings Before Interest, Tax, Depreciation and Amortisation) was contained to just 4% during the year, a creditable achievement given the extremely challenging operating conditions that prevailed.



Finance Expenses

Net finance expenses more than doubled to Rs. 1.7 Bn during the year, as interest expenses on Heritance Aarah was recognised in the income statement during the year as operations commenced; compared to being treated as project costs in the preceding year coupled with increases in borrowings to fund capital expenditure as well as the sharp depreciation of the Sri Lankan Rupee in March 2020, which led to a sharp increase in the borrowing costs of foreign currency denominated borrowings. However, 63% of the increase in finance expenses is due to the interest expense on leased liabilities recognized under SLFRS 16. Total debt increased by 9% during the year, with the rise stemming primarily from foreign currency denominated borrowings. The Group's cost of borrowing amounted to Rs. 1.3 Bn with Interest on leased liabilities being Rs. 585 Mn during the year, increasing the total finance expenses to Rs. 1.9 Bn compared to Rs. 935 Mn last year. Meanwhile, finance income declined by 22% to Rs. 187 Mn as financial investments were liquidated. Debt protection metrics weakened during the year, reflecting the downturn in performance and the increase in borrowing costs. Accordingly, the Group's interest cover declined to 0.94 times. The Group enrolled for the debt moratoriums offered to the tourism sector post April terror attacks to effectively manage its liquidity position. We also intend to apply for the recent debt moratoriums proposed by the Central Bank of Sri Lanka following the outbreak of the COVID-19 virus, thereby easing short-term liquidity pressures.

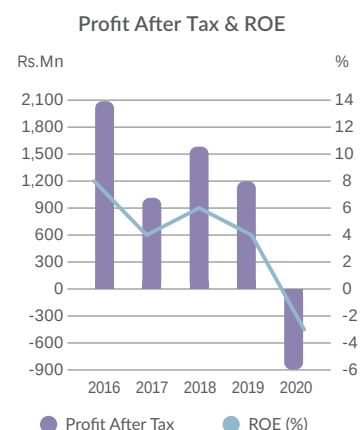


Profitability

Revenue, Group Expenses and Profit Before Tax - Rs. Mn			
	2019/20	2018/19	Change
Net Revenue	18,588	19,055	(467)
Other Income/(Expenses)	118	(61)	179
Staff Costs	3,801	3,483	(318)
Depreciation, Amortisation and Impairment	2,847	1,874	(973)
Other Operating Expenses - Direct & Indirect	10,495	10,902	408
Net Finance Expenses	1,675	694	(981)
Share of Loss of Equity Accounted Investees Net of Tax	322	137	(185)
Profit Before Tax	(433)	1,904	(2,337)

Unprecedented challenges stemming from the operating landscape sharply impacted profitability of tourism sector operators during the year and the Group's performance also reflected these dynamics. At pre-tax level, the Group incurred a loss of Rs. 433 Mn compared to a profit of Rs. 1.9 Bn last year; the Sri Lankan Sector incurred a pre-tax loss of Rs. 346 Mn reflecting the decline in turnover coupled with the escalation in finance cost while the South Asian and Middle East Sector's losses amounted to Rs. 86.7 Mn during the year. Sri Lankan Sector losses include losses arising from equity accounted investees amounted to Rs. 322 Mn during the year.

Income tax expenses for the year reduced by 35% to Rs. 462.7 Mn during the year (from Rs. 707 Mn the previous year) mainly due to the reduction in profits. Group losses after tax amounted to Rs. 895.7 Mn for the year under review, compared to profits of Rs. 1.2 Bn generated last year.



Financial Position and Stability

Rs. Mn	31st March 2020	31st March 2019	% Change	Explanatory Notes
Property, Plant and Equipment, Right-of-Use Assets, Leasehold Properties & Prepaid Operating Leases	63,727	54,057	18	Due to the recognition of ROU assets as per SLFRS 16 and the addition of Heritage Aarah in Maldives
Other Non Current Assets	2,551	2,663	-4	
Inventory	934	553	69	Mainly due to commencement of commercial operations of Heritage Aarah
Cash and Cash Equivalents & Other Financial Assets	2,602	3,206	-19	Due to utilisation of funds for product enhancement (refurbishments/renovations)
Other Current Assets (Including Trade and Other Receivables & Assets classified as Held for Sale)	4,536	4,423	3	
Total Assets	74,350	64,902	15	
Shareholders' Equity	20,563	21,339	-4	Due to losses incurred in local and overseas segments (reasons mentioned in the Report)
Non-Controlling Interests	8,588	9,257	-7	
Long Term Debt	27,648	25,480	9	Mainly due to increase in long term debt to fund overseas projects
Short Term Debt	2,493	2,109	18	In line with short term operational requirements and due to interest capitalised during loan moratorium period
Other Non Current Liabilities	9,810	2,462	298	Increase mainly due to the recognition of lease liabilities under SLFRS 16
Other Current Liabilities (Including Trade and Other Payables)	5,248	4,255	23	Mainly due to increase in other payables
Total Liabilities	74,350	64,902	15	

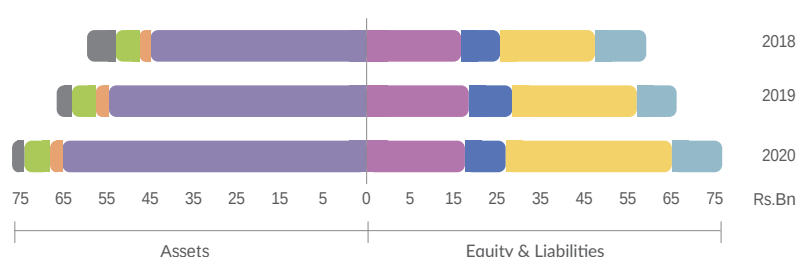
CAPITAL MANAGEMENT

Financial Capital

Balance Sheet Strength

The Group's total assets increased by 15% to Rs. 74.4 Bn as at end March 2020; the increase stemmed primarily from the classification of operating leases as right-of-use-assets following the adoption of SLFRS 16 during the year. Capital expenditure for the year amounted to Rs. 3.3 Bn, mainly representing additions to Heritance Aarah and refurbishment investments in Adaaran Select Meedhupparu and Al Falaj Hotel reflective of the Group's recent capacity enhancements. The asset composition remained relatively unchanged with long-term assets accounting for 89% of total assets. Investment in current assets represents working capital increase by 10% to Rs. 5.5 Bn while cash and cash equivalents and other financial assets declined by 19% to Rs. 2.6 Bn as short-term investments were liquidated and utilised during the year.

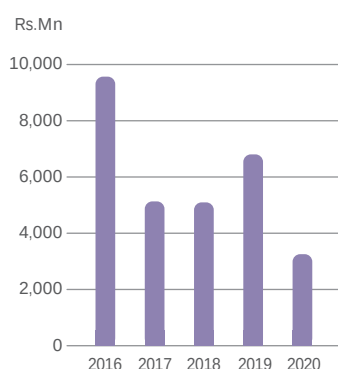
Group Financial Position



- PPE, Right-of-use assets, Leasehold properties & Prepaid operating leases
- Other Non Current Assets
- Inventories, Receivables & Held for Sale
- Cash and cash equivalents & other financial assets

- Equity Attributable to Equity Holders of the Company
- Non-Controlling Interests
- Non-Current Liabilities
- Current Liabilities

Capital Expenditure & Investments

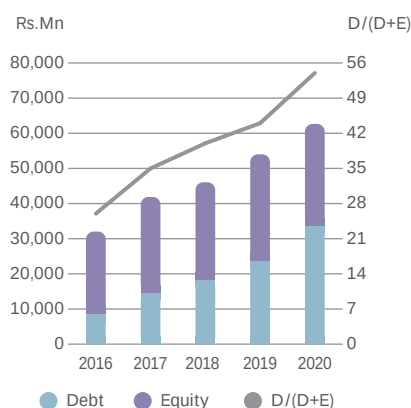


Gearing and Capital Structure

The Group's total equity amounted to Rs. 29.2 Bn as at end March 2020 (end March 2019: Rs. 30.6 Bn) representing 39% of Consolidated Assets. Meanwhile, total liabilities increased by 32% to Rs. 45.2 Bn during the year due to a 9% increase in borrowings and the recognition of a lease liability in line with the adoption of SLFRS 16. The Group's debt profile is tilted towards

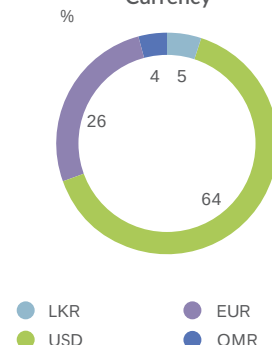
the long-term, with non-current interest-bearing borrowings accounting for 83% of total debt (including short term borrowings). Nearly 95% of borrowings comprise foreign currency denominated debt, a strategy which has enabled the Group to effectively manage its borrowing cost while hedging foreign currency denominated revenue streams against liabilities.

Gearing



The Group's gearing ratio (debt/debt+equity) increased to 54% from 44% the year before. Some liquidity stresses are anticipated given the prevalent conditions, however, proactive efforts taken by the Group to curtail non-essential expenses, manage losses and obtain debt moratoriums are expected to provide some relief over the short-to-medium term.

Composition of Debt by Currency



Cashflow

The Group's net cashflow from operations increased by 16% to Rs. 3.3 Bn reflecting the effective management of working capital given the relatively lower operational activities during the year. Meanwhile net cash outflow from investing activities amounted to Rs. 3.2 Bn comprising primarily of the costs associated with the additions to Heritance Aarah and the refurbishment/renovation of Adaaran Select Meedhupparu - Maldives and Al Falaj Hotel - Oman. Cashflow from financing activities amounted to an outflow of Rs. 1.4 Bn mainly due to repayment of interest-bearing liabilities and payment of dividends during the year. Resultantly, the Group recorded a net decrease in cash and cash equivalents of Rs. 1.3 Bn.

Economic Value Added

The Economic Value Added is a measure of the total economic value created over and above the average cost of funding of the Company (Weighted Average Cost of Capital - WACC). It is the Profit generated in excess of the rate of return required by the investors. The Company's WACC is a function of the Group's average cost of borrowing, required rate of return on equity and the cost of preference share capital. The economic value added by the Group for the past five years is tabulated below. In 2019/20, negative EVA widened due to lease liabilities being recognised on ROU assets (EVA excluding lease liabilities amounts to Rs. 775 Mn).

Economic Value Added (EVA)					
Rs. '000	2019/20	2018/19	2017/18	2016/17	2015/16
Profit for the Year	(895,724)	1,197,164	1,583,395	1,013,739	2,087,762
Add:					
Depreciation and Amortisation	2,846,879	1,873,724	1,815,254	1,583,237	1,055,064
Non-Cash & Non-Operational Adjustments	448,912	256,804	(63,083)	340,310	135,776
Total Interest Cost	1,861,353	934,502	949,117	745,013	347,314
Adjusted Profit After Tax	4,261,420	4,262,194	4,284,682	3,682,299	3,625,916
Total Investment Capital					
Total Equity	29,150,430	30,595,435	27,894,003	27,432,688	23,834,903
Add:					
Total Long-Term Debt to Banks	24,890,820	23,405,292	18,154,051	14,450,707	8,186,477
Total Short-Term Debt to Banks	5,250,363	4,184,006	6,142,605	5,057,481	2,663,196
Lease Liability	9,133,386	-	-	-	-
Cumulative Depreciation	16,918,951	14,147,105	11,465,586	9,729,411	8,031,791
Adjusted Investment Capital	85,343,950	72,331,838	63,656,244	56,670,287	42,716,367
Economic Value Added					
Weighted Average Cost of Capital (WACC)	6.6%	5.9%	6.73%	6.50%	8.01%
Cost of Average Investment	5,640,720	4,260,511	4,282,516	3,680,926	3,423,209
Economic Value Added	(1,379,300)	1,682	2,166	1,373	202,707

CAPITAL MANAGEMENT

Manufactured Capital

203-1



The Group's portfolio of iconic properties is a key aspect of its customer value proposition and competitive edge and has played a vital role in enhancing its brand value. Ongoing investments are made in enhancing both the Group's physical and digital infrastructure to effectively capture emerging opportunities in the hospitality sector.

Manufactured Capital

Rs. 74.3 Bn
of Total Assets

2,343
owned rooms in 17
properties

497
managed rooms in 6
properties

Key Performance Indicators		2019/20	2018/19	YoY Change %
Room Inventory				
- Owned	Number	2,343	2,363	-1
- Managed	of Rooms	497	494	1
Property, Plant & Equipment	Rs. Mn	52,554	49,918	5
Capital Expenditure				
- Sri Lanka	Rs. Mn	307	251	22
- South Asia and Middle East		2,948	6,552	-55
Capital Expenditure				
- Capacity Enhancement	Rs. Mn	1,488	5,958	-75
- Product Enhancement		868	250	247
- Operational Capex		899	595	51

CONNECTIVITY AND CAPITAL TRADE-OFFS



Investments in renovation and upgrade of Adaaran Select Meedhupparu, Al Falaj Hotel and constructing Heritage Aarah have impacted short-term profitability due to increased borrowing costs



Investments in strengthening digital infrastructure aids in nurturing a unique base of organisational capital



Increased levels of customer satisfaction through property renovations. Better management of customer relationship through investment in digital infrastructure



While new properties will undeniably add to our carbon footprint, environmentally friendly designs and energy efficiency practices could help enhance efficacy of natural resource usage

Highlights 2019/20

- Renovation of 100 beach rooms of Adaaran Select Meedhupparu and the Kids Club Project
- Renovation and upgrade of Al Falaj Hotel - Oman
- Relaunch of the enhanced Heritage, Aitken Spence Hotels and Adaaran websites
- Curtailment of capital expenditure plans in Sri Lanka given industry challenges

Challenges

- Debt-funded capacity enhancements have impacted short-term profitability through higher borrowing costs
- Exchange rate fluctuations and impact on foreign currency borrowings
- A few heritage properties up for refurbishment over the medium term

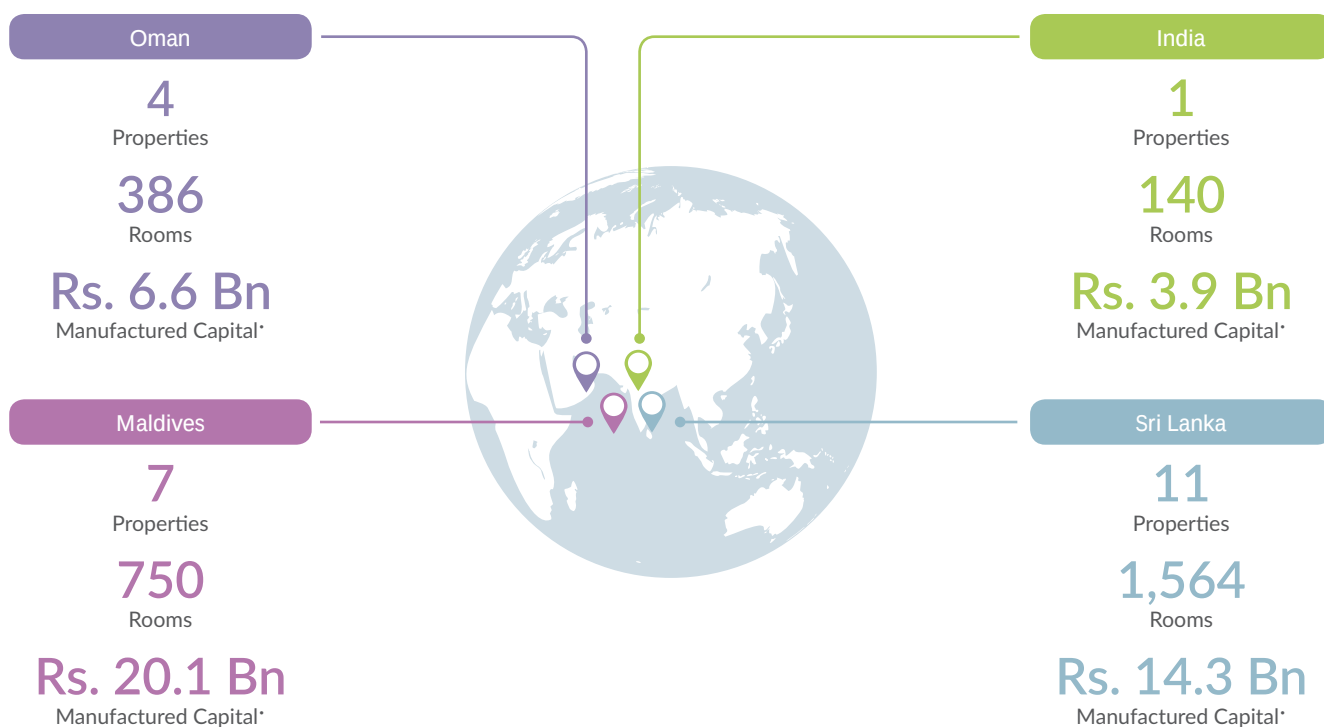
Way Forward

- Short-term focus on consolidating operations, curtailing and prioritising on operational and capital expenditure to minimising losses
- Long-term plans to upgrade key properties in Sri Lankan portfolio

Asset Strategy

A portfolio of assets that elevates the brand, enhances customer experiences and maximises the Group's value is key to driving business growth. Accordingly, our asset portfolio is managed with a vision that balances short and long-term interests, funding requirements and asset life cycles. As an owner and developer, we also monitor trends in the real estate market in order to capture opportunities in investment, divestment, refurbishment or redesign of our hotel assets. Our long-term asset development strategy also seeks to identify new and current destinations through joint ventures and opportunities in property management, which supports low intensity capital growth. This strategy is aimed at optimising investments, maximising returns from properties in which investment has been made and creating unique and differentiated product offerings.

Our Property Portfolio



• Net book value of land and building as at 31st March 2020

CAPITAL MANAGEMENT

Manufactured Capital

Heritage Ahungalla



Fusing site, climate and tradition, Heritage Ahungalla presents a breath-taking seascape for memorable holidays, special celebrations or relaxation in the world-famous Southern Coast of Sri Lanka.

Heritage Kandalama



Having introduced eco-tourism to South Asia, Heritage Kandalama is an architectural wonder spanning one km of jungle-clad cliff-face guaranteeing unparallel vistas and a truly remarkable holiday experience.

Heritage Ayurveda



Presenting truly authentic and time-tested ayurvedic practices in plush comfort and serene environment by the beach, Heritage Ayurveda is a wellness haven for those seeking balance in body, mind and soul.

Heritage Tea Factory



A theme resort for the tea-aficionados and those with a penchant for the unique, Heritage Tea Factory is a tea destination converted from a 19C tea factory, located 2km above sea level, marking the highest accommodation and dining in Sri Lanka.

Heritage Negombo



Combining culture and luxury, urbanity with originality Heritage Negombo caters to the modern-day traveller, presenting a hassle-free holiday and event experience, just minutes from the International Airport and by the Western Coast.

Turyaa Kalutara



A vibrant space for fun and frolicking, Turyaa Kalutara is a beach-front hotel spanning six-acres, giving access to a plethora of dining, entertainment and the true charm of the Southern Coast of Sri Lanka.

Heritage Aarah



A luxury beach resort offering superior comfort, world class service, award-winning cuisine and a hint of local traditions, Heritage Aarah is the ideal dream paradise getaway for those looking for the ultimate vacation.

Adaaran Prestige Vadoo



An over-water villa resort presenting inimitable tropical experience for the discerning, Adaaran Prestige Vadoo is the perfect leisure destination with butler service, and thrills and charm of the Maldivian waters.

CAPITAL MANAGEMENT

Manufactured Capital

Adaaran Select Meedhupparu



Designed for leisure, Adaaran Select Meedhupparu is an island resort surrounded by tropical coral reef overlooking a tranquil blue lagoon, offering multiple dining, excursion and other facilities for a memorable stay.

Adaaran Club Rannalhi



A space for the free-spirited and adventurous, Adaaran Club Rannalhi is a resort that combines unhurried respite in the tropics with Maldivian activities aplenty and daily entertainment for toe-tapping fun.

Adaaran Select Hudhuran Fushi



Surrounded by thriving vegetation and pristine waters, the surf island Adaaran Select Hudhuran Fushi is famous for its lohis surf break and year-round excursions, offering guests a thrilling and unforgettable escapade.

Adaaran Prestige Ocean Villas



The perfect tropical experience in the Maldives offering bespoke services and specialised experiences, Adaaran Prestige Ocean Villas is home to world-class comfort and an unrivalled staycation.

Adaaran Prestige Water Villas



Creating a personalised holiday escape, Adaaran Prestige Water Villas offers a surreal tropical experience with accommodation opening to the crystal-clear waters and bringing to life, the dream holiday.

Al Falaj Hotel



AL FALAJ HOTEL MUSCAT

Designed for work and pleasure, Al Falaj hotel in Muscat celebrates warm Omani hospitality with world-class services and offerings; especially focused on the busy professionals and corporate retreats.

Turyaa Chennai



A vibrant city hotel, Turyaa Chennai caters to the busy professional and holidaymaker alike, offering a surfeit of facilities and services to ensure a comfortable and versatile spaces for corporates, families and friends.

Hotel RIU Sri Lanka



A leisure destination by itself, the all-inclusive resort - Hotel RIU offers an entertaining stay for families, corporates and group outings, combining the traditional sun, sea and sand with elevated comfort.

CAPITAL MANAGEMENT

Manufactured Capital

Amethyst Resort



With access to the longest shallow shoreline in Sri Lanka, Amethyst Resort is a haven of leisure with plenty of sun, warm hospitality, good food and great service presenting an unassuming holiday.

Earl's Regency



Perfecting the combination of opulence and heartfelt service, Earl's Regency located in the hill capital of Sri Lanka offers a hospitality experience unlike any other with dynamic spaces for dining, events and activities.

Earl's Regent



Excelling in its culinary offering, Earl's Regent offers a warm and homely travel experience with close proximity to Kandy's many tourist attractions.

Bandarawela Hotel



An adieu to the colonial planter's history of the hotel, Bandarawela Hotel oozes charm and elegance of the golden days of Ceylon with that of present comfort and heartfelt service.

Desert Nights Camp - Al Wasil



Creating the picture-perfect holiday on the dunes, Desert Nights Camp brings to life a mystical experience with beautiful Bedouin-style tents and facilities on par with international standards to present an unbelievable stay.

Sur Plaza Hotel - Sur

Sur Plaza Hotel

Picturesquely located in the old fishing town of Sur and close proximity to the business district, Sur Plaza Hotel is the perfect location to visit touristic areas of Muscat whilst attending to business or leisure.

Al Wadi Hotel - Sohar

AL WADI HOTEL
SOHAR

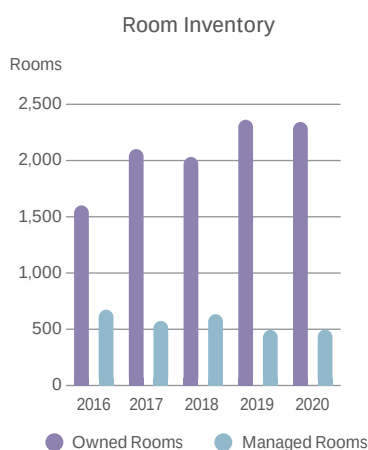
Located in Sohar, home to legendary Sinbad the Sailor, Al Wadi Hotel merges cultural sophistication and convenience of business through its ample facilities and services presenting a unique travel experience.

Development Strategy

Key aspects of the Group's asset development strategy for 2019/20 included,



Given the prevailing industry conditions, the Group adopted a prioritisation and deferment plan on its capital expenditure during the year, particularly with regards to planned investments in upgrading the Sri Lankan properties. Total capital expenditure for the year amounted to Rs. 3.3 Bn and comprised the renovation of Adaaran Select Meedhupparu in Maldives and Al Falaj Hotel in Oman. In the last five years, the Group has invested approximately Rs. 30 Bn in enhancing and expanding its portfolio, with its total room inventory expanding by nearly 25% since 2015/16.

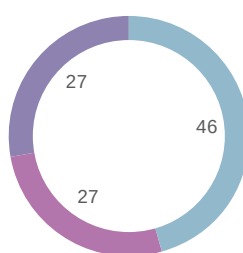


Owned rooms: Aitken Spence Hotels owns and controls the operations

Managed rooms: The Group manages the property on behalf of its owners with one of its brands

Rs. 3,255 Mn

Capital Expenditure



- Capacity Enhancement
- Product Enhancement
- Operational Capex

Digital Infrastructure: The Group's investments in IT amounted to Rs. 326 Mn during the year and represented upgrades to websites, investment in revenue management systems, property management systems, implementation of Oracle Applications Cloud (Oracle Fusion) and so on. Ongoing investments in strengthening its digital infrastructure has positioned the Group to aptly capture long-term opportunities stemming from accelerated changes in the digital environment, which is transforming customer interactions, business models and supply chains among others.



For Further Information Refer to
Digitisation (Page 50)

Way Forward

Given the prevalent industry challenges, the Group will adopt a cautious approach towards asset development over the short term. Emphasis will be placed on optimising returns from the current asset portfolio, while consolidating operations wherever necessary to manage expenditure and curtail losses. Over the medium-to-longer-term, as the industry records gradual recovery, we will seek to invest in refurbishing our Sri Lankan properties, particularly Heritance Kandalama and Heritance Tea Factory.

CAPITAL MANAGEMENT

Human Capital

102-8



As a hospitality sector operator, employees are our most valuable asset as they deliver the guest experience and are ambassadors of our brand and corporate values. We offer a unique value proposition to our team, investing in creating a conducive and dynamic work environment in which employees can thrive and fulfil their full potential.

Human Capital

3,235
Employees

10%
Female Representation

74,904
Training Hours

Key Performance Indicators				
		2019/20	2018/19	YoY Change %
Employees	No. of	3,235	3,430	-6
Payments to Employees	Rs. Mn	3,800.7	3,482.6	9
Investment in Training	Rs. Mn	22.9	15.4	49
Training Hours	Hours	74,904	72,291	4
Promotions	No. of	216	258	-16
Female Representation	%	10	10	-
New Employees	No. of	1,064	1,207	-12
Employee Turnover Rate	%	39	29	34
Number of Significant Accidents Reported	No. of	49	57	-14

CONNECTIVITY AND CAPITAL TRADE-OFFS



Retaining employees in the present industry conditions will insert short-term pressure on financial resources



Investments in employee training has enabled the creation of a unique base of organisational capital within the Group



Continuous concentration and investment on employee training will contribute towards enhancing customer relationships over the long-term due to improved service and guest satisfaction levels



Employees are consistently engaged in our environmental and CSR initiatives

Highlights 2019/20

- 100% retention of permanent cadre in the aftermath of the April terror attacks
- Relaunch of Aitken Spence Institute of Hotel Management as 'TUI Academy Sri Lanka' providing hospitality training to underprivileged youth
- Employee multi-skilling and offers for cross-property and regional exposure
- Ensuring health and safety of all our employees

Challenges

- Sustaining employee motivation and morale given the prevalent industry conditions
- Balancing employee retention with the Group's commercial sustainability in the current crisis

Way Forward

- All efforts will be made to ensure job security of our employees while balancing the Group's commercial interests
- Continuous staff motivational trainings and activities to uplift and maintain staff morale and resilience

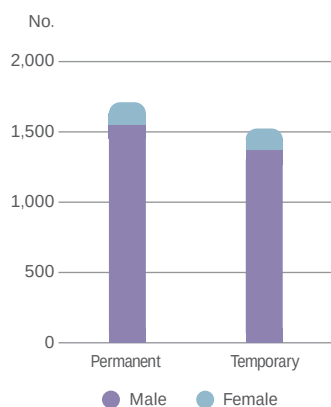
Managing our Human Capital

The Group's approach to managing its talent is clearly articulated in the HR Policy Frameworks of its parent company, Aitken Spence PLC. Sectors within the Group operate their own Human Resource departments which are supported by services from the Group's centralised HR function ensuring adherence to Aitken Spence Group standards. The policies and procedures are designed to go beyond legal compliance, embracing voluntary standards and industry best practices. Excerpts of key policies are given below.

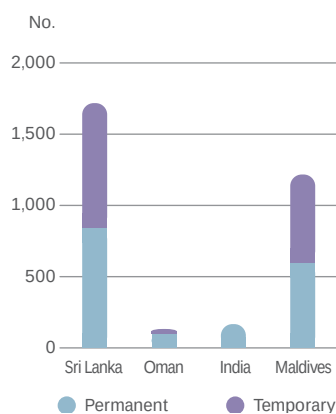
Recruitment Policy	Group Code of Ethics
Preference will be given to the candidates who reside within close proximity of our properties	Provides a blueprint for integrity in employee engagement with external and internal stakeholders, in areas outlined as follows;
Upward Mobility Policy	• Principles of Conduct • Conflict of Interest • Healthy Work Environment • Entertainment and Corporate Gifts • Self-Dealing and Fair-Dealing • Confidentiality • Protection and Proper Use of Company Assets • Compliance with Laws, Rules and Regulations • Substance Abuse • International Relationships • Encouraging the Reporting of any Illegal or Unethical Behavior • Grievances, Misconduct and Disciplinary Procedure
Internal employees are given preference for filling vacancies, in line with the approved cadre for the property	
Rewards Policy	
A discussion is conducted between individual team members and Head of Departments on their annual KPIs, competency level and behavioural aspect in a transparent manner on a bi-annual basis	

Our Team

Employees by Contract and Gender

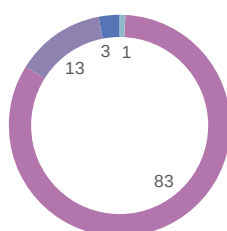


Employees by Contract and Region



New Recruits by Age

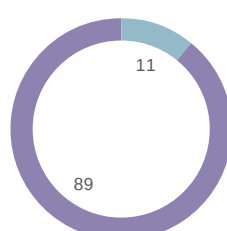
%



● <35 Years ● 46-55 Years
● 36-45 Years ● >56 Years

New Recruits by Gender

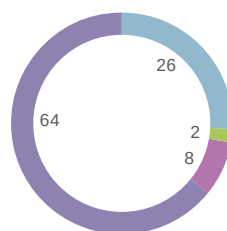
%



● Male ● Female

New Recruits by Region

%



● Sri Lanka ● India
● Oman ● Maldives

CAPITAL MANAGEMENT

Human Capital

102-41 202-1 402-1 404-3 407-1

Strategy for 2019/20

The challenging industry conditions during the year had a considerable impact on employee motivation, mainly due to the significant reduction in the service charge earned by employees as occupancy levels fell sharply. Against this backdrop, our people strategy for the year was designed to maintain employee motivation and morale while supporting the team through these difficult times.



Maintaining & Uplifting Employee Motivation, Morale & Resilience

It is noteworthy that in the aftermath of the April attacks, the Group retained the entirety of its permanent cadre, especially in Sri Lanka, despite extremely challenging industry conditions. In order to manage people-related overhead costs, the Group adopted various measures which in turn allowed us to retain employee motivation levels and build up their morale. Among these measures are the reallocation of employees, offering cross-property and cross-regional exposure following the consolidation of operations at Turyaa Kalutara.

Rewards and Recognition

The sharp decline in occupancy levels in the aftermath of the April terror attacks had a considerable impact on the service charge earned by employees. In addressing this concern, we provided a minimum service charge for our Sri Lankan properties, the cost of which was partly absorbed by the Group. Understanding the cash flow difficulties faced by our employees, the Group also sought to provide financial support in the form of soft loans. In December 2019, we also held the 'Diamond of the Year' programme to recognise the most outstanding employees of each hotel. The Group ensures that all employees receive a living wage which is above the minimum wage stipulated.

The Aitken Spence PLC's Rewards and Remuneration Policy is cascaded to the Group, customised to include industry-specific elements. Remuneration is determined based on qualifications, experience, skills and on performance appraisals. During the year, we also strengthened the performance management framework, aligning the competency framework to the KPI system thereby striving towards a more performance driven culture.

All executive employees are evaluated in performance appraisals in a three-step process of Goal Planning, Mid-year Review and Annual Goal Evaluation. These evaluations are facilitated by the online Human Resources Information System (HRIS) and include the analysis of work, workload, responsibilities, accountabilities and expectations as well as grievances. This performance appraisal a two-way process which allows feedback from the employee at all stages. The performance of the non-executive staff is evaluated through a paper-based system. Apart from the basic remuneration, the benefits available to our employees are listed below.

Benefits to Our Employees

Annual bonuses and allowances

Service charge; dependent on skills, education, experience and attendance

Free medical insurance for all hotel employees who have completed one year with coverage also available for family members at a nominal fee

Reimbursement of medical expenses

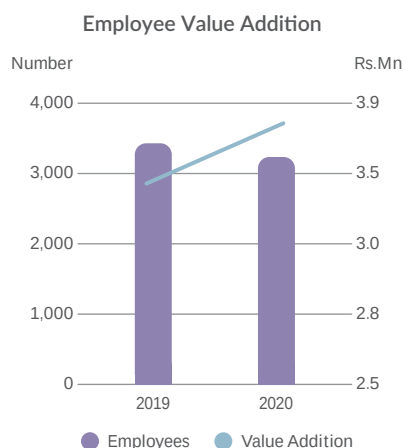
Annual holiday packages; entitlement based on employment categories

Employee Engagement

Despite the prevalent industry conditions, engagement activities continued at corporate and property level with the objective of maintaining motivation and morale, foster team spirit and ensure that our workplaces are conducive to optimal performance. Each hotel operates an active welfare society, facilitating a range of sporting, cultural and religious events. The Group also conducts town-hall meetings through which performance of the property, targets and directives for the future are shared with the employees. 'Getting to know Employees' is one of the great initiatives where newly recruited employees are also given the opportunity to interact with the senior management and Board of Directors, thereby providing an effective platform to acclimatise themselves with the organisational culture. Meanwhile, the 'Spensonian Convention' initiative involves quarterly interactive sessions to grades above middle management through which overall financial results of the Group, new and emerging trends in the world, sectorial initiatives and a success story of an external panelist are shared.

Cordial Industrial Relations

Around 35% of our employees are represented through two trade unions in three properties - namely Sri Lanka Nidahas Sevaka Sangamaya and the Food, Beverages & Tobacco Industry Employees' Union. These employees are covered by collective bargaining discussions. The Group maintains cordial and co-operative relationships with the unions, particularly when offering cross-property exposure to employees and effectively addressing the HR aspects of the current crisis. There were no major disruptions to work arising from trade union actions during the financial year. Any significant changes in working conditions are implemented after a minimum of four weeks' notice period.



Ensuring Health and Safety of Employees

Following the Easter Sunday terror attacks in April 2019 and the outbreak of the COVID-19 pandemic, the Group's first priority was to ensure the health and safety of its employees and guests. Accordingly, we implemented several preventive and precautionary measures to mitigate the security risk and the risk of COVID-19 at our properties, in line with global health and safety recommendations.

Safety Measures Adopted at Our Properties

- Investment in state-of-the-art security equipment such as baggage scanners, high performance walk through multi zone metal detectors, hand held metal detectors, vehicle checking mirrors and increased training for security personnel at all Sri Lankan properties.
- All guests are required to fill in health declarations at check-in and their temperature is monitored on a daily basis.
- Installment and increase of the number of alcohol-based sanitisers in all public places and employee touch points.
- Safety protocols for employees including,
 - (1) Washing hands every two hours.
 - (2) Increased frequency of cleaning all areas using hospital-grade disinfectant
 - (3) Increased chlorine content in pools
 - (4) Staff training on identifying guest symptoms and necessary precautions that need to be taken in the event of infection
 - (5) Establishing Special Task Force at each hotel to engage closely with the local authorities and public health officials
- All external parties including suppliers are screened for temperature and instructed to follow strict safety protocols.

In addition to the above specific measures, the Group's health and safety (H&S) practices are guided by the requirements of the Travelife certification which mandates the use of personal protective equipment where necessary, safety training, fire drills and audits among others. Each property also has a health and safety representative and a steering committee, represented by worker-elected members who conduct H&S internal audits and conduct training for the mitigation and prevention of H&S risks. All our employees are represented in such committees. During the year, several awareness sessions were conducted for employees including a workshop on non-communicable chronic diseases and workplace health, training on infectious diseases as well as handling of natural and man-made disasters.

Health and Safety Record in 2019/20

Workplace Related Accidents and Incidents	49
Number of Occupational Diseases	-
Number of Lost Working Days Due to Work Related Injuries	326
Number of Lost Days Due to Absenteeism	483

Learning and Development

The Group's learning and development strategy took a strategic paradigm shift during the year taking into consideration the new context of the industry that followed a path covering the most important needs of the hour on ensuring employee motivation, moral and resilience while nurturing a multi-skilled workforce. We also placed emphasis on enhancing employees' service-oriented skills with the objective of building Sri Lanka's 'friendliest and most professional' hotel staff in order to sharpen the Group's competitive edge. The core training elements were determined after a comprehensive training need analysis and the 'L&D TOP 5' was revised to suit the new industry requirements.

L&D Top 5

L&D Top 1
Staff
Multiskilling

L&D Top 2
Staff
Motivation

L&D Top 3
Launch of
Technical
Curriculum

L&D Top 4
BIB Training
Continuation

L&D Top 5
Launch of
ASIHM/TUI
Academy

CAPITAL MANAGEMENT

Human Capital

404-1 404-2 412-2

L&D Top 1 - Staff Multiskilling

All employees in all hotels and in key operational sectors are trained, certified and assigned work in other departments as well to ensure maximum productivity.

L&D Top 2 - Staff Motivation

WIN 2.0 (Wonderful, Innovation & Nourishing) programme includes a motivational workshop focusing on staff motivation, innovation and creating a team culture that would drive the Group during these unprecedented times.

L&D Top 3 - Launch of Technical Curriculum

Tailor-made learning curriculums are launched for Front office, F&B, Housekeeping and Kitchen staff which provides them a level-based path to follow while enhancing their knowledge in their respective field. This is given to all hotels along with the introductory training where employees are encouraged to learn by themselves, tested by corporate L&D team and certified.

L&D Top 4 - BIB Training Continuation

Brilliant in Basics (BIB) training proposition commenced in 2018/19 focusing on the knowledge transfer on SOPs (Standard Operating Procedures) by AASK Trainers (Aitken Spence Attitude Skill Knowledge). This continued during this financial year to ensure that all our employees are competent and passionate to deliver, which makes the Group a forerunner in the industry.

L&D Top 5 - Launch of Aitken Spence Institute of Hotel Management as 'TUI Academy Sri Lanka'

Please refer page 77 for further information.

Training Proposition in the Maldives

Employee training in the Group's Adaaran properties and Heritance Aarah are handled by a dedicated L&D team who conducts multiple training initiatives for their employees at all levels in order to maximise on empowerment, talent engagement and retention. Talent development approach comprises five elements; Associate Training, Associate Engagement, Process Development, Associate Development and Certifications.

In addition to the standard training initiatives during the year, several awareness programmes and employee engagement initiatives are in progress to encounter the challenges with the spread of COVID-19 pandemic such as cross exposure programmes, language trainings, COVID-19 awareness and COVID-19 Emergency Preparedness Plan, among others.

Training Record 2019/20

Rs. 22.9 Mn

(+49%)

Investment in Training

74,904

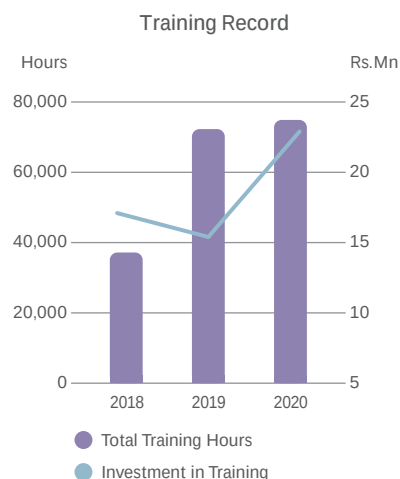
(+4%)

Total Training Hours

2.51

(-20%)

Average Training Hours



Average Training Hours

Category	2019/20	2018/19
Executives	6.12	5.03
Non-Executives	2.35	3.01
Average for the Year	2.51	3.13

Increase in investment in training reflects the addition of the training investments made in Heritance Aarah; newest jewel in our portfolio. Since the main focus of Maldives during the year was on the pre-opening project of Heritance Aarah and the three main international culinary competitions held, total training hours of the Group display a slight increase of 4% compared to 2018/19.



Corporate Orientation Programme Conducted for the Newly Joined Associates on Premium All-Inclusive Island Lifestyle at Adaaran Resorts in December 2019

Launch of the TUI Academy Sri Lanka

Aitken Spence Hotels partnered with the TUI Care Foundation and Youth Career Initiative during the year to launch the TUI Academy Sri Lanka in Ahungalla - a dedicated development centre aimed at providing hospitality-related training to underprivileged youth. Students undergo two months of comprehensive training on all aspects related to hotel operations upon completion of which they receive an opportunity to test their learnings during a three-month hands-on practical training session at Aitken Spence Hotels around the country, along with other partner organisations. Students are provided free accommodation, meals and an allowance for living expenses during their training at the Academy.

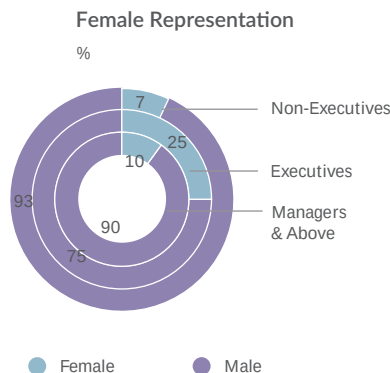
Attracting students to the industry in the aftermath of the April terror attacks required significant commitment from the Group's management team. We engaged proactively with parents, government officials and communities in guaranteeing the safety of students and ensuring that the programme would enhance their skills and long-term employability. In addition to industry-specific skills, the programme is also designed to enhance general employability through training on life skills, English language, communication, health and safety and sustainability. During the year, 60 students successfully completed their training, with 30 absorbed into our hotels as industrial trainees in the first batch.

A Diverse Workforce

We are deeply committed towards building a diverse workforce and have proactively sought to increase female representation at all levels of the organisation. Negative perceptions regarding the suitability of the industry for women has rendered it difficult to attract and retain female employees. We seek to address this taboo by conducting school level awareness programmes and inviting families to observe the working environments at our properties. We have also made substantial investments in upgrading the accommodation and amenities available for our female employees. Witnessing this, the Group launched a well-equipped ladies' accommodation facility at its most iconic property, Heritance Kandalama in July 2019 at an investment of Rs. 70 Mn.

There is no gender discrimination in the basic salary paid to men and women in the Group. The Group is an equal opportunity employer and has stringent governance structures and mechanisms in place to address any issues of harassment and discrimination. During the financial year under review no incidents of discriminations were reported. This fact is strengthened by the opportunities we have created for differently abled employees in our properties.

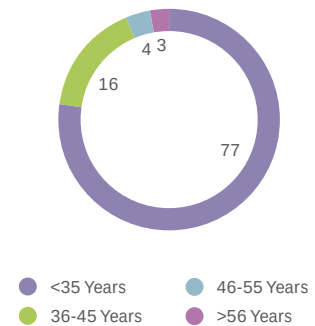
During the year under review, 12 employees with vision, hearing, speech disability, psychological disorders, mobility and physical impairments are in our workforce; showing a 50% increase compared to previous year.



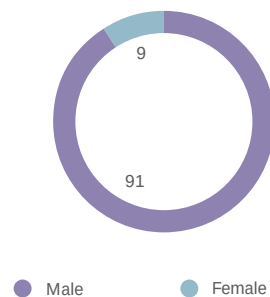
Employee Retention

Retention continues to be an industry-wide challenge given the shortage of skilled labour and increasing competition for prevailing labour. This issue was further compounded during the year, with the adverse industry conditions compelling employees to leave the hospitality industry for alternative employment. In addressing this challenge, the Group focused on enhancing employee motivation, providing financial support and continuing to invest in employee development. The Group's overall employee turnover rate amounted to 39% during the year.

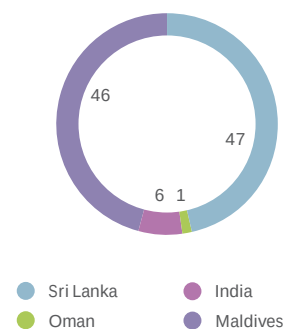
Turnover by Age



Turnover by Gender



Turnover by Region



Way Forward

As a service industry operator, our employees are our most valuable asset. Despite the prevailing uncertainties, we will take every effort to ensure their job security while balancing the Group's commercial sustainability. We are also in a stronger position to support our employees through these difficult times given the backing and diversity of our parent entity.

CAPITAL MANAGEMENT

Intellectual Capital



The Group's intellectual capital is represented by its unique base of tacit knowledge which is shared across the organisation through a learning and mentoring culture. Systems and processes which have been implemented across the Group, along with the strength of the corporate and hotel brands are also an important aspect of the Group's intellectual capital.

Intellectual Capital

Organisational capital
nurtured over four decades

Strong portfolio of brands

Comprehensive framework
of systems, processes and
procedures

Key Performance Indicators				
		2019/20	2018/19	YoY Change %
Average Length of Service	Years	5	5	-
Investment in Branding	Rs. Mn	515	336	53
Awards & Recognition	No.	305	61	400

CONNECTIVITY AND CAPITAL TRADE-OFFS



Ongoing investment in brand development will insert short-term pressure on financial resources, although over the long-term it supports better performance through increased guest satisfaction



A strong base of intellectual capital contributes towards enhancing the quality of our human capital through nurturing a unique knowledge base



Strong brands and well-developed systems and processes will act to sharpen the Group's competitive edge and enhance customer satisfaction and retention levels

Highlights 2019/20

- Ongoing investments in knowledge sharing and training through unique platforms
- Expansion of the Heritance brand to Maldives with Heritance Aarah - first LEED Gold certified property in the Maldives
- Received a total of 305 awards for multiple aspects of our operations

Challenges

- Increased pressure on financial resources due to prevalent industry conditions and resultant impact on brand building initiatives
- Intensifying competition from international hospitality brands

Way Forward

- Over the medium-to-long-term, as the tourism industry gradually recovers, Group will continue to invest in strengthening our brands through traditional and digital channels while proactively engaging with varied channel partners

Systems, Processes and Certifications

The Group's long-standing presence in the hospitality industry across multiple properties and geographies has, over the years, enabled it to consistently refine its systems and processes, driving excellence in all aspects of its operations. Standard Operating Procedures (SOPs) on key functions such as F&B, Front Office and Housekeeping ensure consistency in service and employee training. Meanwhile, the Group has obtained a host of domestic and international accreditations and certifications relating to diverse aspects of its operations including environmental management and design, energy management, food safety, sustainable tourism and occupational health and safety, among others providing independent assurance to our stakeholders regarding the integrity of our systems and processes.

	ISO 14001:2015 Environmental Management	ISO 22000:2005 HACCP Food Safety	ISO 50001:2011 Energy Management	Travelife Gold	LEED Leadership in Energy and Environmental Design	Other*
Heritage Ahungalla	✓	✓	✓	✓		
Heritage Ayurveda			✓	✓		
Heritage Tea Factory	✓	✓	✓	✓		✓
Heritage Kandalama	✓	✓	✓	✓	✓	
Heritage Negombo				✓	✓	
Heritage Aarah					✓	
Turyaa Kalutara	✓	✓				
Hotel RIU Sri Lanka				✓		
Adaaran Club Rannalhi		✓		✓		✓
Adaaran Prestige Vadoo		✓		✓		✓
Adaaran Select Meedhupparu		✓		✓		✓
Adaaran Prestige Water Villas						
Adaaran Select Hudhuran Fushi		✓		✓		✓
Adaaran Prestige Ocean Villas						

◆ Organic Produce/ Dive Centre Sustainability Certification

Group Support Services: The organisational management model is a shared services model which has been in practice since inception; and over time has established as a key intangible asset in the Group's efficacy in delivering value. Aitken Spence Group Support Services include Legal, Corporate Finance, Corporate Communications, Group Sustainability, Financial Shared Services and Business Development while other operational specific support services are provided centrally by the Aitken Spence Hotels Corporate Team. Please refer pages 34 to 35 for more information.

Brands

In addition to its three hotel brands (refer to page 47 for further information), the Group benefits from the strong corporate brand of its parent entity 'Aitken Spence.'

In December 2019, Aitken Spence Hotels was ranked No.1 among Nationwide Hotels in the LMD Top 100 issue, which was based on an exclusive online survey featuring Sri Lanka's most recognised service providers. Despite the prevalent industry conditions, we continued to invest in enhancing both our corporate brand and hotel brands. Key brand building initiatives during the year are listed alongside:



For Further Information Refer to
Brands and Architecture (Page 47)

Brand Building Initiatives

- Participation at the World Travel Market 2019 and other trade fairs and shows, which facilitated engagement with international partners and channels
- Increased focus on online and social media platforms
- Collaboration with influencers
- Engagement with several PR agencies in key markets
- Monthly interaction with external parties through collective brand newsletter
- Increased print media exposure - particularly targeting the European market

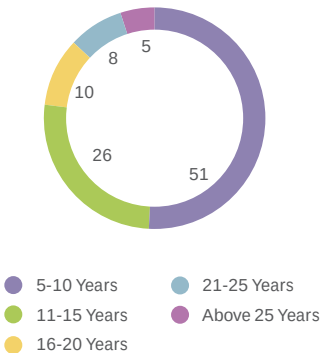
CAPITAL MANAGEMENT

Intellectual Capital

Organisational Capital

A culture of learning and knowledge sharing, over four-decade presence in the hospitality industry and its expansion into multiple destinations has enabled the Group to nurture a strong base of organisational capital, which is a vital aspect of its competitive edge. In addition to structured training programmes, in recent years, we have also invested in digital learning solutions enabling employees to share best practices and organisational knowledge through interactive platforms at their convenience. Such initiatives reinforce tacit knowledge across the organisation. Key knowledge sharing platforms in place include the following:

Employees by Years of Service
%



Structured Training Programmes	Tartan: Online Learning Management System
- SpenceStart (The Group Induction Programme) - AASK (Aitken Spence Attitude Skills Knowledge) Trainer programs 6 Platinum Rules of Customer Service - V Learning - ATM (Area Training Manager) programme - Customer Service Programme - Sustainability and 7S Training - Product Knowledge Card Pack Training - Basic Beverage Project - Grooming and Knowledge Audits - Technical Curriculum Development - Head of Department workshop	This system facilitates and encourages employees to be active in their learning by applying for courses online, following lessons, engaging in online quiz competitions and conducting discussions with peers. Employees earn points for their interactions where their learning is recognised.
	"M Learning"- Mobile Based Learning
	Development of short learning videos, which are released to employees through Whatsapp following the KISS principles (Keep It Short and Simple) for content creation.

Industry Engagement and Leadership

As Sri Lanka's leading hospitality operator, Aitken Spence Hotels has contributed towards driving the country's tourism sector forward through proactive engagement with industry counterparts, adoption of international best practices and industry capacity development through employee upskilling. The Group introduced many 'firsts' to the Sri Lankan hospitality industry, as listed below:



The Group continues to play an active role in various industry forums, engaging with the Government and industry counterparts in promoting Sri Lanka as a destination and sharing insights with the aim of developing the industry. The Group holds memberships in the following associations:

- Sri Lanka Tourism Development Authority
- Maldives Association of Tourism Industry
- The Pacific Asia Travel Association
- The Ceylon Chamber of Commerce
- The Hoteliers' Association of Sri Lanka
- The Employers' Federation of Ceylon
- The Field Ornithological Group of Sri Lanka
- The Environmental Management System Users and Promoters Association
- Business and Biodiversity Platform - All Sri Lankan Hotels
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management
- Exporters' Association of Sri Lanka
- Lanka Fruit & Vegetables Producers, Processors & Exporters Association
- Responsible Tourism Partnership
- Sri Lanka Tourism Alliance
- Sri Lanka Bottled Water Association

Commitment to the External Initiatives & Endorsements

- UN Global Compact
- UNWTO Global Code of Ethics for Tourism
- The Women's Empowerment Principles
- GRI Standards for Sustainability Reporting
- Integrated Reporting Framework by The International Integrated Reporting Council (IIRC)
- Travelife and GSTC

Awards and Accolades

It is most heartening that our efforts and the facets of our properties continued to be recognised by external awards and accolades during the year spurring us on in our commitment to excellence.

Corporate Awards

- Institute of Chartered Accountants of Sri Lanka: 55th Annual Report Awards; Gold Award Winner - Hotel Companies Sector
- CMA Excellence in Integrated Reporting Awards 2019; Best Integrated Report - Hotels & Travel Sector Certificate of Merit for Overall Excellence in Integrated Reporting
- National Business Excellence Awards 2019; Gold Award Winner - Hospitality & Tourism Sector
- ACCA Sustainability Reporting Awards 2019; Gold Award Winner - Leisure & Connected Services Category
- SAFA Best Presented Annual Report Awards 2018; Joint 1st Runner Up - Service Sector (Excluding Financial Services, Communication & IT)
- Top Gold 100 Companies by Corporate Maldives Adaaran Resorts

Culinary Excellence

- Culinary Art Food Expo 2019 By Chef's Guild of Sri Lanka; Overall Wining of 130 Medals (42 Gold, 37 Silver, 51 Bronze) Heritance Aarah shined as Champions and Heritance Kandalama as the Most Outstanding Cultural Triangle Team
- FHAM 2019 - The International Culinary Challenge; Overall Wining of 83 Awards (21 Gold, 23 Silver, 22 Bronze & 17 Merit Certificates) by Adaaran Resorts and Heritance Aarah Heritance Aarah honoured as Most Outstanding Culinary Resort in the Maldives
- IKA Culinary Olympics 2020; Heritance Aarah honoured with 4 Gold, 7 Silver and 2 Bronze Medals

Property & Brand

- South Asian Travel Awards (SATA) 2019; Heritance Kandalama - Leading Eco-Friendly Hotel/Resort in Sri Lanka & South Asia Heritance Tea Factory - Leading Theme Hotel/Resort in Sri Lanka & South Asia Heritance Ayurveda - Leading Wellness & Spa Hotel/Resort in Sri Lanka & South Asia Heritance Negombo - Leading Designer Hotel/Resort in Sri Lanka Adaaran Prestige Water Villas - Leading Dive Hotel/Resort in Maldives & South Asia Adaaran Select Meedhupparu - Leading Dive Hotel/Resort in Maldives & South Asia Adaaran Select Hudhuran Fushi - Leading Surf Hotel/Resort in Maldives & South Asia Turyaa Chennai - Leading Boutique Hotel in India
- Heritance Ayurveda - Winner in FIT Premium Quality Hotel - Ayurveda & Yoga by Fit Reisen
- Turyaa Chennai; 'Best City Hotel' at India Travel Awards 2019
- Al Falaj Hotel - Middle East Most Promising Brand Award 2019 at The Middle East Leadership Awards

CAPITAL MANAGEMENT

Intellectual Capital

Sustainable Tourism

- **National Sustainability Tourism Certification (NSTC) Ceremony;**
Heritage Kandalama - Recognised in the Platinum Category with a Special Award for Environmental Preservation
Heritage Tea Factory - Recognised in the Gold Category with a Special Award for Effective Sustainability Management
Heritage Ahungalla & Heritage Ayurveda - Bronze Winners
- **Adaaran Select Meedhupparu;TUI Environmental Champion Award 2020 By TUI Group**
- **Green Building Awards 2019;**
Heritage Aarah - Gold Award and the title as '1st Green Rated Building in the Maldives'
- **Presidential Environmental Awards 2019;**
Heritage Tea Factory - Certificate of Commendation for the Excellence Contribution towards Environmental Conservation in Hotels Category
- **National Cleaner Production Awards 2019;**
Heritage Tea Factory - Gold Award in Service Organisations (Hotel Category)
- **Nagarayata Uyan Vathu Competition;**
Heritage Tea Factory - 1st Runners Up (Central Province)

Online Platform Recognitions

- **Traveller Review Awards 2020 By Booking.com;**
Heritage Ahungalla, Heritage Kandalama, Heritage Tea Factory, Heritage Negombo, Heritage Ayurveda, Amethyst Resort, Heritage Aarah, Adaaran Prestige Vadoo, Adaaran Prestige Water Villas, Adaaran Select Meedhupparu, Adaaran Club Rannalhi, Adaaran Select Huduran Fushi, Adaaran Prestige Ocean Villas, Turyaa Chennai
- **Certificate of Excellence 2019 By Trip Advisor;**
Heritage Ahungalla, Heritage Kandalama, Heritage Tea Factory, Heritage Negombo, Heritage Ayurveda, Amethyst Resort, Adaaran Prestige Vadoo, Adaaran Prestige Water Villas, Adaaran Select Meedhupparu, Adaaran Club Rannalhi, Adaaran Prestige Ocean Villas, Turyaa Chennai, Al Falaj
- **HolidayCheck Award 2020 By HolidayCheck;**
Heritage Ahungalla, Adaaran Select Meedhupparu, Adaaran Select Huduran Fushi
- **'Loved by Guests' Award 2020 By Hotels.com;**
Heritage Kandalama, Heritage Negombo, Heritage Tea Factory, Adaaran Prestige Vadoo, Adaaran Prestige Water Villas
- **Turyaa Chennai - Certificate for 'Very Good Hygiene Rating' by Food Safety and Standards Authority of India (FSSAI)**

Other Awards & Recognitions

- **L&D Team of Adaaran/Heritage Aarah was awarded;**
South Asia Human Resources Hotelier of the Year 2019 at the Stellier Awards
L&D Professional of the Year Award 2019 at South Asian Business Excellence Awards 2019
'50 Most Talented HR Leaders' in the Maldives by HR Maldives for 2018
- **Oman Leadership Awards 2019; General Managers of Al Falaj Hotel and Desert Nights Camp shined as 'Oman's Best General Managers' in the Hospitality Category**



Aitken Spence Hotels Chairperson and Finance Team at the National Business Excellence Awards 2019

CAPITAL MANAGEMENT

Social and Relationship Capital



The relationships we have nurtured over time play a vital role in preserving the Group's competitive edge, particularly during challenging periods as witnessed in 2019/20. We continued to invest in strengthening these mutually beneficial and impactful partnerships with our customers, business partners, suppliers and communities.

Social and Relationship Capital

+850,000
Guest Nights

3,623
Channel Partners

800
Suppliers

Key Performance Indicators

		2019/20	2018/19	YoY Change %
Average Guest Satisfaction Rate:				
Sri Lanka		90.6%	89.9%	1
Maldives		95.0%	94.6%	0.4
India		88.1%	87.6%	1
Oman		80.8%	79.5%	2
Payments to Suppliers	Rs. Mn	10,447	16,451	-36
Total Channel Partners	No.	3,623	3,938	-8
Employees from Local Community	%	42	47	-11
Investment in Sustainability and Community Development	Rs. Mn	18.6	17.5	6

CONNECTIVITY AND CAPITAL TRADE-OFFS



Pressure on financial resources during the year compelled the Group to curtail community investments especially in the Sri Lankan sector as we sought to optimise performance



Recruitments from local communities have helped us support employment generation and economic empowerment in our communities, while building a motivated and satisfied team



We engage customers and communities in our environmental preservation initiatives, thereby creating increased awareness among communities

Highlights 2019/20

- Efforts to strengthen our network of business partners
- Broad-based increase in customer satisfaction scores by 1%
- Launch of TUI Academy Sri Lanka to support skill development among underprivileged youth

Challenges

- Difficult market conditions led to a 18% decline in guest nights during the year
- Limitations on financial resources compelled the Group to curtail its community investments especially in the Sri Lankan sector

Way Forward

- Increased emphasis on positive marketing communication and visibility of the brand over the short term and pursuit of growth opportunities in different markets

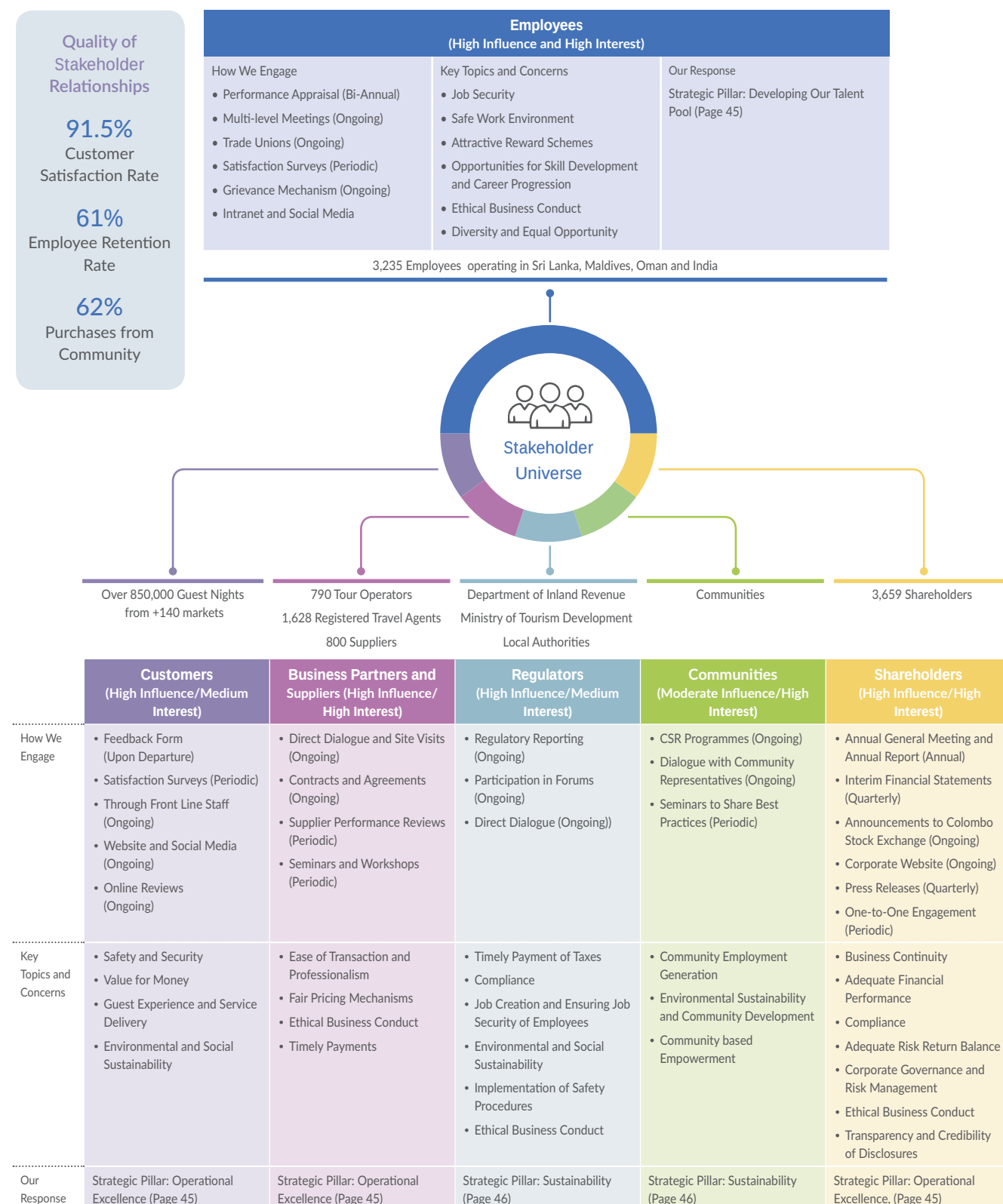
CAPITAL MANAGEMENT

Social and Relationship Capital

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Engaging Stakeholders

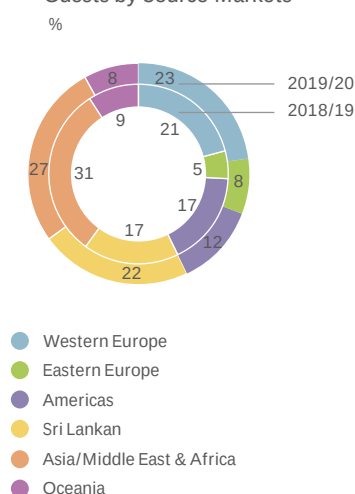
The market conditions that prevailed during the year necessitated deeper engagement with our stakeholder universe in order to clearly identify their concerns during these challenging times. In selecting and prioritising stakeholders, we engage with parties who potentially have the most significant impact on our value creation process and those who are affected most by our activities. The results of our stakeholder engagement mechanisms during the year are given below.



Customers

The Group recorded 858,836 guest nights in 2019/20, a decline of 18% YoY, reflecting the unprecedented challenges faced during the year. Following the April terror attacks, we witnessed a sharp drop in European arrivals which compelled the Group to pursue growth in alternative markets such as India, China and the CIS region which are price-sensitive markets. While India maintained its position as our top source market, other markets such as Germany and Russia gained traction towards the latter part of 2019, before falling sharply amidst the outbreak of COVID-19. Domestic guests accounted for 22% of the total customer base in Sri Lanka, as we offered attractive promotions and targeted the corporate segment in the months following the April attacks. Meanwhile, long-term trends such as demographic changes, customer preferences and global wealth distribution continue to reshape key source markets, and the Group proactively monitors such trends to capitalise on emerging opportunities.

Guests by Source Markets



Key customer-related priorities during the year under review were as follows:

Ensuring Health and Safety of all Guests

Given the unprecedented events that shaped our operating environment in 2019/20, ensuring health and safety of our valuable guests emerged as a key priority. We made considerable investments in strengthening security infrastructure especially in our Sri Lankan properties following April terror attacks amounting to Rs. 88.6 Mn. Measures adopted included the installation of state-of-the-art scanning machines, increased deployment of security personnel and security-related training for all employees. Meanwhile, following the outbreak of COVID-19, we increased access to hand sanitisers and medical supplies while introducing screening and temperature checks (refer page 75 for further information). We maintain close engagement with relevant healthcare and local authorities. Three of our Adaaran properties have in-house doctors and others have a Doctor-on-call with emergency medical facilities accessible within 30 minutes of the property. As a result of these measures, there were no reported incidents of infection in any of our properties and there were no incidents of non-compliance concerning the health and safety impacts of products and services.

Guest Satisfaction

We proactively monitor customer satisfaction through multiple tools including the Global Review Index™ (GRI™), in-house hotel surveys, social media and business channels. GRI™ is an online reputation score that collects review data from online travel agencies and review sites such as Booking.com, Trip Advisor, Agoda, C-Trip among others. The score also allows us to drill down on specific service aspects such as cleanliness, room, gastronomy, location and value among others. The Group monitors its GRI scores on a daily basis with reasons for negative feedback evaluated and required improvements are made to processes, training plans and operations.

Despite the challenging conditions that prevailed during the year, customer satisfaction levels improved across most of our hotels and our GRI scores continue to be among the highest in all the regions we operate.

**Booking.com; Traveller
Review Award for 14
Properties**

**HolidayCheck Award
2020 for 3 Properties**

**Hotels.com; Loved by
Guests Award for 5
properties**

Property	2019/20	2018/19	YoY Change
Heritage Ahungalla	91.60%	91.10%	0.5
Heritage Ayurveda	93.50%	90.20%	3.3
Heritage Kandalama	92.30%	91.40%	0.9
Heritage Negombo	91.80%	90.70%	1.1
Heritage Tea Factory	91.00%	88.10%	2.9
Turyaa Kalutara	85.50%	91.10%	-5.6
Amethyst Resort	88.50%	86.80%	1.7
Heritage Aarah	96.70%	-	-
Adaaran Club Rannalhi	93.10%	93.80%	-0.7
Adaaran Select Hudhuran Fushi	94.80%	95.10%	-0.3
Adaaran Select Meedhupparu	91.70%	92.00%	-0.3
Adaaran Prestige Ocean Villas	97.50%	97.20%	0.3
Adaaran Prestige Vadoo	96.60%	95.80%	0.8
Adaaran Prestige Water Villas	95.60%	93.50%	2.1
Al Falaj Hotel	80.80%	79.50%	1.3
Turyaa Chennai	88.10%	87.60%	0.5

CAPITAL MANAGEMENT

Social and Relationship Capital

Creating Unique Customer Experiences

“

HERITANCE AHUNGALLA 91.6% GRI™



Five-star luxury in Ahungalla beach front

Beautiful hotel with utmost luxury in golden sands of Ahungalla. The hotel was tastefully designed for comfort with spacious rooms. The rooms are very clean and well maintained. The food spread is mouth-watering with international varieties. The food is very tasty and healthy. The staff is very friendly and nice with smiling faces. The room service is very efficient with care. A beautiful spa to get energized and refreshing. Overall it is the best property in the south costal belt of Sri Lanka.

”

Ramesh A from
Sri Lanka (14 Oct 2019)

“

HERITANCE KANDALAMA 92.3% GRI™



Very extraordinary

I have never been in a such extraordinary resort, midst the lush greenery, covered by a thick and dense forest. You feel you are in the middle of the jungle. The first hotel in Asia to be Green Globe certified. The view at the lake is magnificent, with three pools overlooking. The rooms and bathrooms are spacious. The food and service excellent. Service very nice and professional.

”

Aeskulap1 from
Switzerland (27 Feb 2020)

“

HERITANCE NEGOMBO 91.8% GRI™



Pleased guests!

We stayed at this amazing hotel for 2 whole weeks, and we could simply not be more satisfied with our holiday. The service was splendid. Every single employee truly worked hard to provide such an amazing care for us as guests! Room service, cleaning and their general behavior made this hotel seem like one of the best we've had the pleasure of visiting. Not only was the service great, the breakfast was simply excellent. Tons of options, great flavors and a great view of the beach!

”

Ole Martin S
(20 Sep 2019)

“

HERITANCE TEA FACTORY 91% GRI™



Unique character, style, and attention to detail

Easily the most interesting hotel that I've ever stayed at, you can't help but fall in love with its character. The hotel has retained many of the original features of the 1930s tea factory and has been sensitively refurbished. The service is very personal, and the staff are incredibly polite and smartly dressed. The hotel grounds are beautiful with views of the surrounding tea plantations, where you can visit a small working tea factory. The best thing I can say about this hotel is that we'll miss it - our favorite hotel in Sri Lanka!

”

AndrewM5069 from
Great Britain (UK) (11 Mar 2020)

“

HERITANCE AARAH 96.7 GRI™



Best holiday and resort ever

We stayed at Heritance Aarah for 7 nights and could easily stay longer. The resort is paradise. Cannot recommend it highly enough. Everything was 7 star - the overwater villa was perfect. The staff were amazing. Food was best we've ever eaten. View and location were heaven. We travel the world and have never had a better holiday. We renewed our wedding vows during our stay and the set up and location was fantastic. Photos and memories for life. Do yourself a favor and stay at Heritance. I'm planning on returning as soon as I can.

”

tanyaw402 from
Australia (17 Mar 2020)

“

ADAARAN PRESTIGE VADOO 96.60 GRI™



We cannot ask for more luxury .. Absolute Tranquility!

We had the best time ever over here in Adaaran Prestige Vadoo. The service, the ambience, the facilities are beyond comparison. Snorkeling experience around the reef is breathtaking. Come experience the luxury this fantastic resort has to offer. Above all, the courteous and welcoming staff tend to our likings very well. Shout out to Manu for taking care of us from our arrival until our departure. He is very friendly and suggested the must do's here. Thanks so much for making our time here one of most memorable one. We will cherish it forever.

”

vinayakss from
United Arab Emirates (14 Feb 2020)

As competitive pressures intensified and market conditions became increasingly difficult, we sought to further enhance the customer experience by leveraging on our core strengths. Key initiatives launched during the year included:

- Consolidated operations of Turyaa Kalutara introducing four-star all-inclusive offer
- Launch of new eco-friendly Beach Bar at Amethyst Resort featuring many sustainable design elements including seating fashioned from upcycled tyres and demarcations made from used bottles
- Celebrations to commemorate special events such as Chinese New Year, Independence Day, Sinhala and Hindu New Year, New Year Eve and Christmas among others
- 'Let's Sea' Sunday Seafood lunch at Heritance Negombo
- Unique dining experiences such as Desi Thursdays and Flaming Fridays at Al Falaj, Lobster Dinner, Dine in Unique Style, Dhoni Dinner, Floating Lunch/Dinner at Adaaran Properties, Special Cocktails such as Work Flair, Infusion Siphon, Porthole Infusion and Exclusive Wine Dinner at Heritance Aarah
- Guest competitions and engagement including Sandcastle Building competition, Table Decoration Competition and Best Couple at Adaaran Club Rannalhi, Bodu Beru - traditional Maldives drum play at Heritance Aarah and sporting events
- The Heritance Experience Package - Chasing the Sun, Spot of Morning Fishing, Quietude on a Sand Bank, Local Island Experience, In Search of Bigger Fish and Dolphin Watching at Heritance Aarah

During the year under review, no incidents of non-compliance concerning product and service information and labeling or marketing communications were reported.

Ensuring Customer Privacy

The Group has access to customers' confidential information via many sources including third-party booking systems, point-of-sale systems, booking engines, e-marketing messages and phone communication. Privacy is maintained in compliance with General Data Protection Regulation (GDPR) - an EU regulation on data protection. GDPR is applicable across all departments in the hotel, from management to front office associates. Hotel staff are trained in the collection, access, use and disclosure of personal information, as well as how to restrict access to customers' personal and payment data based on established standard operating procedures. No substantiated complaints concerning breaches of customer privacy and losses of customer data were reported during the year.

Measures and SOPs

- Limiting access of guests' personal data to only those who need to see it
- Advise and train employees on how to responsibly dispose documents containing payment card data and personal information
- Send email marketing communications to only those who have explicitly opted into the guest marketing program

Channel Partners

Our channel partners play a crucial role in our value creation process, providing access to new markets and customers. We maintain relationships with a total of over 3,600 channel partners, comprising tour operators, Destination Management Companies (DMC), Online Travel Agents (OTA) and the local segment including corporates. Given the market conditions during the year, we sought to further widen our relationships with partners and increase engagement and collaboration to access new markets and customer segments.



For Further Information Refer to
Digitisation (Page 50)

In addition to its channel partners, the Group has partnered with property owners to provide hotel management services to six properties in Sri Lanka and Oman. These are Oman Hotels and Tourism Company, Earls Court, and Millers PLC. In addition, we have invested in a 60% stake in Hotel RIU Sri Lanka; a partnership with global hotel brand - RIU Hotels and Resorts Spain. In addition, the Group benefits from the business synergies accruing from its relationship with Aitken Spence Travels (Pvt.) Limited - a sister company and Sri Lanka's largest inbound tour operator.

These relationships enable the Group to benefit from international hospitality expertise, while transferring knowledge to local property owners by offering management services.

Suppliers

We procure a range of items from perishables to furniture to other services from a network of over 800 local and international suppliers. In 2019/20, we further expanded our supplier base, focusing primarily on local value chains with the objective of promoting local value addition. We continued to support suppliers in enhancing product quality, facilitating market linkages and developing skills; during the year which include hand-made ceramics procured from a local supplier were exported to our Maldivian resorts.

The Group's Procurement Policy clearly sets out guidelines to be followed in supplier selection, maintaining confidentiality, supplier support and termination, among others. In addition to factors such as product quality, cost and financial position, environmental and social practices; human rights and prevention of forced or child labour are also considered when assessing suppliers. During the year 190 new suppliers were screened for sustainability criteria including labour and environmental practices and there were no identified instances of actual or negative social impacts. We also conduct site inspections and supplier audits and work with our partners in reducing the environmental impacts of their operations.

CAPITAL MANAGEMENT

Social and Relationship Capital

102-9 202-2 203-2 204-1 413-1 413-2



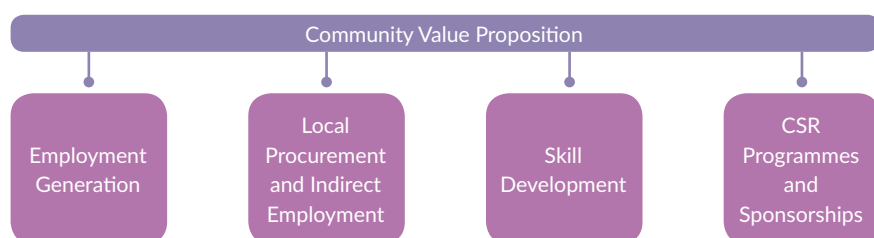
Local Community Purchasing: Efforts are made to source locally whenever possible, facilitating value injection to the surrounding communities. Main items procured from adjacent communities include perishables, agricultural produce and fuel wood for bio-mass plants. Proportion of spending on local procurement during the year is given below.

It is noteworthy to mention Heritance Negombo's 'Let's Sea Sunday Seafood Lunch' introduced post-April terror attacks to support local suppliers who were suffering from loss of business. For the 'Let's Sea' initiative, the hotel team curated a special menu with ingredients procured 100% from local suppliers in the community.

Property	% of Procurement Expenditure to Local Suppliers
Heritance Kandalama	32%
Heritance Ahungalla	39%
Heritance Tea Factory	28%
Heritance Ayurveda	53%
Turyaa Kalutara	33%
Amethyst Resort	77%
Hotel RIU Sri Lanka	13%
Maldives	58%
Oman	97%
India	100%

Community Engagement

The Group's approach towards engaging and empowering communities extends beyond ad-hoc CSR initiatives to develop meaningful and impactful relationships. Our community value proposition is graphically illustrated below. Given the challenging market conditions during the year, the Group was compelled to limit its expenditure to essential activities and therefore Investment in community development was relatively limited especially in the Sri Lankan properties.



Employment Generation

When recruiting resort-level employees, all efforts are made to attract local talent thereby contributing to job generation and socio-economic empowerment. While recruitments were minimal during the year under review, approximately 42% of employees had been recruited from within 35 km radius to the respective hotel during the year under review. In addition to recruitment, we are also committed to developing these employees and supporting their long-term employment prospects. Accordingly, several of our properties have a relatively high manager representation from local communities.

% of Managers from Local Community	
Heritance Kandalama	36%
Heritance Tea Factory	40%
Heritance Ayurveda	60%
Heritance Negombo	18%
Turyaa Kalutara	60%
Hotel RIU Sri Lanka	29%
Maldives	13%
Oman	29%
India	100%

Local Procurement and Indirect Employment Generation

We support local economic activities and indirect employment generation in adjacent communities through,

- Local procurement of perishable items such as fruits, vegetables, fish, meat, poultry items and skilled and unskilled labour from local third-party suppliers
- Arrange excursions for guests in partnership with communities
- Day visits permitted by screened local homes

Skill Development

We are cognisant of the shortage of skilled personnel in the hospitality industry and are committed towards enhancing the human capital skill base through providing best-in-class ongoing opportunities for training. Over the long-term, this leads to socio-economic empowerment and better living standards in these families. Key initiatives conducted during the year included,

- Launch of the TUI Academy Sri Lanka in Ahungalla in which underprivileged students undergoing hospitality related training through a comprehensive course spanning two months (refer page 77 for further information)
- Tourism and Jobs: A Better Future for All' programme is carried out by Heritance Ahungalla for local schools and an awareness program on Sri Lankan tourism industry is conducted by Amethyst Resort for 180 students from three schools in Passikudah
- Adaaran Select Meedhupparu conducted a food health and safety demonstration for 40 students from the Meedhoo School under the theme 'Food and Healthy Living'. The Resort also organised a tour of the hotel for the BTEC Tourism students of Meedhoo School, giving them practical insights on the functioning of a resort

- L&D team of Maldives conducted two recruitment drives in six cities and two Atolls to attract potential local talent to our resorts
- Kurimagu 2020 - The biggest local management trainee programme of Adaaran resorts

Few of Our Property Level CSR Activities

- 'Heta Lowa Dinannata Diriyen Piyanagamu' Project by Heritance Kandalama - Donation of school bags with water bottles, lunch box and pair of shoes to 61 children
- Beach cleaning campaign by Heritance Ahungalla and Amethyst Resort with the participation of guests and hotel staff
- Reef cleaning programmes by Maldivian Resorts to remove sea urchins in preserving coral habitats and maintain biological diversity
- Blood donation campaigns organised by Adaaran Prestige Vadoo in partnership with the Maldives Blood Bank
- A programme organised in partnership with the 'Association for Children with Disabilities Rehabilitation Centre in Azaiba' by Al Falaj Hotel which involved provision of meals and distribution of gifts with birthday celebrations at the centre



Heta Lowa Dinannata Diriyen Piyanagamu - Donation of School Bags with Water Bottles, Lunch Box and a Pair of Shoes to Children by Heritance Kandalama in Feb 2020

CAPITAL MANAGEMENT

Natural Capital



We are deeply aware of the role we can play in promoting sustainable tourism and preserving the natural environment, while contributing to the achievement of the Sustainable Development Goals. As an industry leader in eco-tourism, we follow a strategic approach towards minimising our adverse environmental impacts and contributing positively to the environment surrounding our properties.

Natural Capital

Ecological Systems **+4%** Energy Consumption **-20%** Water Consumption

Key Performance Indicators				
		2019/20	2018/19	YoY Change %
Energy Consumption	GJ	372,105	356,511	4
Energy Consumption per Guest Night	MJ	415.35	336.10	24
Water Consumption	Litres	753,155	936,412	-20
Water Consumption per Guest Night	m ³	840.68	882.81	-5
Water Recycled and Reused	m ³	601,469	738,522	-19
GHG Emissions (Scope 1 & 2)	tCO ₂ e	38,726	38,756	0
GHG Emission per Guest Night	kgCO ₂ e	43.23	36.54	18

CONNECTIVITY AND CAPITAL TRADE-OFFS



While increasing business activities invariably lead to more significant environmental impacts, increasing the energy and water efficiency of our operations will over the long term, lead to cost savings



Environmentally friendly design elements are incorporated to the architecture/design of most of our properties



We direct efforts towards instilling a culture of environmental consciousness among our employees



We strive to engage guests in conservation by raising awareness and giving them an opportunity to take part in our initiatives

Highlights 2019/20

- Heritance Aarah - the first LEED Gold certified property in the Maldives
- Transfer of Patron membership of Biodiversity Sri Lanka Platform from Heritance Kandalama to the Group
- Maintaining our carbon footprint at static level

Challenges

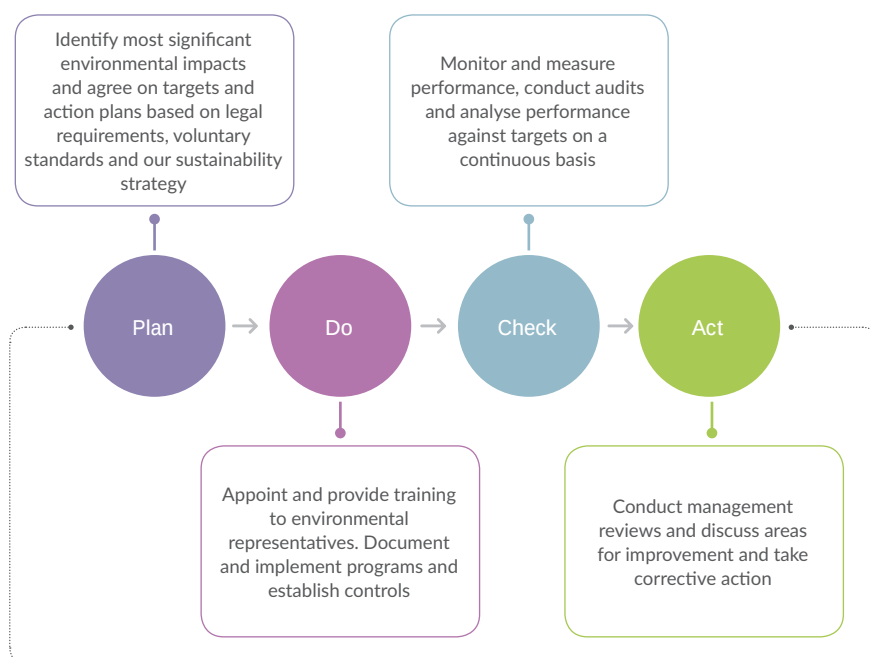
- Financial constraints in driving our environmental agenda, particularly given the adverse industry conditions
- Increasingly prevalent implications of climate change

Way Forward

- Effective management of energy costs and efficiency
- Investments in upcycling and recycling with the ultimate aim of zero waste to landfill

Managing Environmental Impacts

We are deeply committed towards preserving the natural environment we operate in through promoting sustainable tourism. As such we continue to invest in strengthening our Environmental Management System through which hotels' impact on natural resources, the climate and ecosystems are monitored and minimised. We have also obtained a host of national and international environmental certifications which ensure that impacts are identified, monitored and reported in a consistent and reliable manner. Environmental KPIs have been integrated to the property performance management framework, driving concerted efforts towards enhancing resource efficiency. Key elements of the Group's Environmental Management System are given below:



Key developments and achievements pertaining to the Group's environmental management during the year are as follows:

- Patron membership of Biodiversity Sri Lanka Platform was transferred from Heritance Kandalama to the Group, obtaining benefits of the platform to the entire Group
- Obtained Travelife membership for Heritance Aarah and Turyaa Kalutara
- Enhanced sustainability reporting with SoFi system which allows increased customisation of information with more reliability, accuracy and dynamic analysis
- Heritance Kandalama emerged as the grand winner of the first National Sustainability Tourism Certification Ceremony (NSTC) in 2019 receiving the Platinum Award
- 12 awards received for environmental management and sustainable tourism
- No instances of non-compliance are reported pertaining to any environmental laws/regulations since compliance is ensured at a property level and reported to the Group Head of Sustainability on a regular basis

Underlying Policies and Frameworks



CAPITAL MANAGEMENT

Natural Capital

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Implications of Climate Change

We are aware that climate change poses significant risks to our industry, particularly given its dependence on the quality of the natural environment in destinations and weather patterns. As climate change related natural disasters increase globally in both frequency and impact, organisations are increasingly required to consider environmental risks when making investments.

Natural Disasters and Extreme Weather	Impacts on Biodiversity and Ecosystems	Failure to Adapt to Climate Change
- Impact on infrastructure and natural ecosystem - Increased cost of operations - Disruptions to supply chain - Loss of lives - Impact on living conditions	- Depletion of resources - Rising sea levels - Effect on attractiveness of destination	Direct impact on operations and supply chains

Resource Consumption



The primary natural resources we consume are energy, water and raw materials. Concerted efforts are in place to drive increased efficiency of these resources as listed below. For more detailed information on our initiatives please refer the published sustainability reports of our properties via QR code.

Resource	Usage Details	Initiatives in place and Relevant SDG
Energy	Primary sources of energy in our properties are electricity, diesel, petrol, LPG and bioenergy. Energy is a key input to our operations, and accounts for around 12% of total direct and indirect operating expenses.	- Use of energy efficient lighting solutions such as LED lighting - Installation of inverter type air conditioners - Key card activation for electricity and air conditioning in rooms - Energy efficiency of products given due consideration during point of purchase - Heritage Kandalama - Generation of bio energy to power boilers and generate steam - Heritage Ayurveda - Installation of solar lighting - Adaaran Resorts - Photocell system for garden and exterior lights/solar power solutions for outdoor lighting  
Water	The Group's water requirements are fulfilled primarily through sea and ground water sources, although none of these bodies are significantly affected from our water withdrawal. In 2019/20, Heritage Kandalama increased reliance on pipe-borne water, thereby reducing the impact on ground water sources.	- Commitment to reduce water withdrawal through recycling and engaging guests in conservation - Sub-metering to monitor water usage and actual consumption is monitored against targets on an ongoing basis - Providing a range of green options to customers including towel and linen changes - Maintaining water flow rates - Optimising garden irrigation times to ensure minimal consumption - Water flow rates maintained within the targeted range - Reuse of treated grey water for gardening/flushing - Adaaran Club Rannalhi - Rainwater harvesting for cleaning purposes 
Raw materials	Main raw materials include F&B inputs, food packing material, linen and consumable room amenities, fuel and other engineering raw materials.	- Ongoing efforts to source and consume sustainable materials such as reusable and recyclable packing materials - Reducing the consumption of plastic consumables such as straws, stirrers, butter sachets and cling film 

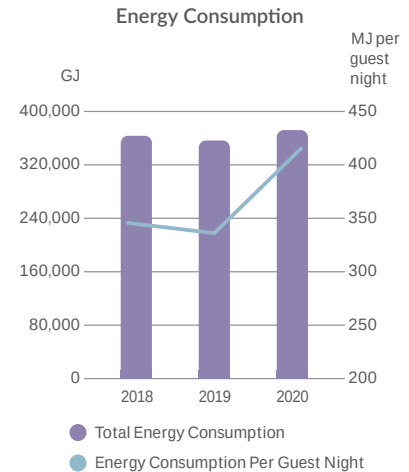
Key Environmental Indicators

Reduced occupancy and activity levels in 2019/20 resulted in considerable reductions in resource consumption as demonstrated below.

Energy Consumption

	2019/20	2018/19	2017/18
Total Energy Consumption (GJ)			
Sri Lanka	123,580	135,268	137,459
Maldives	217,400	190,424	191,128
Oman	17,656	17,459	21,196
India	13,469	13,360	13,783
Total	372,105	356,511	363,566
Energy Consumption per Guest Night (MJ)	415.35	336.10	345.70

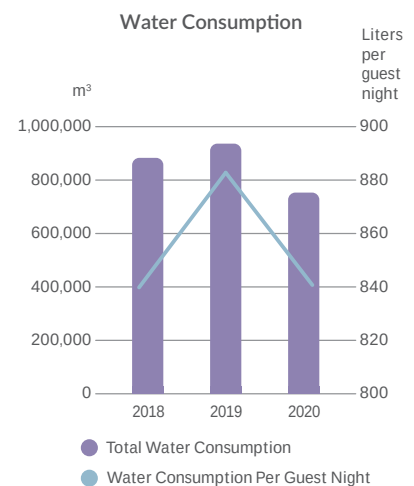
The chart demonstrates the Group's total energy consumption over a period of three years, along with its intensity (defined as energy consumption per guest night). Total consumption increased by 4% during the year, reflecting the operations of Heritance Aarah which was somewhat countered by the reduced operational activities of Sri Lanka, while energy intensity has increased due to the reduction of guest nights of the Group by 18%.



Water Consumption

	2019/20	2018/19	2017/18
Total Water Consumption (m³)			
Sri Lanka	416,382	561,594	509,766
Maldives	254,120	271,741	267,703
Oman	48,920	63,536	67,105
India	33,733	39,541	38,634
Total	753,155	936,412	883,208
Water Consumption per Guest Night (litres)	840.68	882.81	839.82

The chart demonstrates the Group's total water consumption over a period of three years, along with its intensity (defined as water consumption per guest night). Water consumption declined by 20% during the year, reflecting reduced operational activity and occupancy levels especially in Sri Lanka. Total water consumption does not include water obtained for drinking purposes through bottled water and bowlers obtained during drought period.



Total Water Withdrawal by Source - m³

	2019/20	2018/19	2017/18
Ground Water	303,983	410,788	403,138
Municipal Water	168,544	253,883	212,367
Sea Water	638,591	679,353	669,257

No water source or bodies were significantly affected due to withdrawal/discharge of water or runoff.

Water Recycled & Reused - m³

	2019/20	2018/19
Sri Lanka	347,349	466,781
Maldives	254,120	271,741
Oman	-	-
India	-	-
Total	601,469	738,522

CAPITAL MANAGEMENT

Natural Capital

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Waste Management and Recycling

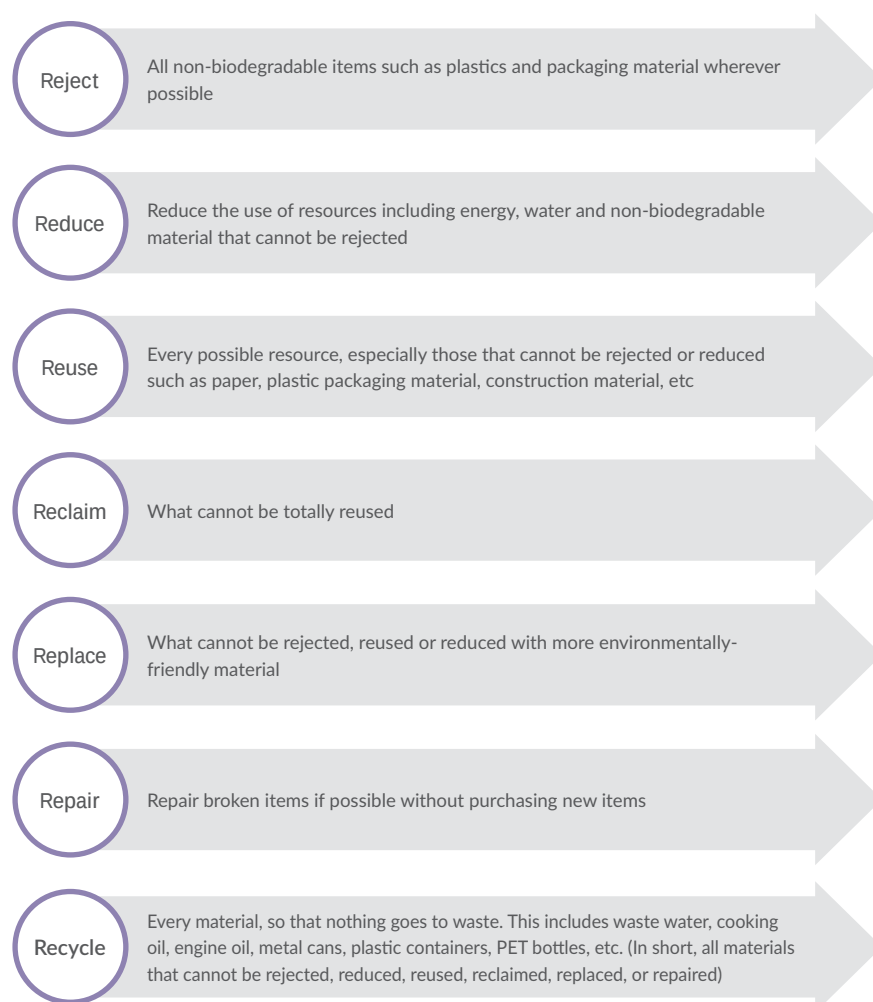
Key types of solid waste generated from hotel operations include food waste, kitchen waste and human waste and systems are in place at all our resorts for effective segregation, recycling and disposal of waste. Food waste is used for compost or sent to piggeries while kitchen waste is treated to trap the oils and fats and used for fertiliser while human waste is sun-dried and converted to fertiliser.

There were no significant spills recorded during the year which negatively impacted the environment or health. The Group's waste management is guided by its internally developed 7R approach which has been implemented across the Aitken Spence Group to drive increased reuse and recycling of resources, aimed at reaching zero waste to landfill status.

In addition to ongoing waste management initiatives in place (refer table below), the following programmes were launched during the year;

- 'Will you fill a bottle' initiative at Heritance Aarah through which discarded cigarette filters were collected with the participation of resort employees, who were awarded exciting prizes depending on the number of spent cigarette filters they collected.
- Eliminating PET bottles: As part of a Group initiative, we intend to gradually eliminate the use of PET bottles over the next five years. The initiative was launched at Heritance Tea Factory during the year by replacing PET bottles with glass bottles.

The 7R Approach to Waste Management



Waste/Effluent Management Initiatives in Place

- Purchasing Policy specifies the procurement of sustainable products which are more durable, organic and recyclable
- Composting food and garden waste to biodegradable fertiliser
- Heritance Kandalama - Coconut shells sent to produce activated carbon
- Adaaran Prestige Vadoo - Food waste and garden waste converted to bio-degradable fertiliser programme



Waste Management Performance

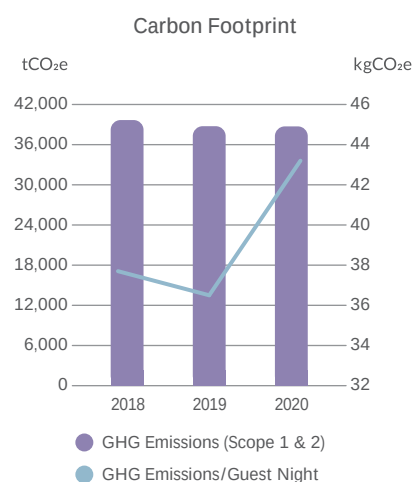
Waste Type		2019/20	2018/19	2017/18	Remarks
Paper	kg	9,005	9,113	10,239	Segregated and sold/sent for recycling
Cardboard	kg	21,508	22,038	20,596	Segregated and sold/sent for recycling
Plastic	kg	11,977	12,128	12,189	Segregated and sold/sent for recycling
Polythene	kg	4,765	4,979	4,995	Segregated and sold/sent for recycling, supplier education on reducing packaging material planned
CFL Bulbs	Units	220	700	788	Sent for recycling, energy efficient LED lighting replacement program
Lead Acid Batteries	kg	287	468	521	Segregated and sold/stored for later recycling
Alkaline Batteries	Units/kg	-	-	-	Segregated and sold/stored for later recycling
Tires	Units/kg	18	24	20	Sent for re-treading/sold to recycle
Scrap Metal	kg	22,746	23,447	23,033	Segregated and sold
Glass	nos /kg	9897/28,067	10,892/35,067	9,862/29,041	Segregated and sold/sent for recycling
Soiled Cotton	kg	634	674	651	
Food Waste	kg	2,377,124	2,412,122	2,376,476	Composted, used in biogas generators, sold/given to piggery
Waste Oil	l	5,663	5,879	5,776	Sold to soap manufacturer
E - Waste	Units/kg	12/187	33/216	22/231	Sold/sent for recycling

Carbon Footprint

The Group computes Scope 1 (directly from sources that owned/controlled by the organisation) and Scope 2 emissions (emissions generated through purchased electricity) based on The Greenhouse Gas Protocol of the World Resource Institute and the World Business Council for Sustainable Development. In addition to the numerous energy efficiency initiatives implemented across the organisation, the Group sought to reduce its carbon footprint by switching from furnace oil to low sulphur diesel in the boilers across the Group's resorts.

Tons CO ₂ e	2019/20	2018/19	2017/18
Scope 1 Emissions	17,924	16,442	16,627
Scope 2 Emissions	20,802	22,314	23,046
Total	38,726	38,756	39,673
Emissions per Guest Night (kgCO ₂ e)	43.23	36.54	37.72

The carbon footprint is the total greenhouse gas (GHG) emissions generated by the Group expressed as carbon dioxide equivalent. GHG are emitted through burning of fossil fuels when consuming energy, transportation and manufacturing of food among others. The chart demonstrates the Group's total carbon footprint for the past three years, together with its emission intensity (defined as emissions per guest night). The total carbon footprint remained relatively unchanged over the previous year.



CAPITAL MANAGEMENT

Natural Capital

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Biodiversity



Many of our properties are located in areas of rich biodiversity and all efforts are made to ensure that resort operations are in harmony with the natural ecosystem surrounding these properties. From resort design and architecture, to operations and waste management, we strive to seamlessly integrate all processes and activities to the natural ecosystem causing minimal disruption to habitats. Key projects in place to preserve the rich biodiversity in the localities we operate are;

Heritage Kandalama

Heritage Kandalama is located in an area rich with natural flora and fauna. It is noteworthy that the habitats animals that lived in the area prior to the construction of the hotel have been preserved reflecting the resort’s design sensitivity. The resort maintains 198 acres of land adjacent to the hotel building as a conservation forest which has assisted in creating a rich base of flora and fauna endemic to the area.

198

acres of conservation forest

11

protected origins of natural streams

128

species of native flora

183

species of birds

19

species of reptiles and amphibians

17

species of mammals

64

species of butterflies and dragonflies

The resort is also home to an Eco Park which includes a wildlife orphanage and rehabilitation centre for injured animals, a state-of-the-art wastewater recycling plant, compost fertiliser pits, wet and solid waste recycling centres, elephant dung paper making facility, herbal garden and an eco-library. The park is a popular attraction among guests and visitors alike with 1,352 individuals visiting the park during 2019/20 gaining knowledge on the rich biodiversity and conservation efforts by our resident Naturalists.

Coral Regeneration in the Maldives

Coral propagation method is used by our resorts in the Maldives, where fragments of corals are transplanted around the island aiming to reproduce corals and establish homes for various fish and invertebrates. Using metal frames, small branches of coral can be attached and spread out to create coral nurseries. Guests can participate in a guided programme by collecting still living but broken coral fragments from the seabed and attaching them to special coral tables around the island’s waters. The programme conducted by Adaaran Select Meedhupparu and Heritage Aarah have produced coral nursey frames covering 60m² area during the year under review.

Raising Awareness

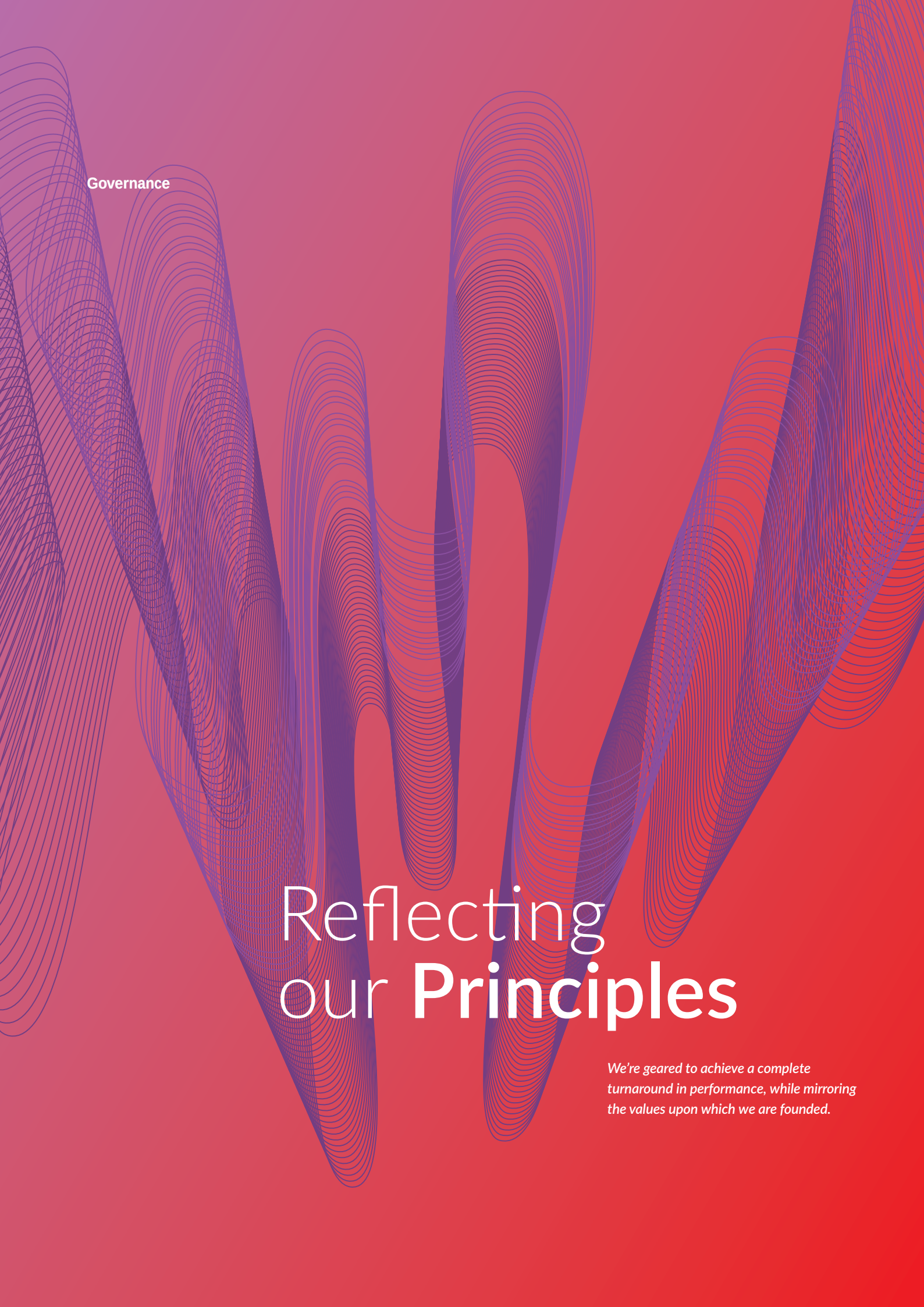
- Night safari at Heritage Kandalama with focus on raising awareness on the Slender Loris, the smallest mammal in the world and a species endemic to Sri Lanka
- Providing information for academic researches regarding the crocodile habitat at the Amethyst Resort, Passikudah
- Awareness programmes on protecting coral reefs and marine ecosystems in Maldives in partnership with diving schools

Access Page 124 of 2017/18 Annual Report for IUCN Red List species and national conservation list species with habitats in areas affected by operations via QR Code.

Coral Transplant Event at Adaaran Select Meedhupparu in March 2020

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Aitken Spence Hotel Holdings PLC | Annual Report 2019/20



Governance

Reflecting our **Principles**

*We're geared to achieve a complete
turnaround in performance, while mirroring
the values upon which we are founded.*

CORPORATE GOVERNANCE

102-18 102-22

An Effective Board

The Board of Directors appointed by the shareholders becomes the conscience guardians and custodians of the Company, providing leadership for determining the strategic course of the Company and discharge of its obligations as a responsible corporate citizen. Consequently, composition of the Board is key to its effectiveness and determines the tone at the top, a sine qua non for sound corporate governance.



Board Sub Committees of Parent Company

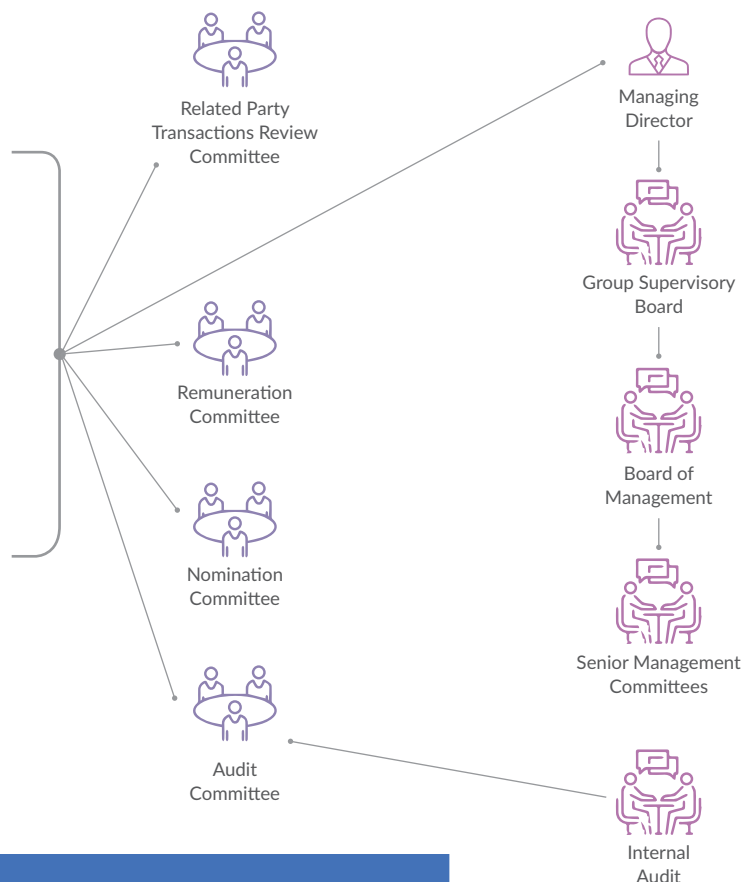


Executive Committees

Board Profiles on pages 16 to 18



Composition	
Chairman	
Executive Directors	
Independent Non-Executive Directors	
Non-Independent Non-Executive Directors	



Compliance Framework

Mandatory

- Companies Act No.7 of 2007
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- Articles of Association
- Listing Rules of the Colombo Stock Exchange (CSE)
- Central Depository System Rules
- Securities & Exchange Commission of Sri Lanka Act No. 36 of 1987 (as amended)
- Group Code of Ethics
- Inland Revenue Act No. 24 of 2017
- Foreign Exchange Act No. 12 of 2017

Voluntary

- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants 2017
- Aitken Spence Integrated Sustainability Policy and its Implementation Framework
- Codes of regulatory authorities, professional institutions and Trade Associations
- United Nations Global Compact (UNGC)
- UNWTO Global Code of Ethics for Tourism
- GRI Standards
- Integrated Reporting Framework
- Women's Empowerment Principles
- Social and Environmental Certification Requirements



Administration of the Board

Company Secretarial services are provided by Aitken Spence Corporate Finance (Private) Limited, a subsidiary of our parent company, Aitken Spence PLC.

Board Composition

The Board consisted of 9 members throughout the financial year 2019/20. The Directors bring a range of diverse skills, expertise and competencies to the Board to facilitate the effective discharge of Board responsibility. Five out of nine Directors are Non- Executive Directors, who are eminent professionals. All Directors must, by duty, act with independence of mind and in the best interests of the Company. This mandate is enhanced by the presence of five Non-Executive Directors, of whom three are Independent Directors. The Board of Aitken Spence Hotel Holdings PLC is represented by a young female Director, thus resulting in a gender balance in the Board amounting to 11% female and 89% male.

TABLE 1: COMPOSITION OF THE BOARD



Role and Responsibility of the Board

The Board provides entrepreneurial leadership within a framework of prudent and effective controls. It determines overall strategy to enhance long term value of the Group, overseeing implementation.

Key Responsibilities of the Board

- Ensuring formulation and implementation of a sound business strategy.
- Ensuring that the Managing Director and Management Team possess the relevant skills, experience, knowledge and capacity to implement the strategy.
- Approving budgets and major capital expenditure.
- Establishing effective systems to secure the integrity of information, internal controls, business continuity and risk management.
- Ensuring the compliance of the Group's statutory and regulatory obligations and safeguarding the Group's reputation by promoting corporate values and an ethical culture.
- Considering and carefully balancing stakeholder interests in corporate decisions.
- Recognising sustainable business development in corporate strategy, decisions and activities.
- Setting up Company values and standards with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations.
- Establishing a process of monitoring and evaluating the progress on strategy implementations, budgets, plans and related risks.

Independence of Non-Executive Directors

Directors exercise their independent judgement, promoting constructive deliberations and objective evaluation of matters set before them. Independence of Directors is determined by the Board, based on annual declarations submitted by the Non-Executive Directors in compliance with the Listing Rules of the CSE and also in line with schedule K of the Code. Annually, the Board discusses the possibility of any impairment of Directors' independence due to extended Board tenures, and collectively evaluates the re-election of such Board members.

Further, two Directors of the Company, Deshamanya D.H.S. Jayawardena and Miss D.S.T. Jayawardena are related to each other. However, they act in the best interests of the Group using their independent judgement on matters referred to the Board.

Disclosures made by Directors from time to time, regarding their interest in transactions including the related party transactions are formally noted and duly entered into the interest register. Note 49 on page 225 of the Financial Statements of this Annual Report provides a list of companies in which the Directors had transactions during the year under review.



Please refer Comprehensive Report on our Corporate Governance via QR code for role and responsibility of Chairman

The period of service of Mr. R.N. Asirwatham as a Board Member exceeds nine years. Additionally, Mr. R.N. Asirwatham is a Director of the parent company in which majority of the other Directors of the Company are Directors. However, his period of service and his office of Independent Non-Executive Director of the parent company do not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. R.N. Asirwatham is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.

Mr. R.N. Asirwatham



The period of service of Mr. C.H. Gomez as a Board Member exceeds nine years. Additionally, Mr. C.H. Gomez is a Director of the parent company in which majority of the other Directors of the Company are Directors. However, his period of service and his office of Independent Non-Executive Director of the parent company do not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. C.H. Gomez is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.

Mr. C.H. Gomez



Mr. G.P.J. Goonewardena served as an Executive Director of Aitken Spence Hotel Holdings PLC until his retirement on 30th June 2017 which was during the period of two years immediately preceding his appointment as a Non-Executive Director on 30th March 2018. However, his appointment as an Executive Director within two years period immediately preceding his appointment as a Non-Executive Director of the Company does not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. G.P.J. Goonewardena is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.

Mr. G.P.J. Goonewardene



Meetings & Minutes

The Board meets on a quarterly basis and also convenes additional meetings if deemed necessary. Accordingly, the Board met 5 times during the year. The Managing Director in consultation with the Chairman sets the Board agenda with the assistance of the Company Secretaries. The Chairman ensures that Directors have sufficient information on matters included in the agenda to facilitate effective participation of all Directors. Additionally, all Directors have access to the Managing Director and the Senior Management of the Company to clarify any matter and they are available for clarification of matters during the meeting. In an instance of a Director's non-attendance at the meetings he/she is provided with briefing material for discussion with the Chairman

or the Managing Director on a later date, through formally documented minutes of discussions, by clarifying matters from the Company Secretaries or through separate discussions prior to the meeting regarding matters arising from the previous meeting.

Board packs are circulated one week prior to the meeting to allow adequate time for preparation of the same. Minutes of meetings are circulated within 10 days of the meeting to Board members and included in the subsequent Board pack. Company Secretaries maintain all past minutes and board papers and are accessible at the convenience of the Directors.

Directors' concerns regarding matters which are not resolved unanimously (if any) are recorded in the minutes.

CORPORATE GOVERNANCE

Attendance at Board and Board Committee meetings are given below.

TABLE 2: ATTENDANCE AT BOARD AND BOARD COMMITTEE MEETINGS

		Board	Audit Committee	Nomination Committee	Remuneration Committee	Related Party Transactions Review Committee
Deshamanya D. H. S. Jayawardena	Chairman	5	-	1	-	-
Dr. M. P. Dissanayake	EXE	5	-	-	-	-
Ms. D. S. T. Jayawardena	EXE	5	-	-	-	-
Mr. C. M. S. Jayawickrama	EXE	5	-	-	-	4
Mr. J. M. S. Brito*	NED	5	7	-	-	4
Mr. N. J. De Silva Deva Aditya	NED	5	9	-	-	3
Mr. R. N. Asirwatham	INED	5	11	1	1	4
Mr. C. H. Gomez	INED	2	1	-	1	1
Mr. G. P. J. Goonawardene	INED	5	-	-	-	-
Total No. of Meetings		5	11	1	1	4

EXE - Executive Director

NED - Non-Executive Director

INED - Independent Non-Executive Director

* Appointed as a member of the Audit Committee and the Related Party Transactions Committee w.e.f. 23.05.2019.

Audit Committee

The Audit Committee of our parent serves as the Audit Committee of the Company as permitted by Section 7.10.6 of the Listing Rules of the Colombo Stock Exchange as both the parent company and the subsidiary company are listed companies.

TABLE 3: COMPOSITION OF THE AUDIT COMMITTEE

Audit Committee	
Mr. R. N. Asirwatham (Chairman)	Independent Non-Executive Director
Mr. G. C. Wickremasinghe	Independent Non-Executive Director
Mr. C. H. Gomez	Independent Non-Executive Director
Mr. N. J. De Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya in the parent company's Directorate)	Non-Executive Director
Mr. J.M.S. Brito (Appointed w.e.f 23.05.2019)	Non-Executive Director

Composition of the Audit Committee is in line with Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange where majority of the Non-Executive Directors are determined to be independent. The Audit Committee met 11 times during the year and the report of its activities is given on pages 109 to 111 of this Annual Report.

As the Company belongs to the tourism segment of Aitken Spence Group, all policy decisions pertaining to the Company are taken by the parent company. Therefore, it is necessary that Board sub committees of the parent company look into the matters of the subsidiary company in order to make sure that the policies and decisions of the subsidiary are in conformity with that of the parent company.

Related Party Transactions Review Committee

The Related Party Transactions Review Committee of Aitken Spence PLC functions as the Related Party Transactions Review Committee of the Company and provides feedback to the Board of Aitken Spence Hotel Holdings PLC on relevant material matters in line with its mandate. The composition of the Committee is given below which complies with Section 9.2.2 of the Listing Rules of the CSE.

TABLE 4: COMPOSITION OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Related Party Transactions Review Committee	
Mr. R. N. Asirwatham (Chairman)	Independent Non-Executive Director
Mr. G. C. Wickremasinghe	Independent Non-Executive Director
Mr. C. H. Gomez	Independent Non-Executive Director
Mr. N. J. De Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya in the parent company's Directorate)	Non-Executive Director
Mr. J.M.S. Brito (Appointed w.e.f 23.05.2019)	Non-Executive Director

The Related Party Transactions Review Committee met 4 times during the year and the report of its activities is given on pages 114 to 115.

Remuneration Committee

The Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of the Company as permitted by Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee. The composition of the Committee is given below which complies with the requirement of Section 7.10.5 (a) of the Listing Rules of the CSE.

TABLE 5: COMPOSITION OF THE REMUNERATION COMMITTEE

Remuneration Committee	
Mr. G. C. Wickremasinghe (Chairman)	Independent Non-Executive Director
Mr. R. N. Asirwatham	Independent Non-Executive Director
Mr. C. H. Gomez	Independent Non-Executive Director

The Remuneration Committee met one time during the year and the report of its activities is given on page 112.

Shareholder Relations

At the close of the financial year 2019/20, the Company had 3,659 shareholders. National Institutions and individuals held 99.68% of shares while Foreign Investors held the remaining 0.32%. Aitken Spence PLC is the largest shareholder owning 71.21% of shares at close while the 20 largest shareholders held 92.05%.

The Company encourages effective communication with shareholders who are engaged through multiple channels of communication, including the Annual General Meeting (AGM), Annual Report, Interim Financial Statements, a dedicated investor relations page on the Company's website, press releases, social media platforms and announcements to the Colombo Stock Exchange. The Board recognises its responsibility to present a balanced and understandable assessment of the Group's financial position, performance and prospects and is committed to fair disclosure, with emphasis on the integrity, timeliness and relevance of the information provided.

The Annual General Meeting is the principal forum for engaging with shareholders and 50 shareholders holding 77.67% of shares attended and voted at the meeting held on 28th June 2019.

External Auditors

The External Auditor is appointed subject to the provisions of the Companies Act No. 7 of 2007. The Audit Committee makes recommendations to the Board for the appointment, re-appointment or removal of the External Auditor inline with professional and ethical standards and regulatory requirements. Further, it monitors and reviews the External Auditor's independence, objectivity and effectiveness of the audit process considering relevant professional and regulatory requirements.

In assigning of non-audit services to External Auditors, the Audit Committee ensures that the external auditor has the necessary skills and experience for the assignment and ascertains that independence and objectivity in carrying out his duties and responsibilities will not be impaired.

On the recommendation of the Board, the shareholders approved the reappointment of Messrs. KPMG (Chartered Accountants) as the External Auditors for 2019/20 at the last AGM in compliance with Section 163 (3) of the Companies Act No. 07 of 2007.

Environment, Society and Governance Reporting (ESG Reporting)

The Company has a proud history of being a pioneer in ESG reporting in the country and awards won affirm high levels of commitment to transparency and a passion for excellence in ESG reporting. We are the only company to have won all three awards for Corporate Reporting in the country in 2019 in the Leisure sector as set out alongside.

Declarations by Board, CEO & CFO & Governance Disclosures

The Annual Report includes the following reports of the Board and its Committees providing key declarations on effective discharge of their duties.

- Annual Report of the Board of Directors - Pages 117 to 120
- The Board of Directors' Statement on Internal Control - Pages 121 to 122
- Responsibility for preparation and presentation of Financial Statements - Page 133
- Reports of the Board Committees - Pages 109 to 150
- Corporate Governance Report (this report) - Pages 98 to 108

The Board has obtained a declaration from the Managing Director and the Assistant Vice President-Finance to affirm that the financial records of the entity have been properly maintained and that the financial statements comply with the Sri Lanka Financial Reporting Standards giving a true and fair view of the financial position and performance of the Group. Further, they also confirm that the systems of risk management and internal control operate effectively.

The Board further acknowledges its responsibility of ensuring the integrity of this Annual Report, which is in the opinion of the Board, addresses all the concerns that are mentioned to the Company's ability to create sustainable value and reflects a fair presentation of the integrated performance of Aitken Spence Hotel Holdings PLC.

Awards for ESG Reporting in 2019/20



Best Integrated Report - Hotels & Travel Sector - CMA Excellence in Integrated Reporting Awards 2019



Gold Award Winner - Leisure & Connected Services Category - ACCA Sustainability Reporting Awards 2019



Winner - Hotel Sector at 55th Annual Report Awards 2019 conducted by CA Sri Lanka



Comprehensive Report on our Corporate Governance can be accessed via QR code.

TABLE 6: COMPLIANCE WITH THE COMPANIES ACT NO. 07 OF 2007

Section	Requirement	Reference	Compliance Status
168 (1) (a)	Any change during the accounting period in the nature of business of the Company or any of its subsidiaries and the classes of business in which the Company has an interest	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (b)	Financial Statements of the Company and the Group for the accounting period completed and signed.	Refer Financial Statements on pages 130 to 234 and Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (c)	Auditors' report on Financial Statements of the Company and the Group	Refer Financial Statements on pages 130 to 234 and Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (d)	Change of accounting policies during the accounting period	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (e)	Particulars of entries in the interest register made during the accounting period	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (f)	Remuneration and other benefits paid to the Directors during the accounting period	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (g)	Total amount of donations made by the Company during the accounting period	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (h)	Directorate of the Company and the Group as at the end of accounting period along with the changes occurred during the accounting period	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (i)	Amounts payable to the Auditors as audit fees and fees payable for other related services provided by them	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (j)	Relationship or interest of the Auditors with the Company or any of its subsidiaries	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓
168 (1) (k)	Annual Report of the Board of Directors be signed on behalf of the Board	Refer Annual Report of the Board of Directors on pages 117 to 120 of this Annual Report	✓

TABLE 7: COMPLIANCE WITH THE CONTINUING LISTING REQUIREMENTS - SECTION 7.6 ISSUED BY THE COLOMBO STOCK EXCHANGE - CONTENTS OF ANNUAL REPORT

Section	Requirement	Nature of Compliance by Aitken Spence Hotel Holdings PLC	Compliance Status
7.6 i)	Names of Directors of the entity	Refer Corporate Information on page 251 of this Annual Report	✓
7.6 ii)	Principal activities of the entity and its subsidiaries during the year under review	Refer Group Directory on pages 248 to 250 of this Annual Report	✓
7.6 iii)	20 largest holders of voting and non-voting shares and the percentage of shares	Refer Investor Information on pages 241 to 245 of this Annual Report	✓
7.6 iv)	The public holding percentage, float adjusted market capitalisation, the options of compliance with the minimum public holding requirement	Refer Investor Information on pages 241 to 245 of this Annual Report	✓
7.6 v)	Directors and CEO's holding in shares of the entity at the beginning and end of each year	Refer Investor Information on pages 241 to 245 of this Annual Report	✓

CORPORATE GOVERNANCE

Section	Requirement	Nature of Compliance by Aitken Spence Hotel Holdings PLC	Compliance Status
7.6 vi)	Information pertaining to material foreseeable risk factors	Refer Risk Management on pages 38 to 43 of this Annual Report	✓
7.6 vii)	Details of material issues pertaining to employees and industrial relations	Refer Human Capital of Integrated Management Discussion & Analysis on pages 72 to 77 of this Annual Report	✓
7.6 viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Refer Note 17.3.1 to the Financial Statements on page 176 and Real Estate Holdings of the Group on Page 247 of this Annual Report	✓
7.6 ix)	Number of shares representing the stated capital	Refer Investor Information on pages 241 to 245 of this Annual Report	✓
7.6 x)	Distribution schedule of the number of holders and the percentage of their total holding	Refer Investor Information on pages 241 to 245 of this Annual Report	✓
7.6 xi)	Ratios and market price information	Refer Investor Information on pages 241 to 245 of this Annual Report	✓
7.6 xii)	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Refer Note 17 to the Financial Statements on pages 174 to 177 of this Annual Report	✓
7.6 xiii)	If during the year the entity has raised funds either through a public issue, rights issue and private placement	The Company had no public issue, rights issue or private placement during the year under review	N/A
7.6 xiv)	Employee share options/purchase schemes	As at date, the Company has no share options/purchase schemes made available to its Directors or employees	N/A
7.6 xv)	Corporate governance disclosures	Refer Corporate Governance on pages 98 to 108 of this Annual Report	✓
7.6 xvi)	Related party transactions	Refer Note 49 to the Financial Statements on pages 225 to 232 of this Annual Report	✓

TABLE 8: COMPLIANCE WITH THE CONTINUING LISTING REQUIREMENTS - SECTION 7.10 ISSUED BY THE COLOMBO STOCK EXCHANGE - CORPORATE GOVERNANCE RULES FOR LISTED COMPANIES

Section	Requirement	Disclosure	Compliance Status
7.10.1(a)	Non-Executive Directors (NED) - At least two or one third of the Directors, whichever is higher, should be Non- Executive Directors	Refer Board Composition on page 99 in the Corporate Governance Report	✓
7.10.2(a)	Independent Directors - Two or one-third of Non-Executive Directors, whichever is higher, should be independent	Refer Independence of Non-Executive Directors on page 100 in the Corporate Governance Report	✓
7.10.2(b)	Independence of Directors - Each Non-Executive Director should submit a declaration of Independence/ Non-Independence	Refer Independence of Non-Executive Directors on page 100 in the Corporate Governance Report	✓
7.10.3(a)	Disclosure relating to Directors - The names of Independent Directors should be disclosed in the Annual Report	Refer Independence of Non-Executive Directors on page 100 in the Corporate Governance Report	✓

Section	Requirement	Disclosure	Compliance Status
7.10.3(b)	Independence of Directors - The Board shall make a determination annually as to the Independence or Non-Independence of each Non-Executive Director	Refer Independence of Non-Executive Directors on page 100 in the Corporate Governance Report	✓
7.10.3(c)	Disclosure relating to Directors - A brief resume of each Director should be included in the Annual Report including the Director's areas of expertise.	Refer Board profiles of the Directors on pages 16 to 18 of this Annual Report	✓
7.10.3(d)	Appointment of new Directors - Provide a brief resume of any new Director appointed to the Board	Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange with a brief resume of such a Director containing the nature of his expertise, relevant interest, other directorships held, memberships in Board Committees and the nature of appointment. There were no new appointments to the Board of the Directors during the year under review	✓
7.10.5	Remuneration Committee - A listed company shall have a Remuneration Committee	Refer Remuneration Committee Report on page 112 of this Annual Report	✓
7.10.5(a)	Composition of Remuneration Committee - Shall comprise of Non-Executive Directors, a majority of whom shall be Independent	Refer Remuneration Committee Report on page 112 of this Annual Report	✓
7.10.5(b)	Functions of Remuneration Committee - The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and the Executive Directors	Refer Remuneration Committee Report on page 112 of this Annual Report	✓
7.10.5(c)	Disclosure in the Annual Report relating to Remuneration - The Annual Report should set out; a) Names of the Directors comprising the Remuneration Committee b) Statement of Remuneration policy c) Aggregate remuneration paid to Executive and Non-Executive Directors	Refer Remuneration Committee Report on page 112 of this Annual Report and Note 12 and 49.2 in the Financial Statements on page 165 and 231 of this Annual Report	✓
7.10.6	Audit Committee - A listed company shall have an Audit Committee	Refer Audit Committee Report on pages 109 to 111 of this Annual Report	✓
7.10.6(a)	Composition of Audit Committee - Shall comprise of Non-Executive Directors, a majority of whom are Independent - Chief Executive Officer and the Chief Financial Officer should attend Audit Committee Meetings - The Chairman of the Audit Committee or one member should be a member of a professional accounting body	Refer Audit Committee Report on pages 109 to 111 of this Annual Report	✓
7.10.6(b)	Audit Committee Functions - Should be as outlined in Section 7.10 of the Listing Rules	Refer Audit Committee Report on pages 109 to 111 of this Annual Report	✓

CORPORATE GOVERNANCE

Section	Requirement	Disclosure	Compliance Status
7.10.6(c)	Disclosure in the Annual Report relating to Audit Committee a) Names of the Directors comprising the Audit Committee b) The Audit Committee shall make a determination of the independence of the Auditors and disclose the basis for such determination c) The Annual Report shall contain a Report of the Audit Committee in the prescribed manner	Refer Audit Committee Report on pages 109 to 111 of this Annual Report	✓
9.3.2	Related Party Transactions Review Committee a) Details pertaining to Non-Recurrent Related Party Transactions b) Details pertaining to Recurrent Related Party Transactions c) Report of the Related Party Transactions Review Committee d) Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise	Refer Related Party Transactions Review Committee Report on pages 114 to 115 of this Annual Report.	✓

AUDIT COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore, the Audit Committee of Aitken Spence PLC acts as the Audit Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Audit Committee.

Role of the Audit Committee

The role of the Audit Committee is to oversee the financial reporting system of the Company, with a view to safeguarding the interest of the shareholders and all other stakeholders.

Composition of the Committee

MEMBERS

The Committee, as at 31st March 2020, comprised of the following members:

Name	Category	M/A
Mr. R.N. Asirwatham (Chairman)	INED	11/11
Mr. J.M.S. Brito (Appointed w.e.f. 23.05.2019)	NED	7/11
Mr. G.C. Wickremasinghe	INED	7/11
Mr. C.H. Gomez	INED	1/11
Mr. N.J. de Silva Deva Aditya/ Mr. A. L. Gooneratne (Alternate Director for Mr. N. J. de Silva Deva Aditya)	NED	9/11

INED - Independent Non-Executive Director

NED - Non-Executive Director

M/A - Meetings Attended

The Committee's composition met the requirements of Section 7.10.6 of the Listing Rules of the Colombo Stock Exchange.

SECRETARIES TO THE COMMITTEE

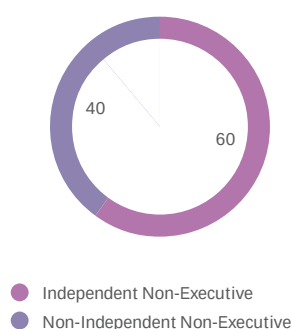
Mr. H.K.A. Rathnaweera - Chief Internal Auditor, Aitken Spence PLC

Mr. D.D.M.A. Saparamadu - General Manager, Internal Audit, Aitken Spence PLC

The composition of the Committee, which remained unchanged during the financial year, is composed of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors. The Committee is chaired by an Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountants of Sri Lanka. The profiles of the members are given on pages 16 to 18 of this Report.

Independence of the Audit Committee

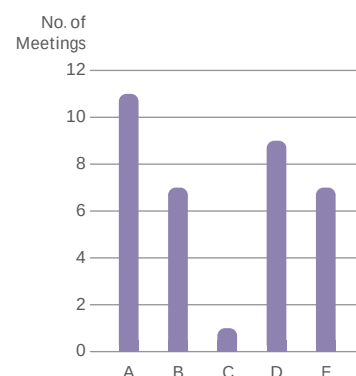
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Committee Meetings

The Audit Committee functioned throughout the financial year and held eleven formal meetings. The attendance at the Audit Committee meetings held during the year under review were as follows:

Audit Committee Meeting Attendance



- A Mr. R.N. Asirwatham
- B Mr. G.C. Wickremasinghe
- C Mr. C.H. Gomez
- D Mr. N.J. de Silva Deva Aditya/
Mr. A.L. Gooneratne (Alternate
Director to Mr. N.J. de Silva Deva Aditya)
- E Mr. J.M.S. Brito
(Appointed w.e.f. 23.05.2019)

AUDIT COMMITTEE REPORT

Attendance by Invitation

Dr. M.P. Dissanayake, the Managing Director, Ms. D.S.T. Jayawardena, Executive Director, Ms. N. Sivapragasam, Chief Financial Officer, Aitken Spence PLC, Mr. D.G.P. Ekanayake, Assistant Vice President – Finance attended the meetings by invitation. Further, senior officers of the Group as well as the partner of KPMG responsible for the Group's audit attended the meetings by invitation as and when required.

Responsibilities of the Committee



Activities During The Financial Year 2019/2020

> Risk Management and Internal Control

- Reviewed the adequacy and effectiveness of the Group's internal controls and risk management activities and highlighted the areas which requires attention and suggested recommendations to the Board.
- Ensured that the risks are appropriately monitored and controlled by considering the Group's principal risks and uncertainties and by reviewing the mitigating actions taken by the management.
- Reviewed the processes to ensure the internal controls and risk management framework are adequate to meet the requirements of the Sri Lanka Accounting Standards.

- Ensured that the Group adheres to and complies with all relevant laws, rules and regulations of the country, international laws and codes of ethics; and standards of conduct required by regulatory authorities, professional bodies and trade associations.

> Financial Reporting and Financial Control

- Reviewed the Group's quarterly and annual Financial Statements with regard to the following aspects;
 - Adequacy of disclosures.
 - Uniformity and appropriateness of the accounting policies adopted.
 - Major judgmental areas and ensured that they were in compliance with the Companies Act No. 7 of 2007.
 - Applicable Sri Lanka Accounting Standards and other applicable Accounting Standards of jurisdictions in which each Subsidiary operates.

- Listing Rules of the Colombo Stock Exchange.
- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.
- Requirements of other regulatory bodies as applicable for the Group.
- Discussed with Management on future accounting developments which are likely to affect the Financial Statements.
- Reviewed the budgets and strategic plans of the Group in order to ensure that all forward-looking statements made within the Annual Report reflect the actual position of the Group.
- Reviewed the changes in the tax environment and its impact to the Group.

> External Audit

- Reviewed the audit plan presented by the External Auditors and provided advice and support regarding the execution of the plan.
- Carried out a review of the effectiveness and the progress of the External Auditors and the audit process.
- Discussed the Audited Financial Statements with External Auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements.
- Reviewed and discussed the Management Letter of the External Auditors for the Group and instructed the management to take appropriate and follow up action on matters highlighted therein.
- Assessed the performance and effectiveness of the External Auditors, their independence professional capabilities and made recommendations to the Board pertaining to the re-appointment of the External Auditors.
- Ensured that the External Auditors are independent by reviewing Group's share registers, related party transactions and obtaining a written confirmation from the External Auditors.

> Internal Audit

- Reviewed and approved the Annual Audit Plan after considering its depth and coverage in the Group.
- Reviewed and evaluated the independence, effectiveness and competency of the Group's Internal Audit function, their resource requirements and made recommendations for any required changes.
- The Audit Committee continued to ensure the co-ordination between Group internal audit division and External Auditors.
- Reviewed and discussed the periodic reports submitted by the internal audit department with management responses on financial and operational

audits, IT Security, and risk assessments carried out in line with the approved annual internal audit plan.

> Reporting

- The Chairman of the Audit Committee reports to the Board at each meeting on the activities of the Committee. Minutes of the Audit Committee meetings are also tabled at the Board Meetings.
- The Annual Report incorporates the Audit Committee Report.
- The Chairman of the Audit Committee attends the Annual General Meeting.

Re-Appointment of External Auditors - M/S KPMG, Chartered Accountants

The Committee perused transactions with the External Auditors and ensured that there was no significant material transaction between the External Auditors and the companies in the Group. The Committee further perused the share register and ensured that there were no shares held by the External Auditors.

The Committee having considered that there were no significant material transactions between the External Auditors and the Group companies, that there were no shares held by the External Auditors, the confirmation received from the External Auditors and the periodic rotation of the Audit Partner, noted that KPMG, Chartered Accountants, are eligible for re-appointment as the External Auditors of the Company.

Having noted the above, the Committee recommends to the Board that M/S KPMG, Chartered Accountants be re-appointed as the External Auditors of the Company for the current financial year, subject to the approval of the Shareholders at the forthcoming Annual General Meeting.



R.N. Asirwatham
Chairman
Audit Committee

Colombo
29th May 2020

REMUNERATION COMMITTEE REPORT

102-35 102-36 102-37

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

Composition of the Committee

MEMBERS

The Committee, as at 31st March 2020, comprised of the following members:

Name	Category	M/A
Mr. G.C. Wickremasinghe (Chairman)	INED	1/1
Mr. R.N. Asirwatham	INED	1/1
Mr. C.H. Gomez	INED	1/1

INED - Independent Non-Executive Director

M/A - Meetings Attended

Independence of the Committee

The members of the Committee are composed of three Independent Non-Executive Directors. They are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement. The members of the Committee refrain from taking part in determining their own remuneration.

Committee Meetings

The Committee formally met once during the year under review with the attendance of all its members. Deshamanya D.H.S. Jayawardena, Chairman, Aitken Spence Hotel Holdings PLC together with Dr. M.P. Dissanayake, Managing Director, Aitken Spence Hotel Holdings PLC and Ms. D.S.T. Jayawardena, Executive Director, Aitken Spence Hotel Holdings PLC attended the meeting by invitation.

The Remuneration Policy

The Group follows a formal and transparent procedure to decide on the remuneration packages for individual Directors. The Committee considers the importance of formulating remuneration packages that are adequate to motivate, attract and retain the Directors and ensures conformity with the employment conditions of the Group companies and of the relevant industries.

The Group Remuneration Policy which was reviewed by the Committee remained unchanged during the year under review.

Activities During the Financial Year 2019/2020

- The Committee invited each Managing Director to present their suggestions and recommendations.
- The direction was given based on sector performance, individual performance and potential, market conditions and respective industry practices.

Responsibilities of the Committee

The Committee is responsible to the Board for:

- Determining the policy of the remuneration package of the Directors.
- Evaluating performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units.
- Deciding on overall individual packages, including compensation on termination of employment.

Key Functions of the Committee

> Remuneration Policy

- Evaluated the Group Remuneration Policy against the current market trends and industrial norms.
- Reviewed and ensured the implementation of the Group Remuneration Policy.
- Reviewed the policy of the remuneration package of the Directors.
- Reviewed the specific application of the Group Remuneration Policy to the Managing Director and Executive Directors and general application to the Key Management Personnel.

> Performance Based Remuneration

- Evaluated the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the Strategic Business Units.
- Reviewed, monitored and evaluated performance of Key Management Personnel as well as their management development and succession planning.

> Performance Incentives

- Evaluated the achievements as well as unaccomplished targets and results which are used to determine the performance-based incentives, based on self-evaluations made by individual Directors.

> Remuneration of Managing Director

- Evaluated the performance of the Managing Director.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
29th May 2020

NOMINATION COMMITTEE REPORT

102-24

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee.

Composition of the Committee

MEMBERS

The Committee, as at 31st March 2020, comprised of the following members:

Name	Category	M/A
Mr. G.C. Wickremasinghe (Chairman)	INED	1/1
Deshamanya D.H.S. Jayawardena	EC	1/1
Mr. R.N. Asirwatham	INED	1/1

INED - Independent Non-Executive Director

EC - Executive Chairman

M/A - Meetings Attended

The composition of the Committee, which remained unchanged during the financial year, consists of two Independent Non-Executive Directors along with the Chairman of the Company. The Committee is chaired by Mr. G. C. Wickremasinghe who is an Independent Non-Executive Director of the parent company. The members of the Committee possess wide experience as well as financial and business acumen.

Committee Meetings

The full Committee met once during the year under review with the attendance of the Managing Director of Aitken Spence Hotel Holdings PLC, on invitation.

Key Highlights During the Financial Year 2019/2020

The Committee having evaluated each Director's knowledge and experience, the number of directorships held by each Director and the adequacy of their knowledge and experience to carry out their duties in the capacity as Directors, is satisfied with the level of knowledge, commitment and skills of each Director. The Committee further recommended necessary indemnity for each Director within the provisions of the Companies Act No. 7 of 2007.

Responsibilities of the Committee

The Nomination Committee is responsible for ensuring that the Group companies are spearheaded by individuals with a wealth of knowledge, experience, competency and entrepreneurial skills and to identify and recommend suitable candidates as Directors to the Board of Aitken Spence Hotel

Holdings PLC and its Group companies. The Committee is also responsible for reviewing the structure, size and composition of the Board of Aitken Spence Hotel Holdings PLC and Boards of the Group, oversee the performance of the Board, its committees and the individual Directors as well as the evaluation of their performance.

The Committee is accountable for the periodic review of the charter for appointment, re-appointment of Directors to the Board of the Company and the Group companies as well as suggests amendments wherever necessary and the recommendation of adequate insurance covers for the Directors of Aitken Spence Hotel Holdings PLC and the Group.

Key Functions of the Committee

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to make sound and measured judgments in order to attract the best talent to the Group. During the Financial Year 2019/2020 the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Aitken Spence Hotel Holdings PLC Board and the Boards of its Group companies as well as the Key Management Personnel (KMPs),
- Reviewed and recommended necessary appointments to the Boards of the Group companies whenever necessary,
- Evaluated and recommended suitable internal and external candidates to higher levels of Management,

- Reviewed the Group's policy and guidelines for appointment, re-appointment and succession planning,
- Evaluated the eligibility of the Directors who have offered themselves for re-election/ re-appointment to the Board and made necessary recommendations to the Board,
- Recommended insurance covers for the Directors of Aitken Spence Hotel Holdings PLC and its Group companies.

The Committee further ensures that the combination of varied skills, knowledge and experience of the Directors of the Company and of the Group companies match the required strategic demands of the Group.

Re-Election and Re-Appointment of Directors

Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. De Silva Deva Aditya who retire from the Board at the conclusion of the forth coming Annual General Meeting in terms of Section 210(2) of the Companies Act No.7 of 2007, have offered themselves for re-appointment.

In terms of Article 83 of the Articles of Association, Mr. G.P.J. Goonewardene retires by rotation and has offered himself for re-election at the forthcoming Annual General Meeting.

Having given due consideration to each Director's performance, the Committee believes that the said Directors are eligible for re-appointment/re-election to continue as Directors of the Company.



G.C. Wickremasinghe
Chairman
Nomination Committee

Colombo
29th May 2020

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

102-25 102-34

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of Aitken Spence Group under its parent company Aitken Spence PLC. Therefore, the Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 9.2.3 of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee.

Role of the Related Party Transactions Review Committee

The role of the Related Party Transaction Review Committee is to advise the Board in reviewing all related party transactions carried out by the Company. The Committee complies with the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka, which was subsequently incorporated into the Listing Rules of the Colombo Stock Exchange in an endeavour to ensure that the interests of shareholders as a whole are taken into account by the Company when entering into Related Party Transactions.

Composition of the Committee

MEMBERS

The Committee, as at 31st March 2020, comprised of the following members:

Name	Category	M/A
Mr. R.N. Asirwatham (Chairman)	INED	4/4
Mr. J.M.S. Brito (Appointed w.e.f. 23.05.2019)	NED	4/4
Mr. G.C. Wickremasinghe	INED	2/4
Mr. C.H. Gomez	INED	1/4
Mr. N.J. de Silva Deva Aditya/ Mr. A. L. Gooneratne (Alternate Director for Mr. N. J. de Silva Deva Aditya)	NED	3/4

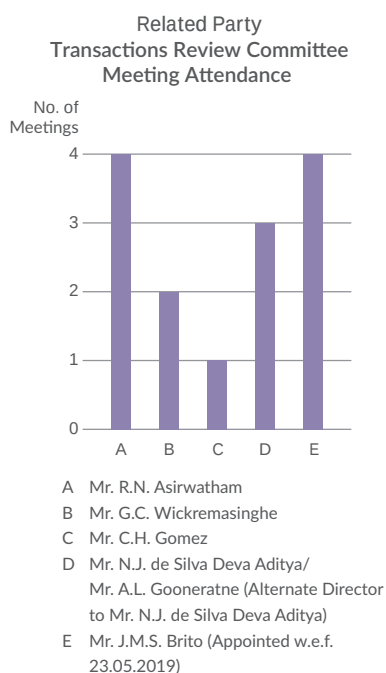
INED - Independent Non-Executive Director

NED - Non-Executive Director

M/A - Meetings Attended

The Committee's composition complies with the requirements of Section 9.2.2 of the Listing Rules of the Colombo Stock Exchange.

The Committee is composed of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors. The Committee is chaired by an Independent Non-Executive Director who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Members of the Committee possess a wealth of knowledge and experience.



Key Highlights During the Financial Year 2019/2020

Each quarter, disclosures in relation to post quarter confirmations and proposed transaction disclosures were obtained from the Key Management Personnel and the Group related companies and the Committee reviewed all such disclosure at its quarterly meetings. The Committee further communicated its activities to the Board by tabling the minutes of the Committee meetings, at the Board meetings.

Responsibilities of the Committee

The Committee's key focus is to review all proposed related party transactions prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing Rules of the Colombo Stock Exchange and the responsibilities of the Committee are as follows:

- Evaluate any proposed related party transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action to be taken in order to be compliant with the regulations of the Listing Rules and the Code of Best Practices on related party transactions issued by the Securities and Exchange Commission of Sri Lanka.
- Review any post quarter confirmations on related party transactions.
- Review the threshold for related party transactions which require either shareholders' approval or immediate market disclosures, as the case may be.
- Review the criteria of Key Management Personnel.
- Regularly report to the Board on the Committee's activities.

Key Management Personnel

The members of the Board of the Company are construed as the Key Management Personnel (KMPs) of Aitken Spence Hotel Holdings PLC. Further, Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary companies are considered as KMPs of such companies to establish greater transparency and governance.

Declarations are obtained from each KMP of the Company and its subsidiaries for the purpose of identifying any related party transactions they intend to carry out on quarterly and annual basis to determine related party transactions and to comply with the disclosure requirements, if any.

Key Functions of the Committee

- > Policies and procedures adopted
 - o The Group Company Secretaries obtain quarterly disclosures from the Key Management Personnel of any proposed related party transactions and confirmations of any post-quarter transactions. All such responses are tabled at each related party transactions Review Committee meetings.
 - o Disclosures are obtained from all Group Companies of any proposed related party transactions and confirmations of any post-quarter transactions and all responses are tabled at each related party transactions Review Committee Meeting.
 - o Non-recurrent transactions if any, are communicated to the Group Company Secretaries who in turn notify the Committee, if required.
- > Review of Related Party Transactions
 - o Reviewed all proposed related party transactions as well as post quarter confirmations.
 - o Activities of the Committee were communicated to the Board by tabling the minutes of the Committee Minutes.

Declaration by the Board

A declaration is given by the Board in the Annual Report of the Board of Directors on page 119 as a negative statement to the effect that no related party transaction falling within the ambit of Section 9.3.2 of Listing Rules of the Colombo Stock Exchange was entered into by the Company during the year under review.



R.N. Asirwatham

Chairman

Related Party Transactions Review
Committee

Colombo
29th May 2020

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this report.

The Directors confirm that the Financial Statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2020 incorporated in this report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the Companies within the Group maintain adequate and accurate records which reflect the true financial position of each such Company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed to and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements.

The Financial Statements presented in this Annual Report for the year ended 31st March 2020, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/LKASs). The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the Financial Statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2020 and the Comprehensive Income Statements for the Company and the Group for the Financial Year ended 31st March 2020 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,
Aitken Spence Hotel Holdings PLC



**Aitken Spence Corporate Finance
(Private) Limited**
Secretaries

29th May 2020
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

102-28 102-32

The Board of Directors of Aitken Spence Hotel Holdings PLC, has pleasure in presenting the Annual Report and the Audited Financial Statements for the year ended 31st March 2020 which were approved by the Board of Directors on 29th May 2020. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the best accounting practices.

1. Principal Activities

The principal activities of the Company are that of an investment holding company and hoteliering. The subsidiary companies are also engaged in the business of hoteliering. During the year there were no significant changes in the principal activities of the Company and the subsidiaries.

For the year ended 31st March	2020	2019
	Rs. '000	Rs. '000
Net profit/(loss) before tax	(433,023)	1,904,325
Provision for taxation including deferred tax	(462,701)	(707,161)
Net profit/(loss) after tax	(895,724)	1,197,164
Other comprehensive income	643,644	2,014,543
Total comprehensive income/expense for the year	(252,080)	3,211,707
Total comprehensive income/expense attributable to non-controlling interest	(49,722)	1,191,773
Total comprehensive income/expense attributable to equity shareholders	(202,358)	2,019,934
Transactions directly recognised in the equity statement	(222,423)	(17,115)
Balance brought forward from the previous year	17,784,234	16,216,628
Amount available for appropriations	17,359,453	18,219,447
Final dividend	(351,140)	(435,213)
Total reserves and earnings	17,008,313	17,784,234
Stated capital	3,554,587	3,554,587
Balance attributable to equity holders of the Company at the end of the period	20,562,900	21,338,821

2. Review of Operations

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Management Discussion and Analysis of the Annual Report. These Reports together with the Audited Financial Statements of the Company and the Group reflect the respective state of affairs of the Company and the Group. The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 24 to 25 of the Annual Report.

3. Accounting Policies and Changes During the Year

The Company and the Group prepared the Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRSs/ LKASs). The significant accounting policies adopted in the preparation of the Financial

Statements of the Company and the Group and the changes made during the year are given on pages 138 to 234.

4. Synopsis of the Income Statement of the Company and the Group

4.1. Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs. 704 million. (2019 - Rs. 884 million). The Group revenue was Rs. 19,019 million (2019 - Rs. 19,571 million) which is a decline of -3% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in note 7 and 8 of the Financial Statements on pages 159 to 163. The profit/(loss) after tax of the Group was Rs. (896) million (2019 - Rs. 1,197 million). The Group's profit attributable to the equity shareholders of the parent company for the year was Rs. (625) million (2019 - Rs. 811 million). The segmental profits are disclosed in note 7 of the Financial Statements on page 159.

4.2. Donations

During the year, donations amounting to Rs. 127,529/- were made by the Company, while the donations made by the Group during the year amounted to Rs. 1,835,929/-.

4.3. Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in Note 14 of the Financial Statements on pages 166 to 170. It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method. The deferred tax balances of the Group companies are given in Notes 25 and 37 of the Financial Statements on pages 189 and 201.

4.4. Dividends

The Directors declared a preference dividend of cents 90 per share on the cumulative preference shares. The entirety of the preference dividend will be paid out of dividends received by the Company where 14% Withholding Tax on dividends has been deducted. The Directors are confident that the Company will meet the solvency test requirement under section 56 (2) of the Companies Act No. 7 of 2007 immediately after the payment of preference dividend. The Directors did not recommend an ordinary dividend for the Financial Year ended 31st March 2020.

5. Synopsis of the Statement of Financial Position of the Company and the Group

5.1. Stated Capital and Reserves

As at 31st March 2020 the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs. 3,555 million. The Company's reserves as at 31st March 2020 were Rs. 7,324 million (2019 - Rs. 7,035 million) whereas the total Group's reserves as at 31st March 2020 were Rs. 17,008 million (2019- Rs. 17,784 million). The movement in these reserves is shown in the Statement of Changes in Equity - Group on Pages 134 to 135.

5.2. Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2020 amounted to Rs. 1,624 million and Rs. 52,554 million

ANNUAL REPORT OF THE BOARD OF DIRECTORS

respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs. 84 million and Rs. 3,255 million respectively.

5.3. Market Value of Freehold Properties

Land recognised as property, plant and equipment in the Financial Statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years. Details of the revalued land, revaluation surplus, and the original cost are given in Note 17.3 of the Financial Statements on page 176. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

5.4. Contingent Liabilities

The details of contingent liabilities are disclosed in Note 43 of the Financial Statements on page 208.

6. Events Occurring after the Reporting Date

No event of material significance that requires adjustments to the Financial Statements has arisen other than that disclosed in Note 51 to the Financial Statements on page 232.

7. Going Concern

The Group operates in the tourism sector that has been significantly affected by the outbreak of COVID - 19. With the spread of the virus on a global scale in mid-March 2020 and rightly the stringent measures taken by the respective Governments including the closure of airports, border entry barriers and lock downs, have compelled the temporary closure of all the Group's hotels except the city hotels in India and Oman which remains open with limited operations for a few in-house guests.

Based on the publicly available information at the date this report is authorised for issue, management considered a number of severe but plausible scenarios with respect to the potential development of the outbreak and its expected impact on the entity and economic environment, in which the entity operates, including the measures already taken by the Sri Lankan government.

In preparing this report, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the Group and the appropriateness of the use of the going concern basis.

Having presented the outlook to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

8. Information on the Board of Directors and the Board Sub-Committees

8.1. Board of Directors

The names of the Directors of the Company who held office during the financial year is given in the following table and their brief profiles are given on pages 16 to 18 of the Annual Report. All of the below Directors held office during the entire year.

	Executive	Non-Executive	Independent Non-Executive
Deshamanya D. H. S. Jayawardena (Chairman)	✓		
Dr. M. P. Dissanayake (Managing Director)	✓		
Ms. D. S. T. Jayawardena	✓		
Mr. C. M. S. Jayawickrama	✓		
Mr. J. M. S. Brito		✓	
Mr. R. N. Asirwatham		✓	✓
Mr. N. J. De Silva Deva Aditya		✓	
Mr. C. H. Gomez		✓	✓
Mr. G. P. J. Goonawardene		✓	✓

8.2. Board Sub-Committees

The following Committees of the parent company namely Aitken Spence PLC function as the Audit, Remuneration, Nomination and Related Party Transactions Review Committees as permitted by the Listing Rules.

Audit Committee

Mr. R.N. Asirwatham (Chairman)
Mr. G.C. Wickremasinghe
Mr. C.H. Gomez
Mr. N.J. De Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N. J. De Silva Deva Aditya in the parent company's Directorate)
Mr. J.M.S. Brito (Appointed w.e.f. 23.05.2019)

Remuneration Committee

Mr. G.C. Wickremasinghe (Chairman)
Mr. R.N. Asirwatham
Mr. C.H. Gomez

Nomination Committee

Mr. G.C. Wickremasinghe (Chairman)
Deshamanya D.H.S. Jayawardena
Mr. R.N. Asirwatham

Related Party Transactions Review Committee

Mr. R.N. Asirwatham (Chairman)

Mr. G.C. Wickremasinghe

Mr. C.H. Gomez

Mr. N.J. De Silva Deva Aditya/ Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. De Silva Deva Aditya in the parent company's Directorate)

Mr. J.M.S. Brito (Appointed w.e.f. 23.05.2019)

8.3. Re-appointment of Directors who are over 70 years of age and Re-election of Directors

Upon the recommendation of the Nomination Committee and the Board, it is recommended that Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. De Silva Deva Aditya who are over 70 years of age and who vacate office in term of Section 210 (2) (b) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors. Mr. G.P.J. Goonewardene who retires by rotation in terms of Article 83 of the Articles of Association of the Company offers himself for re-election and the Board recommended same.

8.4. Directors' Shareholding

The Directors' shareholdings are provided on page 244 of this Annual Report.

8.5. Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transactions disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is duly recorded in the Interest Register.

8.6. Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2020 are disclosed on page 165 of the Financial Statements.

8.7. Related Party Transactions

Related party transactions of the Company and the Group are disclosed in Note 49 to the Financial Statements. These are

recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No. 24-Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the Group as per the Audited Financial Statements as at 31st March 2019.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Company as per the Audited Financial Statements as at 31st March 2019, which required additional disclosures in the Annual Report under Section 9.3.2(a) of the Listing Rules of the Colombo Stock Exchange.

The Key Management Personnel and the Group companies (including the Company) have disclosed on a quarterly basis, the proposed related party transactions (if any) falling under the ambit of Section 9 of the Listing Rule of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'Related Party' as defined in the Sri Lanka Accounting Standards (as applicable). The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above-mentioned Section.

The Directors declare that the Company is in compliance with Section 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the Financial Year ended 31st March 2020.

8.8. Subsidiary Board of Directors

The names of Directors of the subsidiary companies who held office as at 31st March 2020 and Directors who ceased to hold office during the accounting period are set out on pages 248 to 250 of this Annual Report.

9. Human Resources

Our Human Resources strategies and practices have translated into the creation of a dynamic and competent human resource team with sound succession planning and a remarkably low attrition rate.

Our employment strategies are reviewed periodically by the relevant Committees and the Board of Directors.

10. Corporate Governance

The Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations, Industrial Associations, Chambers of Commerce and Regulatory Bodies. The Group complies with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka. The Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environmental laws and practices.

The Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavors to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 98 to 108 of this Annual Report.

11. Risk Management

The Directors have established and adhered to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the Risk Management Process through the Audit Committee. The Risk Management Report of the Group is on pages 38 to 43 of this Annual Report.

12. Internal Controls

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Board of Director's Statement on Internal Controls on pages 121 to 122, the Statement of Directors' Responsibilities on page 116 and the Audit Committee Report set out on pages 109 to 111 of this Report provide further information in respect of the above.

13. Statutory Payments

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 116 of this Annual Report.

14. Corporate Sustainability

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Management Discussion and Analysis of this Report.

15. Shareholder Information

There were 3,659 shareholders as at 31st March 2020. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 241 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2020 are given on page 244 of this Annual Report. The percentage of the shares held by the public as at 31st March 2020 was 25.40% and the number of shareholders who held the public holding was 3,648. Information relating to Earnings Per Share and the Net Assets Per Share for the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 7 and 242 of this Annual Report.

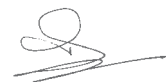
16. Auditors

The Independent Auditors' Report on the Financial Statements is given on pages 126 to 129 of this Annual Report. The retiring auditors Messrs. KPMG, Chartered

Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 982,000/- (2019 - Rs. 936,000/-). In addition to the above, Rs. 410,437/- (2019 - Rs 512,600/-) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 248 to 250 of this Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs.11,985,460/- (2019 - Rs 10,682,521/-) while a further Rs. 1,317,566/- (2019 - Rs. 1,658,002/-) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs. 1,690,487/- (2019 - Rs.1,665,655/-) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs. 2,939,828/- (2019 - Rs. 2,458,499/-). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



**Aitken Spence Corporate Finance
(Private) Limited**
Secretaries

Colombo
29th May 2020

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

102-16 102-17

Responsibility

The following statement fulfills the requirement to publish the Directors' statement of internal control as per the Code of Best Practice on Corporate Governance 2017.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Aitken Spence Hotel Holdings PLC ("Group").

The Board has established an ongoing process for identifying, evaluating, and managing the significant risks faced by the Company and this process includes the system of internal control over financial reporting. The process is regularly reviewed by the Board.

The Board is of the view that the system of internal control over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of Financial Statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Board has delegated specific responsibilities to the following four sub-committees:

- Audit Committee
- Nomination Committee
- Remuneration Committee
- Related Party Transactions Review Committee.

These committees are chaired by Independent Non-Executive Directors and have the authority to examine particular issues and report back to the Board with their recommendations.

The Board is confident that the internal controls are adequate to provide reasonable assurance regarding the reliability of financial reporting which is in accordance with acceptable accounting principles and the applicable regulatory requirements.

Internal Audit

The internal audit division of the Group checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and procedures and highlights significant findings in respect of any non-compliance. Audits are carried out on all units of the Group, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report.

The annual audit plan is reviewed and approved by the Audit Committee. Internal audit findings and the management responses are tabled to the Audit Committee for review at their periodic meetings.

Insurance and Physical Safeguards

Adequate insurance and physical safeguards on major assets are in place to ensure Group assets are sufficiently covered to minimise material loss against any mishap.

Policies, Procedures and Budgets

Policies and procedures to ensure compliance with internal controls and relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries' performance are assessed against the approved budgets and explanations are provided for significant variances periodically to the respective Boards.

Whistle Blowing Policy

The Group has in place a whistle blowing policy. The Whistle-Blowing Policy enables any employee, supplier and any stakeholder to report actual or suspected malpractices, misconducts or violations of the Group's policies and regulations in a safe and confidential manner through the appropriate channels.

The prevalence and effectiveness of this policy is monitored by the Audit Committee from time to time.

Ethics and Integrity

The Group is committed in conducting its business in an open, honest and ethical manner. Ethics and integrity has always been the main reference for all employees when dealing with various stakeholders. The strong commitment of the Group in upholding integrity when carrying out duties is evidenced by the Group Code of Ethics which includes a strong set of corporate values and conduct and is circulated to Directors and all employees.

Cyber Security

Cybercrime is a global problem that has been dominating the world. It poses a threat to individual security and is a threat to groups such as ours. Today's organized cybercrimes far out shadow lone hackers of the past. The Board has taken necessary precautions to minimize the risk of a security breach. During the year under review, necessary steps have been rolled out to curtail the exposure to cyber-attacks by reducing the threat surface and any potentially exploitable vulnerabilities.

Going Concern

The statement of going concern is set out in the 'Annual Report of the Board of Directors' on page 118.

Risk Management

An overview of the Group's risk management framework, is set out on pages 38 to 43.

Annual Report

The Board is responsible for the preparation of the Annual Report and confirm that the quarterly reports, Annual Financial Statements and the annual review of operations of the Group and its equity accounted investees that are incorporated in this Annual Report have been prepared and presented in a reliable manner, based on a balanced and comprehensive assessment of the financial performance of the entire Group.

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

Confirmation

All Financial Statements are prepared in accordance with the requirements of the Companies Act No. 7 of 2007, the Sri Lanka Accounting and Auditing Standards Act, and the Listing Rules of the Colombo Stock Exchange and other regulatory bodies as applicable for the Group.

We have duly complied with all the requirements prescribed by the regulatory authorities including the Colombo Stock Exchange and the Registrar of Companies. The consolidated financial statements for the year ended 31st March 2020 have been audited by Messrs. KPMG, Chartered Accountants.



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



R.N. Asirwatham
Chairman
Audit Committee

Colombo
29th May 2020

Resonating Value

*We're equipped to transform available
resources; to diffuse energy and transmit
vibrant waves of value across the region.*

FINANCIAL CALENDAR

Interim Financial Statements Calendar - 2019/2020 (In terms of Rule 7.4 of the CSE)

Interim Financial Statements for the three months ended on 30th June 2019
Interim Financial Statements for the six months ended on 30th September 2019
Interim Financial Statements for the nine months ended on 31st December 2019
Interim Financial Statements for the twelve months ended on 31st March 2020

Approved on 08th August 2019
Approved on 14th November 2019
Approved on 10th February 2020
Approved on 21st May 2020

Audited Financial Statements Calendar

Audited Financial Statements for the year ended 31st March 2020

Approved on 29th May 2020

Annual General Meeting (AGM) Calendar

Forty Third Annual General Meeting

On 30th June 2020

Interim Financial Statements Calendar - 2020/2021

Interim Financial Statements for the three months ended on 30th June 2020
Interim Financial Statements for the six months ended on 30th September 2020
Interim Financial Statements for the nine months ended on 31st December 2020
Interim Financial Statements for the twelve months ended on 31st March 2021

1st week of August 2020
1st week of November 2020
1st week of February 2021
4th week of May 2021

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INDEPENDENT AUDITOR'S REPORT



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To the Shareholders of Aitken Spence Hotel Holdings PLC Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2020, and statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 130 to 234.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31st March 2020, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Management assessment of the potential impacts of Coronavirus (COVID-19) on the Group/ the Company ability to continue as going concern.

Refer Accounting Policies in Note 2.11 and Note 56 to the financial statements

Risk Description

The financial statements have been prepared on a going concern basis. In adopting the going concern basis of preparation of the financial statements, the directors have reviewed the company's cash flow projections prepared by the management. The cash flow projections were based on management's assumptions and estimation of future cash inflows and outflows, also taking into consideration the impact of COVID-19 related estimate uncertainty.

Notes to the financial statements, which describes increased estimation uncertainty in the preparation of the current year Group/ the Company financial statements, specifically as it relates to the impacts of COVID-19 on the Group's future prospects, performance and cash flows. Further, the management has described how they plan to deal with these events and circumstances as the outbreak is still prevailing as at the date of this report.

We identified the management assessment of potential impact of COVID-19 to the Group's/ the Company's ability to continue as going concern as a key audit matter because the cash flow projections referred to above involves consideration of future events and circumstances which are inherently uncertain, and effect of those uncertainties may significantly impact the resulting accounting estimates. Therefore, the assessment requires the exercise of significant management judgement in assessing future cash inflows and outflows which could be subject to potential management bias.

Our response

Our audit procedures included,

- Obtaining the Group's / the Company's cash flow projections covering period of not less than twelve months from the reporting period end date and challenging these key assumptions used in preparing the projections.
- Evaluating the sensitivity of the projected available cash by considering downside scenarios together with reasonably plausible changes to the key assumptions and considering whether there were any indicators of management bias in the selection of the assumptions.
- Inspecting the facility agreements for the Group's/ the Company's long-term loans to identify any financial covenants or similar terms and assessing the implication of these on the Group's/ the Company's liquidity.
- Assessing the adequacy of disclosures in the financial statements in relation to the potential impact of COVID-19 to the Group's ability to continue as going concern with reference to the requirements of the prevailing accounting standards.

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA
T.J.S. Rajakarier FCA
Ms. S.M.B. Jayasekara ACA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA
Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA,
Ms. P.M.K. Sumanasekara FCA

P.Y.S. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyrathne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel ACA

C.P. Jayatilake FCA
Ms. S. Joseph FCA
S.T.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA



Adoption of SLFRS 16 (Leases)

Refer Accounting Policies in Note 3.5.2 and Note 6.1 to the financial statements

Risk Description

SLFRS 16 introduces a new lease accounting model, where lessees are required to recognize a right-of-use (ROU) asset and a lease liability arising from a lease on its statement of financial position.

The Group has adopted SLFRS 16 using the modified retrospective approach, under which the cumulative effect of initial application is recognized in retained earnings at 1st April 2019. Accordingly, the information presented for prior year has not been restated and continued to be reported, under LKAS 17 and related interpretations. As a result, as at 1st April 2019, the Group recognized ROU assets of Rs. 9,000 Mn, lease liabilities of Rs. 6,884 Mn and a decrease in retained earnings and non-controlling interest of Rs. 595 Mn, net of the deferred tax impact of Rs. 192 Mn.

Significant judgement is required in the assumptions and estimates made in order to determine the ROU asset and lease liability. The assumptions and estimates include assessment of lease term, the computation of the ROU asset and the determination of appropriate discount rates.

The adjustments arising from applying SLFRS 16 are material to the Group, and this disclosure of impact is a key focus area in our audit.

Our response

Our audit procedures included,

- Reading a sample of contracts to assess whether leases have been appropriately identified as per the SLFRS 16 requirements.
- Assessing the reasonableness of the methodology of the computation and the determination of lease arrangement excluded from the SLFRS 16 computations.
- Obtaining the Group's quantification of ROU assets and lease liabilities and check the completeness of the computation and for a sample of leases, we agreed the inputs used in the quantification to the lease agreements and performed computation checks while challenging the calculations and discount rate applied. We also check the accuracy of the retained earning adjustments computed by the Group based on our sample verifications carried out.
- Evaluating the appropriateness of the selection of accounting policies and management approach over adoption and transition applied for SLFRS 16, including the key accounting estimates and judgements made by the management based on the requirements of the new standard.
- Assessing the adequacy of the financial statements' disclosure required by SLFRS 16.

Impairment assessment of Goodwill, Investments in subsidiary and equity- accounted investees

Refer Accounting Policies in Note 3.1 and 3.5.4 and Note 21, 22 and 23 to the financial statements

Risk Description

The Company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs. 8,007 Mn and Rs. 1,223 Mn respectively as at 31st March 2020.

Further the Group holds investments in equity accounted investees amounting to Rs. 910 Mn and goodwill amounting to Rs. 493 Mn as at 31st March 2020.

The carrying amount of each investments in subsidiary and investments in equity- accounted investees have been tested for impairment as individual Cash Generating Units and management allocated goodwill to the respective cash-generating units ("CGU") and the recoverable amounts of the identified CGUs have been determined based on value-in-use calculation.

Investments which does not generate adequate returns may be an indication of impairment. Management performed the impairment assessment for subsidiaries with indicators of impairment and determined their recoverable amounts based on value-in-use calculations.

Further, COVID-19 outbreak resulted in interruption in business activities and resulted in loss of income for some of the subsidiaries and equity accounted investees within the Group, which would adversely affect the ability to generate adequate return and indicate potential impairment indicators.

We considered the audit of management's impairment assessment of goodwill, investment in equity accounted investees and investment in subsidiaries to be key audit matter due to the magnitude of the carrying value of goodwill, investment in equity accounted investees and investment in subsidiaries in the financial statements as at reporting date. In addition, these areas were significant to our audit because the impairment assessment process involves significant management judgement and required the management to make various assumptions in the underlying cash flow forecasts.

Our response

Our audit procedures included,

- Obtain and understanding of management's impairment assessment process.
- Evaluating the reasonableness of the Group's key assumptions for its revised cash flow projection such as discount rates, cost inflation and business growth with reference to the internally and externally derived sources including Group budgetary process and reasonableness of historical forecasts.
- Reviewing of value in use computations for recoverable amount with impairment indications and discussion with management of the Group.
- Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation methods.
- Considering the adequacy of the Group/ the Company disclosures in the financial statements in respect of impairment testing.

INDEPENDENT AUDITOR'S REPORT



Recoverability of Deferred tax Assets

Refer Accounting Policies in Note 3.11.4 and Note 25 to the financial statements

Risk Description

The Group has recognized deferred tax assets amounting to Rs. 296 Mn as at 31st March 2020.

Group had recognized significant deferred tax assets in respect of the future benefit of deductible temporary differences and accumulated tax losses which management considered would probably be utilised or recovered in the future through the generation of future taxable profits by the group entities or by set-off against deferred tax liabilities.

Further, the COVID-19 outbreak may affect the cash flow projections of the most of the entities within the Group due to interruption business activities resulted significant impact to the future taxable profits of the Group, which in turn could affect the recognition of deferred tax assets at the reporting date.

The recognition of deferred tax assets relies on the exercise of significant judgment by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profit being generated and future reversals of existing taxable temporary differences.

We identified the recognition of deferred tax assets as a key audit matter because of its significance to the consolidated financial statements and significant management judgment and estimation required in forecasting future taxable profits which could be subject to error or potential management bias.

Our response

Our audit procedures included,

- Assessing and challenging the Group's revised approach for evaluating the likelihood of the recoverability of deferred tax assets. This included challenging the key assumptions in revised future taxable profits forecasts for each Group entity with accumulated unutilized tax losses by comparing the most significant inputs used in the forecasts, including future revenue, margins and operating cost growth rates, with the historical performance of the entities, management's forecasts used for other purposes and our knowledge of the business gained from other audit procedures.
- Assessing adequacy of the disclosures in the financial statements.

Financial Instruments

Refer Accounting Policies in Note 3.3 and Note 46.6 to the financial statements

Risk Description

The effective portion of a Cash flow hedge has been recognized under other comprehensive income amounting to Rs. 292 Mn as at 31st March 2020.

Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility.

Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details of the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge.

Further, the economic turbulence resulting from the COVID-19 pandemic may affect the Group's risk exposures and how it manages them. Also the Group may need to consider, whether the hedge accounting criteria is in line with Accounting Standards continue to be met, whether there is hedge ineffectiveness to recognize in profit or loss and whether amounts accumulated in a cash flow hedge reserve need to be reclassified to profit or loss.

We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.

Our response

Our audit procedures included,

- Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging.
- Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item.
- Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting principles.



Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2618.

CHARTERED ACCOUNTANTS
Colombo, Sri Lanka

29th May 2020

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

102-7

For the year ended 31 st March	Notes	Group		Company	
		2020 Rs. '000	2019 Rs. '000	2020 Rs. '000	2019 Rs. '000
Revenue	8	19,019,241	19,570,589	704,209	883,896
Revenue taxes		(430,854)	(516,004)	(7,517)	(19,532)
Net revenue		18,588,387	19,054,585	696,692	864,364
Other income/(expenses)	9	117,801	(60,812)	908,918	915,198
Staff costs		(3,800,748)	(3,482,599)	(180,561)	(194,318)
Depreciation		(2,116,136)	(1,746,184)	(61,414)	(57,016)
Amortisation and impairment		(730,743)	(127,540)	(186,950)	(41,288)
Other operating expenses - direct	10	(4,256,434)	(4,147,894)	(191,424)	(228,970)
Other operating expenses - indirect	11	(6,238,460)	(6,754,597)	(325,335)	(326,304)
Profit from operations	12	1,563,667	2,734,959	659,926	931,666
Finance income		186,699	240,574	87,307	97,461
Finance expense		(1,861,353)	(934,502)	(118,079)	(165,074)
Net financing expense	13	(1,674,654)	(693,928)	(30,772)	(67,613)
		(110,987)	2,041,031	629,154	864,053
Share of (loss) of equity accounted investees (net of tax)	23	(322,036)	(136,706)	-	-
Profit/(loss) before taxation		(433,023)	1,904,325	629,154	864,053
Income tax (expense)/refund	14	(462,701)	(707,161)	8,717	(5,286)
Profit/(loss) for the year		(895,724)	1,197,164	637,871	858,767
Attributable to:					
Equity holders of the parent company		(624,953)	810,581	637,871	858,767
Non - controlling interests		(270,771)	386,583	-	-
		(895,724)	1,197,164	637,871	858,767
Earnings/(Loss) per ordinary share - Basic/Diluted (Rs.)	15	(1.90)	2.37	1.85	2.51

Figures in brackets indicate deductions.

The notes on pages 138 to 234 form an integral part of these financial statements.

		Group		Company	
For the year ended 31 st March		2020	2019	2020	2019
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit / (Loss) for the year		(895,724)	1,197,164	637,871	858,767
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Revaluation of property, plant and equipment	17	-	373,720	-	-
Share of other comprehensive income of equity accounted investees	23	5,358	264	-	-
Actuarial gains/(losses) on defined benefit obligations	39.4	17,128	13,002	2,619	2,082
Income tax on other comprehensive income	14.8	(2,153)	(93,771)	(367)	(291)
		20,333	293,215	2,252	1,791
Items that are or may be reclassified to profit or loss					
Foreign currency translation differences of foreign operations		929,718	1,805,457	-	-
Net movement in fair value reserve	23	(14,878)	-	-	-
Net movement in cashflow hedging	46.6	(291,529)	(84,129)	-	-
		623,311	1,721,328	-	-
Other comprehensive income for the year net of tax		643,644	2,014,543	2,252	1,791
Total comprehensive income for the year net of tax		(252,080)	3,211,707	640,123	860,558
Attributable to:					
Equity holders of the parent company		(202,358)	2,019,934	640,123	860,558
Non - controlling interests		(49,722)	1,191,773	-	-
		(252,080)	3,211,707	640,123	860,558

Figures in brackets indicate deductions.

The notes on pages 138 to 234 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

		Group		Company	
As at		31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non-Current Assets					
Property, plant and equipment	17	52,554,379	49,918,218	1,624,222	1,602,490
Right-of-use assets	18	11,172,389	-	-	-
Leasehold properties	19	-	2,214,518	-	-
Prepaid operating leases	20	-	1,924,329	-	-
Intangible assets	21	580,627	472,879	3,271	3,061
Investment in subsidiaries	22	-	-	8,006,841	7,704,201
Investment in equity accounted investees	23	910,478	1,249,902	1,222,873	1,282,873
Other financial assets	24	764,245	778,986	606,058	632,311
Deferred tax assets	25	295,849	160,942	-	-
		66,277,967	56,719,774	11,463,265	11,224,936
Current Assets					
Inventories	26	933,540	552,878	19,624	20,287
Trade and other receivables	27	1,681,349	2,094,744	136,869	161,267
Amounts due from holding company	28	740,232	1,150,073	32,148	312,619
Amounts due from parent's group entities	29	467,086	303,397	112,006	111,589
Deposits and prepayments		588,774	764,124	8,066	25,645
Prepaid operating leases	20	-	74,969	-	-
Current tax receivable		33,467	36,537	17,371	12,190
Other financial assets	30	128,828	53,108	82,686	39,975
Cash and cash equivalents	31	2,473,266	3,152,780	502,765	456,931
		7,046,542	8,182,610	911,535	1,140,503
Assets classified as held for sale	32	1,025,525	-	-	-
Total Assets		74,350,034	64,902,384	12,374,800	12,365,439
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Company					
Stated capital	33	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	34	5,419,419	4,997,135	705,961	705,961
Retained earnings		11,588,894	12,787,099	6,618,247	6,329,264
		20,562,900	21,338,821	10,878,795	10,589,812
Non -controlling interests		8,587,530	9,256,614	-	-
Total Equity		29,150,430	30,595,435	10,878,795	10,589,812

		Group		Company	
As at		31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non-Current Liabilities					
Interest - bearing liabilities - banks	35	24,890,820	23,405,292	471,763	400,600
Interest - bearing liabilities - leases	36	8,609,274	-	-	-
Deferred tax liabilities	37	991,305	953,790	41,433	49,783
Other liabilities	38	-	1,302,017	-	-
Employee benefits	39	209,714	206,750	34,545	35,472
		34,701,113	25,867,849	547,741	485,855
Current Liabilities					
Trade payables		940,582	923,504	17,997	29,165
Other provisions and payables	40	3,494,354	2,977,093	105,639	143,309
Amounts due to holding company		134,293	110,020	42,836	24,149
Amounts due to parent's group entities	41	74,009	56,051	501,284	783,146
Interest - bearing liabilities - banks	35	2,757,480	2,075,035	255,898	279,630
Interest - bearing liabilities - leases	36	524,112	-	-	-
Current tax payable		80,778	188,426	-	-
Bank overdrafts and other short term borrowings	31	2,492,883	2,108,971	24,610	30,373
		10,498,491	8,439,100	948,264	1,289,772
Total Liabilities		45,199,604	34,306,949	1,496,005	1,775,627
Total Equity and Liabilities		74,350,034	64,902,384	12,374,800	12,365,439

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 138 to 234.

I certify that the financial statements for the year ended 31st March 2020 are in compliance with the requirements of the Companies Act No. 07 of 2007.



Mr. D.G.P. Ekanayake
Assistant Vice President - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board:



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director

29th May 2020
Colombo
Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Group	Notes	Attributable to equity holders of the parent								Non - Controlling Interests	Total Equity
		Stated Capital	General Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Cashflow Hedge Reserve	Revaluation Reserve	Retained Earnings	Total		
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April 2018		3,554,587	22,929	-	1,946,932	(576,239)	2,401,406	12,421,600	19,771,215	8,122,788	27,894,003
Adjustment on initial application of SLFRS 09, net of tax		-	-	-	-	-	-	(13,373)	(13,373)	(434)	(13,807)
Restated balance as at 01st April 2018		3,554,587	22,929	-	1,946,932	(576,239)	2,401,406	12,408,227	19,757,842	8,122,354	27,880,196
Profit for the year		-	-	-	-	-	-	810,581	810,581	386,583	1,197,164
Other comprehensive income for the year		-	-	-	1,102,199	(50,477)	150,385	7,246	1,209,353	805,190	2,014,543
Total comprehensive income for the year		-	-	-	1,102,199	(50,477)	150,385	817,827	2,019,934	1,191,773	3,211,707
Effect of change in percentage holding in subsidiaries		-	-	-	-	-	-	(3,742)	(3,742)	3,742	-
Final dividends for 2017/2018	16	-	-	-	-	-	-	(435,213)	(435,213)	-	(435,213)
Dividends paid to non - controlling interest		-	-	-	-	-	-	-	-	(61,255)	(61,255)
Balance as at 31st March 2019		3,554,587	22,929	-	3,049,131	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435
Less adjustments due to:											
- initial application of SLFRS 16, net of tax	6.1	-	-	-	-	-	-	(318,054)	(318,054)	(277,099)	(595,153)
- application of IFRIC 23	6.2	-	-	-	-	-	-	(693)	(693)	(430)	(1,123)
Restated balance as at 01st April 2019		3,554,587	22,929	-	3,049,131	(626,716)	2,551,791	12,468,352	21,020,074	8,979,085	29,999,159
Profit / (loss) for the year		-	-	-	-	-	-	(624,953)	(624,953)	(270,771)	(895,724)
Other comprehensive income		-	-	(14,878)	596,128	(174,917)	-	16,262	422,595	221,049	643,644
Total comprehensive income for the year		-	-	(14,878)	596,128	(174,917)	-	(608,691)	(202,358)	(49,722)	(252,080)
Effect of change in percentage holding in subsidiaries		-	-	-	-	-	15,951	80,373	96,324	(96,324)	-
Final dividends for 2018/2019	16	-	-	-	-	-	-	(351,140)	(351,140)	-	(351,140)
Dividends paid to non - controlling interest		-	-	-	-	-	-	-	-	(245,509)	(245,509)
Balance as at 31st March 2020		3,554,587	22,929	(14,878)	3,645,259	(801,633)	2,567,742	11,588,894	20,562,900	8,587,530	29,150,430
Dividend per ordinary share -		(Note No.16)			Nil.	(2018/19-Rs. 1.00)					

Figures in brackets indicate deductions.

The notes on pages 138 to 234 form an integral part of these financial statements.

Company	Notes	Stated Capital Rs. '000	General Reserve Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2018		3,554,587	22,929	683,032	5,916,326	10,176,874
Adjustment on initial application of SLFRS 09, net of tax		-	-	-	(12,407)	(12,407)
Restated balance as at 01st April 2018		3,554,587	22,929	683,032	5,903,919	10,164,467
Profit for the year		-	-	-	858,767	858,767
Other comprehensive income		-	-	-	1,791	1,791
Total comprehensive income for the year		-	-	-	860,558	860,558
Final dividends for 2017/2018	16	-	-	-	(435,213)	(435,213)
Balance as at 31st March 2019		3,554,587	22,929	683,032	6,329,264	10,589,812
Profit for the year		-	-	-	637,871	637,871
Other comprehensive income		-	-	-	2,252	2,252
Total comprehensive income for the year		-	-	-	640,123	640,123
Final dividends for 2018/2019	16	-	-	-	(351,140)	(351,140)
Balance as at 31st March 2020		3,554,587	22,929	683,032	6,618,247	10,878,795
Dividend per ordinary share -	(Note No.16)					
					Nil. (2018/19-Rs. 1.00)	

Figures in brackets indicate deductions.

The notes on pages 138 to 234 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

For the year ended 31st March	Notes	Group		Company	
		2020 Rs. '000	2019 Rs. '000	2020 Rs. '000	2019 Rs. '000
Cash flow from operating activities					
Profit / (loss) before taxation		(433,023)	1,904,325	629,154	864,053
Adjustments for					
Depreciation	12	2,116,136	1,746,184	61,414	57,016
Amortisation of ROU assets and intangible assets	12	730,743	127,540	2,172	1,288
Impairment/(reversal of impairment) of trade debtors	12	80,782	7,704	6,967	717
Impairment of financial assets	12	3,603	(7,816)	3,603	(6,214)
Impairment of investment in subsidiaries and equity accounted investees	12	-	-	184,778	40,000
Loss on liquidation of a subsidiary	12	-	-	9,921	-
Interest expense	13	1,861,353	934,502	118,079	165,074
Interest income	13	(186,699)	(240,574)	(87,307)	(97,461)
Loss on disposal of Investments	9	-	5,556	-	-
Profit on disposal of property, plant & equipment	9	(1,552)	(13,415)	(2,510)	(98)
Provision for retirement benefit obligations	39	40,348	40,944	6,730	6,463
Share of (profit)/loss of equity accounted investees (net of tax)	23	322,036	136,706	-	-
Effect of movement in exchange rates	9	3,695	87,125	(12,594)	4,929
Operating profit before working capital changes		4,537,422	4,728,781	920,407	1,035,767
(Increase)/decrease in inventories		(380,662)	(124,341)	663	953
(Increase)/decrease in trade and other receivables		332,613	(23,929)	14,605	24,751
(Increase)/decrease in amounts due from holding company		409,841	314,091	280,427	218,951
(Increase)/decrease in amount due from parent's group entities		(163,689)	65,386	(417)	204,862
(Increase)/ decrease in deposits & prepayments		175,350	(230,886)	17,579	(15,724)
Increase/(decrease) in trade payables		17,078	323,275	(11,168)	(9,658)
Increase/(decrease) in other provisions & payables		517,261	26,668	(37,670)	26,954
Increase/(decrease) in amounts due to holding company		24,273	(724,965)	18,687	(252,340)
Increase/ (decrease) in amount due to parent's group entities		17,958	(10,668)	(330,278)	65,834
Cash generated from operations		5,487,445	4,343,412	872,835	1,300,350
Interest expenses paid		(1,683,017)	(898,722)	(82,849)	(151,844)
Retirement benefit obligations paid	39	(25,934)	(25,012)	(5,038)	(4,071)
Income taxes paid		(474,723)	(560,737)	(2,355)	(21,221)
Net cash flow generated from operating activities		3,303,771	2,858,941	782,593	1,123,214

(carried forward to next page)

For the year ended 31st March	Notes	Group		Company	
		2020 Rs. '000	2019 Rs. '000	2020 Rs. '000	2019 Rs. '000
Net cash flow generated from operating activities (brought forward from previous page)		3,303,771	2,858,941	782,593	1,123,214
Cash flow from investing activities					
Proceeds from debt securities		13,333	26,546	13,333	26,546
Investments in equity		-	(227,879)	(437,339)	(401,079)
Acquisition of property, plant & equipment	17	(3,255,080)	(6,803,628)	(84,356)	(47,275)
Purchase of intangible assets	21	(98,652)	(12,830)	(2,382)	(2,844)
Proceeds from disposal of investments		-	13,677	-	3,780
Proceeds from disposal of property, plant & equipment		5,344	22,391	3,720	4,116
Interest received		153,304	220,599	53,913	83,195
Proceeds / (Purchase) of term deposits		(33,009)	488,888	-	-
Net cash used in investing activities		(3,214,760)	(6,272,236)	(453,111)	(333,561)
Cash flow from financing activities					
Proceeds from long term bank borrowings	35	1,941,023	7,701,286	127,261	-
Repayment of long- term bank borrowings	35	(1,561,981)	(6,437,502)	(66,600)	(266,400)
Repayment of long- term lease liabilities	36	(1,219,741)	-	-	-
Dividends paid to equity holders of the parent		(351,140)	(435,213)	(351,140)	(435,213)
Dividend paid to shareholders of non controlling interest		(245,509)	(61,255)	-	-
Net cash generated from/ (used) in financing activities		(1,437,348)	767,316	(290,479)	(701,613)
Net increase / (decrease) in cash & cash equivalents		(1,348,337)	(2,645,979)	39,003	88,040
Cash & cash equivalents at the beginning of the year		1,043,809	3,596,740	426,558	343,447
Effect of movement in exchange rates		284,911	93,048	12,594	(4,929)
Cash & cash equivalents at the end of the year		(19,617)	1,043,809	478,155	426,558
Analysis of cash & cash equivalents at the end of the year.					
Cash at bank and in hand		2,473,266	2,503,071	502,765	456,931
Short term deposits		-	649,709	-	-
Short term bank borrowings		(2,492,883)	(2,108,971)	(24,610)	(30,373)
Cash & cash equivalents at the end of the year	31	(19,617)	1,043,809	478,155	426,558

Figures in brackets indicate deductions.

The notes on pages 138 to 234 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. Reporting Entity

1.1. Corporate information

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) (Pvt) Ltd.

1.2. Consolidated Financial Statements

The consolidated financial statements of the Company as at and for the year ended 31st March 2020 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

1.3. Principal activities and nature of operations

The principal activities of the company are that of an investment holding company and hoteliering and the subsidiary companies are also engaged in the business of hoteliering and auxiliary services and there has been no change in the nature of such activities during the year.

2. Basis of Preparation

2.1. Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs) effective from 1st January 2012, laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995. These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

This is the first set of the Group's annual financial statements in which SLFRS 16; Leases have been applied.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

2.2. Components of Financial Statements

The consolidated Financial Statements include the following components:

- an Income Statement and a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review.

- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review for the Group and the Company
- a Statement of Cash Flow providing the information to users, on the ability of the of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows.
- notes to the Financial Statements comprising significant accounting policies and other explanatory information.

2.3. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.4. Reporting date

The financial statements of all companies in the group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Co. (Pvt) Ltd., ADS Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd. Cowrie Investment (Pvt) Ltd. and Ace Resorts (Pvt) Ltd whose financial year ends on 31st December.

2.5. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2020 were approved and authorised for issue by the Board of Directors on 29th May 2020.

2.6. Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position.

Item	Basis of Measurement	Note Number
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	17.3
Financial assets classified as fair value through other comprehensive income	Measured at fair Value	24
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	39

2.7. Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupee.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements'.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these entities are measured using that Functional Currency. The offshore headquarter companies in the Group, changed their presentation currency from Sri Lanka Rupees (LKR) to United States Dollar (USD) with effect from 1st April 2018 to reflect the companies predominant operating currency in their financial statements. The Group accounted for this change in accounting policy by the subsidiary companies on prospective basis as the effect of the application of this change on the Group's financial statements is not material for the comparative years. The cumulative impact of the translation is transferred from Retained Earnings to Exchange Equalization Reserves on 1st April 2018.

Other than the above there was no change in the Group's Presentation and Functional Currency during the year under review. The financial statements of the Group are presented in Sri Lankan Rupees (LKR) which is the functional currency of the Group entities other than for the companies listed below where the functional currency is either based on the country of incorporation of the respective company or elements that could influence in determining its functional currency.

Company	Country of Incorporation	Functional Currency
A.D.S Resorts Ltd	Maldives	USD
Unique Resorts (Pvt) Ltd	Maldives	USD
Jetan Travel Services Company (Pvt) Ltd	Maldives	USD
Cowrie Investments (Pvt) Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	Indian Rupees
Aitken Spence Hotel Services (Pvt) Ltd	India	Indian Rupees
P.R Holiday Homes (Pvt) Ltd	India	Indian Rupees
Perumbalam Resorts (Pvt) Ltd	India	Indian Rupees

Company	Country of Incorporation	Functional Currency
Crest Star Ltd	Hongkong	USD
Crest Star (BVI) Ltd	British Virgin Island	USD
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	USD

2.8. Use of accounting judgements, estimates and assumptions

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most significant effect on the amounts recognised in the consolidated financial statements have been discussed in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

2.9. Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1

NOTES TO THE FINANCIAL STATEMENTS

on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group and the Company. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.10. Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Group.

2.11. Going concern

The Aitken Spence Hotel Holdings PLC and its subsidiaries operate in the tourism sector that has been significantly affected by the outbreak of COVID – 19.

With the spread of the virus on a global scale in mid-March 2020 and rightly the stringent measures taken by the respective Governments including the closure of airports, border entry barriers and lock downs, have compelled the temporary closure of all the Group's hotels except the city hotels in India and Oman which remains open with limited operations for a few in-house guests.

Based on the publicly available information as at the date these financial statements were authorized for issue, management considered a number of severe but plausible scenarios with respect to the potential development of the outbreak and its expected impact on the entity and economic environment, in which the entity operates, including the measures already taken by the Sri Lankan government.

In preparing these financial statements, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the Group and the appropriateness of the use of the going concern basis. In March 2020, Group has evaluated the resilience of its businesses considering a wide range of factors such as current and expected profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing goods and services.

Having presented the outlook for Group to the Board, the Directors are satisfied that the Group, has adequate

resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

3. Summary of Significant Accounting Policies

3.1. Basis of consolidation

The Group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1. Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

As per the requirements of Sri Lanka Accounting Standard (SLFRS 3) - Business Combinations when the Group acquires a business it assesses the financial assets and liabilities assumed under classifications or designations on the basis of the contractual terms, economic conditions, its operating or accounting policies and other pertinent conditions exist at the acquisition date, which is the date on which control is transferred to the Group. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable and other contractual arrangements.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognized amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non – controlling interest" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investees. The Group controls an investee if and only if, the Group has

* Power over the investee (i.e.; existing rights that give it the current ability to direct the relevant activities of the investee)

* Exposure or rights to variable returns from its involvement with the investee

* The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities are made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore, Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

*The contractual arrangement with the other vote holders of the investee

*Rights arising from other contractual arrangements

*The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

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3.1.4. Loss of control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, It is accounted for an equity accounted investee or as an available for sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5. Investments in equity accounted investees (investments in associates and joint ventures)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has

made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Groups share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6. Intra-group transactions

Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currency

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognized in income statement. However, the following items are recognized in the other comprehensive income.

- i. Differences arising on the retranslation of fair value through other comprehensive income equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii. Gains and losses arising from translating the financial statements of foreign operations
- iii. Qualifying cash flows hedges to the extent that the hedge is effective

3.2.2. Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. Income and expenses of the foreign entities are translated at exchange rate approximating to the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate during each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling

interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3. Financial instruments

(a) Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognized when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(b) Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI- debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount of outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

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On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets –Assessment whether contractual cash flows are solely payments of principal and interest:

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and

for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. nonrecourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par-amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses:

Item	Basis of Measurement
Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

Item	Basis of Measurement
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On derecognition, Gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.

Financial liabilities - Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(c) Derecognition

Financial assets

The Group derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognized in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets.

In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified

liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(d) Impairment

Non-derivative financial assets

Financial instruments and contract assets

The Group recognises allowances for expected credit losses (ECLs) on financial assets measured at amortized cost.

Loss allowances for trade receivables is always measured at an amount equal to lifetime ECLs.

Loss allowance for debt instruments is measured at 12-month ECL unless credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) of the debt instrument has not increased significantly since initial recognition.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realizing security (if any is held); or
- the financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

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12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 180 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the

timing and amount of writeoff based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Impairment Policy: Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

An impairment loss is recognized if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss in respect of other assets, recognised in prior periods is assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(e) Hedge accounting and cash flow hedge

'Hedging' is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. 'Hedge accounting' changes the timing of recognising the gains and losses on either the hedged item or the hedging instrument so that both are recognized in profit or loss or other comprehensive income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which the Group wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge. The documentation includes identification of the hedging instrument, the hedged item or transaction,

the nature of the risk being hedged and how the Group will assess the effectiveness of changes in the hedging instrument's fair value in offsetting the exposure to changes in the hedged item's fair value or cash flows attributable to the hedged risk. Such hedges are expected to be highly effective in achieving offsetting changes in fair value or cash flows and are assessed prospective basis according to SLFRS 09 requirements.

The Group holds derivative financial instruments to hedge its foreign currency and interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the host contract is not a financial asset and certain criteria are met.

Derivatives are initially measured at fair value. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

The Group designates certain derivatives as hedging instruments to hedge the variability in cash flows associated with highly probable forecast transactions arising from changes in foreign exchange rates and interest rates and certain derivatives and non-derivative financial liabilities as hedges of foreign exchange risk on a net investment in a foreign operation.

Cash Flow Hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognizes asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

When a non-derivative financial liability is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the non-derivative financial liability is recognised in OCI and accumulated in the hedging reserve. The effective portion of changes in the fair value of the non-derivative financial liability that is recognised in OCI is limited to the cumulative change in fair value of the hedged item, determined on a present value basis, from inception of the hedge. Any ineffective portion of changes in the fair value of the non-derivative financial liability is recognised immediately in profit or loss.

If the hedge no longer meets the criteria for hedge accounting (after taking into account any rebalancing of the hedging relationship) or the hedging instrument is sold, expires, is terminated or is exercised, then hedge accounting is discontinued prospectively. When hedge accounting for cash flow hedges is discontinued, the amount that has been accumulated in the hedging reserve remains in equity until, for a hedge of a transaction resulting in the recognition of a non-financial item, it is included in the non-financial item's cost on its initial recognition or, for other cash flow hedges, it is reclassified to profit or loss in the same period or periods as the hedged expected future cash flows affect profit or loss.

If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in the hedging reserve and the cost of hedging reserve are immediately reclassified to profit or loss.

3.4. Stated capital

3.4.1 Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4.2 Preference Shares

Preference Share capital is classified as equity if it is non-redeemable or redeemable only at the company's option and any dividends are discretionary. Dividends thereon are recognized as distributions within equity upon approval by the company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognized as interest expense in income statement as accrued.

3.5. Assets and bases of their valuation

3.5.1. Property, plant and equipment

3.5.1.1. Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition of its intended use. This also includes costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognizes land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land do not change other than by a significant amount at each reporting period, the Group will revalue such land every five years.

Any surplus arising on the revaluation is recognized in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognized in income statement, in which case the credit to that extent is recognized in income statement. Any deficit

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on revaluation is recognized in income statement except to the extent that it reverses a previous revaluation surplus on the same asset, in which case the debit to that extent is recognized in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The details of land valuation are disclosed in Note No. 17.3.1 to the financial statements.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal of with the carrying amount of property, plant and equipment and are recognized net within other income in income statement.

3.5.1.2. Significant components of property, plant and equipment

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

3.5.1.3. Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.5.1.4. Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed of. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonable certain that Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

• Leasehold Premises over the remaining lease period	
• Buildings	08- 50 years
• Plant & Equipment	10-20 years
• Kitchen Equipment	05 -15 years
• Office Equipment	03- 10 years
• Sports Equipment	05-10 years
• Motor Vehicles	04-06 years
• Boats	5 years
• Swimming Pool & Equipment	15- 30 years
• Furniture & Fittings	10- 20 years
• Crockery, Cutlery & Glassware	03-05 years
• Soft Furnishing	05-10 years

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.2. Leases

The Group has applied SLFRS16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under LKAS17 and IFRIC 4. Information about transitional impact on the application of SLFRS 16 is disclosed in Note No. 06.1 to the financial statements.

Policy applicable from 1 April 2019

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS16.

This policy is applied to contracts entered into, on or after 1 April 2019.

• As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial

direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount

of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'right of use assets' and lease liabilities in 'interest bearing liabilities-leases' in the statement of financial position.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

• As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative standalone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, then the Group applies SLFRS 15 to allocate the consideration in the contract.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other revenue'.

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Generally, the accounting policies applicable to the Group as a lessor in the comparative period were not different from SLFRS 16 except for the classification of the sub-lease entered into during current reporting period that resulted in a finance lease classification.

Policy applicable before 1 April 2019

• Leased assets

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. The owner-occupied property acquired by way of finance lease is stated at an amount equal to the lower of its fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and impairment losses if any.

• Leasehold property - land

Leasehold property comprising of land use rights and is amortised on a straight-line basis over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. Leasehold property is tested for impairment annually. The impairment loss if any is recognised in the income statement.

3.5.3. Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.5.4. Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets, the policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.5.5. Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.5.1. Website costs

Costs incurred on development of websites are capitalized when the entity is satisfied that the web site will generate probable economic benefits in the future. The estimated useful lives for the current and comparative periods are three years.

3.5.6. Investment properties

Investment properties are land and buildings that are held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods and services or for administrative purposes. Investment property is measured at cost at initial recognition and subsequently at cost less aggregate depreciation. However, if there is impairment in value, other than of a temporary nature, the carrying amount is reduced to recognize the decline.

3.5.7. Inventories

Inventories are measured at the lower of cost and net releasable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.5.8. Trade and other receivables

Trade and other receivables are stated at the amounts estimated to be realised after providing for impairment on trade and other receivables.

Other receivables and dues from related parties are recognised at cost, less provision for impairment.

3.5.9. Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and short-term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current

liabilities. For purpose of Cash Flow, Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.

3.5.10. Non-current assets held for sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill, and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measured in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognized in excess of any impairment loss.

3.6. Liabilities and Provisions

3.6.1. Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year from the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.6.2. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as finance cost.

3.6.3. Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

3.6.4. Government grants

A government grant is recognised initially as deferred income at fair value when there is a reasonable assurance that it will be received and the Group will comply with the conditions associated with the grant.

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Grants that compensate the Group for expenses incurred are recognised in income statement on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset is recognised in income statement on a systematic basis over the useful life of the asset.

3.7. Employee benefits

3.7.1. Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.1. Provident fund and trust fund – Sri Lanka

All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances.

3.7.1.2. Contribution to Retirement Pension Scheme-Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contribute 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.3. Employee Provident Fund - India

Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.

3.7.1.4. Defined contribution Fund - Oman

Group companies in Oman contribute a sum of 10.5% of the gross salary + 1% in respect of work related injuries and illness for Oman employees in accordance with Social Security Insurance Law. Whilst the employee is required to contribute 7% of the salary.

3.7.1.5. Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

3.7.1.6. Retiring Gratuity – Sri Lanka

The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit

obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

The defined benefit plan is valued by a professionally qualified external actuary.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognizes all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.7.1.7. Defined Benefit Plans – Oman

Under the labour law of Oman gratuity is due to expatriate employees upon termination of employment. Gratuity is computed based on half month's basic salary for each year during the first three years of employment and a full month's basic salary for each year of employment thereafter. An employee who has been in employment for less than one year is not entitled to receive gratuity.

3.7.1.8. Defined Benefit Plans – India

A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.

3.7.2. Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.8. Revenue and Income

Group revenue represents sales to customers outside the Group and excludes value added tax.

3.8.1. SLFRS 15- Revenue from contracts with Customers

SLFRS 15 established a comprehensive framework for determining whether how much and when revenue is recognized. Revenue is measured based on the consideration specified in a contract with a customer. Under SLFRS 15, the Group revenue is recognised when a customer obtains control of the goods or services – Determining the timing of the transfer of control – at a point in time or over time requires judgement.

Under SLFRS 15, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur.

The following specific criteria are used for the purpose of recognition of revenue:

- o Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consumes the benefits of the services rendered.
- o Restaurant revenue includes the revenue recognized on the sale food and beverage. All revenue is accounted for at the time of sale.
- o Bar revenue are accounted for at the time of sale.
- o Spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognized gross after completion of service / treatments.
- o Transfers and excursions includes the consideration earned from providing excursions to customers that represents sea plane and boat transfers services provided to customers who enter into contacts with Maldives Hotels. Revenue is recognised for at the time of rendering the service.
- o Telephone, laundry, diving and windsurfing represents the services provided to customers which are implied as business practice in the industry. All revenue is recognised for at the time of rendering the service.
- o Management fee represents the fees for managing hotels that are computed based on the industry norms. All revenue is recognised at the time of provision of management services.

The Group has a customer loyalty program whereby customers are awarded credits (reward points) known as "Diamond points", which allows customers to accumulate points when they occupy group hotels. These points can then be redeemed for future hotel accommodation.

The fair value of the consideration received or receivable in respect of initial sale is allocated between "diamond points" and the current sales. The fair value of the "diamond points" is based on a statistical analysis, adjusted to take into account the expected forfeiture rate. The fair value of the points issued is deferred and recognised as revenue when the points are redeemed. The Group has not included extensive disclosure regarding the loyalty programme as the amounts are not significant.

3.8.2. Other income

- Rent and shop income represents the rental income arising from renting of property, plant and equipment and investment properties. All revenue is recognized on a straight-line basis over the term of hire.

- Dividend income is recognised when the right to receive dividends is established which is generally when the dividend is declared. Dividend income is included under other operating income.
- Interest income is recognised as it accrues. Interest income included under finance income in the income statement.

3.9. Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.10. Financing Income/ (Expenses)

Finance income comprises interest income on funds invested, including the income from investment categorized under fair value through other comprehensive income (FVOCI). Gains on the disposal of interest generating investment classified under financial assets measured at amortised cost is recognised under finance income.

Interest income is recognised as it accrues in income statement, using the effective interest method.

Finance expenses comprise interest expense on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in income statement using the effective interest method. However, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

3.11. Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.11.1. Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

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3.11.2. Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 24 of 2017 and any applicable Gazette notifications issued.

3.11.3. Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in Note No. 14.2 to the financial statements.

3.11.4. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.11.5. Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge Act No 13 of 2006, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

As approved by the Cabinet of Ministers and instructed by the Ministry of Finance, ESC has been abolished with effect from January 01, 2020, pending parliamentary approval for amendment to the Economic Service Charge Act, No. 13 of 2006.

3.11.6. Transfer Pricing

As prescribed in the Inland Revenue Act No. 24 of 2017 and the Gazette notifications issued on transfer pricing, companies in the Group have complied with the arm's length principles relating to transfer pricing.

3.12. Statement of cash flows

The cash flow statement has been prepared using the "Indirect Method" of preparing cash flows in accordance with the Sri Lanka Accounting Standard – LKAS 7 on 'Statement of Cash Flow', whereby operating activities, investing activities and financing activities are separately recognised.

Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3.13. Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Group are disclosed in Note No. 17.4 and 43 to the financial statements.

3.14. Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

3.15. Comparative Information

The comparative information has been reclassified where ever necessary to confirm with the current years classification in order to provide a better presentation.

The comparative information of leases for 2018/19 is reported based on LKAS 17 and is not comparative to the information presented for 2019/20. The Group has not restated comparative information for the year 2018/19 in respect of changes resulting from adopting SLFRS 16 and IFRIC 23. The total impact on the adoption of SLFRS 16 and IFRIC 23 have been recognized directly in retained earnings as of 1st April 2019 as disclosed in Note 06 to the financial statements.

3.16. Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.17. Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.17.1. Primary and Secondary Segments

The Group in the hospitality industry cannot segment its products and services. The Group manages hotels in two principal geographical areas, Sri Lanka and South Asia. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

- i) Segmental information analysed by geographical segments is disclosed in Note No. 07 to the financial statements.
- ii) All transfers made between the hotels in the Group are based on normal market price.

4. Determination of Fair Values

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

Fair value of non-financial assets

The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

5. New Accounting Standards Issued but not Effective as at the Reporting Date

Several amendments to Accounting Standards are effective for annual periods beginning after 1 January 2020 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these consolidated financial statements.

Amendments to References to Conceptual Framework for financial reporting

CA Sri Lanka has issued a revised Conceptual Framework which will be used in standard setting decisions with immediate effect. Key changes include:

- increasing the prominence of stewardship in the objective of financial reporting
- reinstating prudence as a component of neutrality
- defining a reporting entity, which may be a legal entity, or a portion of an entity
- revising the definitions of an asset and a liability
- removing the probability threshold for recognition and adding guidance on derecognition
- adding guidance on different measurement basis, and

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- stating that profit or loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements.

Amendments to LKAS 1 and LKAS 8

In November 2018, the CA Sri Lanka issued amendments to LKAS 1 and Sri Lanka Accounting Standard – LKAS 8 on “Accounting Policies, Changes in Accounting Estimates and Errors” to align the definition of ‘material’ across the standards and to clarify certain aspects of the term ‘definition’. The new definition states that, ‘Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose Financial Statements make on the basis of those Financial Statements, which provide financial information about a specific reporting entity.’ The Group shall apply those amendments prospectively for annual financial periods beginning on or after January 1, 2020.

Amendments to SLFRS 3

In November 2018, the CA Sri Lanka issued amendments to the definition of a business in SLFRS 3 to help entities determine whether an acquired set of activities and assets is a business or not. These amendments clarify the minimum requirements for a business, remove the assessment of whether market participants are capable of replacing any missing elements, add guidance to help entities assess whether an acquired process is substantive, narrow the definitions of a business and of outputs, and introduce an optional fair value concentration test. New illustrative examples were provided along with the amendments.

The Group shall apply these amendments to business combinations prospectively for annual financial periods beginning on or after January 1, 2020, if the asset acquisitions occurs on or after the beginning of that period.

6 Initial application of new accounting standards and interpretations

The Group has initially applied SLFRS 16 “Leases” and IFRIC interpretation 23 from 1st April 2019. A number of other new standards are also effective from 1st April 2019 but they do not have a material effect on the Group financial statements.

6.1 Initial application of SLFRS 16 - Leases

SLFRS 16 Leases, replaces the previous leasing guidance, including LKAS 17 Leases, IFRIC 4 Determining whether an arrangement contains a lease, SIC -15 Operating leases – Incentives and SIC-27 Evaluating the Substance of transactions involving the legal form of a lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a one single balance sheet model similar to the accounting for finance leases under LKAS 17.

As prescribed by this standard, the Group recognises an asset (right-of-use asset) representing its right to use the underlying assets and lease liability representing its obligation to make lease payments. Subsequently on an on going basis the Group will be recognising the interest expense on the lease liability and the depreciation expense on the right-of-use asset, separately.

The Group has adopted SLFRS 16 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at the date of initial application (i.e. 01 April 2019). Accordingly the information presented for 2018/2019 has not been restated, i.e. it is presented, as previously reported, under LKAS 17 and related interpretations. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

6.1.1 Leases previously classified as leasehold properties and pre-paid operating leases

For leases previously classified as leasehold properties and pre-paid operating leases, the Group recognised the carrying amount of the lease asset immediately before transition as the carrying amount of the right-of-use asset. The requirements of SLFRS 16 was applied to these leases from 1 April 2019.

6.1.2 Leases previously accounted for as operating leases

The Group recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. Lease liabilities were recognised on the initial application based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

NOTES TO THE FINANCIAL STATEMENTS

6.1.3 Impact of adopting SLFRS 16 - "Leases" on transition

The following table summarises the impact, of transition to SLFRS 16 - "Leases" as at 01 April 2019.

	Rs. '000
Assets	
Property, plant & equipment	50,666
Right-of-use assets	9,000,346
Leasehold properties	(2,214,518)
Pre-paid operating leases	(1,999,298)
Lease equilisation reserves	1,302,017
Investments in equity - accounted investees	(7,868)
Deferred tax assets	192,101
Deposits and prepayments	(34,365)
Total Assets	6,289,081
Equity	
Retained earnings	(318,054)
Non - controlling interests	(277,099)
	(595,153)
Liabilities	
Interest - bearing liabilities - leases	6,884,234
Total Liabilities	6,884,234
Total Equity & Liabilities	6,289,081

6.1.4 Reconciliation of lease liabilities as at 1st April 2019 and operating lease commitments as at 31st March 2019

The following table summarises the impact, of transition to SLFRS 16 - "Leases" as at 01 April 2019.

	As at 01st April 2019 Rs '000
Operating lease commitments as at 31st March 2019 as disclosed under LKAS 17 in the Group's consolidated financial statements	8,568,854
Other lease commitments relating to low value assets and commitments relating to 12 month lease term	232,042
	8,800,896
Discounted operating lease commitments balance as at April 01 st, effect of adoption of SLFRS 16 *	7,116,276
- Commitments relating to leases with less than 12 months of lease term at transition	(166,521)
- Commitments relating to leases of low value assets**	(65,521)
Lease liability recognised as at 01 st April 2019	6,884,234

* When measuring lease liabilities for leases that were classified as operating leases, the Group discounted lease payments using its incremental borrowing rate as at 01st April 2019. The weighted average rates applied are as follows.

- Sri Lankan Hotels	- 13.35%
- Maldivian Resorts	- 8.19%

** Leases of low value assets such as, lease of motor vehicles, IT equipments where the Group acts as the lessee, and lease commitments with less than 12 months lease terms as per SLFRS 16 had not been applied to these contracts.

6.2 IFRIC Interpretation 23 - Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The Group has applied significant judgement in identifying uncertainties over income tax treatments and has considered each uncertain tax treatment separately and used the approach that would predict the resolution of the uncertainty.

Upon adoption of the interpretation, except for the uncertain income tax positions recognized in the equity of Rs. 1,122,707/= under initial application, the Group determined that its tax treatments will be accepted by the taxation authorities.

Operating Segements

The Group's segments are determined based on the Group's geographical spread of operations.

The following tables present revenue, profit information, assets and liabilities based on the Group's operating segments.

Group	Sri Lankan Sector						Soth Asia and Middle East Sector		Group	
	Resorts & Hotels			Others			Total			
	2019/2020	2018/2019	2019/2020	2018/2019	2019/2020	2018/2019	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Geographical segment analysis of Group revenue and profit										
- External revenue	4,710,107	6,484,721	48,129	59,844	4,758,236	6,544,565	14,261,005	13,026,024	19,019,241	19,570,589
- Intra group revenue	15,826	6,238	495,834	526,642	511,660	532,880	149,639	156,125	661,299	689,005
Total revenue	4,725,933	6,490,959	543,963	586,486	5,269,896	7,077,445	14,410,644	13,182,149	19,680,540	20,259,594
Less: Total Intra group revenue									(661,299)	(689,005)
Net Segment Revenue (Revenue from external customers)									19,019,241	19,570,589
Profit/(loss) from operations	(59,346)	698,130	386,887	393,064	327,541	1,091,194	1,236,126	1,643,765	1,563,667	2,734,959
Finance income	151,921	202,784	2,657	6,659	154,578	209,443	32,121	31,131	186,699	240,574
Finance cost	(283,474)	(310,166)	(222,932)	(230,120)	(506,406)	(540,286)	(1,354,947)	(394,216)	(1,861,353)	(934,502)
Share of profit/(loss) of equity accounted investees	(275,209)	(136,706)	(46,827)	-	(322,036)	(136,706)	-	-	(322,036)	(136,706)
Profit/(loss) before taxation	(466,108)	454,042	119,785	169,603	(346,323)	623,645	(86,700)	1,280,680	(433,023)	1,904,325
Income tax (expense)/refund	(263,668)	(405,656)	(109,870)	(69,794)	(373,538)	(475,450)	(89,163)	(231,711)	(462,701)	(707,161)
Profit/(loss) for the year	(729,776)	48,386	9,915	99,809	(719,861)	148,195	(175,863)	1,048,969	(895,724)	1,197,164
Capital expenditure	306,246	249,426	280	1,837	306,526	251,263	2,948,554	6,552,365	3,255,080	6,803,628
Depreciation and amortisation	848,911	851,176	6,154	5,665	855,065	856,841	1,991,814	1,016,883	2,846,879	1,873,724
Other non-cash expenses	32,997	11,771	1,345	(4,549)	34,342	7,222	6,356	15,416	40,698	22,638
Geographical segment analysis of Group assets and liabilities										
Total assets	21,081,474	21,857,069	361,135	246,513	21,442,609	22,103,582	52,018,422	41,570,375	73,461,031	63,673,957
Equity accounted investees	-	-	-	-	889,003	1,228,427	-	-	889,003	1,228,427
Total	21,081,474	21,857,069	361,135	246,513	22,331,612	23,332,009	52,018,422	41,570,375	74,350,034	64,902,384
Net assets	10,292,715	11,526,476	(3,266,243)	(3,679,903)	7,026,472	7,846,573	21,234,955	21,520,435	28,261,427	29,367,008
Equity accounted investees	-	-	-	-	889,003	1,228,427	-	-	889,003	1,228,427
Total	10,292,715	11,526,476	(3,266,243)	(3,679,903)	7,915,475	9,075,000	21,234,955	21,520,435	29,150,430	30,595,435
Total liabilities	10,788,759	10,330,593	3,627,378	3,926,416	14,416,137	14,257,009	30,783,467	20,049,940	45,199,604	34,306,949

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8 Revenue

8.1 Revenue breakdown

	Group		Company	
For the year ended 31 st March	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total Revenue	19,680,540	20,259,594	704,209	883,896
Less: Intra group revenue	(661,299)	(689,005)	-	-
Revenue excluding intra group revenue	19,019,241	19,570,589	704,209	883,896
Less: Revenue tax *	(430,854)	(516,004)	(7,517)	(19,532)
Net Revenue	18,588,387	19,054,585	696,692	864,364

* Revenue tax- As instructed by the Ministry of Finance and approved by the Cabinet of Ministers, NBT has been abolished with effect from December 01, 2019, pending parliamentary approval for amendment to the Nation Building Tax Act, No. 9 of 2009.

8.2 Revenue streams

The companies in the Group are primarily involved in hoteliering and generate revenue from provision of accommodation, food, beverages and other related services to customers. Other sources of revenue include income from renting the hotel spaces to provide other value added services to customers.

	Group		Company	
For the year ended 31 st March	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue from contracts with customers	18,680,505	19,230,694	696,608	875,122
Other revenue				
- Rent and shop income	338,736	339,895	7,601	8,774
	19,019,241	19,570,589	704,209	883,896

8.3 Disaggregation of revenue from contracts with customers

8.3.1 Type of service rendered

	Group		Company	
For the year ended 31 st March	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment	9,604,024	10,455,366	261,838	183,618
Restaurant	4,767,965	4,961,874	347,540	545,011
Bar	1,852,420	1,590,695	74,203	128,885
Spa related	236,511	243,082	11,989	15,870
Transfers & excursions	1,858,992	1,550,718	56	420
Telephone	5,771	972	18	56
Diving and windsurfing	286,692	353,054	-	-
Laundry	20,001	15,089	964	1,262
Management fees	48,129	59,844	-	-
	18,680,505	19,230,694	696,608	875,122
Rent and shop income	338,736	339,895	7,601	8,774
Total	19,019,241	19,570,589	704,209	883,896

The Group operates a customer reward programme identified as "Diamond Club" for the Sri Lankan hotels as a value addition service to its customers. Reward points are known as "Diamond points" and are granted to customers who utilise hotel services for more than a designated value. Points could be redeemed for future hotel accommodation in Group Hotels in Sri Lanka.

8.3.2 Geographical markets

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Sri Lanka	4,758,236	6,544,565	704,209	883,896
- South Asia and Middle East	14,261,005	13,026,024	-	-
	19,019,241	19,570,589	704,209	883,896

8.3.3 Timing of revenue recognition

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Revenue recognized at a point in time	9,076,481	8,775,328	434,770	691,504
- Revenue recognized over time	9,942,760	10,795,261	269,439	192,392
	19,019,241	19,570,589	704,209	883,896

8.4 Performance obligations

Performance obligations of a Hotel entity mainly include promises which are carried out on a contractually agreed upon task.

Performance obligations of the Group could be mainly summarised as detailed below:

Type of service	Nature and timing of the satisfaction of performance obligation	Nature and timing of the satisfaction of performance obligation
Provision of accommodation	The main obligation in the customer contract is to provide rooms for guests accommodation. This is represented in the Apartment Revenue reported in the financial statements. Revenue under this segment is recognised on the rooms occupied on a daily basis over the period of the stay. Invoice is raised to customer on completion of the duration of the stay.	Due within 30 days from the date of invoice.
Provision of food and beverages	The following services are rendered under this performance obligation: 1. Provision of BB/HB/FB meal for guests occupying the hotels which part and partial of the contract entered into. Revenue is recognized at the time of sale and invoice to the customers on the completion of the duration of the stay	Due within 30 days from the date of invoice.
	2. Provision of extra food and beverages Revenue is recognised at the time of sale and invoice to the customers at the time of consumption.	Due at the time of service is rendered.

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Type of service	Nature and timing of the satisfaction of performance obligation	Nature and timing of the satisfaction of performance obligation
Transfers and Excursions	This obligation is for customers entering into contract with Hotels in the Maldives. Sea plane and boat transfers are provided to customers to reach the Hotels and back as part of the contracts entered into. Revenue is recognised at the time of provision of service and invoice to the customers at the time of the completion of the stay.	Due within 30 days from the date of invoice.
Provision of Laundry, Telephone, Water sports , spa services etc.	These services are provided to customers as they are implied as business practices in the industry and create a valid expectation of the customer. Revenue is recognised at the time of provision of service and invoice is raised at the time of service is consumed.	Due at the time of service is rendered.
Management fees	This obligation is for hotels entering in to contracts with hotel management companies. Property management services, handling of employees' related activities, marketing and promotional activities and other related management services are mainly rendered under this performance obligation. Revenue is recognised at the time of provision of services and invoiced on monthly basis.	Due twice a year on completion of first six months and on completion of year end audit.

Warranties and obligations to refunds and other similar obligations are handled by cases by case basis.

8.5 Allocating the transaction price to performance obligations

In allocating the transaction price to each performance obligation based on the amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring of promised services to the customers.

8.6 Contract Assets and Contract Liabilities

The contract assets primarily relate to the Group's right to consideration for work completed but not billed at the reporting date.

The contract liabilities primarily relate to the advance consideration received from customers for future stay in hotels, for which revenue is recognized over the time.

However companies in the Group recognise considerations or payments received prior to transferring of services to customer against what is rightfully due at the time of transferring the services. These amounts have been recognised as contractual liabilities in the financial statements.

8.6.1 Contract balances

			Group		Company	
As at			31.03.2020	31.03.2019	31.03.2020	31.03.2019
			Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	(Note 27)		1,118,042	1,656,288	109,447	150,589
Contract assets			-	-	-	-
Contract liabilities	31.03.2020	(Note 8.6.2)	(1,142,310)	(1,330,222)	(18,057)	(37,436)
			(24,268)	326,066	91,390	113,153

8.6.2 Contract liabilities

			Group		Company	
As at			31.03.2020	31.03.2019	31.03.2020	31.03.2019
			Rs. '000	Rs. '000	Rs. '000	Rs. '000
Contract liabilities balance as at 01 st April			(1,330,222)	(1,125,799)	(37,436)	(9,736)
Revenue recognized in the reporting period that was included in the contract liability balance at the beginning of the period			1,088,787	1,125,799	37,436	9,736
Revenue recognised in the reporting period from performance obligations satisfied (or partially satisfied) in previous periods			-	-	-	-
Advances Received from customers during the reporting period			(8,940,866)	(10,801,647)	(178,215)	(346,250)
Revenue recognized in the reporting period from performance obligations satisfied during current period			8,124,001	9,471,425	160,158	308,814
Effect of movement in exchange rates			(84,010)	-	-	-
Contract liabilities balance as at 31st March	(Note 40)		(1,142,310)	(1,330,222)	(18,057)	(37,436)

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9 Other income / (expenses)

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation	3,792	2,522	932	2,473
Dividends (net) from investments	-	-	901,479	910,543
Loss on disposal of investments	-	(5,556)	-	-
Profit / (Loss) on sale of property, plant & equipment	1,552	13,415	2,510	(98)
Loss on liquidation of a subsidiary	-	-	(9,921)	-
Net foreign exchange gain / (loss)	(3,695)	(87,125)	12,594	(4,929)
Insurance claims received *	102,031	4,053	-	-
Sundry income	14,121	11,879	1,324	7,209
Total	117,801	(60,812)	908,918	915,198

* Insurance income reflected above is the compensation received from the insurance company for business interruption and loss of material due to a fire which destroyed two ocean villas and the restaurant of ADS Resorts (Pvt) Ltd. (Adaaran Select Hudhuran Fushi) in the year 2018/19.

10 Other operating expenses - direct

Other operating expenses - direct disclosed in the income statement refer to the cost of material and services other than staff costs, which are directly related to revenue.

11 Other operating expenses - indirect

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration and establishment	2,434,473	3,104,442	160,767	144,574
Repairs and maintenance	1,003,094	915,253	27,457	36,854
Energy	1,227,847	1,134,804	70,634	73,365
Selling and marketing	1,250,563	1,112,476	41,750	32,715
Management fees	322,483	487,622	24,727	38,796
Total	6,238,460	6,754,597	325,335	326,304

12 Profit from operations

Profit from operations is stated after charging all expenses including the following:

For the year ended 31 st March	Group		Company	
	2019/2020 Rs. '000	2018/2019 Rs. '000	2019/2020 Rs. '000	2018/2019 Rs. '000
Cost of inventories & services	4,256,434	4,147,894	191,424	228,970
Directors fees and emoluments	-	29	-	7
Auditors' remuneration				
- KPMG	11,985	10,683	982	936
- Other auditors	1,690	1,666	-	-
Fees paid to Auditors for non audit services				
- KPMG	1,318	1,658	410	513
- Other auditors	2,940	2,458	-	-
Depreciation of property, plant and equipment	2,116,136	1,746,184	61,414	57,016
Amortisation and impairment				
- Amortisation of right-of-use assets and intangible assets	730,743	127,540	2,172	1,288
- Impairment of investment in subsidiaries and equity accounted investees	-	-	184,778	40,000
Loss on liquidation of a subsidiary	-	-	9,921	-
Donations	1,836	2,759	128	396
Defined contribution plan cost - EPF	77,442	80,484	8,038	12,604
Defined contribution plan cost - ETF	14,890	18,988	2,011	3,030
Defined contribution plan cost - Oman	9,810	9,361	-	-
Defined contribution plan cost - Maldives	23,472	23,521	-	-
Defined benefit plan cost - retirement benefit	40,348	40,944	6,730	6,463
Impairment / (reversal of impairment) of trade receivables	80,782	7,704	6,967	717
Impairment / (reversal of impairment) of financial assets	3,603	(7,816)	3,603	(6,214)
Legal expenses	4,269	5,461	327	170
Operating lease rentals	-	427,056	-	-
Expenses relating to short-term leases	168,956	166,521	-	-
Expenses relating to leases of low value assets	65,532	65,521	-	-

13 Net financing expense

For the year ended 31 st March	Group		Company	
	2019/2020 Rs. '000	2018/2019 Rs. '000	2019/2020 Rs. '000	2018/2019 Rs. '000
Finance income				
Interest income on financial assets measured at amortised cost	186,699	240,574	87,307	97,461
	186,699	240,574	87,307	97,461
Finance expenses				
Interest expense on financial liabilities measured at amortised cost	(1,276,238)	(934,502)	(118,079)	(165,074)
Interest expense on lease liabilities	(585,115)	-	-	-
	(1,861,353)	(934,502)	(118,079)	(165,074)
Net Finance expense	(1,674,654)	(693,928)	(30,772)	(67,613)

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14 Income tax expense

The income tax provision of Aitken Spence Hotel Holding PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated in accordance with the notice issued by the Department of Inland Revenue on the instructions of the Ministry of Finance on 12th February 2020 (No. PN/IT/2020-03) on the subject "Implementation of Proposed Changes to the Inland Revenue Act, No. 24 of 2017" and further amended by the notice No. PN/IT/2020-03 (Revised) issued by the Department of Inland Revenue dated on 8th April 2020.

As the proposed changes are effective from 01st January 2020, Department of Inland Revenue has issued a notice No. PN/IT/2020-06 dated 06th May 2020, providing instructions on the subject "Computation of Income Tax Payable and Payments for the Year of Assessment 2019/2020". As per instructions issued, taxable income computed for the full year needs to be apportioned over the two periods by applying the pro-rata basis based on the time (i.e. 9 months and 3 months) and the relevant tax rates for two periods should be applied. Group has computed the current tax based on above instructions and remitted the tax payments on the same basis. The Company and the Group has adopted the above on the basis that formal amendments to the Inland Revenue Act No 24 of 2017 would be made in the near future.

Aitken Spence Hotel Holdings PLC, being a Company engaged in the promotion of tourism is liable for tax at a concessionary rate of 14% in terms of the notice No. PN/IT/2020-03 (Revised) issued by Department of Inland Revenue.

Income tax expense for the year includes, taxes arising from the dividend distributions by resident companies of the Group and any adjustment relating to income tax payable or receivable balances in respect of previous years. Dividend distributions made by resident companies of the Group up to 31st December 2019 from its taxable profits is subject withholding tax of 14% as per section 84 of the Inland Revenue Act No. 24 of 2017. From 1st January 2020, withholding tax on dividend distributions has been withdrawn and the companies receiving such dividends would be liable for income tax at 14%. Dividends remitted to Sri Lanka from non resident companies are exempt from income tax under third schedule to the Inland Revenue Act No. 24 of 2017.

The Taxation details of the other Companies in the Group are as follows:

14.1 Sri lankan operations

Companies incorporated in Sri Lanka and operating outside Sri Lanka

The business profits and income of Aitken Spence Hotel Management Asia (Pvt) Ltd, Aitken Spence Hotels International (Pvt) Ltd, Aitken Spence Global Operations (Pvt) Ltd, being companies incorporated in Sri Lanka and predominantly* engaged in the business of export of services are liable for tax at a concessionary rate of 14% up to 31st December 2019, in terms of Inland Revenue Act No. 24 of 2017. From 01st January 2020, the business profits and income of above companies would be exempt from income tax as gains and profits are derived from provision of service rendered in or outside Sri Lanka to any person to be utilised outside Sri Lanka, where the payment for such services is received in foreign currency through a bank. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives and the profits earned by the Company in Oman is taxed at 15%. In calculating the income tax liability in Sri Lanka, companies are entitled to deduct income tax paid in foreign jurisdictions as foreign tax credits.

Companies liable to income tax at standard rate

The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd arising from leasing out land, is liable for income tax at standard rate of 28% up to 31st December 2019 and 24% thereafter.

Companies liable to income tax at concessionary rates

The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, and Turyaa (Pvt) Ltd, being companies engaged in the promotion of tourism are liable for tax at a concessionary rate of 14% in terms of the notice No. PN/IT/2020-03 (Revised) issued by Department of Inland Revenue.

Companies exempt from income tax

The business profits of Turyaa Resorts (Pvt) Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 10 years ending 2026/2027.

The business profits of Ahungalla Resorts Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.

14.2 Overseas operations

Companies incorporated and operating outside Sri Lanka are liable for income tax in accordance with the provisions of the foreign jurisdictions applicable to overseas companies.

The business profits of Jetan Travel Services Co. Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd, Crest Star Ltd, Crest Star (BVI) Ltd, PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd, Aitken Spence Hotel Services Ltd, Aitken Spence Hotel Managements South India (Pvt) Ltd and Aitken Spence Resorts [Middle East] LLC, being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

The business profits of Jetan Travel Services Co. Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd and Unique Resorts (Pvt) Ltd which are incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Business Profit Tax Act of Republic of Maldives.

Crest Star Ltd, a Company incorporated in Hong Kong is not liable for Income Tax. Crest Star (BVI) Ltd, a company incorporated in the British Virgin Islands is exempt from Income Tax. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives.

The business profits of PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd and Aitken Spence Hotel Services (Pvt) Ltd; being Companies incorporated in India would be liable for tax at a rate of 25.17% in India, when the Company commences commercial operations.

The business profits of Aitken Spence Hotel Managements South India (Pvt) Ltd, being a Companies incorporated in India would be liable to an effective income tax rate of 25.17% as per the Indian tax law.

The business profits of Aitken Spence Resorts (Middle East) LLC, being a Company incorporated in Oman would be liable for corporate tax rate of 15% as per the Oman tax law.

14.3 Associate and joint venture companies

The business profits and income of Browns Beach Hotels PLC arising from leasing of land to Negombo Beach Resorts (Pvt) Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 28% up to 31st December 2019 and 24% thereafter.

The business profits of Negombo Beach Resorts (Pvt) Ltd, would be exempt from income tax under section 17 A of Inland Revenue (amendment) Act No. 08 of 2012 for a period of 12 years ending 2029/30.

The business profits and income of Amethyst Leisure Ltd, is liable for income tax at standard rate of 28% up to 31st December 2019 and 24% thereafter.

The business profits and income of Paradise Resorts Passikudah (Pvt) Ltd, being a Company engaged in the promotion of tourism is liable to tax at a concessionary rate of 14% in terms of the notice No. PN/IT/2020-03 (Revised) issued by Department of Inland Revenue.

The business profits and income of Aitken Spence Hotel Managements (Pvt) Ltd, arising from management of Sri Lankan hotels and exporting of goods to hotels in Maldives, is liable for income tax at standard rate of 28% up to 31st December 2019 and 24% thereafter.

The business profits and income of Aitken Spence Resources (Pvt) Ltd, being a company involved in the business as agents for recruitment and supply of human resources for employment in abroad, is liable for income tax at standard rate of 28% up to 31st December 2019 and 24% thereafter.

* Predominantly under the Inland Revenue Act No. 24 of 2017 means 80% or more calculated based on gross income.

NOTES TO THE FINANCIAL STATEMENTS

14.4 Deferred tax expense

Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in the Inland Revenue Act No 24. of 2017, which are expected to be applied to the temporary differences when they reverse. As per guideline issued by CA Sri Lanka in 2015 on the "Application of Tax Rates in Measurement of Deferred Tax", substantively enacted rates shall be used in the measurement of deferred tax.

During the year, the Group has adopted SLFRS 16 – "Leases" and IFRIC 23 – "Uncertainty over Income Tax Treatments" and recognised the impact on current tax and deferred tax.

Right-of-use (ROU) assets and operating lease liability

SLFRS 16 requires a company to recognise a right-of-use asset (lease asset) and a lease liability for operating leases. Over the lease term, the company recognises amortisation and interest expense as it uses the lease asset and settles the lease liability.

As per section 10 of the Inland Revenue Act No. 24 of 2017, amortisation and the notional interest charged to income statement would not be allowed for income tax. However operating lease rentals paid would be a deductible expense for income tax under section 11 of the Inland Revenue Act No. 24 of 2017.

Accordingly, the income tax treatment on operating leases would result in a temporary difference and deferred tax is recognised. In addition, the Group has adopted modified retrospective application for the initial date of application (i.e. 01st April 2019) of SLFRS 16 and any deferred tax arising from such adjustments are accounted in the opening balance of retained earnings.

IFRIC interpretation 23 - uncertainty over income tax treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 - Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The Group has applied significant judgement in identifying uncertainties over income tax treatments and has considered each uncertain tax treatment separately and used the approach that would predict the resolution of the uncertainty.

The Group initially adopted IFRIC 23 from 1st April 2019 using the modified retrospective approach under which the cumulative effect of initial application is recognised in retained earnings at the date of initial application. Except for the uncertain income tax positions recognised in the equity under initial application, the Group has determined that there are no other identified uncertainties in tax treatments that warrants disclosure.

14.5 Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017, any unclaimed tax losses incurred during the year could be carried forward for further six years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly. In reviewing the recoverability of unclaimed losses, Group has evaluated the impact of COVID-19 pandemic on the future taxable profitability of the companies. Deferred tax assets recognised on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

14.6 Impact of proposed amendments to the income tax law announced by the Government

As mentioned in note 14, the Department of Inland Revenue has issued a notice No. PN/IT/2020-03 (Revised) dated 08th April 2020, proposing to amend the existing Inland Revenue Act, No. 24 of 2017 effective from 01st January 2020. As per notice issued standard rate for corporate income tax has been reduced from 28% to 24%. Proposed notice also provides income tax exemptions and concessionary tax rates, which are detailed in the above paragraphs.

Deferred tax for the year has been computed on the enacted rates as per Inland Revenue Act No. 24 of 2017, since proposed rates have not been substantially enacted. As per LKAS 12 – "Income Taxes" and LKAS 10 – "Events after the Reporting Period", the company and the Group has estimated the impact of tax rate changes on its current and deferred tax assets and liabilities as follows.

	Group Rs. '000	Company Rs. '000
Current tax expense	-	-
Deferred tax expense/(income)		
- Recognised in income statement	(156)	-
- Recognised in other comprehensive income	(17)	-
- Recognised in equity	-	-
Total Impact	(173)	-

14.7 Tax recognised in income statement

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current tax expense				
Tax on current year profits 14.10	292,752	415,918	-	-
(Over) / Under provision in respect of previous years	(24,347)	17,433	-	(77)
Withholding tax on dividends paid by subsidiaries	93,191	80,056	-	-
	361,596	513,407	-	(77)
Deferred tax expense/ (income)				
Origination/(reversal) of temporary differences 14.11	101,105	193,754	(8,717)	5,363
	101,105	193,754	(8,717)	5,363
Total	462,701	707,161	(8,717)	5,286

Income tax expense excludes, the Group's share of tax expense of the equity-accounted investees recognised in profit/(loss) of Rs. 65.4 million (2018/2019 - Rs. 11.9 million) which is included in 'share of profit of equity-accounted investees' (net of tax).

14.8 Tax recognised in other comprehensive income

14.8.1 Group

For the year ended 31 st March	2019/2020			2018/2019		
	Before Tax	Tax expense	Net of Tax	2019/2020	Tax expense	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant & equipment	-	-	-	373,720	(91,125)	282,595
Share of other comprehensive income of equity accounted investees (net of tax)	5,358	-	5,358	264	-	264
Actuarial gains / (losses) arising from retirement benefit obligations	17,128	(2,153)	14,975	13,002	(2,646)	10,356
	22,486	(2,153)	20,333	386,986	(93,771)	293,215
Items that are or may be reclassified to profit or loss						
Foreign Currency translation differences of foreign operations	929,718	-	929,718	1,805,457	-	1,805,457
Net movement in fair value reserve	(14,878)	-	(14,878)	-	-	-
Net movement in cash flow hedging	(291,529)	-	(291,529)	(84,129)	-	(84,129)
	623,311	-	623,311	1,721,328	-	1,721,328
Total	645,797	(2,153)	643,644	2,108,314	(93,771)	2,014,543

Tax recognised in other comprehensive income excludes, the Group's share of tax expense of the equity-accounted investees recognised in the other comprehensive income of Rs. 69,749/- (2018/2019 - Rs. Nil) which has been included in 'share of other comprehensive income of equity-accounted investees' (net of tax).

NOTES TO THE FINANCIAL STATEMENTS

14.8.2 Company

For the year ended 31 st March	2019/2020			2018/2019		
	Before Tax	Tax expense	Net of Tax	2019/2020	Tax expense	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Actuarial gains / (losses) arising from retirement benefit obligations	2,619	(367)	2,252	2,082	(291)	1,791
Total	2,619	(367)	2,252	2,082	(291)	1,791

14.9 Tax recognised directly in equity as at 1st April 2019

	Group			Company		
	Before Tax	Tax (expense) / income	Net of Tax	Before Tax	Tax (expense) / income	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Adjustment on initial application of						
- SLFRS 16 - Leases	(779,385)	192,101	(587,284)	-	-	-
- IFRIC 23 - Interpretations 23 - uncertainty over income tax treatment	-	(1,123)	(1,123)	-	-	-
Share of amounts recognised directly in equity for equity - accounted investees (net of tax)	(7,869)	-	(7,869)	-	-	-
	(787,254)	190,978	(596,276)	-	-	-

14.10 Reconciliation of accounting profit and current year tax

For the year ended 31 st March	Group		Company	
	2019/2020 Rs. '000	2018/2019 Rs. '000	2019/2020 Rs. '000	2018/2019 Rs. '000
Profit/(Loss) before tax	(433,023)	1,904,325	629,154	864,053
Consolidated adjustments	322,036	136,705	-	-
Profit after adjustments	(110,987)	2,041,030	629,154	864,053
Income not liable for income tax	894,182	958,800	9,736	-
Effect of revenue subject to tax at source	551,451	314,675	-	-
Adjusted Profits	1,334,646	3,314,505	638,890	864,053
Non taxable receipts / gains	-	-	(901,478)	(910,543)
Aggregate disallowed expenses	4,355,026	2,441,794	281,364	127,438
Capital allowances	(2,756,850)	(3,317,768)	(54,932)	(57,045)
Aggregate allowable deductions	(1,595,520)	(256,824)	(30,360)	(21,798)
Utilisation of tax losses	(68,410)	(103,274)	-	(2,105)
Current year tax losses not utilised	962,071	818,797	66,516	-
Taxable Income	2,230,963	2,897,230	-	-
Income Tax charged at				
Standard rate of 28% / 24%	499	-	-	-
Concessionary rates	87,903	138,588	-	-
Other rates	501	502	-	-
Varying rates on off - shore profits	203,849	276,828	-	-
Tax on current year profits	292,752	415,918	-	-
Under / (Over) provision in respect of previous years	(24,347)	17,433	-	(77)
Withholding tax on dividends paid by subsidiaries	93,191	80,056	-	-
	361,596	513,407	-	(77)

NOTES TO THE FINANCIAL STATEMENTS

14.11 Deferred tax expense / (income)

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Origination / (reversal) of temporary differences arising from:				
Accelerated depreciation for tax purposes on property, plant and equipment	108,334	233,205	(1,374)	(704)
Defined benefit obligations	(2,097)	(2,250)	(236)	(336)
Expected credit losses	(15,218)	(805)	(1,726)	785
Tax losses carried forward	21,446	(36,396)	(5,381)	5,618
Right-of-use assets	(11,360)	-	-	-
Total	101,105	193,754	(8,717)	5,363

14.12 Tax losses carried forward

For the year ended 31 st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax losses brought forward	6,057,351	4,168,185	1,071,752	1,073,451
Adjustments to prior year tax losses brought forward and tax losses arising during the year	(331,728)	1,992,440	59,049	407
Utilisation of tax losses	(68,410)	(103,274)	-	(2,106)
Total	5,657,213	6,057,351	1,130,801	1,071,752

Group tax expense is based on the taxable profit of individual companies within the Group.

Income derived from the provision of services by non resident companies operating in the Maldives is subject to withholding tax of 10% .

As specified above, some companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. Deferred tax assets not accounted in respect of these losses amounted to Rs. 824,485,878/- (2018/2019 - Rs. 645,106,118/-) since utilization against future taxable profits are not probable. For Aitken Spence Hotel Holding PLC, deferred tax assets unaccounted on losses as at 31.03.2020 amounted to Rs. 8,266,621/- (2018/2019 - Rs.5,380,893/-).

15 Earnings per ordinary share

Basic earnings per share is calculated by dividing the net profit for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the net income and share data used in the basic earnings per share computation.

For the year ended 31 st March	Group		Company	
	2019/2020 Rs.	2018/2019 Rs.	2019/2020 Rs.	2018/2019 Rs.
Amounts used as numerator				
Profit /(loss) for the year attributable to equity holders of the company	(624,953,446)	810,581,227	637,871,005	858,766,956
Less : Dividends on preference shares	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
	(639,803,446)	795,731,227	623,021,005	843,916,956
Number of ordinary shares used as the denominator				
Weighted Average number of ordinary shares in issue	336,290,010	336,290,010	336,290,010	336,290,010
Earnings per ordinary share - (Rs.)	(1.90)	2.37	1.85	2.51

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings per share is equal to the basic earnings per share.

16 Dividends

For the year ended 31 st March	Company	
	2019/2020 Rs. '000	2018/2019 Rs. '000
Final Dividends declared and paid		
Preference Dividend		
Preference dividend paid	(14,850)	(14,850)
Ordinary Dividend		
Final ordinary dividend paid	(336,290)	(420,363)
	(351,140)	(435,213)
Final ordinary dividends proposed	-	336,290
Preference dividends proposed	14,850	14,850
Ordinary Dividend per Share - (Rs.)	-	1.00

The Directors have recommended to declare a preference share dividend of 9% on cumulative preference shares for the year ended 31st March 2020 . If it is approved at the Annual General Meeting to be held on 30 th June 2020, the entire preference dividends will be paid out of taxable dividends received from subsidiary companies from which 14% withholding tax has been deducted.

In accordance with LKAS 10 - Events After the Reporting Period, the recommended preference dividends have not been recognised as a liability as at 31st March 2020.

However for the purpose of computing dividends per share, dividends to be approved has been taken into consideration.

NOTES TO THE FINANCIAL STATEMENTS

17 Property, plant and equipment 17.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Soft furnishing, Cutlery, Crockery & Glassware	Capital work-in progress	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation								
Balance as at 01.04.2019	7,099,011	30,817,513	7,527,237	438,994	2,673,407	1,340,000	14,169,161	64,065,323
Additions	-	329,109	444,590	51,560	105,978	140,924	2,182,919	3,255,080
Capitalisation of interest and depreciation (Note 18, 35.3 & 36.1)	-	-	-	-	-	-	560,968	560,968
Transfers	-	14,262,244	1,036,540	83,411	1,042,226	377,306	(16,801,727)	-
Disposals	-	-	(20,964)	(2,250)	(10,948)	(17,880)	-	(52,042)
Reclassification to non current assets held for sale (Note 32)	-	-	-	-	-	-	(1,025,525)	(1,025,525)
Effect of movement in exchange rates	195,956	959,833	252,798	26,504	65,320	46,168	1,122,946	2,669,525
Balance as at 31.03.2020	7,294,967	46,368,699	9,240,201	598,219	3,875,983	1,886,518	208,742	69,473,329
Accumulated depreciation / impairment								
Balance as at 01.04.2019	-	7,364,579	4,232,361	304,579	1,406,887	838,699	-	14,147,105
Charge for the year	-	1,027,961	585,489	50,703	239,750	212,233	-	2,116,136
Disposals	-	-	(19,707)	(2,250)	(10,082)	(16,211)	-	(48,250)
Effect of movement in exchange rates	-	413,215	183,231	20,426	44,232	42,855	-	703,959
Balance as at 31.03.2020	-	8,805,755	4,981,374	373,458	1,680,787	1,077,576	-	16,918,950
Carrying value								
As at 31.03.2020	7,294,967	37,562,944	4,258,827	224,761	2,195,196	808,942	208,742	52,554,379
As at 31.03.2019	7,099,011	23,452,934	3,294,876	134,415	1,266,520	501,301	14,169,161	49,918,218

17.1.1 The gross carrying amount of fully depreciated property, plant and equipment that are still in use for the Group as at 31st March 2020 was Rs.3,969,411,612/- (2018/2019 - Rs.3,358,923,139/-).

17.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

17.1.3 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 35.

17.1.4 During the year borrowing cost amounting to Rs.540,237,307/- was capitalised by the Group. The total interest cost capitalised to date under property plant and equipment amount to Rs.1,887,475,619/-. The capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation ranges within is 5.44% to 8.11%

17.1.5 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

17.1.6 In compliance with the accounting policy, land owned by Group companies are revalued by independent professional valuers at least once in every five years unless there is an indication of a significant change in the market rates. Details of the revalued land are given in the Note 17.3 to the financial statements. Tax impact on revaluation of land is given in Note 14 to the financial statements.

17.1.7 As a result of the COVID-19 outbreak in Sri Lanka during the last part of the quarter ending 31 March 2020, it has been identified that there is no permanent impairment of property plant and equipment which requires provision in the financial statements based on re-assessment of the fair value of the Group's land.

The Group does not foresee any indications of Impairment as at the reporting date due to the COVID-19 pandemic, and business unit functions under the business continuity plans as per the Group risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

17.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Soft furnishing, Cutlery, Crockery & Glassware	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation							
Balance as at 01.04.2019	710,300	1,076,127	513,176	47	261,337	122,068	2,683,055
Additions	-	366	72,820	-	2,068	9,102	84,356
Disposals	-	-	(3,062)	-	(2,735)	(800)	(6,597)
Balance as at 31.03.2020	710,300	1,076,493	582,934	47	260,670	130,370	2,760,814
Accumulated depreciation/impairment							
Balance as at 01.04.2019	-	369,722	384,235	47	224,423	102,138	1,080,565
Charge for the year	-	21,473	26,363	-	5,335	8,243	61,414
Disposal	-	-	(2,973)	-	(1,914)	(500)	(5,387)
Balance as at 31.03.2020	-	391,195	407,625	47	227,844	109,881	1,136,592
Carrying value					-		
As at 31.03.2020	710,300	685,298	175,309	-	32,826	20,489	1,624,222
As at 31.03.2019	710,300	706,405	128,941	-	36,914	19,930	1,602,490

17.2.1 The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Company as at 31st March 2020 was Rs. 531,988,557/-.

17.2.2 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 35.

NOTES TO THE FINANCIAL STATEMENTS

17.3 Freehold land

17.3.1 Land carried at revalued amounts

Company	Location	Last revaluation date	Land extent	Carrying amount as at 31.03.2020 Rs. '000	Revaluation surplus Rs. '000	Carrying amount at cost Rs. '000
Aitken Spence Hotel Holdings PLC (i)	"Heritage Ahungalla" Galle Road, Ahungalla Galle Road, Ahungalla	30.09.2017 30.09.2017	11A 3R 34.02P 39.26P	695,600 14,700	677,398 9,493	18,202 5,207
Heritage (Pvt) Ltd (i)	Moragalla, Beruwala	30.09.2017	5A 3R 6.80P	324,250	313,170	11,080
Meeraladuwa Resorts (Pvt) Ltd (i)	Meeraladuwa Island Balapitiya	30.09.2017	29A 2R 9P	217,020	116,758	100,262
Kandalama Hotels (Pvt) Ltd (i)	Kandalama, Dambulla	30.09.2017	169A 2R 22.40P	9,300	1,916	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i)	Ayurvedic Village, Moragalla, Beruwala	30.09.2017	0A 0R 19.30P	4,500	437	4,063
P.R. Holiday Homes (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	14A, 0R, 7.52P	212,546	66,708	145,838
Turyaa (Pvt) Ltd (i)	418, Parallel Road Kudawaskaduwa, Kalutara	30.09.2017	5A 1R 37.9P	384,160	364,395	19,765
	49, Sea Beach Road, Kalutara	30.09.2017	0A 1R 30.32P	23,000	21,512	1,488
Turyaa Resorts (Pvt) Ltd (i)	Kudawaskaduwa, Kalutara Kudawaskaduwa, Kalutara	30.09.2017 30.09.2017	1A 3R 33.20P 0A 1R 34.30P	150,336 20,000	93,557 10,826	56,779 9,174
Ahungalla Resorts Ltd (i)	Galle Road, Ahungalla Galle Road Ahungalla	30.09.2017 30.09.2017	10A 2R 39.29P 2A, 0R 35.92P	773,650 169,000	43,650 44,000	730,000 125,000
Perumbalam Resorts (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	4A, 0R, 0.9P	52,910	42,478	10,432
Aitken Spence Hotel Management South India (Pvt) Ltd (iii)	144/7, Rajiv Gandhi Salai, Kottivakkam, Chennai	19.03.2018	0A, 3R, 15.4P	930,006	373,720	556,286
Total				3,980,978	2,180,018	1,800,960

The above lands have been revalued on the basis of current market value by independent, qualified valuers who have recent experience in the location and category of property being valued.

(i) Valuation of the land was carried out by Mr. K.C.B. Condegama, A.I.V. (Sri Lanka)

(ii) Valuation of the land was carried out by Mr. T.T. Kripananda Singh B.S.C. (Eng.) MICA, F.I.E, F.I.V of Messers N. Raj Kumar and Associates (India)

(iii) Valuation of the land was carried out by Messers CBRE South Asia Private Limited (India)

17.3.2 Land carried at cost (fair value)

Company

As at	Location	Acquisition date	Extent	Carrying amount 31.03.2020 Rs. '000
Aitken Spence Resorts (Middle East) LLC	Muscat, Oman	11.02.2016	5A, OR, 8.0P	3,313,989
Total				3,313,989

Revaluation of the above property which was acquired within last five years, has not been carried out as the carrying value is consistent with the market values.

17.3.3 Total carrying amount of land

		Group	
As at		31.03.2020 Rs. '000	31.03.2019 Rs. '000
Land carried at revalued amounts	(Note 17.3.1)	3,980,978	4,025,394
Land carried at cost (fair value)	(Note 17.3.2)	3,313,989	3,073,617
Total		7,294,967	7,099,011

17.4 Capital expenditure commitments

The following commitments for capital expenditure approved by the Directors as at 31st March 2020 have not been provided for in the accounts.

		Group	
As at		31.03.2020 Rs. '000	31.03.2019 Rs. '000
Approximate amount approved but not contracted for		-	1,501,400
Approximate amount contracted for but not accounted		1,139,460	1,160,225
Total		1,139,460	2,661,625

The above capital expenditure commitments contracted are the balance project payments relating to construction of "Heritance Aarah" in maldives.

NOTES TO THE FINANCIAL STATEMENTS

18 Right - of - use assets

18.1 Movement during the year

As at	Group		
	Right-of-use Land	Right-of-use buildings	Total 31.03.2020
	Rs. '000	Rs. '000	Rs. '000
Cost or valuation			
Balance as at 01st April 2019	-	-	-
Transferred from previously recognised leasehold properties (leasehold rights)	3,085,977	-	3,085,977
Transferred from previously recognised pre paid operating leases	1,355,893	-	1,355,893
Recognition of operating leases under SLFRS 16	7,992,148	5,853	7,998,001
Additions during the year	2,071,475	-	2,071,475
Impact on exchange rate fluctuation	1,134,201	-	1,134,201
Balance as at 31st March 2020	15,639,694	5,853	15,645,547
Accumulated depreciation / impairment			
Balance as at 01st April 2019	-	-	-
Transferred from previously recognised leasehold properties (leasehold rights)	914,061	-	914,061
Transferred from previously recognised pre paid operating leases	158,507	-	158,507
Recognition of operating leases under SLFRS 16	2,365,006	1,951	2,366,957
Charge for the year	702,746	1,951	704,697
Charge capitalised	20,731	-	20,731
Impact on exchange rate fluctuation	308,205	-	308,205
Balance as at 31 st March 2020	4,469,256	3,902	4,473,158
Carrying value			
As at 31st March 2020	11,170,438	1,951	11,172,389
As at 31st March 2019	-	-	-

The Group has tested its right-of-use assets for impairment on the date of transition and has concluded that there is no indication that the right-of-use assets are impaired.

The Group used a number of practical expedients when applying SLFRS 16 to leases previously classified as operating leases under LKAS 17. In particular, the Group:

- did not recognise right-of-use assets and liabilities for leases for which the lease term ends within 12 months of the date of initial application;
- did not recognise right-of-use assets and liabilities for leases of low value assets (e.g. IT equipments, motor vehicles etc)
- excluded initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- used hindsight when determining the lease term.

The Group does not foresee any indications of impairment of right of use assets due to the COVID-19 pandemic since each business unit is operating under the business continuity plans as per the Group risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

19 Leasehold properties

As at	Group	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Acquisition cost		
Balance as at 01 st April	2,995,092	2,646,580
Effect of movement in exchange rates	-	348,512
Reversing of previously recorded leasehold rights and recognising under ROU asset	(2,995,092)	-
Balance as at 31 st March	-	2,995,092
Accumulated amortisation		
Balance as at 01 st April	780,574	622,677
Effect of movement in exchange rates	-	85,233
Amortisation for the year	-	60,785
Amortisation capitalised under property, plant and equipment	-	11,879
Reversing of previously recorded leasehold rights and recognising under ROU asset	(780,574)	-
Balance as at 31 st March	-	780,574
Unamortised leasehold properties as at 31st March	-	2,214,518

Leasehold properties represent the acquisition cost of leasehold rights of some of the hotel properties in the Maldives. On adoption of SLFRS 16 on 01st April 2019, the balance in the leasehold properties was transferred to right-of-use assets.

20 Prepaid operating leases

As at	Group	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Cost		
Balance as at 01 st April	2,280,118	2,043,916
Effect of movement in exchange rates	-	236,202
Reversing of previously recorded prepaid operating leases and recognising under ROU asset	(2,280,118)	-
Balance as at 31 st March	-	2,280,118
Accumulated amortisation		
Balance as at 01 st April	280,820	205,541
Amortised during the year	-	57,670
Amortisation capitalised to property, plant and equipment	-	17,609
Reversing of previously recorded prepaid operating leases and recognising under ROU asset	(280,820)	-
Balance as at 31 st March	-	280,820
Unamortised prepaid operating leases as at 31st March	-	1,999,298
Current portion of unamortised operating leases	-	(74,969)
Non- current portion of unamortised operating leases as at 31st March	-	1,924,329

Prepaid operating leases represent the amounts paid in advance for leasehold rights of some of the hotel properties. On adoption of SLFRS 16 on 1st April 2019, the balance in the prepaid operating leases was transferred to right-of-use assets.

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21 Intangible assets

21.1 Group

As at	Goodwill	Computer Software	Total 31.03.2020
	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation			
Balance as at 01st April 2019	457,376	101,071	558,447
Effect of movement in exchange rates	35,769	4,443	40,212
Additions	-	98,652	98,652
Balance as at 31st March 2020	493,145	204,166	697,311
Accumulated amortisation / impairment			
Balance as at 01st April 2019	-	85,568	85,568
Effect of movement in exchange rates	-	5,070	5,070
Amortisation	-	26,046	26,046
Balance as at 31st March 2020	-	116,684	116,684
Carrying value			
As at 31.03.2020	493,145	87,482	580,627
As at 31.03.2019	457,376	15,503	472,879

21.1.1 The gross carrying amount of fully amortised intangible assets that are still in use for the Group as at 31st March 2020 was Rs. 85,688,608/- (2018/2019 - Rs. 73,385,615/-).

21.1.2 There were no intangible assets pledged by the Group as security for facilities obtained from banks. (2018/2019- nil)

21.1.3 Net carrying value of goodwill

Goodwill is arisen in respect of acquisition of 70% of equity in Aitken Spence Resorts (Middle East) LLC during the year 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below.

Business growth	-	Based on the long term average growth rate for each business unit. The weighted average growth rate used is consistent with the forecast included in industry reports.
Inflation	-	Based on current inflation rate.
Discount rate	-	Risk free rate adjusted for the specific risk relating to the industry.
Margin	-	Base on past performance and budgeted expectations

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

21.2 Company

As at	Computer Software Rs. '000	Total 31.03.2020 Rs. '000
Cost or Valuation		
Balance as at 01st April 2019	10,719	10,719
Additions	2,382	2,382
Balance as at 31st March 2020	13,101	13,101
Accumulated amortisation / impairment		
Balance as at 01st April 2019	7,658	7,658
Amortisation	2,172	2,172
Impairment during the year	-	-
Balance as at 31st March 2020	9,830	9,830
Carrying value		
As at 31.03.2020	3,271	3,271
As at 31.03.2019	3,061	3,061

21.2.1 The gross carrying amount of fully amortised intangible assets that are still in use for the Company as at 31st March 2020 was Rs. 7,137,178/-. (2018/2019 - Rs. 5,779,845/-)

21.2.2 There were no intangible assets pledged by the Company as security for facilities obtained from banks. (2018/2019- nil)

NOTES TO THE FINANCIAL STATEMENTS

22 Investment in subsidiaries

22.1 Investments in subsidiaries – unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000
a) Equity shares						
Aitken Spence Hotels Ltd	Sri Lanka	14,701,204	98.01%	98.01%	149,750	149,736
Crest Star Ltd * (Ordinary Shares of HK\$ 1 each)	Hong Kong	-	-	-	-	9,921
Crest Star (BVI) Ltd (Ordinary Shares of US\$ 1 each)	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
Cowrie Investment (Pvt) Ltd (Ordinary Shares of Mrf 1000 each)	Maldives	52,740	60.00%	60.00%	321,733	321,733
Aitken Spence Resorts (Middle East) LLC (Ordinary Shares of OMR 1 each)	Oman	01	0.01%	0.01%	-	-
Hethersett Hotels Ltd	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	10,744,582	51.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) Pvt Ltd	India	29,869,000	16.60%	16.60%	744,325	307,000
Turyaa (Pvt) Ltd.	Sri Lanka	219,812,322	100.00%	100.00%	1,583,679	1,583,679
Turyaa Resorts (Pvt) Ltd	Sri Lanka	121,920,000	100.00%	100.00%	1,219,200	1,219,200
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
ADS Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Unique Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Ace Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Nilaveli Resorts (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
Nilaveli Holidays (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
The Galle Heritage (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
					7,731,619	7,304,201
Less : Provision for Impairment of investment in Turyaa (Pvt) Ltd **					(124,778)	-
					7,606,841	7,304,201
b) Preference shares						
Aitken Spence Hotels Ltd	Sri Lanka	40,000,000			400,000	400,000
Net carrying amount of investments in subsidiaries – unquoted as at 31st March					8,006,841	7,704,201

* Crest Star Ltd; a subsidiary of the company which was incorporated in Hongkong was liquidated during the year ended 31st March 2020.

** Impairment to the carrying value of invesment in Turyaa (Pvt) Ltd was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

22.2 Investments in sub subsidiaries / inter company shareholding- unquoted

	Country of incorporation	Number of Shares	Investor Holding	Group Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Aitken Spence Hotels Ltd						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.75%	234,406	234,406
- Heritance (Pvt) Ltd.	Sri Lanka	2,125,627	100.00%	98.01%	35,751	35,751
					270,157	270,157
Crest Star (BVI) Ltd						
- Jetan Travel Services Co. (Pvt) Ltd	Maldives	47,500	95.00%	95.00%	545,476	505,781
					545,476	505,781
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts (Pvt) Ltd	Maldives	1,274,999	100.00%	51.00%	103,970	103,970
- Unique Resorts (Pvt) Ltd	Maldives	6,374,999	100.00%	51.00%	562,663	562,663
- Aitken Spence Hotel Services (Pvt) Ltd	India	10,000	100.00%	51.00%	271	271
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	150,048,995	83.40%	42.53%	3,390,956	3,390,956
- Ace Resorts (Pvt) Ltd	Maldives	8,480,999	100.00%	51.00%	740,155	740,155
- Aitken Spence Resorts (Middle East) LLC	Oman	11,363,775	99.99%	50.99%	4,451,435	4,451,435
- Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	100,000	100.00%	51.00%	1,000	1,000
					9,250,450	9,250,450
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd (ordinary shares)	India	621,310	84.57%	43.13%	174,949	174,949
- Aitken Spence Hotels International (Pvt) Ltd (Preference Shares)	Sri Lanka	3,825,000	100.00%	100.00%	764,999	764,999
					939,948	939,948
PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts (Pvt) Ltd	India	10,000	100.00%	43.13%	250,950	254,949
					250,950	254,949

Kandalama Hotels (Pvt) Ltd, and Heritance (Pvt) Ltd, are subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Co. Pvt Ltd, is a subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management (South India) Pvt Ltd, Ace Resorts (Pvt) Ltd and Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

P.R Holiday Homes (Pvt) Ltd is a Subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Pvt) Ltd, is a subsidiary of P.R Holiday Homes (Pvt) Ltd.

NOTES TO THE FINANCIAL STATEMENTS

22.3 Non - controlling interests

The following subsidiaries have material non - controlling interests.

Name	Principle place of business /Country of incorporation	Operating Segment	Ownership interest held by non- controlling interests	
			As at 31.03.2020	As at 31.03.2019
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lanka Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lanka Sector	40%	40%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asian Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Aitken Spence Hotel Management South India (Pvt) Ltd	India	South Asian Sector	40.87%	45.13%

Except for Ahungalla Resorts Ltd and Cowrie Investments (Pvt) Ltd, the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC.

The following table summarises the financial information relating to the Group's subsidiaries that has material non-controlling interests, before any intra-group eliminations.

	Cowrie Investments (Pvt) Ltd		Ahungalla Resorts Ltd	
	2019/2020 Rs. '000	2018/2019 Rs. '000	2019/2020 Rs. '000	2018/2019 Rs. '000
Revenue	4,584,370	3,501,382	1,651,911	2,145,538
Profit/(Loss) after tax	(625,080)	360,185	(351,391)	(283,904)
Profit/ (loss) attributable to NCI	(250,032)	144,074	(140,556)	(113,562)
Other comprehensive income	364,375	517,414	(291,328)	(175,260)
Total comprehensive income	(260,705)	877,599	(642,719)	(459,164)
Total comprehensive income attributable to NCI	(104,282)	351,040	(257,088)	(183,666)
Current Assets	1,104,084	1,196,973	1,138,281	856,578
Non- current assets	24,327,682	17,228,545	10,298,125	10,715,241
Current Liabilities	(3,761,514)	(1,559,067)	(896,950)	(712,270)
Non- current liabilities	(15,501,222)	(10,638,005)	(7,558,134)	(6,824,942)
Net Assets	6,169,030	6,228,446	2,981,322	4,034,607
Net assets attributable to NCI	2,467,612	2,491,378	1,192,529	1,613,843
Cash flow from operating activities	625,308	548,555	515,950	(400,495)
Cash flow from investing activities	(2,485,907)	(6,034,850)	(51,589)	(46,006)
Cash flow from financing activities	1,219,888	5,616,345	(85,185)	(2,721,898)
Net increase in cash and cash equivalents	(640,711)	130,050	379,176	(3,168,399)
Dividends paid to NCI during the year	-	-	-	-

23 Investment in equity accounted investees

	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Recognised in the statement of financial position				
- Interest in joint ventures	-	-	-	-
- Interest in associates	910,478	1,249,902	1,222,873	1,282,873
Carrying amount as at 31 st March	910,478	1,249,902	1,222,873	1,282,873
Recognised in equity				
- Interest in joint ventures	-	-	-	-
- Interest in associates	(7,868)	-	-	-
Share of SLFRS 16 initial application adjustment of equity accounted investees (net of tax)	(7,868)	-	-	-
Recognised in the income statement				
- Interest in joint ventures	-	-	-	-
- Interest in associates	(322,036)	(136,706)	-	-
Share of profit/(loss) of equity accounted investees (net of tax)	(322,036)	(136,706)	-	-
Recognised in the statement of profit or loss and other comprehensive income				
- Interest in joint ventures	-	-	-	-
- Interest in associates	(9,520)	264	-	-
Share of other comprehensive income/(expense) of equity accounted investees (net of tax)	(9,520)	264	-	-

23.1 Investment in associates

	Notes	Group		Company	
		31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
As at					
Investment in associates - quoted	23.1.1	696,790	946,451	906,602	906,602
Investment in associates - unquoted	23.1.2	213,688	303,451	316,271	376,271
Total equity value of investemnt in associates as at 31st March		910,478	1,249,902	1,222,873	1,282,873

NOTES TO THE FINANCIAL STATEMENTS

23.1.1 Investment in associates - quoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000	No. of Shares	Company Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Browns Beach Hotels PLC (Consolidated with Negombo Beach Resorts (Pvt) Ltd)	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Investments made during the year	-	-	-	-	-	-	-	-
Net book value as at 31st March	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Share of movement in equity value			(545,538)	(295,877)			-	-
Surplus on revaluation			317,218	317,218			-	-
Equity value of Investment as at 31st March			696,790	946,451			906,602	906,602
Market value of quoted investment as at 31st March			368,543	562,512			360,664	550,487

23.1.2 Investment in associates - unquoted

As at	Group				Company			
	No. of Shares	Group Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000	No. of Shares	Company Holding	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Amethyst Leisure Ltd (Consolidated with Paradise Resorts Passikudah (Pvt) Ltd)	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
Investments made during the year	-	-	-	-	-	-	-	-
Net book value as at 31st March	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
Share of movement in equity value			(206,622)	(173,597)			-	-
Equity value of Investment as at 31st March			42,547	75,572			249,169	249,169
Less : Provision for Impairment of investment *			-	-			(160,777)	(100,777)
Equity value of Investment as at 31st March - net of impairment			42,547	75,572			88,392	148,392
Aitken Spence Hotel Managements (Pvt) Ltd (Consolidated with Aitken Spence Resources (Pvt) Ltd)	3,862,353	49.00%	227,879	-	3,862,353	49.00%	227,879	-
Investments made during the year	-	-	-	227,879	-	-	-	227,879
Net book value as at 31st March	3,862,353	49.00%	227,879	227,879	3,862,353	49.00%	227,879	227,879
Share of movement in equity value			(56,738)	-			-	-
Equity value of Investment as at 31st March			171,141	227,879			227,879	227,879
Total equity value of investment of investments in associates - unquoted as at 31st March			213,688	303,451			316,271	376,271

* Impairment to the carrying value of investment in Amethyst Leisure Ltd was recognised based on discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

23.2 Principle place of business and the group holding percentage of investment in associates

Name	Principle place of Business / Country of incorporation	Nature of relationship with the Group	Ownership interest % voting rights as at 31st March 2020	Fair Value of ownership interest (if listed) Rs.'000
Browns Beach Hotels PLC	Sri Lanka	Owns" Negombo Beach Resorts (Pvt) Ltd	37.42%	368,543
Negombo Beach Resorts (Pvt) Ltd (100% subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owns and Operates "Heritage Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owns Paradise Resorts Passikudah (Pvt) Ltd	27.89%	-
Paradise Resorts Passikudah (Pvt) Ltd (100% subsidiary of Amethyst Leisure Ltd)		Owns and Operates "Amethyst Resorts Passikudah"	27.89%	-
Aitken Spence Hotel Managements (Pvt) Ltd	Sri Lanka	Provides Management Services to all Hotels in Sri Lanka	49.00%	-
Aitken Spence Resources (Pvt) Ltd (100% subsidiary of Aitken Spence Hotel Managements (Pvt) Ltd)	Sri Lanka	Provides Human Resources to all overseas hotels	49.00%	-

23.3 Summarised financial information of investment in associates with material NCI

	Amethyst Leisure Ltd		Browns Beach Hotels PLC		Aitken Spence Hotel Managements (Pvt) Ltd	
	(Consolidated with Paradise Resorts Passikudah (Pvt) Ltd.		(Consolidated with Negombo Beach Resorts (Pvt) Ltd)		(Consolidated with Aitken Spence Resources (Pvt) Ltd)	
	2019/2020	2018/2019	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	68,099	91,174	689,070	1,072,890	633,200	-
Profit /(Loss) after tax	(114,061)	(142,232)	(653,915)	(255,250)	(97,310)	-
Other comprehensive income	(130)	(26)	663	415	14,438	-
Total comprehensive income	(114,191)	(142,258)	(653,252)	(254,835)	(82,872)	-
Attributable to NCI	(82,343)	(102,582)	(408,805)	(159,476)	(42,265)	-
Attributable to Investees Shareholders	(31,848)	(39,676)	(244,447)	(95,359)	(40,607)	-
Current Assets	15,683	26,735	394,595	299,537	1,085,494	888,989
Non Current Assets	546,541	556,979	5,345,478	5,540,239	188,143	220,515
Current Liabilities	(355,429)	(265,754)	(752,319)	(501,377)	(1,022,899)	(732,896)
Non- Current liabilities	(327,241)	(319,993)	(3,125,524)	(2,808,930)	(34,040)	(30,677)
Net Assets	(120,446)	(2,033)	1,862,230	2,529,469	216,698	345,931
Attributable to NCI	(86,854)	(1,466)	1,165,384	1,582,942	110,516	169,506
Attributable to Investees Shareholders	(33,592)	(567)	696,846	946,527	106,182	176,425
Groups interest in net assets of investee at the beginning of the year	75,572	116,981	946,451	1,041,600	227,879	-
Investments made during the year	-	-	-	-	-	227,879
Total comprehensive income attributable to the Group	(33,025)	(41,409)	(249,661)	(95,149)	(56,738)	-
Group's interest in net assets of investee at the end of the year	42,547	75,572	696,790	946,451	171,141	227,879

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24 Other financial assets - non current

24.1 Unquoted equity securities, debt securities and unsecured loans

As at	Note	Group		Company	
		31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Financial assets at fair value through OCI					
- Unquoted equity securities	24.1.1	158,187	146,675	-	-
Financial assets at amortised cost					
- Unquoted debt securities and unsecured loans	24.1.2	688,744	672,286	688,744	672,286
Carrying amount as at 31st March		846,931	818,961	688,744	672,286
Current unquoted equity and debt securities	24.1.2	(82,686)	(39,975)	(82,686)	(39,975)
Non-current unquoted debt and equity securities		764,245	778,986	606,058	632,311

24.1.1 Unquoted equity securities

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Investment in Floatels India (Pvt) Ltd				
Balance brought forward	146,675	103,361	-	-
(716,037 shares at INR 55/- each)				
Disposals	-	(19,233)	-	-
Effect of movement in exchange rates	11,512	62,547	-	-
Balance carried forward				
(716,037 shares at INR 55/- each)	158,187	146,675	-	-

The balance reflects the recent sale price of remaining equity shares.

24.1.2 Unquoted debt securities and unsecured loans

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Secured redeemable debentures				
Earl's Court Hotel Management (Pvt) Ltd	60,015	72,639	60,015	72,639
Less: Impairment	(11,711)	(8,108)	(11,711)	(8,108)
	48,304	64,531	48,304	64,531
Unsecured loans				
Negombo Beach Resorts (Pvt) Ltd	640,440	607,755	640,440	607,755
Carrying amount as at 31st March	688,744	672,286	688,744	672,286
Current unquoted debt securities	(82,686)	(39,975)	(82,686)	(39,975)
Non-current unquoted debt securities and unsecured loans	606,058	632,311	606,058	632,311

i Redeemable debentures are receivable in 60 equal installments. Interest linked to AWPLR.

ii Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR.

25 Deferred tax assets

25.1 Movement in deferred tax assets

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Balance brought forward	160,942	143,906	-	-
Effect of movement in exchange rates	13,300	16,510	-	-
Reversal of temporary differences				
-Recognised in income statement	(61,076)	2,311	-	-
-Recognised in other comprehensive income	(49)	(1,817)	-	-
-Recognised in equity	182,732	32	-	-
Balance carried forward	295,849	160,942	-	-

25.2 Composition of deferred tax assets

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	3,146	3,067	-	-
Tax losses carried forward	283,586	264,569	-	-
Expected credit loss	11,546	1,007	-	-
Right-of-use assets	208,850	-	-	-
Accelerated depreciation for tax purposes on Property, plant and equipment	(211,279)	(107,701)	-	-
Net deferred tax assets	295,849	160,942	-	-

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25.3 Movement in tax effect of temporary differences - Group - 2019/2020

	2019/2020					
	Balance as at 01.04.2019	Recognised in profit & (loss)	Recognised in other comprehensive income	Recognised in equity	Exchange gain/(loss)	Balance as at 31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	3,067	143	(49)	-	(15)	3,146
Tax losses carried forward	264,569	30,430	-	-	(11,413)	283,586
Expected credit losses	1,007	11,604	-	-	(1,065)	11,546
Right-of-use assets	-	11,788	-	182,732	14,330	208,850
	268,643	53,965	(49)	182,732	1,837	507,128
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on property, plant and equipment	(107,701)	(115,041)	-	-	11,463	(211,279)
	(107,701)	(115,041)	-	-	11,463	(211,279)
Net deferred tax assets	160,942	(61,076)	(49)	182,732	13,300	295,849

25.4 Movement in tax effect of temporary differences - Group - 2018/2019

	2018/2019					
	Balance as at 01.04.2018	Recognised in profit & (loss)	Recognised in other comprehensive income	Recognised in equity	Exchange gain/(loss)	Balance as at 31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	5,824	(903)	(1,939)	-	85	3,067
Tax losses carried forward	215,268	38,313	-	-	10,988	264,569
Expected credit losses		975	-	32		1,007
	221,092	38,385	(1,939)	32	11,073	268,643
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on property, plant and equipment	(77,064)	(36,074)	-	-	5,437	(107,701)
Revaluation surplus on freehold land	(122)	-	122	-	-	-
	(77,186)	(36,074)	122	-	5,437	(107,701)
Net deferred tax assets	143,906	2,311	(1,817)	32	16,510	160,942

26 Inventories

As at	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	237,888	202,160	6,565	6,976
Beverage	128,490	95,516	4,262	4,562
Maintenance	276,095	120,198	3,278	4,585
Stationery	17,594	15,564	613	589
House keeping	110,506	32,004	1,218	1,483
Ayurveda Stocks	4,920	2,739	-	-
Fuel & Others	158,047	84,697	3,688	2,092
Total	933,540	552,878	19,624	20,287

There were no inventories pledged as security for overdraft facilities as at 31st March 2020 (as at 31st March 2019- nil).

The Group has identified companies with COVID19-related revenue declines and evaluated whether it is required to adjust the carrying value of the inventory for perishables and products with short shelf lives. Arrangement have been made by the Group with suppliers to return such inventories as at year end. Therefore the Group did not foresee any indications of impairment of inventories.

27 Trade and other receivables

As at	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	1,217,415	1,674,878	118,885	153,060
Provision for impairment	(99,373)	(18,590)	(9,438)	(2,471)
	1,118,042	1,656,288	109,447	150,589
Non trade receivables	183,378	127,869	8,217	-
	1,301,420	1,784,157	117,664	150,589
Taxes receivable	322,171	193,953	16,835	-
Other receivables	57,758	116,634	2,370	10,678
Total	1,681,349	2,094,744	136,869	161,267

No loans were given to employees over and above Rs. 20,000/-.

No loans have been given to directors of the Company.

27.1 Credit and market risks, and impairment losses

Information about the Group's exposure to credit risk of trade receivables which discusses how the Group manages and measures credit quality of trade receivables , market risk and the impairment losses are disclosed in Note No.46.

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28 Amounts due from holding company

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Short term investments	740,232	1,150,073	32,148	312,619
Total	740,232	1,150,073	32,148	312,619

The above short term investments were made on normal market interest rates.

29 Amounts due from parent's group entities

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Aitken Spence Travels (Pvt) Ltd.	306,686	211,350	68,327	17,132
Aitken Spence Hotel Managements (Pvt) Ltd.	152,357	84,473	24,898	18,264
Aitken Spence Exports (Pvt) Ltd	2,470	2,095	-	-
Aitken Spence Hotels Ltd	-	-	19	-
Aitken Spence Cargo (Pvt) Ltd.	-	83	-	27
Aitken Spence Garments Ltd	-	138	-	83
Ace Cargo (Pvt) Ltd	63	-	29	-
Aitken Spence PLC	86	42	68	33
Negombo Beach Resorts (Pvt) Ltd	263	65	-	-
Crest Star (BVI) Ltd	-	-	-	61,632
Neptune Ayurvedic Village (Pvt) Ltd	-	-	-	1,179
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	-	-	-	7,842
Turyaa (Pvt) Ltd	-	-	13,282	214
Meeraladuwa (Pvt) Ltd	-	-	232	32
Paradise Resorts Passikudah (Pvt) Ltd	5,161	5,151	5,151	5,151
Total	467,086	303,397	112,006	111,589

30 Other financial assets

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Other financial assets - current (Note 24.1.2)	82,686	39,975	82,686	39,975
Bank deposits	46,142	13,133	-	-
Total	128,828	53,108	82,686	39,975

31 Cash and cash equivalents

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Short term deposits less than 90 days	-	649,709	-	-
Cash at bank and in hand	2,473,266	2,503,071	502,765	456,931
Cash and cash equivalents in the statement of financial position	2,473,266	3,152,780	502,765	456,931
Less: Bank Overdrafts and other short term borrowings	(2,492,883)	(2,108,971)	(24,610)	(30,373)
Cash and cash equivalents at the end of the year	(19,617)	1,043,809	478,155	426,558

32 Assets classified as held for sale

The carrying value of the leasehold rights of Raafushi Island was classified under "Assets held for sale" during the year ended 31st March 2020, consequent to the decision made by Ace Resorts (Pvt) Ltd, to dispose its lease.

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Net assets of Group companies classified as held for sale (Note 17.1)	1,025,525	-	-	-
	1,025,525	-	-	-

33 Stated capital

As at	Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Issued & fully paid Ordinary share capital		
At the beginning of the year - 336,290,010 ordinary shares	3,389,587	3,389,587
Issued during the year	-	-
At the end of the year - 336,290,010 ordinary shares	3,389,587	3,389,587
Preference share capital - redeemable cumulative		
At the beginning of the year - 16,500,000 preference shares	165,000	165,000
Issued during the year	-	-
At the end of the year - 16,500,000 preference shares	165,000	165,000
Total	3,554,587	3,554,587

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference Share capital is classified as equity as redeemable only at the company's option. Dividends thereon are recognized as distributions within equity upon approval by the company's shareholders.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)

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34 Reserves

As at	Notes	Group		Company	
		31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Revaluation reserve	34.1	2,567,742	2,551,791	683,032	683,032
General reserve	34.2	22,929	22,929	22,929	22,929
Cashflow hedge reserve	34.3	(801,633)	(626,716)	-	-
Fair value reserve	34.4	(14,878)	-	-	-
Foreign currency translation reserve	34.5	3,645,259	3,049,131	-	-
Total		5,419,419	4,997,135	705,961	705,961
Transaction movement					
Balance brought forward		4,997,135	3,795,028	705,961	705,961
Transfers to / (from) foreign currency translation reserve during the year		596,128	1,102,199	-	-
Transfer to / (from) cashflow hedge reserve		(174,917)	(50,477)	-	-
Transfer to revaluation reserves from non controlling interest due to changes in % holding in subsidiaries		15,951	-	-	-
Movement in fair value reserve		(14,878)	-	-	-
Surplus on revaluation		-	150,385	-	-
Balance carried forward		5,419,419	4,997,135	705,961	705,961

34.1 Revaluation reserves

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

34.2 General reserves

The general reserve relates to retained earnings set aside by the Group.

34.3 Cashflow hedge reserve

This represents the reserve created to eliminate the exposure that arises from changes in cash flows of a financial liability due to exchange rate fluctuations.

34.4 Fair value reserve

This represents the cumulative net change in the fair value of equity securities designated at FVOCI until the investments are derecognised.

34.5 Foreign currency translation reserve

The foreign currency translation reserve comprise of all foreign exchange differences arising from the translation of the financial statements of foreign operations.

35 Interest bearing liabilities - banks

35.1 Loans analysed by lending institution

Lending Institution	Group		Company		Borrowing terms
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000	
Habib Bank Ltd	660,661	680,230	660,661	680,230	Consist of two LKR loans Loan 1 (in LKR) - As per the moratorium terms balance loan is repayable in 9 quarterly installments commencing from April 2020. A Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to AWPLR. (Balance outstanding as at 31st March 2020 is Rs 600.4 million)
					Loan 2 (in LKR) - Repayable in 8 equal quarterly instalments commencing from July 2020 for which a Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to TB rates. (Balance outstanding as at 31st March 2020 is Rs 60.2 million)
Hongkong & Shanghai Banking Corporation Ltd	6,034,078	6,321,268	-	-	Comprises of two USD loans, one Euro loan, one INR loan and one OMR loan
					Loan 1 (USD) -Repayable in 48 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to LIBOR. (Balance outstanding as at 31st March 2020 is Rs 142.4 million)
					Loan 2 (Euro) -Repayable in 61 monthly instalments and final bullet payment commencing from May 2018. Corporate Guarantee from Aitken Spence Hotel Holdings PLC for Euro 19.5 m and primary mortgage over the Hotel property for Euro 40 m has been provided as security. Interest is fixed for the term. (Balance outstanding as at 31st March 2020 is Rs. 3,741.6 million)
					Loan 3 (INR) -Repayable in 16 quarterly instalments commencing from June 2016 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd has been provided as security. (Balance outstanding as at 31st March 2020 is Rs. 64.9 million)

NOTES TO THE FINANCIAL STATEMENTS

Lending Institution	Group		Company		Borrowing terms
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000	
					Loan 4 (USD) -Repayable in bullet in July 2025. Guarantee from Aitken Spence PLC for OMR 4.8 M and primary legal mortgage over the Al Falaj Hotel Property Oman for OMR 4.6 m has been provided as security. Interest is linked to LIBOR (Balance outstanding as at 31st March 2020 is Rs. 911.3 million)
					Loan 5 (OMR) - Repayable in 28 quartely instalments commencing from December 2018 for which a Corporate Guarantee from Aitken Spence PLC for OMR 2.7 M and first ranking legal mortgage over the Al Falaj Hotel Property Oman for OMR 4.6 m has been provided as security. Interest is fixed subject to review annually. (Balance outstanding as at 31st March 2020 is Rs. 1,173.7 million)
Hatton National Bank PLC	8,671,571	7,186,909	67,000		- Comprises of three loans in USD and one loan in LKR Loan 1 (USD) -Repayable in 84 monthly instalments commencing from October 2017 for which a Corporate Guarantee and indemnity from Aitken Spence Hotels International (Pvt) Ltd , and mortgage over sub lease of Adaaran Select Huduranfushi Resort has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2020 is Rs. 1,361 million)
					Loan 2 (USD) -Repayable in 96 monthly instalments commencing from November 2020 for which a mortgage over head lease of Aarah Island Resort and Meedhupparu Island Resort has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2020 is Rs. 6,792.5 million)
					Loan 3 (in LKR) -loan obtained under Enterprise Sri Lanka loan scheme Repayable in 24 equal monthly instalments commencing from April 2020. No security has been provided. Interest fixed at a concessionary rate. (Balance outstanding as at 31st March 2020 is Rs. 67 million)

Lending Institution	Group		Company		Borrowing terms
	31.03.2020	31.03.2019	31.03.2020	31.03.2019	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 4 (USD) -Repayable in 24 monthly instalments commencing from November 2019 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd , has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2020 is Rs. 451 million)
Sampath Bank PLC	4,940	6,161	-	-	- Comprises of one LKR loan Loan 1 (in LKR) - Repayable in 72 monthly instalments commencing from December 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest is 6% per annum. (Balance outstanding as at 31st March 2020 is Rs. 4.9 million)
Peoples Bank	3,034,469	3,198,523	-	-	- Comprises of one USD loan Loan 1 (USD) -Repayable in 24 quarterly instalments commencing from August 2019 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2020 is Rs. 3,034 million)
Abanca Bank - Spain	3,497,600	3,369,314	-	-	- Comprises of one Euro loan Loan 1 (Euro) -Repayable in 21 quarterly instalments and one bullet payment payable in July 2024. Quarterly loan instalments will commence in July 2020. Corporate Guarantee from Ruisa II SA has been provided as security. Interest link to EURIBOR. (Balance outstanding as at 31st March 2020 is Rs. 3.498 million)
DFCC Bank	5,744,981	4,717,922	-	-	- Comprises of two LKR loan and one USD loan Loan 1 (in LKR) - As per the moratorium terms balance loan is repayable in 65 monthly instalments commencing from April 2020. A corporate guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to AWP. (Balance outstanding as at 31st March 2020 is Rs. 673.6 million)

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Lending Institution	Group		Company		Borrowing terms
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000	
					Loan 2 (USD) -Repayable in 96 monthly instalments commencing from November 2020 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd, and mortgage over head lease of Aarah Island Resort has been provided as security. Interest linked to LIBOR. (Balance outstanding as at 31st March 2020 is Rs. 4,994.6 million)
					Loan 3 (in LKR) -loan obtained under Enterprise Sri Lanka loan scheme Repayable in 23 equal monthly installments commencing from february 2020. A corporate guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest fixed at a concessionary rate. (Balance outstanding as at 31st March 2020 is Rs. 76.7 million)
Total Loans	27,648,300	25,480,327	727,661	680,230	
Current portion of interest bearing liabilities - banks	(2,757,480)	(2,075,035)	(255,898)	(279,630)	
Non Current portion of interest bearing liabilities - banks	24,890,820	23,405,292	471,763	400,600	

35.2 Debt moratoriums

The Group already received below moratorium for the loans obtained by Sri Lankan Sector companies due to Easter Sunday attack in April 2019.

1. Loan capital repayment moratorium from July 2019 - March 2020
2. Interest moratorium from July 2019 to March 2020. Interest for the said period was converted to a new loan and is payable in 24 installments.
3. Receipt of working capital loan at a concessionary rate of interest.

Further, in light of the economic slowdown in the country due to the COVID-19 pandemic, the Government of Sri Lanka through the CBSL has implemented a 6 month debt moratorium for interest and capital and two-year working capital loan at an interest rate of 4 per cent to impacted sectors. The Group has already made submission to banks requesting for these concessions.

35.3 Movement in Interest bearing liabilities - banks

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Loan Capital				
Balance brought forward	25,430,630	22,474,426	667,000	933,400
Effect of movement in exchange rates	1,729,688	1,692,420	-	-
Loans received during the year	1,941,023	7,701,286	127,261	-
Loan repayments during the year	(1,561,981)	(6,437,502)	(66,600)	(266,400)
	27,539,360	25,430,630	727,661	667,000
Loan Interest				
Balance brought forward	49,696	51,820	13,230	17,906
Effect of movement in exchange rates	6,248	13,917	-	-
Interest accrued during the period	1,090,301	1,162,286	68,654	85,491
Interest capitalised during the period	459,775	-	-	-
Interest paid during the period	(1,497,080)	(1,178,326)	(81,884)	(90,167)
	108,940	49,697	-	13,230
Total	27,648,300	25,480,327	727,661	680,230
Current portion of interest bearing liabilities - banks	(2,757,480)	(2,075,035)	(255,898)	(279,630)
Non current portion of interest bearing liabilities - banks	24,890,820	23,405,292	471,763	400,600

35.4 Analysed by currency equivalent in Rupees

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Sri Lanka rupees	1,482,948	1,300,489	727,661	680,230
United States dollars	17,666,337	15,654,035	-	-
Euro	7,239,282	6,877,834	-	-
Indian rupees	64,904	434,265	-	-
Oman rial	1,194,829	1,213,704	-	-
Total	27,648,300	25,480,327	727,661	680,230

NOTES TO THE FINANCIAL STATEMENTS

35.5 Analysed by repayment period

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Payable within one year	2,757,480	2,075,035	255,898	279,630
Payable between one and two years	3,971,062	2,607,647	337,563	266,400
Payable between two and five years	11,818,536	13,244,108	134,200	134,200
Payable after five years	9,101,222	7,553,537	-	-
Total	27,648,300	25,480,327	727,661	680,230

36 Interest bearing liabilities - leases

36.1 Movement of lease liabilities

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Balance as at 01.04.2019				
Recognition of operating lease liability under SLFRS 16	6,884,234	-	-	-
Payment of lease liabilities	(1,219,741)	-	-	-
New Leases during the year	2,071,475	-	-	-
Impact on exchange rate fluctuation	731,841	-	-	-
Interest expense charged to income statement	585,115	-	-	-
Interest expense capitalised	80,462	-	-	-
Balance as at 31.03.2020	9,133,386	-	-	-
Current portion of interest bearing liabilities - leases	(524,112)	-	-	-
Non current portion of interest bearing liabilities - leases	8,609,274	-	-	-

36.2 Details of lease liabilities recognised due to ROU assets

Company	Nature of the leasing activities	Remaining lease period as at 31.03.2020 (No of years)
Aitken Spence Hotesl Ltd	Lease Land	23
	Lease building for Neptune Ayurvedic centre	-
Hethersett Hotesl Ltd	Lease Land	74
Kandalama Hotels (Pvt) Ltd	Lease Land	20
Unique Resorts (Pvt) Ltd	Lease Land	25
Jetan Tarvel Services Co. (Pvt) Ltd	Lease Land	21
ADS Resorts (Pvt) Ltd	Lease land	6
Cowrie Investments (Pvt) Ltd	Meedhupparu Island - Lease Land	28
	Heritance Aarah Island - Lease land	45

All above lease contracts entered on lands and buidings are for the business purpose only.

The Group has not earned any income from sub leasing of right of use assets for the year ended 31st March 2020.

Further, Group has not entered in to any sale and lease back transsaction as at 31st March 2020.

There were no any restrictions imposed by lease arrangements, any variable lease payments, extension options or any leases not yet commenced to which the lessee was comitted as at 31st March 2020.

36.3 Amounts recognised in profit or loss

	Group
For the year ended 31st March	2020
	Rs. '000
Interest on lease liabilities	585,115
Expenses relating to short term leases	168,956
Expenses relating to leases of low-value assets	65,532

36.4 Amounts recognised in the Statement of cash flows

	Group
For the year ended 31st March	2020
	Rs. '000
Total cash out flow for leases	(1,219,741)

36.5 There were no any modifications to the original terms and conditions of the lease contracts due to the impact of COVID 19 pandemic as at the year ended 31st March 2020.

37 Deferred tax liabilities

37.1 Movement in deferred tax liabilities

	Group		Company	
As at	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	953,790	646,389	49,783	46,149
Effect of movement of exchange rates	4,752	21,584	-	-
Origination of temporary differences				
- recognised in income statement	40,029	196,064	(8,717)	5,363
- recognised in other comprehensive income	2,104	91,954	367	291
- recognised in equity	(9,370)	(2,201)	-	(2,020)
Balance carried forward	991,305	953,790	41,433	49,783

37.2 Composition of deferred tax liabilities

	Group		Company	
As at	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to;				
Property, plant and equipment	992,500	990,133	103,005	104,379
Revaluation surplus on freehold land	265,686	265,686	96,271	96,271
Defined benefit obligations	(16,645)	(16,796)	(4,836)	(4,967)
Carried forward tax losses	(235,407)	(283,202)	(150,046)	(144,665)
Expected credit loss	(5,431)	(2,031)	(2,961)	(1,235)
Right-of-use assets	(9,398)	-	-	-
Net deferred tax liabilities	991,305	953,790	41,433	49,783

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37.3 Movement in tax effect of temporary differences - Group - 2019/2020

	2019/2020					
	Balance as at 01st April 2019	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Exchange gain/(losses)	Balance as at 31 st March 2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	990,133	(6,707)	-	-	9,074	992,500
Revaluation surplus on freehold land	265,686	-	-	-	-	265,686
Total liabilities	1,255,819	(6,707)	-	-	9,074	1,258,186
Deferred tax - assets						
Defined benefit obligations	(16,796)	(1,953)	2,104	-	-	(16,645)
Tax losses carried forward	(283,202)	51,875	-	-	(4,080)	(235,407)
Expected credit loss	(2,031)	(3,614)	-	-	214	(5,431)
Right-of-use assets	-	428	-	(9,370)	(456)	(9,398)
Total assets	(302,029)	46,736	2,104	(9,370)	(4,322)	(266,881)
Net deferred tax liabilities	953,790	40,029	2,104	(9,370)	4,752	991,305

37.4 Movement in tax effect of temporary differences - Group - 2018/2019

	2018/2019					
	Balance as at 01st April 2018	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Exchange gain/(losses)	Balance as at 31 st March 2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	767,950	197,131	-	-	25,052	990,133
Revaluation surplus on freehold land	174,439	-	91,247	-	-	265,686
Total liabilities	942,389	197,131	91,247	-	25,052	1,255,819
Deferred tax - assets						
Defined benefit obligations	(14,349)	(3,154)	707	-	-	(16,796)
Tax losses carried forward	(281,651)	1,917	-	-	(3,468)	(283,202)
Expected credit loss	-	170	-	(2,201)	-	(2,031)
Total assets	(296,000)	(1,067)	707	(2,201)	(3,468)	(302,029)
Net deferred tax liabilities	646,389	196,064	91,954	(2,201)	21,584	953,790

37.5 Movement in tax effect of temporary differences - Company

	2019/2020					2018/2019			
	Balance as at 31st March 2020	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Balance as at 31st March 2019	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Balance as at 01st April 2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities									
Accelerated depreciation for tax purposes on Property, plant and equipment	103,005	(1,374)	-	-	104,379	(704)	-	-	105,083
Revaluation surplus on freehold land	96,271	-	-	-	96,271	-	-	-	96,271
Total liabilities	199,276	(1,374)	-	-	200,650	(704)	-	-	201,354
Deferred tax - assets									
Defined benefit obligations	(4,836)	(236)	367	-	(4,967)	(336)	291	-	(4,922)
Tax losses carried forward	(150,046)	(5,381)	-	-	(144,665)	5,618	-	-	(150,283)
Expected credit loss	(2,961)	(1,726)	-	-	(1,235)	785	-	(2,020)	-
Total assets	(157,843)	(7,343)	367	-	(150,867)	6,067	291	(2,020)	(155,205)
Net deferred tax liabilities	41,433	(8,717)	367	-	49,783	5,363	291	(2,020)	46,149

38 Other liabilities

38.1 Lease accruals

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Balance brought forward	1,302,017	881,272	-	-
Effect of movement in exchange rates	-	127,365	-	-
Lease accruals recognised and capitalised to property, plant and equipment	-	293,380	-	-
Transfer to lease liability on adoption of SLFRS 16	(1,302,017)	-	-	-
Balance carried forward	-	1,302,017	-	-

This represents the accrued lease rent of operating leases of the island of Aarah Raa Atoll (Cowrie Investment (Pvt) Ltd) and island of Raafushi of Noonu Atoll (Ace Resorts (Pvt) Ltd) resulting from recognising the total lease rent payable over the lease term on a straight line basis. Total liability was transferred to lease liabilities on adoption of SLFRS 16 on 01st April 2019.

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39 Employee benefits

39.1 Retirement benefit obligations

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	209,714	206,750	34,545	35,472
Recognised liability for defined benefit obligations	209,714	206,750	34,545	35,472

39.2 Movement in present value of the defined benefit obligations

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Defined benefit obligations as at 01st April	206,750	195,194	35,472	35,162
Included in profit or loss				
- Current service cost	25,812	27,111	2,651	2,771
- Interest cost	14,536	13,833	4,079	3,692
	40,348	40,944	6,730	6,463
Included in other comprehensive income				
Actuarial (gains) / losses arising from ;				
- financial assumptions	(13,337)	17,469	(2,604)	(2,635)
- demographic assumptions	(978)	-	-	-
- experience adjustment	(2,813)	(30,471)	(15)	553
	(17,128)	(13,002)	(2,619)	(2,082)
Effect of movement in exchange rates	5,678	8,626	-	-
Benefits paid	(25,934)	(25,012)	(5,038)	(4,071)
Defined benefit obligations as at 31st March	209,714	206,750	34,545	35,472

39.3 Expenses recognised in income statement

As at	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current service cost	25,812	27,111	2,651	2,771
Interest cost	14,536	13,833	4,079	3,692
	40,348	40,944	6,730	6,463

39.4 Gains/Losses recognised in other comprehensive income

As at	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net actuarial (gains) / losses	(17,128)	(13,002)	(2,619)	(2,082)
	(17,128)	(13,002)	(2,619)	(2,082)

- 39.5 The provision for retirement benefits obligations as at 31st March 2020 is based on the actuarial valuation carried out by professionally qualified actuaries, Mr. Poopalanathan of Messrs. Actuarial & Management Consultants (Pvt) Ltd, using "Projected Unit Credit" (PUC) method, the method recommended by the Sri Lanka Accounting Standard – LKAS 19 on "Employee Benefits".

The actuarial present value of the promised retirement benefits as at 31st March 2020 amounted to Rs. 209,713,976/=.
(Company - Rs. 35,544,620)

The liability is not externally funded.

39.6 The principal actuarial assumptions

The principal actuarial assumptions used in determining the cost are given below;

	2019/2020	2018/2019
Financial assumptions		
- Discount rate	10%	11.50%
- Salary increment rate		
* Executive staff	5% in July 2021 and 7.5% from 2022	11%
* Non - executive staff	5% in April 2021 and 7.5% from 2022	8%

In the absence of a deep market in long-term bonds in Sri Lanka, a long-term interest rate of 10% p.a. (2018/19 – 11.5% p.a.) has been used to discount future liabilities considering yield available on high quality government bonds with anticipated long-term rate of inflation.

Given the sudden fall in markets and the decline in high-quality corporate bond rates that has occurred as a result of COVID-19, the Group has considered the impact on the defined benefit obligations with the independent actuarial specialists as at the reporting date. Since the complexity of the valuation and the underlying assumptions are based on long-term nature including the application of risk discount rate which is formulated on the market yield of long-term government and corporate bonds, there is no significant impact on retirement benefit obligation from COVID-19 pandemic.

It is also assumed that the company will continue in business as a going concern.

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	2019/2020	2018/2019
Demographic assumptions		
- Mortality & Disability	A 1967/1970 mortality table, issued by the Institute of Actuaries, London	
- Retirement age	55 years	55 years
- Staff turnover rates at each age category		
* 20 years	0.07	0.07
* 25 years	0.05	0.05
* 30 years	0.05	0.05
* 35 years	0.04	0.04
* 40 years	0.03	0.03
* Above 40 years	0.00	0.00

39.7 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2019/20.

The sensitivity of the comprehensive income and statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2020 is as follows.

	Effect on comprehensive income (reduction)/increase Rs. '000	Effect on employment benefit liability (reduction)/increase Rs. '000
Increase /(decrease) in discount rate		
-1%	(10,975)	10,975
+1%	9,620	(9,620)
Increase /(decrease) in salary escalation rate		
-1%	9,317	(9,317)
+1%	(10,439)	10,439

39.8 Maturity analysis of the payment

The following payment are expected on defined benefit obligations in future years.

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Within next 12 months	8,411	7,357	2727	4009
Between 1-2 years	12,972	13,322	5277	4292
Between 2-5 years	20,974	19,660	6779	8065
Beyond five years	167,357	166,411	19762	19106
	209,714	206,750	34,545	35,472
39.9 Weighted average duration (no of years) of defined benefit obligation	9.02	9.11	7.34	7.23

40 Other provisions and payables

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Accrued payables	1,649,405	1,077,145	28,338	48,560
Contract liabilities	1,142,310	1,330,222	18,057	37,436
	2,791,715	2,407,367	46,395	85,996
Unclaimed dividends	23,354	15,963	11,283	10,147
Taxes and other miscellaneous payables and provisions	679,285	553,763	47,961	47,166
Total	3,494,354	2,977,093	105,639	143,309

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41 Amounts due to parent's group entities

As at	Group		Company	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports Ltd	603	1,813	171	211
Aitken Spence Travels (Pvt) Ltd	386	679	-	-
Elevators (Pvt) Ltd	1,691	893	-	-
Elpitiya Plantations PLC	251	207	-	45
Aitken Spence Printing and Packaging (Pvt) Ltd	68	17	-	5
Aitken Spence Hotel Managements (Pvt) Ltd	70,265	52,074	353	2,270
Aitken Spence PLC	270	-	-	-
Aitken Spence Cargo (Pvt) Ltd	48	260	-	-
Aitken Spence Agriculture (Pvt) Ltd	30	108	-	-
Spence Maldives (Pvt) Ltd	263	-	-	-
Aitken Spence Engineering Solutions (Pvt) Ltd	134	-	-	-
Aitken Spence Hotel managements Asia (Pvt) Ltd	-	-	27	-
Ahungalla Resorts Ltd	-	-	-	25
Kandalama Hotels (Pvt) Ltd	-	-	500,733	780,561
Turyaa (Pvt) Ltd	-	-	-	29
Total	74,009	56,051	501,284	783,146

42 Foreign currency translation

The principle exchange rates used for translation of assets and liabilities as at the reporting date are as follows:

As at	Company	
	31.03.2020	31.03.2019
	Rs. '000	Rs. '000
US Dollar	189.91	176.09
Indian Rupee	2.51	2.54
UK Pound	235.28	230.66
Oman Riyal	493.14	462.86
Euro	208.33	197.75

43 Contingent liabilities

The contingent liability as at 31st March 2020 on guarantees given by Aitken Spence Hotel Holdings PLC to third parties on facilities obtained by subsidiaries amounted to Rs. 16,641,883,826/- (as at 31.03.2019 - Rs. 16,351,021,550/-). Liability as at 31st March 2020 on guarantees given by subsidiaries to third parties amounted to Rs.4,107,592,200/- (as at 31.03.2019 - 3,675,089,000/-).

44 Financial Instruments - Accounting classifications and fair values

The following tables shows the carrying amounts and fair values of financial assets and financial liabilities of the Group and the Company.

44.1 Accounting classifications of financial instruments

44.1.1 Accounting classifications of financial instruments - Group

As at 31.03.2020		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	24.1.1	158,187	-	-	158,187
- Unquoted debt securities and unsecured loans	24.1.2 & 30	-	688,744	-	688,744
- Bank deposits	30	-	46,142	-	46,142
Trade and other receivables	27	-	1,301,420	-	1,301,420
Amount due from holding company	28	-	740,232	-	740,232
Amount due from parent's group entities	29	-	467,086	-	467,086
Cash and cash equivalents	31	-	2,473,266	-	2,473,266
Total financial assets		158,187	5,716,890	-	5,875,077
Financial liabilities					
Interest bearing liabilities - banks	35	-	-	27,648,300	27,648,300
Interest bearing liabilities - leases	36	-	-	9,133,386	9,133,386
Trade payables		-	-	940,582	940,582
Other provisions and payables	40	-	-	2,791,715	2,791,715
Amount due to holding company		-	-	134,293	134,293
Amount due to parent's group entities	41	-	-	74,009	74,009
Bank overdrafts and other short term borrowings	31	-	-	2,492,883	2,492,883
Total financial liabilities		-	-	43,215,168	43,215,168
As at 31.03.2019					
	Note	Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	24.1.1	146,675	-	-	146,675
- Unquoted debt securities and unsecured loans	24.1.2 & 30	-	672,286	-	672,286
- Bank deposits	30	-	13,133	-	13,133
Trade and other receivables	27	-	1,784,157	-	1,784,157
Amount due from holding company	28	-	1,150,073	-	1,150,073
Amount due from parent's group entities	29	-	303,397	-	303,397
Cash and cash equivalents	31	-	3,152,780	-	3,152,780
Total financial assets		146,675	7,075,826	-	7,222,501
Financial liabilities					
Interest bearing liabilities - banks	35	-	-	25,480,327	25,480,327
Trade payables		-	-	923,504	923,504
Other provisions and payables	40	-	-	2,407,367	2,407,367
Amount due to holding company		-	-	110,020	110,020
Amount due to parent's group entities	41	-	-	56,051	56,051
Bank overdrafts and other short term borrowings	31	-	-	2,108,971	2,108,971
Total financial liabilities		-	-	31,086,240	31,086,240

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44.1.2 Accounting classifications of financial instruments - Company

As at 31.03.2020		Financial Assets at Fair value through OCI Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised cost Rs. '000	Total Carrying amount Rs. '000
	Note				
Financial assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	24.1.2 & 30	-	688,744	-	688,744
Trade and other receivables	27	-	117,664	-	117,664
Amount due from holding company	28	-	32,148	-	32,148
Amount due from parent's group entities	29	-	112,006	-	112,006
Cash and cash equivalents	31	-	502,765	-	502,765
Total financial assets		-	1,453,327	-	1,453,327
Financial liabilities					
Interest bearing liabilities - banks	35	-	-	727,661	727,661
Trade payables		-	-	17,997	17,997
Other provisions and payables	40	-	-	46,395	46,395
Amount due to holding company		-	-	42,836	42,836
Amount due to parent's group entities	41	-	-	501,284	501,284
Bank overdrafts and other short term borrowings	31	-	-	24,610	24,610
Total financial liabilities		-	-	1,360,783	1,360,783

As at 31.03.2019		Financial Assets at Fair value through OCI Rs. '000	Financial Assets at Amortised cost Rs. '000	Financial Liabilities at Amortised cost Rs. '000	Total Carrying amount Rs. '000
	Note				
Financial Assets					
Other financial assets					
- Unquoted debt securities and unsecured loans	24.1.2 & 30	-	672,286	-	672,286
Trade and other receivables	27	-	150,589	-	150,589
Amount due from holding company	28	-	312,619	-	312,619
Amount due from parent's group entities	29	-	111,589	-	111,589
Cash and cash equivalents	31	-	456,931	-	456,931
Total financial assets		-	1,704,014	-	1,704,014
Financial Liabilities					
Interest bearing liabilities - banks	35	-	-	680,230	680,230
Trade payables		-	-	29,165	29,165
Other provisions and payables	40	-	-	85,996	85,996
Amount due to holding company		-	-	24,149	24,149
Amount due to parent's group entities	41	-	-	783,146	783,146
Bank overdrafts and other short term borrowings	31	-	-	30,373	30,373
Total financial liabilities		-	-	1,633,059	1,633,059

44.2 Fair value of financial instruments

The fair value of financial assets and financial liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

	Group - 2019/20		Company - 2019/20	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets				
- Unquoted equity securities	158,187	158,187	-	-
- Unquoted debt securities and unsecured loans	688,744	688,744	688,744	688,744
- Bank deposits	46,142	46,142	-	-
Trade and other receivables	1,301,420	1,301,420	117,664	117,664
Amount due from holding company	740,232	740,232	32,148	32,148
Amount due from parent's group entities	467,086	467,086	112,006	112,006
Cash and cash equivalents	2,473,266	2,473,266	502,765	502,765
Total financial assets	5,875,077	5,875,077	1,453,327	1,453,327
Financial Liabilities				
Interest bearing liabilities - banks	27,648,300	27,648,300	727,661	727,661
Interest bearing liabilities - leases	9,133,386	9,133,386	-	-
Trade payables	940,582	940,582	17,997	17,997
Other provisions and payables	2,791,715	2,791,715	46,395	46,395
Amount due to holding company	134,293	134,293	42,836	42,836
Amount due to parent's group entities	74,009	74,009	501,284	501,284
Bank overdrafts and other short term borrowings	2,492,883	2,492,883	24,610	24,610
Total financial liabilities	43,215,168	43,215,168	1,360,783	1,360,783
	Group - 2018/19		Company - 2018/19	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets				
- Unquoted equity securities	146,675	146,675	-	-
- Unquoted debt securities and unsecured loans	672,286	672,286	672,286	672,286
- Bank deposits	13,133	13,133	-	-
Trade and other receivables	1,784,157	1,784,157	150,589	150,589
Amount due from holding company	1,150,073	1,150,073	312,619	312,619
Amount due from parent's group entities	303,397	303,397	111,589	111,589
Cash and cash equivalents	3,152,780	3,152,780	456,931	456,931
Total financial assets	7,222,501	7,222,501	1,704,014	1,704,014
Financial Liabilities				
Interest bearing liabilities - banks	25,480,327	25,480,327	680,230	680,230
Trade payables	923,504	923,504	29,165	29,165
Other provisions and payables	2,407,367	2,407,367	85,996	85,996
Amount due to holding company	110,020	110,020	24,149	24,149
Amount due to parent's group entities	56,051	56,051	783,146	783,146
Bank overdrafts and other short term borrowings	2,108,971	2,108,971	30,373	30,373
Total financial liabilities	31,086,240	31,086,240	1,633,059	1,633,059

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44.3 Methods and assumptions used to estimate the fair values

A number of Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following valuation techniques.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.

There is no impact to the estimated recoverable amount of the property, plant and equipment of the Group due to COVID 19 impact as the majority of assets represents immovable property.

Financial Assets measured at fair value through other comprehensive income

Investments in equity instruments - quoted and unquoted

The fair value of investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Investments in debt instruments - unquoted

Investments in debt instrument- unquoted which consist of debentures is considered as a loan and impaired using Z score method. A template has been formulated for this purpose taking into consideration of probability of default based on last year audited accounts. However if a primary mortgage bond is being provided against the debentures, the loss given default (probability of default) would be considered as zero and impairment is made. For other forms of guarantees such as personal guarantees etc. the loss given default would vary between 45%-100%.

However the Group has taken into account the changes to macro economic factors and risk arose due to COVID - 19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of investments in debt instruments - unquoted as at the year end.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment based on expected credit loss model. For impairment purposes a loss rate has been established taking into consideration forward looking factors that affect customer default rates. Forward looking macro economic data such as GDP is incorporated in calculating the probability of default. The credit loss derived using the provision matrix is adjusted based on the future adjusted PD factors.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised. If there are any receivables for more than one year, the balance over one year disclosed based on present value.

The Group has taken into account the changes to macro economic factors and risk arose due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of the trade and other receivable as at the year end.

Bank Deposits

Fair value of bank deposits is determined at amount estimated to be realised after making provision for impairment based on the duration of the deposit and credit rating of the financial institution in which the deposit is held and the corresponding probability of default. Twelve months expected credit loss (ECL) is considered for impairment. All deposits for less than three months and invested in Financial Institutions rating BBB- and above are not impaired. Investment held with Parent Company also not impaired.

The Group has taken into account the changes to macro economic factors and risk arose due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of the bank deposits as at the year end.

Financial liabilities at amortised cost

Fair value of interest bearing liabilities- banks, interest bearing liabilities- leases, trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future less impairment.

45 Fair value measurement

45.1 Determination of fair value hierarchy

The Group and the Company use the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly (Level 2)
- (iii) Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data [Inputs that are unobservable that reflect management own assumptions] (Level 3)

The following table provides the fair value measurement hierarchy of the Group's and Company's assets and liabilities.

45.1.1 Fair value measurement hierarchy -2019/20

	Notes	Group				Company			
		Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Recurring fair value measurements									
Assets measured at fair value:									
Property, plant and equipment									
- Freehold land	17.3.1	-	-	3,980,978	3,980,978	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	24.1.1	-	-	158,187	158,187	-	-	-	-
		-	-	4,139,165	4,139,165	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other Financial Assets									
- Unquoted debt securities and unsecured loans *	24.1.2	-	688,744	-	688,744	-	688,744	-	688,744
- Bank deposits *	30	-	46,142	-	46,142	-	-	-	-
Investment in equity accounted investees									
- quoted **	23.1.1	368,543	-	-	368,543	360,664	-	-	360,664
		368,543	734,886	-	1,103,429	360,664	688,744	-	1,049,408
Liabilities for which fair values are disclosed									
- Interest bearing liabilities- banks	35	-	27,648,300	-	27,648,300	-	727,661	-	727,661
- Interest bearing liabilities- leases	36	-	9,133,386	-	9,133,386	-	-	-	-
		-	36,781,686	-	36,781,686	-	727,661	-	727,661

* The Group has taken into account the changes to macro economic factors due to COVID 19 impact and formulated necessary alterations to the templates which has been used to arrive at the impairment provisions.

** COVID 19 pandemic has created a situation where the volume or level of activities for several assets and liabilities to be curtailed resulting their values to significantly decrease along with the reduced market activities in an active manner.

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45.1.2 Fair value measurement hierarchy -2018/19

	Notes	Group				Company			
		Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000	Level 1 Rs. '000	Level 2 Rs. '000	Level 3 Rs. '000	Total Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold land	17.3.1	-	-	4,025,394	4,025,394	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	24.1.1	-	-	146,675	146,675	-	-	-	-
		-	-	4,172,069	4,172,069	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other financial assets									
- Unquoted debt securities and unsecured loans	24.1.2	-	672,286	-	672,286	-	672,286	-	672,286
- Bank deposits	30	-	13,133	-	13,133	-	-	-	-
Investment in equity accounted investees									
- quoted	23.1.1	562,512	-	-	562,512	550,487	-	-	550,487
		562,512	685,419	-	1,247,931	550,487	672,286	-	1,222,773
Liabilities for which fair values are disclosed									
- Interest bearing liabilities- banks	35	-	25,480,327	-	25,480,327	-	680,230	-	680,230
		-	25,480,327	-	25,480,327	-	680,230	-	680,230

45.2 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property, plant and equipment (land) is given in Note 17.1 and 17.2 to the financial statements.

Unquoted equity securities

As at	Group		Company	
	31.03.2020 Rs. '000	31.03.2019 Rs. '000	31.03.2020 Rs. '000	31.03.2019 Rs. '000
Balance brought forward	146,675	103,361	-	-
Shares disposed during the year	-	(19,233)	-	-
Effect of movement in exchange rates	11,512	62,547	-	-
Balance carried forward	158,187	146,675	-	-

45.2.1 Transfers between levels of fair value hierarchy

There were no transfers between Level 1, Level 2 and Level 3 during the year.

45.3 Valuation techniques and significant unobservable inputs

45.3.1 Assets and liabilities measured at fair value - Recurring

Assets	Valuation Technique	Significant unobservable inputs	Sensitivity of the input to the fair value	COVID - 19 impact
Property plant and equipment				
- Freehold land	Market comparable method - This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market price of similar assets making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land	Estimated fair value would increase (decrease) if price per perch increases / (decreases)	There is no impact to the estimated recoverable amount of the freehold land of the Group due to impact of COVID -19 pandemic.
Other financial assets - Unquoted equity securities	Valuation based on the recent and agreed sale price of shares.	-	-	No change to the agreed price due to COVID -19 pandemic.

45.3.2 Assets and liabilities for which fair values are disclosed - Recurring

Assets	Valuation Technique	Significant unobservable inputs	COVID - 19 impact
Other Financial Assets			
- Unquoted debt securities and unsecured loans - Bank deposits	Valuation determined based on present value of future cash flows discounted at the market interest rates.	cashflow projections/ discounted rate (current market interest rate)	The resultant increase in impairment provision in unquoted debt securities and unsecured loan as a result of COVID-19 impact, was Rs. 3.9 mn.
Interest-bearing liabilities-banks	Discounted cash flows	Current market interest rate	Refer Note 35.2 and Note 36.5
Interest-bearing liabilities-leases			

45.3.3 Assets and liabilities measured at fair value - Non-recurring

Assets	Valuation Technique	Significant unobservable inputs
Assets classified as held for sale	Cost approach - valued at the carrying amount prior to assets classified as held for sale.	Not applicable

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46 Financial Risk Management

46.1 Overview

The Group has exposure to the following risks from its use of financial instruments.

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

46.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implements and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-operation with the Group's operating units identifies, evaluates and formulates principle for risk management covering specific areas such as foreign exchange risk and interest rate risk.

46.3 Credit risk

Credit risk is the risk of finance loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. There was no off balance sheet exposure as at the year end date.

As at 31st March	Group 2020 Rs. '000	% Allocation	Company 2020 Rs. '000	% Allocation
Financial Assets				
Financial assets at fair value through OCI				
Other financial assets - Unquoted equity shares	158,187	3%	-	-
Financial assets at amortised cost				
Other financial assets - Unquoted debt securities and unsecured loans	688,744	12%	688,744	48%
Bank deposits	46,142	1%	-	-
Trade and other receivables	1,301,420	22%	109,447	8%
Amount due from holding company	740,232	13%	32,148	2%
Amount due from parent's group entities	467,086	8%	112,006	8%
Cash and cash equivalents	2,473,266	42%	502,765	35%
Total credit exposure	5,875,077	100%	1,445,110	100%

Credit Exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

As at 31st March		Group 2020 Rs. '000	Company 2020 Rs. '000
	Note		
Trade receivables	27	1,217,415	118,885
Total		1,217,415	118,885

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the Group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 1 million. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

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Impairment losses

Impairment for trade receivables is established based on expected credit loss method. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstanding's. The loss rate calculated based on the historical provision matrix is adjusted based on the future calibrated probability of default and the loss given default. Forward looking factors that affect customer default rates and macro economic data such as GDP are considered in calculating the the probability of default.

However the Group has taken into account the changes to macro economic factors and risk due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of trade and other receivables as at the year end.

The aging of trade receivables - out side the Group as at the reporting date was:

As at 31st March 2020	Group Rs. '000	Company Rs. '000	Covid 19 impact
Less than 30 days	574,125	43,313	The resultant increase in impairment provision in Trade receivable as a result of Covid 19 impact was Rs. 11.3 mn.
30-60 days	323,784	27,372	
60-90 days	150,552	25,404	
90-180 days	104,159	15,079	
180-365 days	45,475	4,685	
more than 365 days	22,340	4,483	
Advances received	(3,020)	(1,451)	
	1,217,415	118,885	
Less: Impairment on trade receivable	(99,373)	(9,438)	
Carrying value of trade receivables	1,118,042	109,447	

The movement in the allowance for impairment in respect of trade receivables during the year was:

As at 31st March 2020	Group Rs. '000	Company Rs. '000
Balance at the beginning of the year	18,590	2,471
Impairment provision - recognised for the year	80,782	6,967
Written off during the year	(2,556)	-
Effect of movement in exchange rate	2,557	-
Balance at the end of the year	99,373	9,438

Short term deposits

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below .

As at 31st March 2020	Group Rs. '000	%	Company Rs. '000	%
Government owned Banking Institutions	50	0%	-	-
Commercial Banks	46,092	100%	-	-
Total	46,142	100%	-	-

Commercial banks

Investments made with other Commercial Banks consist of fixed deposits and term deposits held with government owned banks and private commercial banks.

Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also uses broad investment portfolio and limits investments with a single counterparty.

46.4 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group continuously prepare and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing time deposits or with Central Treasury Department of holding company. At the reporting date, the Group held term deposits that are expected to readily generate cash inflows for managing liquidity risk of liabilities as at the reporting date.

The Group considered that Cash flow scrutiny is paramount in the days and months ahead and has adopted a disciplined approach across the Group for preserving and increasing liquidity, particularly on account of the impact of COVID-19.

The Group has already opted for debt moratoriums made available through financial institutions as approved by the CBSL for COVID-19 impacted industries which will ease the cash flow constraints.

As at 31st March 2020	Group			
	Carrying Amount Rs. '000	Current Rs. '000	Non Current Rs. '000	Payable on demand Rs. '000
Financial Liabilities				
Interest bearing liabilities - banks	27,648,300	2,757,480	24,890,820	-
Interest bearing liabilities - leases	9,133,386	524,112	8,609,274	-
Trade payables	940,582	940,582	-	-
Other provisions and payables	2,791,715	2,791,715	-	-
Amount due to holding company	134,293	134,293	-	-
Amount due to parent's group entities	74,009	74,009	-	-
Short term bank borrowings	2,492,883	-	-	2,492,883
Total	43,215,168	7,222,191	35,500,094	2,492,883

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As at 31st March 2020	Company			
	Carrying Amount	Current	Non Current	Payable on demand
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Liabilities				
Interest bearing liabilities - banks	727,661	255,898	471,763	-
Trade payables	17,997	17,997	-	-
Other provisions and payables	46,395	46,395	-	-
Amount due to holding company	42,836	42,836	-	-
Amount due to parent's group entities	501,284	501,284	-	-
Short term bank borrowings	24,610	-	-	24,610
Total	1,360,783	864,410	471,763	24,610

"Current" represents financial liabilities which are due to mature within one year.

46.5 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices which will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return.

46.5.1 Foreign exchange risk

The Group being involved in hoteliering operates internationally and is exposed to foreign exchange risk arising from various currency exposures primarily with respect of the US dollar. Certain room contracts are entered into in foreign currencies and invoiced in LKR using the conversion rates established by the industry. Purchases such as import of capital goods for hotel operations are also transacted in foreign currency.

The Sri Lankan Rupee witnessed a sharp depreciation against the US Dollar in March 2020 on the back of economic turmoil in global, regional and local markets resulting from the COVID-19 pandemic.

The Group has investment in foreign operations, who's net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the Group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs.17, 666 million. All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments.

However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group's exposure to foreign currency risk as at 31st March 2020 and sensitivity analysis to Profit & loss and Equity if exchange rate increased / (decrease) by Rs.1/= is as follows.

46.5.1.1 Profit & loss

For the Year Ended 31st March 2020		Group	Company
Foreign Currency exposure for 2019/20			
Foreign currency denominated income	-USD	144,974	6,224
Foreign currency denominated expenses	-USD	-	-
Foreign currency denominated income	-Euro	53,953	372
Foreign currency denominated expenses	-Euro	(511,496)	-
Net exposure - in foreign currency	-USD	144,974	6,224
Net exposure - in foreign currency	-Euro	(457,543)	372
Avg conversion rate used for the year 2019/20	-USD	179.35	179.35
Avg conversion rate used for the year 2019/20	-Euro	199.12	199.12
Net USD exposure - in Rs'000		26,001	1,116
Net Euro exposure - in Rs'000		(91,106)	74
Sensitivity Analysis			
Avg USD conversion rate with Rs. 1.00 increase		180.35	180.35
Avg USD conversion rate with Rs. 1.00 decrease		178.35	178.35
Avg Euro conversion rate with Rs. 1.00 increase		200.12	200.12
Avg Euro conversion rate with Rs. 1.00 decrease		198.12	198.12
Net exposure - in SLR with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		26,146	1,122
Net exposure - in SLR with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		25,856	1,110
Net exposure - in SLR with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(91,563)	74
Net exposure - in SLR with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(90,648)	74
Impact to Profit & Loss			
with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		145	6
with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		(145)	(6)
with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		458	-
with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(458)	-

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46.5.1.2 Equity

As at 31st March 2020	Group				Company		
	USD	GPB	EURO	OMR	USD	GPB	EURO
Foreign Currency denominated financial assets and financial liabilities							
Trade and other receivables	949,255	562,546	1,306,205	67,951	617,900	510,439	572,688
Other financial assets	-	-	-	-	-	-	-
Cash and cash equivalents	3,385,577	-	3,249,294	-	2,397,462	-	228
Trade payables	-	-	(39,802)	-	-	-	-
Interest bearing liabilities - banks	-	-	(34,749,110)	-	-	-	-
Net exposure - in foreign currency	4,334,832	562,546	(30,233,413)	67,951	3,015,362	510,439	572,916
Conversion rate used as at 31st March 2020	189.91	235.28	208.33	493.14	189.91	235.28	208.33
Net exposure - in Rs. 000	823,228	132,356	(6,298,527)	35,509	572,647	120,096	119,356
Sensitivity Analysis							
Avg conversion rate with Rs. 1.00 increase	190.91	236.28	209.33	494.14	190.91	236.28	209.33
Avg conversion rate with Rs. 1.00 decrease	188.91	234.28	207.33	492.14	188.91	234.28	207.33
Net exposure - in SLR with Rs. 1.00 increase in the average conversion rate -Rs'000	827,563	132,918	(6,328,760)	33,577	575,663	120,607	119,929
Net exposure - in SLR with Rs. 1.00 decrease in the average conversion rate -Rs'000	818,893	131,793	(6,268,293)	33,441	569,632	119,586	118,783
Impact to Profit and Loss							
with Rs. 1.00 increase in the average conversion rate - Rs'000	4,335	563	(30,233)	68	3,015	510	573
with Rs. 1.00 decrease in the average conversion rate - Rs'000	(4,335)	(563)	30,233	(68)	(3,015)	(510)	(573)

46.6 Cash Flow Hedge

A subsidiary company in the Group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales. The risk management strategy is to use the foreign currency variability (gains /losses) arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement.

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs (when the forecasted revenue is realised). If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2020 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected be set of from the variability of exchange rates form highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from 1st quarter of 2017/18 upto the tenor of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/19 for an extended tenor .

Hedged item – Highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from April 2017 to March 2029.

The effective portion of the gain or loss on the hedging instrument of Rs. 292 Mn (2018/19 – Rs. 84 Mn) is recognised in the Other Comprehensive Income Statement (OCI) and ineffective portion of Rs. 10 Mn (2018/19 – Rs. 34 Mn) is recognised immediately in the Income Statement under net foreign exchange gain/ (loss) in other operating income.

In respect of the cash flow hedge instrument, Group recognized Rs. 801.6 Mn (2018/19- Rs. 626.7 Mn) under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

Cash flow hedge reserve

As at 31st March	Group		Company	
	2020 Rs. '000	2019 Rs. '000	2020 Rs. '000	2019 Rs. '000
Balance at the beginning of the year	(626,716)	(576,239)	-	-
Net movement in cash flow hedge reserve	(174,917)	(50,477)	-	-
Balance at the end of the year	(801,633)	(626,716)	-	-

The Group has considered the economic turbulence resulting from COVID 19 pandemic when assessing the Group's risk exposures and hedge effectiveness.

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46.7 Interest rate risks

Interest rate risk is the risk of fluctuation of the value or cash flows of an instrument due to changes in the market interest rates.

The Group has borrowings with variable interest rates such as AWPLR and LIBOR and would expose the Group to cashflow/ profits as the amount of interest paid would be changed depending on market interest rates.

Further, the global outbreak of the novel COVID-19 epidemic has resulted in a consecutive reductions in policy rates and monetary easing policies by CBSL to encourage banks and finance companies to reduce lending rates.

The Group's exposure to interest rate risk as at 31st March 2020 and sensitivity analysis to Profit & loss if interest rate increased / decrease by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans.

Financial Year 2019/20	Increase/ decrease in basis points	Effect on Profit Before Tax	
		Group Rs. '000	Company Rs. '000
Sri Lanka rupee loans	+100	14,830	7,277
USD loans	+10	17,667	-
Euro loans	+10	3,776	-
Sri Lanka rupee loans	-100	(14,830)	(7,277)
USD loans	-10	(17,667)	-
Euro loans	-10	(3,776)	-

The above table demonstrates the sensitivity to a reasonably possible change in interest rates on loans where floating rates are applicable by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans with all other variables held constant.

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiates with banks and obtains best possible interest rates for the Group's borrowings. Listed below are steps adopted by the Group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re - negotiating with banks on interest rates when ever there are favorable fluctuations in the market rates.

46.8 Equity prices

The Group's investment in equity - quoted are recorded at their market price. Group's investments in equity accounted investments is scoped out as stated above. Equity investments non quoted are carried in the Consolidated Statement of Financial Position as financial assets at fair value through OCI. Both quoted and non quoted investments are fair valued as at each reporting date.

47 Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

The Group monitors capital on the basis of the debt to equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and total equity consist of total equity less preference shares capital. The following factors are also objectively taken into consideration in managing capital of the Group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

48 Director's fees

Director's fees of the Group for the year ended 31st March 2020 is nil. (Rs. 28,800 - 2018/19)

49 Related party transactions

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Deshamanya D.H.S. Jayawardena, Chairman of the Company is also the Chairman of the Parent Company Aitken Spence PLC. and Aitken Spence Hotel Management Asia (Pvt) Ltd. He is also the Chairman of Browns Beach Hotels PLC, and Negombo Beach Resorts (Pvt) Ltd which are associate companies of the Group and the Chairman of Distilleries Company of Sri Lanka PLC, Stassen Exports (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Bell (Pvt) Ltd., Periceyl (Pvt) Ltd., Lanka Diaries (Pvt) Ltd. Pattipola Live Stock Company Ltd., Stasson Foods (Pvt) Ltd and Ambewela Products (Pvt) Ltd., Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note. No. 49.1.1, 49.1.2, 49.1.3 and 49.1.5.

Mr. J.M.S. Brito, who was the Managing Director of the Company and the Parent Company Aitken Spence PLC resigned with effect from 15th March 2019 and continued to be a non Executive Director for both the companies effective from same date.

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Dr. M.P. Dissanayake is the Deputy Chairman & Managing Director of the Company and the Parent Company Aitken Spence PLC. He is also a Director for Browns Beach Hotels PLC, Crest Star (BVI) Ltd., Cowrie Investments (Pvt) Ltd., Ace Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Resorts (Middle East) LLC., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., P.R. Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotels Ltd., Heritance (Pvt) Ltd., Aitken Spence Hotel Managements (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Ahungalla Resorts Ltd., Hethersett Hotels Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Turyaa (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Browns Beach Hotels PLC, Ace Cargo (Pvt) Ltd., Aitken Spence Agriculture (Pvt) Ltd., Aitken Spence Engineering Solutions (Pvt) Ltd., Aitken Spence Printing & Packaging (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd., Global Parcel Delivery (Pvt) Ltd., Elevators (Pvt) Ltd. and Elpitiya Plantations PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 49.1.1, 49.1.2 and 49.1.4.

Ms. D.S.T. Jayawardena, a Director of the Company is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., Ahungalla Resorts Ltd., and Aitken Spence Hotel Managements Asia (Pvt) Ltd., Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 49.1.2.

Ms. D.S.T. Jayawardena is also a Director of the parent Company Aitken Spence PLC. and a Director of Amethyst Leisure Ltd., Paradise Resorts Passikudah (Pvt) Ltd., Browns Beach Hotels PLC., and Negombo Beach Resorts (Pvt) Ltd., which are equity accounted investees of the Group. She is also the Chairperson of Splendor Media (Pvt) Ltd., and a Director of Stassons Foods (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Dairies (Pvt) Ltd., and Stassen Exports (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No 49.1.1, 49.1.3 and 49.1.5.

Mr. C.H. Gomez, a Director of the company is also a Director of the Parent Company Aitken Spence PLC.

Mr. N.J. De Silva Deva Adithya, a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Distilleries Company of Sri Lanka PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 49.1.1 and 49.1.5.

Mr. R.N. Asirwatham, a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Browns Beach Hotels PLC., Dankotuwa Porcelain PLC., and Royal Ceramics PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 49.1.1, and 49.1.5.

Mr. G.P.J. Goonewardena who was a Director of the Company resigned with effect from 30th June 2017 and re-appointed as a non Executive Director with effect from 30.03.2018.

Mr. C.M.S. Jayawickrama, a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., and a Director of Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Ahungalla Resorts Ltd., Crest Star (BVI) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd., P R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 49.1.2.

Mr. C.M.S. Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd., which is an equity accounted investees of the Group.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 49.1.1 to 49.1.5.

49.1 Details of transactions carried out with Related Companies

	Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
					Transaction Value	Outstanding at 31.03.2020	Transaction Value	Outstanding at 31.03.2020
					Rs. '000	Rs. '000	Rs. '000	Rs. '000
49.1.1	Transactions with Parent Company							
	Aitken Spence PLC	Parent Company	Interest earned / (paid) - net	Market terms	41,115		5,911	
			Lease Rent paid	Contractual Payment	1,500		-	
			Corporate guarantee fees	Market terms	64,242		30,755	
			Fees paid for services	Market terms	226,958	(134,293)	28,124	(42,836)
			Net withdrawal / investment of short term funds	Market terms	(409,841)	740,232	(280,471)	32,148
49.1.2	Transactions with Subsidiaries							
	Aitken Spence Hotel Management (Asia) Pvt Ltd	Subsidiary	Management fees for managing overseas hotels	Percentage of revenue and profits	167,165	-	-	(27)
	Aitken Spence Global Operations (Pvt) Ltd	Subsidiary	Management fees for managing overseas hotels	Percentage of revenue and profits	222,029	-	-	-
			Central Merchandising unit handling charges	Market terms	23,086	-	-	-
	Turyaa (Pvt) Ltd.	Subsidiary	Short term advances	Short term	4,000	-	4,000	13,282
	Kandalama Hotels (Pvt) Ltd	Subsidiary	Settlement of short term advances	Market terms	-	-	(279,828)	-
			Interest on advances	Market terms	48,416	-	48,416	(500,733)
	Aitken Spence Hotels Ltd	Subsidiary	Short term advances	Short term	-	-	-	19
	Meeraladuwa (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	-	232

NOTES TO THE FINANCIAL STATEMENTS

49.1.3	Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
					Transaction Value	Outstanding at 31.03.2020	Transaction Value	Outstanding at 31.03.2020
					Rs. '000	Rs. '000	Rs. '000	Rs. '000
Transactions with Equity Accounted Investees								
Paradise Resorts Passikudah (Pvt) Ltd	Associate	Transactions with Parent Company		Market terms	-	5,161	-	5,151
		Shareholder loan granted						
		Transactions with Parents Group Entities						
		Sale of Hotel Rooms		Market terms	6,644	-	-	-
		Central Purchasing unit handling charges		Market terms	221	-	-	-
		Printing of hotel promotional literature		Market terms	79	-	-	-
		Transactions with Parent Company						
		Interest received for shareholder loan		Market terms	71,123	-	-	-
		Transactions with Parents Group Entities						
		Sale of Hotel Rooms		Market terms	38,364	-	-	-
Printing of hotel promotional literature		Market terms	1,303	-	-	-		
Central purchasing / merchandising unit handling charges		Market terms	942	-	-	-		
Purchase of mineral water		Market terms	2,450	263	-	-		
Aitken Spence Hotel Managements (Pvt) Ltd.	Associate	Management fees for managing the hotels		Percentage of revenue and profits	137,464	-	24,727	-
		Central Purchasing & Merchandising unit handling charges		Market terms	24,489	152,357	6,955	24,898
		Export of Hotel Supplies to Maldives		Market terms	240,608	(70,265)	-	(353)

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding at 31.03.2020	Transaction Value	Outstanding at 31.03.2020
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
49.1.4 Transactions with Parent's Group Entities							
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	1,019,141	306,686	121,721	68,327
		Purchase of Air Tickets for overseas travel	Market terms	2,651	(386)	-	(171)
Aitken Spence Exports (Pvt) Ltd.	Subsidiary of the Parent Company	Purchase of mineral water	Market terms	9,632	2,470 (603)	3,157	- (171)
Aitken Spence Printing & Packaging (Pvt) Ltd.	Subsidiary of the Parent Company	Printing & Typesetting hotel promotional literature and Annual Reports	Market terms	5,670	(68)	3,916	-
Elevators (Pvt) Ltd	Subsidiary of the Parent Company	Repairs and Maintenance of Hotel Elevators	Market terms	12,653	(1,691)	1,165	-
Elpitiya Plantations PLC	Subsidiary of the Parent Company	Purchase of tea leaves	Market terms	3,862	(251)	5,724	-
Global Parcel Delivery (Pvt) Ltd	Subsidiary of the Parent Company	Courier Services	Market terms	495	-	-	-
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	13,411	63 (48)	523	29
Aitken Spence Agriculture (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of vegetables	Market terms	968	(30)	-	-
Aitken Spence Engineering Solutions (Pvt) Ltd	Subsidiary of the Parent Company	Purchase of IT equipment	Market terms	22,562	134	-	-
49.1.5 Transactions with Other Related Companies							
Distilleries Company of Sri Lanka PLC	Other related Company	Purchase of beverages	Market terms	23,972	(2,493)	5,418	(238)
Stassen Exports (Pvt) Limited	Other related Company	Purchase of food items	Market terms	540,115	(35,095)	33,114	(1,357)

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Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value Rs. '000	Outstanding at 31.03.2020 Rs. '000	Transaction Value Rs. '000	Outstanding at 31.03.2020 Rs. '000
Lanka Milk Foods (CWE) PLC	Other related Company	Purchase of milk powder	Market terms	10,166	(788)	1,838	-
Lanka Diaries (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	897	(11)	317	-
Lanka Bell Ltd.	Other related Company	Provision of telecommunication services.	Market terms	3,028	(440)	783	-
Periceyl (Pvt) Ltd	Other related Company	Purchase of beverages	Market terms	16,433	(3,443)	8,030	(1,001)
Pattipola Live Stock Company Ltd	Other related Company	Purchase of food items	Market terms	1,498	(51)	-	-
Royal Ceramic PLC	Other related Company	Purchase of goods	Market terms	810	-	75	-
Continental Insurance Lanka Limited	Other related Company	Provision of insurance services	Market terms	422,307	-	20,531	-
Melista Logistics (Pvt) Ltd	Other related Company	Provision of vehicle maintenance services	Market terms	801	(46)	-	-
Stassons Foods (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	11,653	9,515	7,383	7,383
Ambewela Products (Pvt) Ltd	Other related Company	Purchase of milk products	Market terms	2,436	464	-	-
Dankotuwa Porcelain PLC	Other related Company	Purchase of porcelain items	Market terms	637	431	-	-
Pattipola Live Stock Co. Ltd	Other related Company	Purchase of milk products	Market terms	51	-	-	-

49.1.6 The Company and the Subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain Tour operators, for whom Aitken Spence Travels (Pvt) Ltd., has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2020 is disclosed above.

49.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs.34.5 million (Company 10.1 million) from sale of hotel packages to Aitken Spence PLC and its Subsidiaries (excluding Hotel Companies). Balances outstanding from these companies as at 31st March 2020 is reflected in Note No. 29 - Amounts due from Parent's Group Entities.

49.2 Non Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2020 Rs. '000	Value of the related party transactions as a % of equity	Value of the related party transactions as a % of total Assets.	Terms and conditions of the related party transaction
49.2.1 Transaction with Subsidiaries						
Aitken Spence Hotel Managements South India (Pvt) Ltd.	Subsidiary	Investment in equity	437,325	2%	0.59%	Market Terms
49.2.2 Transaction with Equity Accounted Investees						
Negombo Beach Resorts (Pvt) Ltd	Associate	Interest earned from shareholder loan	71,123	0.24%	0.10%	Loan is repayable in 10 years with grace period of 3years. Interest linked to AWPLR

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

49.3 Recurrent Transactions with Related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2020 Rs. '000	Value of the related party transactions as a % of revenue	Terms and conditions of the related party transaction
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of Parent Company	Sale of Hotel rooms in the ordinary course of business	1,019,141	5.48%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the Group.

NOTES TO THE FINANCIAL STATEMENTS

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49.4 Transactions with Key Management Personnel (KMP)

Aitken Spence Hotel Holdings PLC, considers its Board of Directors as the key management personnel of the Company. The Board Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as key management personnel of Group Companies.

There were no transactions other than employment benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures .

Year Ended 31st March	Group		Company	
	2019/2020	2018/2019	2019/2020	2018/2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term employment benefits	29,180	34,006	8,030	-
Post employment benefits	-	8,220	-	-
Total	29,180	42,226	8,030	-

50 Acquisition of non controlling shares

The Company made an offer to the minority shareholders of Aitken Spence Hotels Ltd. on 8th June, 1999 to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share) . During this financial year 700 shares were acquired . The Company as at 31 st March, 2020 held 98.01% of the equity share capital of Aitken Spence Hotels Ltd.

51 Events after reporting date

The Board resolved to recommend the payment of preference dividend of cents 90 on cumulative redeemable preference shares for the year ended 31st March 2020 once approved by the shareholders at the Annual General Meeting.

Apart from the temporary closure of hotels due to COVID-19 outbreak as stated in note no.56, there has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the Financial Statements.

52 Capital expenditure commitments

There are no capital expenditure commitments other than those disclosed in note no. 17.4 to the financial Statements.

53 Total number of employees

The total number of employees of the Group (excluding equity-accounted investees) at as at 31st March 2020 was 3,235. (2018/2019 - 3,430)

The total number of employees of the Company at the year end was 271. (2018/2019 - 301).

54 Comparative information

Except for the adoption of new accounting standards and interpretations with effect from 1st April 2019, the Group has consistently applied the accounting policies with those adopted in the previous financial year. The presentation and classification of the financial statements of the previous period, have been adjusted, where relevant, for better presentation.

The impact of adopting these new accounting standard of SLFRS 16 and IFRIC 23 are disclosed in note no. 06 to the financial statements.

55 Directors Responsibility

The Board of Directors of the Company are responsible for the preparation of financial statements.

56 Group impact of COVID 19

On 11 March 2020 the World Health Organization declared the coronavirus outbreak a pandemic, and the Sri Lankan government declared a state of emergency on 18th March 2020. Responding to the potentially serious threat the COVID – 19 presents to public health, the Sri Lankan government authorities have taken measures to contain the outbreak, including introducing B34 and the 'lock-down' of certain industries. In particular, airlines suspended international transport of people. Schools, universities, restaurants, hotels, cinemas, theaters and museums and sport facilities, retailers excluding food retailers, grocery stores and pharmacies were closed.

56.1 The impact of COVID – 19 pandemic on the business/ operations of the Group and responses to the impact on COVID-19

Aitken Spence Hotel Holdings PLC and its subsidiaries operate in the tourism sector that has been significantly affected by the outbreak of COVID – 19.

With the spread of the virus on a global scale in mid-March 2020 and rightly the stringent measures taken by the respective Governments including the closure of airports, border entry barriers and lock downs, have compelled the temporary closure of all the Group's hotels except the city hotels in India and Oman which remains open with limited operations for a few in-house guests.

However, every hotel is currently being manned by a small team headed by the hotel General Manager to ensure safety of our people. The team is entrusted with the responsibility to ensure safety of the property, carry out regular maintenance and cleaning in order to maintain the buildings, plant and equipment, and other assets in good order.

Operations that are ongoing at the hotel in India are being carried out strictly under the guidelines issued by the Government with the safety of our guests and staff being paramount.

The management has assessed the impact on the performance and cashflows of the Group in the 1st quarter of the financial year and taken several measures to cut costs. Plans have been made to commence hotel operations to the domestic markets in Sri Lanka, India and Oman no sooner the climate is conducive for same. Resumption of operations in our Maldives resorts will depend on commencement of international travel and the stability of the key source markets.

The Group is also in discussion with several lending institutions to avail ourselves of the relief measures that have been recommended by the Central Bank to the industry including moratoriums on the servicing of debt. This would relieve the Group of the cash constraints that would be borne during the next few months. The Group along with the rest of the industry in Sri Lanka is lobbying the Government for concessions to the hotel industry in order to help the Group sustain the payment of staff salaries until the hotels re-commence operations.

Due to the Group's continuous investments in technology most of the key staff are functioning from home with secured access to operating systems.

56.2 The Group's expectation of the future impact of COVID – 19 on the Group's future operations and financial conditions.

Due to the closure of the hotels, the Group is deprived of revenue and hence will report a loss in the 1st and 2nd quarters of the financial year 2020/21. However, the cost reduction methods being implemented, the freezing of capital expenditure and the support offered by lenders would help to mitigate the adverse impact on the profitability and cashflow of the Group.

NOTES TO THE FINANCIAL STATEMENTS

Our efforts also extend to exploring measures to support local businesses and communities to the fullest extent possible, to survive the economic impacts of COVID-19.

The global situation is extremely volatile at present and since the impact of the pandemic on the Group's business is closely linked to the situation in the countries we operate, the source markets and the international airline industry, an estimate of the medium to long term outlook may not be realistic at this stage. However, Group will continue to monitor developments both locally and globally and take timely action to mitigate any risks to the financial stability of the Group.

The Group is working through a strategy to gradually reopen the properties based on the opening of source markets and international travel.

56.3 Use of estimates, assumptions and judgements due to COVID 19 pandemic

The preparation of these financial statements requires the use of management judgement, estimates and assumptions that affect reported amounts and the application of accounting policies. Such estimates and judgements are reviewed on an ongoing basis.

The ongoing COVID-19 pandemic has increased the estimation uncertainty in the preparation of these Consolidated Financial Statements.

The estimation uncertainty is associated with:

- the extent and duration of the disruption to business arising from the actions by governments, businesses and consumers to contain the spread of the virus;
- the extent and duration of the expected economic downturn (and forecasts for key economic factors including GDP, employment and house prices). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, increasing unemployment, declines in consumer discretionary spending, reductions in production because of decreased demand, and other restructuring activities; and
- the effectiveness of government and central bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

The Group has developed various accounting estimates in these Financial Statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31 March 2020 about future events that the Directors believe are reasonable in the circumstances. There is a considerable degree of judgement involved in preparing forecasts. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements.

The significant accounting estimates impacted by these forecasts and associated uncertainties are predominantly related to expected credit losses, fair value measurement, and recoverable amount assessments of non-financial assets.

The impact of the COVID-19 pandemic on each of these accounting estimates were discussed further in the relevant notes to these financial statements.

QUARTERLY STATISTICS

Income Statement - Group

	30th June	30th September	31st December	31st March
For the three months ended	2019	2019	2019	2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net Turnover	3,507,434	3,579,167	5,854,158	5,647,628
Other income	24,754	129,402	(9,971)	(26,384)
Staff costs	(874,405)	(834,724)	(1,042,965)	(1,048,654)
Depreciation	(443,779)	(447,286)	(611,075)	(613,996)
Amortisation	(156,748)	(176,013)	(198,479)	(199,503)
Other operating expenses - direct	(810,655)	(857,697)	(1,402,496)	(1,185,586)
Other operating expenses - indirect	(1,327,302)	(1,459,245)	(1,756,323)	(1,695,590)
Profit/ (loss) from operations	(80,701)	(66,396)	832,849	877,915
Finance income	68,084	42,586	34,708	41,321
Finance expenses	(326,153)	(336,529)	(605,679)	(592,992)
Share of profit/(loss) of equity accounted investees net of tax	(91,629)	(86,851)	(53,556)	(90,000)
Income tax expense	(137,601)	(90,428)	(117,468)	(117,204)
Net profit /(loss) for the period	(568,000)	(537,618)	90,854	119,040
Profit/(loss) attributable to:				
Equity holders of the parent company	(437,427)	(396,697)	58,036	151,135
Non - controlling interests	(130,573)	(140,921)	32,818	(32,095)
	(568,000)	(537,618)	90,854	119,040

Statement of Financial Position - Group

	30th June	30th September	31st December	31st March
As at	2019	2019	2019	2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets				
Non current assets	61,044,187	65,285,066	65,023,500	66,277,967
Current assets	7,081,435	5,604,073	6,541,175	7,046,542
Assets classified as held for sale	953,002	981,353	980,111	1,025,525
Total assets	69,078,624	71,870,492	72,544,786	74,350,034
Equity and liabilities				
Equity	20,309,751	20,104,252	20,039,293	20,562,900
Non - controlling interest	8,300,210	8,451,767	8,408,545	8,587,530
Total equity	28,609,961	28,556,019	28,447,838	29,150,430
Non current liabilities	31,989,510	34,631,626	34,483,682	34,701,113
Current liabilities	8,479,153	8,682,847	9,613,266	10,498,491
Total liabilities	40,468,663	43,314,473	44,096,948	45,199,604
Total equity & liabilities	69,078,624	71,870,492	72,544,786	74,350,034

Share Information - Group

	30th June	30th September	31st December	31st March
As at	2019	2019	2019	2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Earnings / (loss) per ordinary share	(Rs.) (1.31)	(1.19)	0.16	(1.90)
Net asset value per share	(Rs.) 59.90	59.29	59.10	60.66
Market price per share				
- Highest	(Rs.) 27.00	25.00	31.80	27.70
- Lowest	(Rs.) 19.00	21.90	23.80	15.00
- Last trade price	(Rs.) 21.90	25.20	27.10	15.00
Percentage of shares held by public	25.40%	25.40%	25.40%	25.39%
Number of public shareholders	3,422	3,496	3,623	3,648
Float adjusted market capitalisation	(Rs.) 1,878,932,242	2,135,150,275	2,314,502,898	1,289,630,766

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED INCOME STATEMENTS IN US \$

For the year ended 31 st March	2020 US \$ '000	2019 US \$ '000
Revenue	100,149	111,140
Revenue tax	(2,269)	(2,930)
Net revenue	97,880	108,210
Other income / (expenses)	620	(345)
Staff costs	(20,013)	(19,778)
Depreciation	(11,143)	(9,916)
Amortisation	(3,848)	(724)
Other operating expenses - direct	(22,413)	(23,557)
Other operating expenses - indirect	(32,850)	(38,359)
Profit from operations	8,233	15,531
Finance income	983	1,366
Finance expenses	(9,801)	(5,307)
Net financing expenses	(8,818)	(3,941)
	(585)	11,590
Share of (loss) of equity accounted investees net of tax	(1,696)	(776)
Profit/(loss) before income tax	(2,281)	10,814
Income tax expenses	(2,436)	(4,016)
Profit/(loss) for the year	(4,717)	6,798
Attributable to:		
Equity holders of the parent company	(3,291)	4,603
Non controlling interests	(1,426)	2,195
	(4,717)	6,798
Earnings/(loss) per ordinary share (US \$.)	(0.01)	0.01
Exchange rate used for translation	189.91	176.09

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN US \$

For the year ended 31 st March	2020 US \$ '000	2019 US \$ '000
Profit/ (loss) for the year	(4,717)	6,798
Other comprehensive income		
Items that will never be reclassified to profit or loss		
Revaluation of property, plant and equipment	-	2,122
Share of other comprehensive income of equity accounted investees	28	1
Actuarial gains/ (losses) on defined benefit plans	90	74
Income tax on other comprehensive income	(11)	(533)
	107	1,664
Items that are or may be reclassified to profit or loss		
Foreign currency translation differences of foreign operations	4,896	10,253
Net movement in cashflow hedging	(1,535)	(478)
Net change in fair value on items recognised as fair value through OCI	(78)	-
	3,283	9,775
Other comprehensive income for the year net of tax	3,390	11,439
Total comprehensive income for the year net of tax	(1,327)	18,237
Attributable to:		
Equity holders of the parent company	(1,066)	11,470
Non - controlling interests	(261)	6,767
	(1,327)	18,237
Exchange rate used for translation	189.91	176.09

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN US \$

As at 31st March	2020 US \$ '000	2019 US \$ '000
ASSETS		
Non-current assets		
Property, plant & equipment	276,733	283,481
Right -of-use assets	58,830	-
Leasehold properties	-	12,576
Prepaid operating leases	-	10,928
Intangible assets	3,057	2,685
Investment in equity accounted investees	4,794	7,098
Other financial assets	4,025	4,424
Deferred tax assets	1,558	914
	348,997	322,106
Current assets		
Inventories	4,916	3,140
Trade and other receivables	8,853	11,896
Amounts due from holding company	3,898	6,531
Amount due from parent's group entities	2,460	1,723
Deposits & prepayments	3,100	4,339
Prepaid operating leases	-	426
Current tax receivable	176	207
Other financial assets	678	302
Cash and cash equivalents	13,023	17,904
	37,104	46,468
Assets classified as held for sale	5,400	-
TOTAL ASSETS	391,501	368,574
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the company		
Stated capital	18,717	20,186
Reserves	28,537	28,378
Retained earnings	61,023	72,617
	108,277	121,181
Non -controlling interests	45,219	52,568
TOTAL EQUITY	153,496	173,749

As at 31st March	2020 US \$ '000	2019 US \$ '000
Non-Current Liabilities		
Interest - bearing liabilities - banks	131,066	132,917
Interest - bearing liabilities - leases	45,333	-
Deferred tax liabilities	5,220	5,416
Other liabilities	-	7,394
Employee benefits	1,104	1,174
	182,723	146,901
Current Liabilities		
Trade payables	4,953	5,244
Other provisions and payables	18,400	16,907
Amounts due to holding company	707	625
Amounts due to parent's group entities	390	318
Interest - bearing liabilities - banks	14,520	11,784
Interest - bearing liabilities - leases	2,760	-
Current tax payable	425	1,070
Short term bank borrowings	13,127	11,976
	55,282	47,924
TOTAL LIABILITIES	238,005	194,825
TOTAL EQUITY AND LIABILITIES	391,501	368,574
Exchange rate used for translation	189.91	176.09



Supplementary Information

Reconsolidating our **Strengths**

*We're relying on our collective strengths to
amplify our capabilities; generating a future of
powerful, impactful change.*

INVESTOR INFORMATION

1. Stock Exchange Listing

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN.N0000"

2. Shareholders

There were 3,659 registered ordinary shareholders as at 31st March 2020 distributed as follows:

Range	31.03.2020			31.03.2019		
	No.of Shareholders	No.of Shareholders	%	No.of Shareholders	No.of Shareholders	%
1 to 1,000 shares	2,104	699,788	0.21	1,950	651,620	0.19
1,001 to 10,000 shares	1,173	4,030,015	1.20	1,100	3,763,669	1.12
10,001 to 100,000 shares	312	9,061,895	2.69	275	7,824,778	2.33
100,001 to 1,000,000 shares	54	16,780,345	4.99	58	18,362,094	5.46
1,000,001 & Above	16	305,717,967	90.91	16	305,687,849	90.90
	3,659	336,290,010	100.00	3,399	336,290,010	100.00

3. Analysis of Shareholders

Category	31.03.2020		31.03.2019	
	Shareholding	%	Shareholding	%
Nationals	335,215,784	99.68	334,301,125	99.41
Non - Nationals	1,074,226	0.32	1,988,885	0.59
	336,290,010	100.00	336,290,010	100.00
Category	Shareholding	%	Shareholding	%
Aitken Spence PLC & Subsidiaries	250,507,418	74.49	250,507,418	74.49
Other Institutions	63,535,937	18.89	64,002,021	19.03
Individuals	22,246,655	6.62	21,780,571	6.48
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2020 was 25.40% and number of public shareholders as at 31st March 2020 were 3,648.

4. Share Trading

	2019/20	2018/19	2017/18	2016/17	2015/16
Number of Shares Traded During the Year	6,998,161	3,736,586	4,738,492	5,053,600	8,188,438
Value of Shares Traded During the Year (Rs.)	171,349,406	95,540,393	150,129,013	256,834,808	530,954,107
Number of Transactions	4,440	2,068	2,833	2,362	2,335

INVESTOR INFORMATION

5. Market Value

Financial Year	Highest Rs.	Lowest Rs.	Year End Rs.
2015/16	83.90	50.00	53.00
2016/17	64.00	34.00	35.20
2017/18	42.00	28.00	33.50
2018/19	33.50	21.00	23.50
2019/20	31.80	15.00	15.00

* Closing price of the share as at 31st March 2020 was Rs. 15.10.

6. Ratios

Range	2019/20	2018/19	2017/18	2016/17	2015/16
Earnings Per Share (Rs.)	(1.90)	2.37	3.43	1.97	4.13
Price Earnings Ratio (Times)	(7.94)	10.02	9.76	17.91	12.83
Net Asset per Share as at 31st March (Rs.)	60.66	62.96	58.30	56.49	54.24

7. Dividends

Year	Dividend Per Share Rs.	Dividend Yield %
2015/2016	1.25	2.36%
2016/2017	0.75	2.13%
2017/2018	1.25	3.73%
2018/2019	1.00	4.26%
2019/2020	-	-

8. Market Capitalization (As At 31st March)

	Stated Capital & Reserves Rs.	Market Capitalization %
2015/2016	18,405,792	17,823,371
2016/2017	19,161,826	11,837,408
2017/2018	19,771,215	11,265,715
2018/2019	21,338,821	7,970,073
2019/2020	20,562,900	5,077,979

The float adjusted market capitalisation as at 31st March 2020 was Rs. 1,289,630,766.10 with reference to the rule no.7.6 (iv) of the listing rules of the Colombo Stock Exchange.

As the float adjusted market capitalization is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirement.

9. Group Effective Holding in Subsidiary, Joint Ventures and Associate Companies

As at 31st March Company	%	
	2020	2019
Aitken Spence Hotel Managements Asia (Private) Limited	51.00%	51.00%
Aitken Spence Hotels Limited	98.01%	98.00%
Aitken Spence Hotel Managements (Private) Limited	49.00%	49.00%
Crest Star (B.V.I) Limited (British Virgin Islands)	100.00%	100.00%
Cowrie Investment Private Limited (Maldives)	60.00%	60.00%
Crest Star Limited (Hong Kong)	0.00%	100.00%
Aitken Spence Global Operations (Private) Limited	51.00%	51.00%
Aitken Spence Hotels International (Private) Limited	51.00%	51.00%
PR Holiday Homes Private Limited (India)	43.13%	43.13%
Floatels India Private Limited (India)	4.19%	4.54%
Heritance (Private) Limited	98.01%	98.00%
Kandalama Hotels (Private) Limited	61.75%	61.74%
Jetan Travel Services Company Private Limited (Maldives)	95.00%	95.00%
Ace Resorts Private Limited (Maldives)	51.00%	51.00%
A.D.S Resorts Private Limited (Maldives)	51.00%	51.00%
Unique Resorts Private Limited (Maldives)	51.00%	51.00%
Aitken Spence Hotel Services Private Limited (India)	51.00%	51.00%
Aitken Spence Hotel Management (South India) Private Limited (India)	59.13%	54.87%
Aitken Spence Resorts (Middle East) LLC (Oman)	51.00%	51.00%
Perumbalam Resorts Private Limited (India)	43.12%	43.12%
Amethyst Leisure Limited	27.89%	27.89%
Turyaa Resorts (Private) Limited	100.00%	100.00%
Turyaa (Private) Limited	100.00%	100.00%
Browns Beach Hotels PLC	37.42%	37.42%
Hethersett Hotels Limited	94.44%	94.44%
Ahungalla Resorts Limited	60.00%	60.00%
Neptune Ayurvedic Village (Private) Limited	100.00%	100.00%
Nilaveli Holidays (Private) Limited	100.00%	100.00%
Nilaveli Resorts (Private) Limited	100.00%	100.00%
The Galle Heritage (Private) Limited	100.00%	100.00%
Meeraladuwa (Private) Limited	100.00%	100.00%
Paradise Resorts Passikudah (Private) Limited	27.89%	27.89%
Negombo Beach Resorts (Private) Limited	37.42%	37.42%
Aitken Spence Resources (Private) Limited	49.00%	49.00%

INVESTOR INFORMATION

10. Shareholding of Directors together with their Spouses in Aitken Spence Hotel Holdings PLC

As at 31st March	2020	2019
Deshamanya D.H.S. Jayawardena	-	-
Dr. M.P. Dissanayake	-	-
Ms. D.S.T. Jayawardena	16,000	16,000
Mr. C.M.S. Jayawickrama	-	-
Mr. J.M.S. Brito	331,021	331,021
Mr. R.N. Asirwatham	1,000	1,000
Mr. N.J. de Silva Deva Aditya	-	-
Mr. C.H. Gomez	-	-
Mr. G.P.J. Goonewardena	5,460	5,460
Total	353,481	353,481

11. Twenty Largest Shareholders as at 31st March

Twenty Largest Shareholders as at 31st March 2020		2020		2019	
		No.of Shares	%	No.of Shares	%
1	Aitken Spence PLC	239,472,667	71.21	239,472,667	71.21
2	Employees Provident Fund	31,501,601	9.37	31,501,601	9.37
3	Sri Lanka Insurance Corporation Ltd-Life Fund	5,518,727	1.64	5,518,727	1.64
4	Ace Cargo (Private) Limited	4,423,601	1.32	4,423,601	1.32
5	Aitken Spence Hotel Managements (Private) Limited	3,530,639	1.05	3,530,639	1.05
6	Aitken Spence Aviation (Private) Limited	2,604,140	0.77	2,604,140	0.77
7	Bank Of Ceylon	2,547,424	0.76	2,547,424	0.76
8	Employees Trust Fund Board	2,370,705	0.70	2,370,705	0.70
9	Ceylon Guardian Investment Trust PLC	2,245,982	0.67	2,245,982	0.67
10	J.B. Cocoshell (Private) Ltd	2,210,655	0.66	2,439,655	0.73
11	National Savings Bank	2,102,133	0.63	2,102,133	0.63
12	Mr. G.C. Wickremasinghe	2,082,241	0.62	2,082,241	0.62
13	Associated Electrical Corporation Ltd	1,500,000	0.45	-	-
14	Ceylon Investment PLC	1,283,675	0.38	1,283,675	0.38
15	Miss. A.T. Wickremasinghe	1,245,004	0.37	1,245,004	0.37
16	Bank Of Ceylon A/C Ceybank Century Growth Fund	1,078,773	0.32	1,052,985	0.31
17	Mr. M.J. Fernando	1,000,000	0.30	1,000,000	0.30
18	Mrs. K. Fernando	991,149	0.29	991,149	0.29
19	Ceylon Investment PLC	985,900	0.29	985,900	0.29
20	Rubber Investment Trust Limited	826,548	0.25	826,548	0.25
Total Ordinary Shares		309,521,564	92.05	308,224,776	91.66

12. History of Movement In Ordinary Share Capital

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M.P.S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue (1 for 4)	9,608,286
	Share Split (7 for 1)	288,248,580
	Total as at 31st March 2020	336,290,010

13. History of Movement in Preference Share Capital

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	(40,000)
1983/84	Redemption	(40,000)
1984/85	Redemption	(40,000)
1985/86	Redemption	(40,000)
1990/91	Redemption	(40,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000
	Total as at 31st March 2020	16,500,000

DECADE AT A GLANCE

Year ended 31st March	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
OPERATING RESULTS										
Revenue	19,019,241	19,570,589	18,250,581	16,055,386	13,378,071	13,270,918	12,947,076	12,035,870	9,614,828	8,059,152
Profit / (loss) before taxation	(433,023)	1,904,325	2,189,891	1,549,562	2,520,651	3,920,116	4,078,450	3,204,882	2,427,770	1,394,853
Taxation	(462,701)	(707,161)	(606,496)	(535,823)	(432,889)	(484,494)	(561,435)	(464,895)	(346,299)	(37,242)
Profit/(loss) after taxation	(895,724)	1,197,164	1,583,395	1,013,739	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471	1,357,611
Profit/(loss) attributable to equity holders of the parent	(624,953)	810,581	1,169,314	675,873	1,403,766	2,234,804	2,340,934	1,785,154	1,377,976	1,304,073
SHAREHOLDERS' FUNDS										
Stated capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587
Reserves and retained earnings	17,008,313	17,784,234	16,216,628	15,607,239	14,851,205	13,676,628	11,823,701	9,371,120	7,614,992	5,468,654
Shareholders' funds	20,562,900	21,338,821	19,771,215	19,161,826	18,405,792	17,231,215	15,378,288	12,925,707	11,169,579	9,023,241
LIABILITIES										
Non-current interest bearing liabilities	33,500,094	23,405,292	18,154,051	14,450,707	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308	3,007,565
Amount due to ultimate holding company	134,293	110,020	834,985	348,329	155,804	37,518	92,315	109,340	204,779	59,861
Current liabilities	10,364,198	8,329,080	9,987,503	8,801,945	5,859,232	5,173,696	3,481,725	3,326,203	3,249,987	2,164,471
Other liabilities & charges	1,201,019	2,462,557	1,722,855	1,144,318	411,798	344,196	321,148	304,726	287,278	147,925
Non-controlling interest	8,587,530	9,256,614	8,122,788	8,270,862	5,429,111	4,638,017	3,789,554	2,903,733	2,189,351	1,372,530
Total Equity and Liabilities	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593
ASSETS										
Property, plant & equipment	52,554,379	49,918,218	41,404,788	37,687,160	23,101,360	16,402,491	12,571,903	11,962,472	11,087,739	8,879,249
Right-of-use assets	11,172,389	-	-	-	-	-	-	-	-	-
Leasehold property	-	2,214,518	2,023,903	2,042,460	2,006,728	1,906,526	1,461,100	1,463,930	1,521,100	1,354,026
Prepaid operating leases	-	1,924,329	1,772,172	1,791,169	1,811,071	1,067,063	1,048,621	1,020,553	1,067,800	46,500
Intangible assets	580,627	472,879	416,053	404,612	380,166	2,842	13,390	26,929	26,862	-
Investments	910,478	1,249,902	1,158,581	1,294,427	4,982,212	3,098,474	1,336,814	1,302,694	1,227,371	960,878
Other financial assets	764,245	778,986	763,780	126,650	202,395	180,191	197,478	221,072	233,207	222,395
Deferred tax assets	295,849	160,942	143,906	157,760	147,969	119,017	115,977	132,722	130,018	48,399
Current assets	7,046,542	8,182,610	10,910,214	8,673,749	5,816,313	10,011,662	9,231,645	6,229,427	4,597,185	4,254,320
Assets classified as held for sale	1,025,525	-	-	-	-	-	-	-	-	9,826
Total Assets	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593
CASH FLOW										
From operating activities	3,303,771	2,858,941	2,801,992	2,587,485	3,479,769	3,986,229	3,820,890	3,528,361	3,156,697	663,257
From investing activities	(3,214,760)	(6,272,236)	(3,050,809)	(2,279,588)	(6,507,608)	(6,137,472)	(3,446,368)	(1,686,804)	(2,533,371)	(1,023,336)
From financing activities	(1,437,348)	767,316	3,266,138	120,782	1,409,694	2,412,926	(607,312)	(389,776)	(765,864)	1,965,198
Net cash inflow/(outflow)	(1,348,337)	(2,645,979)	3,017,321	428,679	(1,618,145)	261,682	(232,790)	1,451,781	(142,538)	1,605,119
KEY INDICATORS										
Earnings per ordinary share (Rs.)	(1.90)	2.37	3.43	1.97	4.13	6.60	6.92	5.26	4.05	3.03
Net Assets value per ordinary share (Rs.)	60.66	62.96	58.30	56.49	54.24	50.75	45.24	37.95	32.72	26.34
Closing price per share (Rs.)	15.10	23.70	33.50	35.20	53.00	67.00	70.00	74.00	70.00	98.00
Dividend per share (Rs.)	-	1.00	1.25	0.75	1.25	1.50	1.50	1.00	0.70	0.50
Dividend cover (Times)	-	2.37	2.75	2.62	3.30	4.40	4.61	5.26	5.79	6.06
Price to earnings ratio (Times)	(7.94)	10.02	9.76	17.91	12.83	10.15	10.12	14.07	17.28	32.33
Gearing (debt/(debt+equity)) %	53.73	43.65	39.78	34.90	26.08	20.30	13.94	15.87	18.30	23.67
Interest cover (Times)	0.94	3.18	3.45	3.31	8.73	22.21	22.03	13.71	12.40	7.08
Return on average shareholders' funds (%)	(3.08)	3.90	5.98	3.55	7.87	13.75	16.63	14.90	13.73	14.68

REAL ESTATE HOLDINGS OF THE GROUP

Description of the Property	No of Rooms	Location	Building in Sq.Ft	No of Buildings	Land Extent Acres		Net Book Value as at 31/03/20 (Rs.'000)	
					Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC								
Heritage Ahungalla	152	Ahungalla	253,590	3	11.96	-	710,300	685,298
Meeraladuwa (Pvt) Ltd								
Meeraladuwa Island	-	Balapitiya	-	-	29.55	-	217,020	-
Kandalama Hotels (Pvt) Ltd								
Heritage Kandalama	152	Dambulla	470,438	3	169.64	50.00	9,300	485,359
Hethersett Hotels Ltd								
Heritage Tea Factory	54	Nuwara Eliya	66,120	4	-	25.00	-	106,255
Aitken Spence Hotels Ltd								
Heritage Ayurveda	64	Beruwala	135,372	3	-	6.44	-	355,663
Heritage (Pvt) Ltd	-	Beruwala	-	-	5.79	-	324,250	-
Neptune Ayurvedic Village (Pvt) Ltd	-	Beruwala	12,500	-	0.12	-	4,500	13,328
Turyaa (Pvt) Ltd								
Turyaa Kalutara	109	Kalutara	192,686	20	5.93	-	407,160	667,208
Turyaa Resorts (Pvt) Ltd								
Turyaa Kalutara	90	Kalutara	113,060	3	2.42	-	170,336	1,100,315
Ahungalla Resorts Ltd								
Hotel RIU Sri Lanka	501	Ahungalla	601,751	11	12.97	-	942,650	8,051,674
Jetan Travel Services Co. (Pvt) Ltd								
Adaaran Club Rannalhi	122	Maldives	98,667	43	-	11.69	-	894,192
Cowrie Investment (Pvt) Ltd								
Adaaran Select Meedhupparu	231	Maldives	299,124	122	-	44.45	-	2,701,459
Heritage Aarah	150	Maldives	254,356	244	-	26.90	-	14,040,087
ADS Resorts (Pvt) Ltd								
Adaaran Select Hudhuran Fushi	197	Maldives	170,446	210	-	78.00	-	689,657
Unique Resorts (Pvt) Ltd								
Adaaran Prestige Vadoo	50	Maldives	40,324	53	-	4.48	-	1,797,130
Ace Resorts (Pvt) Ltd								
Raafushi Island Maldives	-	Maldives	-	-	-	45.25	-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd								
Turyaa Chennai	140	Chennai / India	126,825	1	0.84	-	930,006	2,692,652
Perumbalam Resorts (Pvt) Ltd	-	Chennai / India	-	-	4.05	-	52,910	-
P.R Holiday Homes (Pvt) Ltd	-	Chennai / India	-	-	14.04	-	212,546	-
Aitken Spence Resorts (Middle East) LLC								
Al Falaj Hotel	150	Oman	16,408	3	5.05	-	3,313,989	3,282,668

GROUP DIRECTORY

HOTELS

1. Ace Resorts Private Limited *

Owens the Raafushi island earmarked for the construction and development of a Resort in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Managing Director),
Ms. D.S.T. Jayawardena,
M. Mahdy.

2. A.D.S Resorts Private Limited *

Owens Adaaran Select Hudhuran Fushi – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M. Mahdy.

3. Aitken Spence Global Operations (Private) Limited

Provides international marketing services for the overseas hotels in the group.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
Mr. C.M.S. Jayawickrama.

4. Aitken Spence Hotel Holdings PLC *

The holding company of the Group's hotel interests. Owns the Heritance Ahungalla Hotel.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Dr. M.P. Dissanayake (Managing Director),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
J.M.S. Brito,
R.N. Asirwatham,
N.J. de Silva Deva Aditya,
C.H. Gomez,
G.P.J. Goonewardena.

5. Aitken Spence Hotel Managements (Private) Limited *

Manages resorts in Sri Lanka.

Directors:

Ms. D.S.T. Jayawardena (Chairperson and Joint Managing Director),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Joint Managing Director),
D.T.R. de Silva (Joint Managing Director) (Resigned w.e.f. 31.07.2019).

6. Aitken Spence Hotel Managements (South India) Private Limited

Owens the 140 roomed hotel property "Turyaa" in Chennai, in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
T.K. Dewanarayana,
A. Durairaj.

7. Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in the Sultanate of Oman and the Republic of Maldives.

Directors:

Deshamanya D.H.S. Jayawardena,
Dr. R.M. Fernando,
Ms. D.S.T. Jayawardena,
Ms. N. Sivapragasam.

8. Aitken Spence Hotels International (Private) Limited *

Overseas investment company of the Hotels sector and provides international marketing services to the resorts in the Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

9. Aitken Spence Hotel Services Private Limited

Local marketing company of hotels in the Republic of India.

Directors:

R.S. Rajaratne,
T.K. Dewanarayana.

10. Aitken Spence Hotels Limited *

Holding company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited. Owns Heritance Ayurveda in Beruwala.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

11. Aitken Spence Resorts (Middle East) LLC*

Owning company of the Al Falaj Hotel in Muscat, Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
A. Perera,
S.N. de Silva.

12. Aitken Spence Resources (Private) Limited *

Human resource management, foreign employment and recruitment company.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama,
G.P.J. Goonewardena.

13. Ahungalla Resorts Limited *

A joint venture company with RIUSA NED BV and owns the RIU Hotel Sri Lanka at Ahungalla.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
J.T. Riu (Managing Director),
L. Riu Guell.

14. Cowrie Investment Private Limited *

Owns Heritance Aarah and Adaaran Select Meedhupparu – Republic of Maldives.

Directors:

Dr. M.P. Dissanayake (Chairman and Managing Director),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
I.M. Didi,
M. Salih.

15. Crest Star (B.V.I.) Limited

The holding company and managing agent of Jetan Travel Services Company Private Limited.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

16. Crest Star Limited

This company is under de-registration.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

17. Floatels India (Pvt) Ltd

The owning company of Poovar Island Resort in Kerala, in the Republic of India.

Directors:

M.R. Narayanan,
K.K.M. Rawther,
K.K. Kabeer,
C.M.S. Jayawickrama,
M.K.Z. Beevi.

18. Heritance (Private) Limited *

Owns a land in Beruwala for a proposed hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

19. Hethersett Hotels Limited *

Owns Heritance Tea Factory - Kandapola.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

20. Jetan Travel Services Company Private Limited *

Owns Adaaran Club Rannalhi – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
H. Mohamed,
M. Mahdy.

21. Kandalama Hotels (Private) Limited *

Owns Heritance Kandalama Hotel.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

22. Meeraladuwa (Private) Limited *

Owns the island of Meeraladuwa.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

23. Neptune Ayurvedic Village (Private) Limited *

Leases company owned land and building to Aitken Spence Hotels Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

GROUP DIRECTORY

24. Perumbalam Resorts Private Limited

A fully owned subsidiary of PR Holiday Homes Private Limited.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
M.R. Narayanan,
K.K.M. Rawther,
Ms. R. Narayanan,
T.K. Dewanarayana.

25. PR Holiday Homes Private Limited

Owns a land in Cochin, in the Republic of India for a future hotel project.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
M.R. Narayanan,
K.K.M. Rawther,
T.K. Dewanarayana.

26. Turyaa (Private) Limited *

Owns the 109 roomed hotel property "Turyaa" in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

27. Turyaa Resorts (Private) Limited *

Owns the 90 roomed hotel property "Turyaa" in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

28. Unique Resorts Private Limited *

Owns Adaaran Prestige Vadoo – Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M.D.B.J. Gunatilake.

JOINT VENTURES & ASSOCIATES

HOTELS

29. Amethyst Leisure Limited *

Holding Company of Paradise Resort Passikudah (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
V.J. Senaratne,
A. Mahir,
J.C. Weerakone.

30. Browns Beach Hotels PLC *

Owns the property leased out to Negombo Beach Resorts (Private) Limited.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.R. Stanislaus,
A.L. Gooneratne,
R.N. Asirwatham,
N.J. de Silva Deva Aditya.

31. Negombo Beach Resorts (Private) Limited *

Owns the Heritance Negombo Hotel.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
C.R. Stanislaus.

32. Paradise Resort Passikudah (Private) Limited *

Owning Company of Amethyst Resort, Passikudah.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
V.J. Senaratne,
J.C. Weerakone.

DESTINATION MANAGEMENT

33. Nilaveli Holidays (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

34. Nilaveli Resorts (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

35. The Galle Heritage (Private) Limited *

Proposed for constructing and operating a heritage hotel within the Fort of Galle.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

* The companies' financial statements are audited by KPMG

CORPORATE INFORMATION

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Name

Aitken Spence Hotel Holdings PLC

Legal Form

A Public Quoted Company with limited liability, incorporated in Sri Lanka on March 14, 1978

Company Registration Number

PQ 97

Registered Office

No. 315, Vauxhall Street, Colombo 2, Sri Lanka

Directors

Deshamanya D.H.S. Jayawardena - *Chairman*

Dr. M.P. Dissanayake

Professor - Maritime Studies, Alumni USJ, Norad, JICA, University of Oxford - Business Alumni, Harvard Business School (EEP), Fellow (CIM, ICS, CILT-UK) - Managing Director

Ms. D.S.T. Jayawardena

Mr. C.M.S. Jayawickrama - *FCMA*

Mr. J.M.S. Brito - *LLB, FCA, MBA*

Mr. R.N. Asirwatham - *FCA*

Mr. N.J. de Silva Deva Aditya

Mr. C.H. Gomez

Mr. G.P.J. Goonewardena

Group Audit Committee

R.N. Asirwatham - *Chairman*

G.C. Wickremasinghe

C.H. Gomez

N.J. de Silva Deva Aditya/A.L. Gooneratne (Alternate Director to N.J. de Silva Deva Aditya in the parent company's directorate)

J.M.S. Brito (Appointed w.e.f 23.05.2019)

Group Remuneration Committee

G.C. Wickremasinghe - *Chairman*

R.N. Asirwatham

C.H. Gomez

Group Nomination Committee

G.C. Wickremasinghe - *Chairman*

Deshamanya D.H.S. Jayawardena

R.N. Asirwatham

Group Related Party Transactions Review Committee

R.N. Asirwatham - *Chairman*

G.C. Wickremasinghe

C.H. Gomez

N.J. de Silva Deva Aditya/ A.L. Gooneratne (Alternate Director to N.J. de Silva Deva Aditya in the parent company's directorate)

J.M.S. Brito (Appointed w.e.f 23.05.2019)

Secretaries

Aitken Spence Corporate Finance (Private) Limited
No. 315, Vauxhall Street,
Colombo 02,

Sri Lanka.

T: (+94) 11 2308308

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E: benji@aitkenspence.lk
comsec@aitkenspence.lk

Registrars

Central Depository Systems (Private) Limited
Ground Floor, M&M Center,
No. 341/5, Kotte Road,
Rajagiriya.

T: (+94) 11 2356456

F: (+94) 11 2440396

E: hemal@cse.lk

Web: www.cds.lk

Auditors

KPMG

Chartered Accountants

32A, Sir Mohamed Macan Markar Mawatha,
P.O Box 186,
Colombo 03.

Bankers

Hatton National Bank PLC

People's Bank

Bank of Ceylon

Hongkong and Shanghai Banking Corporation

Citibank N A

Union Bank

ICICI Bank

Nations Trust Bank

DFCC Bank

Deutsche Bank

Commercial Bank

Holding Company

Aitken Spence PLC

Contact Details

No. 315, Vauxhall Street,
Colombo 02,

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GRI CONTENT INDEX

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The Global Reporting Initiative (GRI) Content Index

This report contains Standard Disclosures from the Global Reporting Initiative (GRI) Sustainability Reporting Standards and is in accordance with the GRI Core Option.

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GLOSSARY OF FINANCIAL TERMS

A

Accounting Policies - The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis - Recording Revenues and Expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Actuarial Gains and Losses - Gain or loss arising from the difference between estimates and actual experience in a company's pension plan.

Amortisation - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held for Sale - The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) - Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

C

Capital Employed - Total shareholders' funds plus debt.

Capital Reserves - Reserves identified for specific purposes and considered not of the entity, directly or indirectly, including any director (whether executive or otherwise) of the entity available for distribution.

Cash Equivalents - High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Collateral - Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Contingent Liabilities - A condition or situation at the Reporting date of which the financial effect will be determined only on the occurrence, or non-occurrence of one or more uncertain future events.

Contract Liability - An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amounts due) from the customer.

Credit Risk - Risk that the counterparty to a transaction fails to meet its contractual obligations in accordance to the agreed terms and conditions.

Current Ratio - Current assets divided by current liabilities.

D

Debt/Equity Ratio - Ratio between long-term interest-bearing liabilities and total equity. It shows the extent to which the firm is financed by debt.

Dividend Cover - Net profit attributable to the ordinary shareholders divided by the total dividend.

Derivatives - Financial contracts whose values are derived from the values of underlying assets.

Deferred Income Tax - The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Dividend Pay Out Ratio - The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio - Dividend per share as a percentage of the market price. A measure of return on investment.

Dividends per Share (DPS) - Dividends paid and proposed, divided by the number of issued shares, which ranked for those dividends.

E

Earnings Per Share (EPS) - Net profit for the period attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue during the period.

Equity - The value of an asset after all the liabilities or debts have been paid.

EBIT - Earnings before interest and tax.

EBITDA - Earnings before interest, taxes, depreciation and amortization.

Effective Rate of Taxation - Income tax over profit before tax.

EPS Growth - Percentage of increase in the EPS over the previous year.

F

Fair Value - The price that would be received to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date.

Fair Value Through Profit and Loss - A financial asset/liability acquired/incurred principally for the purpose selling or repurchasing it in the near term.

Fair Value Through OCI (FVOCI) - Financial instruments that are held for trading and measured at fair value through other comprehensive income.

Financial Assets - Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instruments - Any contract that gives rise to financial assets of one entity and financial liability or equity instrument of another entity.

GLOSSARY OF FINANCIAL TERMS

Financial Liability - Any liability that is a contractual obligation to deliver cash or another financial asset to another entity.

G

Gearing - Proportion of total interest-bearing liabilities to capital employed. Refer Debt to equity.

I

Impairment - This occurs when recoverable amount of an asset is less than its carrying amount.

Interest Cover - This indicates the ability of an entity to cover long-term and short-term interest expenses with EBIT.

(Profit before Interest & Taxation + Share of Equity Accounted investees divided by total Interest charged for the year).

Intangible Assets - An identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services for rental to others or for administrative purposes.

K

Key Management Personnel (KMP) - KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

L

Liquidity Risk - The risk of an entity having constraints to settle its financial liabilities.

M

Market Capitalization - The number of ordinary shares in issue multiplied by the market price per share.

Materiality - The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of Financial Statements.

N

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the Reporting date.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

O

Other Comprehensive Income - An entry that is generally found in the shareholders' equity section of the Statement of Financial Position.

P

Price Earnings Ratio (PER) - Market price per share divided by the earnings per share.

Price to Book Value Ratio (PBV) - Market price per share divided by net assets per share.

Probability of Default (PD) - Estimate of likelihood that a borrower will be unable to meet debt obligations.

R

Return on Capital Employed (ROCE) - Profit before finance expense and tax as a percentage of average capital employed.

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Related Parties - A person or entity that is related to the entity that is preparing its Financial Statements.

Revenue Reserves - Reserves considered as being available for distributions and investments.

Right-of-use Asset (ROU) - ROU asset is an asset that represents a lessee's right to use an underlying asset over the lease term.

S

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

T

Total Equity - Total of share capital, reserves, retained earnings and non-controlling interest.

V

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

W

Working Capital - Capital required to finance day-to-day operations, computed as the excess of current assets over current liabilities.

NOTES

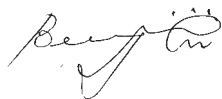
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NOTICE OF MEETING

Notice is hereby given that the Forty Third (43rd) Annual General Meeting of Aitken Spence Hotel Holdings PLC* will be held at Aitken Spence Tower II, No. 315, Vauxhall Street, Colombo 02, at 11.00 a.m. on Tuesday, 30th June 2020, for the following purposes:-

1. To receive and consider the Annual Report of the Board of Directors together with the Financial Statements for the year ended 31st March 2020 with the Report of the Auditors thereon.
2. To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:
"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who is 77 years of age and that he be re-appointed a Director of the Company."
3. To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:
"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 77 years of age and that he be re-appointed a Director of the Company."
4. To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:
"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who is 73 years of age and that he be re-appointed a Director of the Company."
5. To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:
"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. de Silva Deva Aditya who is 72 years of age and that he be re-appointed a Director of the Company."
6. To re-elect Mr. G.P.J. Goonewardena who retires in terms of Article 83 of the Articles of Association, as a Director.
7. To authorise the Directors to determine contributions to charities.
8. To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.
9. To consider any other business of which due notice has been given.

By Order of the Board
Aitken Spence Hotel Holdings PLC



Aitken Spence Corporate Finance (Private) Limited
Secretaries

29th May 2020
Colombo

*Note:

1. In the interest of protecting public health and facilitating compliance with the Health and Safety guidelines issued by the Government of Sri Lanka, the Forty Third (43rd) Annual General Meeting of Aitken Spence Hotel Holdings PLC will be a virtual meeting held by participants joining in person or proxy and through audio or audio visual means in the manner specified below:
 - i. **Attendance of the Chairman and the Board of Directors**
The Chairman, the Managing Director, certain members of the Board of Directors, the Company Secretaries, the External Auditors and the Legal Counsel will be present at the Aitken Spence Tower II, No. 315, Vauxhall Street, Colombo 02 at 11.00 a.m. on Tuesday, 30th June 2020.
 - ii. **Shareholder participation**
 - a) The shareholders are encouraged to appoint a Director of the Company as their proxy to represent them at the meeting.
 - b) The shareholders may also appoint any other persons other than a Director of the Company as their proxy and the proxy so appointed shall participate at the meeting through audio or audio visual means **only**.
 - c) The shareholders who wish to participate at the meeting will be able to join the meeting through audio or audio visual means. To facilitate this process, the shareholders are required to furnish their details by perfecting *Annexure II* to the circular to shareholders and forward same to minura@cse.lk or by facsimile on +94 11 2308099, to reach the Registrars **not less than five (05) days before the date of the meeting** so that the meeting login information could be forwarded to the e-mail addresses so provided. The circular to the shareholders will be posted to all the shareholders along with the Notice of Meeting and the Form of Proxy.
 - d) To facilitate the appointment of proxies, the Form of Proxy is attached hereto and the duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2308099 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, **not less than forty eight (48) hours before the time fixed for the meeting**.
 - iii. **Shareholders' queries**
The shareholders are hereby advised that if they wish to raise any queries, such queries should be sent to reach the Company Secretaries, via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2308099 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, **not less than five (5) days before the date of the meeting**. This is in order to enable the Company Secretaries to compile the queries and forward same to the attention of the Board of Directors so that same could be addressed at the meeting.
2. The Annual Report of the Company for the year ended 2019/2020 will be available for perusal on the Company website, the Colombo Stock Exchange website and the social media sites of the Company.

FORM OF PROXY

I/We.....of
 being a member/members of Aitken Spence Hotel
 Holdings PLC hereby appoint
of.....
 (whom failing),

Don Harold Stassen Jayawardena (whom failing),
 Mahinda Parakrama Dissanayake (whom failing),
 Don Stasshani Therese Jayawardena (whom failing),
 Chrisanthus Mohan Susith Jayawickrama (whom failing),
 Joseph Michael Suresh Brito (whom failing),
 Rajanayagam Nalliah Asirwatham (whom failing),
 Charles Humbert Gomez (whom failing),
 Niranjana Joseph de Silva Deva Aditya (whom failing),
 Gemunu Prasanna Jayasundera Goonewardena.

as my/our Proxy to represent me/us, to speak and to vote on my/our behalf at the Annual General Meeting of the Company to be held on the 30th June 2020, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

I/We the undersigned hereby authorize my/our proxy to vote on my/our behalf in accordance with the preference indicated below:

Resolution	For	Against
1 To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years	☐	☐
2 To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years	☐	☐
3 To re-appoint Mr. J.M.S. Brito who is over the age of 70 years	☐	☐
4 To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years	☐	☐
5 To re-elect Mr. G.P.J. Goonewardena who retires in terms of Article 83 of the Articles of Association	☐	☐
6 To authorise the Directors to determine contributions to charities	☐	☐
7 To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration	☐	☐

Signed this..... day of June Two Thousand Twenty.

.....
 Shareholder's Signature/(s)

.....
 Shareholder's NIC / Folio No.

.....
 Proxy holder's NIC No.

Note : Instructions as to completion are noted on the reverse hereof.

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy by filling in the mandatory details required above, signing in the space provided and filling in the date of signature.
2. If the Form of Proxy is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the Form of Proxy shall be executed in the manner specified in the Articles of Association.
4. In the absence of any specific instructions as to voting, the proxy may use his/her discretion in exercising the vote on behalf of his appointor.
5. Duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2308099 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 2, not less than forty eight (48) hours before the time fixed for the meeting.

Please provide the following details (mandatory):

NIC/PP/Company Registration No. of the Shareholder/s :

Folio No. :

E-mail address of the Shareholder/(s) or
proxy holder (*other than a Director appointed as proxy*) :

Mobile No. :

Fixed line :

INVESTOR FEEDBACK FORM

102-21 102-33

Name (Optional) :

Address (Optional) :

Number of shares held (Optional) :

Please rate the following areas (where applicable) on a scale of 1 to 5 where 1 is the lowest to 5 being the highest

Lowest Highest
1 2 3 4 5

1. Business Development

- | | | | | | |
|---|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) Quality and presentation of the Annual Report | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) Usefulness of the information in the interim Financial Statements | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) Likelihood of the financial information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) Likelihood of the environmental information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| e) Likelihood of the social information in the Annual Report to influence investment decisions | ☐ | ☐ | ☐ | ☐ | ☐ |
| f) Satisfaction with the risk management strategies of the Company | ☐ | ☐ | ☐ | ☐ | ☐ |

2. Corporate Communication

- | | | | | | |
|--|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) Quality of Group communications appearing in traditional media (newspapers, radio, television) | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) Quality of Group communications appearing in emerging and new media (social media, web) | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) Satisfaction with the frequency and volume of Group communications appearing in mass media channels (newspapers, radio, television) | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) Accessibility and availability of information related to the Group in mass media channels | ☐ | ☐ | ☐ | ☐ | ☐ |
| e) Quality of service and information provided at stakeholder contact channels (web, general line, front office/ reception) | ☐ | ☐ | ☐ | ☐ | ☐ |
| f) Satisfaction with the contact channels available for queries and feedback | ☐ | ☐ | ☐ | ☐ | ☐ |

3. Human Resources

- | | | | | | |
|---|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) Satisfaction with the conduct of employees | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) Competency of employees based on your recent interactions. | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) Access to HR related information | ☐ | ☐ | ☐ | ☐ | ☐ |

4. Sustainability

- | | | | | | |
|---|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| a) Satisfaction with the strategies developed for economic sustainability | ☐ | ☐ | ☐ | ☐ | ☐ |
| b) Satisfaction with the commitment of the Group towards environmental conservation | ☐ | ☐ | ☐ | ☐ | ☐ |
| c) Satisfaction with the commitment of the Group towards social empowerment and community development | ☐ | ☐ | ☐ | ☐ | ☐ |
| d) Ethical conduct of the Group in business activities | ☐ | ☐ | ☐ | ☐ | ☐ |

INVESTOR FEEDBACK FORM

Please tick more than one where applicable:

5. What areas of the following business activities are you interested in receiving more information regarding via Group communications??

- a) Sustainability initiatives ☐
- b) Reporting processes ☐
- c) Internal operations ☐
- d) New business initiatives ☐

6. What channels of communication are preferred when receiving Group related information?

- a) Web ☐
- b) Newspapers ☐
- c) Electronic media ☐
- d) Social media ☐
- e) Mobile ☐

7. Out of the following, what areas of sustainability do you feel Aitken Spence Hotels should focus more on?

- a) Energy ☐
- b) Water ☐
- c) Biodiversity ☐
- d) Waste management ☐
- e) Resource efficiency ☐
- f) GHG emission reduction ☐
- g) Social empowerment ☐
- h) Infrastructure development ☐
- i) Education ☐

The completed Feedback Form could be emailed to info@aitkenspence.lk or posted to the registered address of the Company at No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

